

SPIIX • THE OPERATING SYSTEM FOR REPEATABLE GROWTH

04 SCALE

03 SYSTEMS

02 STRATEGY

01 SIGNAL

OPERATORS EDITION

# GROWTH LADDERS

What to climb so that every step matters

BUILT ON SPIIX • PLAYBOOKS • ROLE TRACKS • FACILITATOR GUIDE

READ THE SYSTEM • NAME THE CONSTRAINT • BUILD WHAT HOLDS • EARN THE SCALE

STEVE PEELE II

# Growth Ladders

*Operators Edition · What to climb so that every step matters*

BUILT ON SPIIX, THE OPERATING SYSTEM FOR REPEATABLE  
GROWTH

**STEVE PEELE II**

SPIIX / Pan Labs · Cincinnati, Ohio

**Growth Ladders — Operators Edition: What to climb so that every step matters**

Built on SPIIX, the operating system for repeatable growth

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Every scenario in this book is hypothetical. The numbers are illustrative, the companies are invented, and nothing here is a forecast, a promise of results, or a client case.

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## Praise for Growth Ladders

[STEVE TO ADD: three to five short endorsements from operators who have read v2, with written permission, name, title, and company. Do not use placeholder or paraphrased quotes. If none are available at launch, delete this page.]

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# Start Here

*Most growth advice is written for companies that don't exist. This book is written for the one you actually work in.*

The company in most growth books has clean data, a patient board, a full team, and six months of runway to experiment. That company is rare. Most operators I know live somewhere else: noisy data, thin staffing, a budget that has to earn its place every quarter, and a leadership team that needs useful output from every dollar, not activity.

This book is for the operator inside that company. It is for the person who **owns a number and has to defend it**.

## **What SPIIX is, and where the ladders come from**

SPIIX is the operating system underneath this book: the way of reading a commercial chain, naming its constraint, building what holds, and earning the right to scale. The ladders are what SPIIX produces when you apply it. The Growth Ladder sets the order of the work, the Evidence Ladder sets how sure you are, and the Allocation Ladder sets how much you commit. The framework comes first; the ladders are how you climb it.

I built SPIIX as an operator, not as an observer. I've run every component of it inside real businesses, practiced it as an advisor, studied it the way a student studies a craft, and tested it the way a scientist tests a claim: with a hypothesis, a stop rule, and a willingness to be wrong. Nothing in this book is a theory I haven't had to defend with a number.



## What this edition adds

The standard edition of *Growth Ladders* teaches the system. This edition is for the people who have to run it, inside a real business, with a real team, on a real calendar. Chapters 1 through 21 and the original Field Kit are here unchanged. Five new parts follow them:

- **Part VII • The Rung Playbooks.** Each rung as a numbered sequence of plays, with timing, artifacts, exit gates, and one invented company, Northfield Analytics, carried from the first read to the first scale step.
- **Part VIII • Role Tracks.** The same ladder from four seats: CEO or founder, CMO or growth leader, RevOps or marketing operations, and sales leader. What each seat owns, the numbers it answers for, its ninety days, and the failure modes it causes most often.
- **Part IX • Implementation.** The ninety-day install as two-week sprints, the second ninety days and year one, and how to install under pressure: tiny teams, boards in a hurry, new leaders, reorgs, product-led and enterprise motions, and agency-run marketing.
- **Part X • Failure Modes.** Thirty-five ways the system breaks, each with its symptom, what's underneath, the early warning, the fix, and where to re-enter, plus a one-page early-warning panel.
- **Part XI • The Facilitator Guide.** Rules for running the room, eight workshop designs with agendas and scripts for the hard moments, and eight new field cases written for teaching.

The Field Kit grows from forty-seven tools to sixty-one, and two new appendices show Northfield's artifacts filled in and answer the questions that come up in almost every install.

## How to use this edition

**If you're about to install,** read the Introduction and Part I, then go straight to Chapter 30 (Implementation Sprints) and your own role track. Use the playbooks in Part VII as the run sheet for each rung. Come back to Parts II–V when a play points you there.

**If you're already running SPIIX,** start with Part X. Circle the failure modes you recognize, put their early warnings on your monthly review, and re-enter at the rung the catalog names.

**If you're the one running the rooms**, read Part XI first, then the playbooks. Every workshop in Chapter 34 produces an artifact defined in the Field Kit.

**If you're reading the system for the first time**, read Parts I–VI in order, exactly as the standard edition intends. The rest of this book will mean more after you've seen the whole ladder once.

## Who this is for

You run, or answer for, some part of the commercial chain: marketing, growth, sales, revenue operations, marketing operations, customer success, or the whole thing as a founder. You have a number. You suspect that the team is busy and the number is not moving in proportion. You have tried the next campaign, the next channel, the next tool, and you have noticed that the lift fades and the same arguments come back.

You are willing to take a worksheet into a room, argue over the inputs with the people who own the work, and leave with a decision you own.

## Who this is not for

It is not for the team looking for someone to do the work for them. The frameworks here assume operators. The book can't own your constraint for you. Ownership is infrastructure, and without it every framework degrades into decoration.

It is also not for anyone who needs permission to stop doing things. This book spends as much time on what to cut as on what to build. If your stack has seven reports nobody opens, expect to leave with three. That reduction is not an aesthetic choice. It is the operating model.

## The promise

In ninety days, without new tools, new hires, or new spend, you will have **one number** everyone agrees on, **one named constraint**, **one workflow that holds** without its builder in the room, and **an operating rhythm** that tells you, with evidence, when you have earned the right to scale.

That's the whole promise. It's smaller than most books make and harder to keep. If you finish with one constraint clearly named and one workflow that holds, the book did its job.

## What this book refuses to be

**Not a tactic catalog.** There are no “25 plays for pipeline” lists that rot in a quarter. Tactics decay and channels saturate. What repeats is the operating system underneath them, and that's what this book teaches.

**Not a dashboard pitch.** Charts don't change decisions; people do. A metric earns its place here only by changing a decision.

**Not a consultancy memoir.** There are no client cases and no testimonials dressed up as proof. Your business has its own constraints, data quality, and timing, and a borrowed success story teaches the wrong lesson: that the answer transfers. The principle transfers. The answer never does.

## How the book is built

The book follows the order the work happens in.

| Part                            | Job                                         | You leave with                                                        |
|---------------------------------|---------------------------------------------|-----------------------------------------------------------------------|
| <b>Introduction</b>             | The model, and where you stand on it        | Your broken rung, from the Growth Ladder Diagnostic                   |
| <b>I · Diagnosis</b>            | Read the system before you touch it         | Your number, your chain, your ranked constraint                       |
| <b>II · The Framework</b>       | The SPIIX Growth Ladder, rung by rung       | The four artifacts and the gate test for each                         |
| <b>III · The Math</b>           | The instruments that keep the ladder honest | Velocity, cohorts, cost, payback, and the ways numbers lie            |
| <b>IV · Implementation</b>      | Install it in ninety days                   | A week-one sequence, a 30/60/90 plan, owners, and incentives          |
| <b>V · Operating Rhythm</b>     | Keep it running                             | The cadence stack, the return loop, and the principles under pressure |
| <b>VI · Practice</b>            | Twelve situations, read as systems          | The habit of naming the real question first                           |
| <b>VII · The Rung Playbooks</b> | Each rung, run as a sequence of plays       | Run sheets, exit gates, and a worked example end to end               |

| Part                       | Job                                              | You leave with                                                               |
|----------------------------|--------------------------------------------------|------------------------------------------------------------------------------|
| VIII · Role Tracks         | The same ladder from four seats                  | Your seat's ownership, numbers, ninety days, and conversations               |
| IX · Implementation        | Sprints, year one, and installing under pressure | A sprint plan, an operating calendar, and situation adaptations              |
| X · Failure Modes          | How the system breaks                            | A catalog and an early-warning panel                                         |
| XI · The Facilitator Guide | Running the system in a room                     | Eight workshop designs and eight teaching cases                              |
| Field Kit                  | Every tool, once, in one place                   | Sixty-one tools, scorecards, formulas, glossary, filled examples, and an FAQ |

Read it in order the first time. Skip the sequence and the later parts will feel like effort; work it in order and each part does the work the next one needs.

## How to work the tools

The tools aren't exhibits. Each one has an owner, a cadence, and space for your answers. Every tool appears once, in the Field Kit at the back, numbered T1 through T61 (T48–T61 are new in this edition). Chapters point to them by number.

Print the tools and work them with your team, in the room, with real numbers. A tool filled in alone at a desk is a draft. A tool filled in with the people who own the work is an operating decision.

The scorecards all use one scale, so they can be compared:

---

|                                                                                                     |
|-----------------------------------------------------------------------------------------------------|
| 0 — not true · 1 — partly true, or true but not evidenced · 2 — true, and you can show the evidence |
|-----------------------------------------------------------------------------------------------------|

---

## Conventions

- FIELD TEST.** A small experiment to run inside your own business. Do it; don't just read it.
- SYSTEM CHECK.** A quick diagnostic. If you answer no, stop and fix it before you move on.
- FAILURE MODE.** The most common way the idea goes wrong in practice.
- OPERATOR NOTE.** A working detail that experienced operators learn the hard way.
- WORKING DEFINITION.** The exact meaning a term carries in this book.
- DECISION PROMPT.** Answer it in writing before you turn the page.
- HYPOTHETICAL.** An illustrative scenario, never a client case.

Every chapter closes the same way: **Takeaways** (what to remember), **This Week** (one field test, under two hours), and **Tools** (which worksheets to pull).

## Reading tracks

Each role below now has its own chapter in Part VIII. The tracks here are for the first pass through Parts I–VI.

**Founder / CEO.** Read straight through, but take your time in Parts I and II. The decision about the number and the constraint is yours to own. Skim the worksheets on the first pass and come back to them once you’ve named the constraint.

**CMO / CRO / growth leader.** Start with the Diagnostic, then read Parts I and II at full attention. Read Part III slowly, because the economics have to clear your bar before scale. Part IV is your install plan.

**Marketing operations / RevOps leader.** Chapters 8 and 9 are your daily ground. Read the Introduction and Part I first for the logic they assume, then go deep on Systems, the Math, and the Cadence Stack.

**Sales leader.** Start with Chapter 8 (Definitions and Handoffs), then Chapters 2 and 4 to see how the number and the constraint frame what marketing owes you, and what you owe back.

**Strategic operator or advisor.** Read the whole book in order, tools included. This is the track it was written for: the person who reads the system, names the constraint, builds what holds, and earns the scale. Work the field tests as you go.

## The standing rules

- 1. Every scenario is hypothetical.** The numbers are illustrative and the companies are invented. Read them for the principle, not the figure. Scenarios are tagged *Hypothetical* and this rule is not repeated after this page.
- 2. Pipeline means opportunity value.** It is the summed value of open opportunities at a point in time. It is not booked revenue, and booked revenue is not cash collected. Treat anyone who blurs that line, including yourself, as the first failure mode this book warns about.
- 3. Models rank options; they don't remove the operator.** Evidence supports the choice and rarely makes it for you. Where judgment replaces certainty, the book says so. If guidance feels conditional, read the condition twice. That's usually where the real decision lives.
- 4. Know the limits.** This book is built from one operator's pattern: 14+ years, two exits, and \$350M+ in annual pipeline exposure inside an enterprise environment. It goes deep on systems and commercial math and is deliberately thin on creative craft, brand-building, and category creation. Those are real disciplines; they just aren't this book's subject. Know which kind of problem you're holding before you reach for these tools.

When a section leaves you with a question this book can't answer for your business, [steve@stevepeeleeii.com](mailto:steve@stevepeeleeii.com) is where the conversation continues.

# Introduction: SPIIX and the Ladder

*A business is a system. Treat it like one.*

## Why this book exists

I've spent more than fourteen years in marketing operations, growth, and commercial leadership in SaaS and startups. Most recently I've led marketing operations for Launch by NTT DATA (formerly Nexient), working inside environments with \$350M+ in annual pipeline exposure. I've managed budgets north of \$8M, been part of two exits, Dotloop to Zillow and Tixxy, and worked as a fractional CMO and advisor through SPIIX and Pan Labs.

That exposure taught me something the tactic catalogs never did: **the failure point is rarely the campaign. It's the system the campaign lands in.** Handoffs lose context. Definitions shift between teams. Dashboards report activity while the commercial outcome drifts. The campaign gets the blame, the next campaign gets the budget, and the system that ate both stays the same.

[STEVE TO ADD: one short, specific, approved and anonymized story, 150–250 words, from your own career, of a moment when a campaign “failed” and the real failure was in the system: a handoff, a definition, or a capacity limit. Use real numbers only if you can verify them and have permission to share. This is the most important proof point in the book; it tells the reader you've been in the room.]

When I started treating the business as a system, with signal in, decisions out, work through, and scale earned, the work got simpler and the results got repeatable.

*Repeatable* is the word that matters. Campaigns end. Tactics decay. Channels saturate. What repeats is the operating system underneath them: how you read signal, how you name the constraint, how you choose what to build, how you know it worked. This book teaches that system in order, with the tools to run each step.

## The same discipline, twice

I'm a musician, and I've never been able to separate the two disciplines. A band that only sounds good when the bandleader is counting it off isn't a band yet. It's a person with backup. Rehearsal comes before performance, every time. Tempo is a decision someone makes on purpose, not something that happens to you. And the parts that make a record great are usually the ones nobody notices: the bass and drums locking in, the handoff between verse and chorus landing clean.

Growth works the same way. The flashy part, the launch, the campaign, the solo, is the part everyone watches. The part that decides whether it holds is the rhythm section: definitions, handoffs, cadence. This book is mostly about the rhythm section.

[STEVE TO ADD: optional, 80–150 words. A specific moment from your music life, a session, a band, a gig, that taught you something you later used in operations. Keep it concrete.]

## Why “Growth Ladders”

Most teams run their funnel like a row of separate machines. Marketing feeds one end and sales works the other. Each side reports its own rate, hits its own target, and goes home. The dashboard is green everywhere except the one number that matters: the business didn't grow.

Busy teams climb all the time. They climb the activity chart, the lead count, the launch calendar. Most of those steps don't matter, because they don't rest on anything. A ladder is the opposite of a pile of activity. Each rung rests on the one below it, you climb in one order, and every step you take is one you can stand on. That's the promise in the subtitle: *what to climb so that every step matters*.

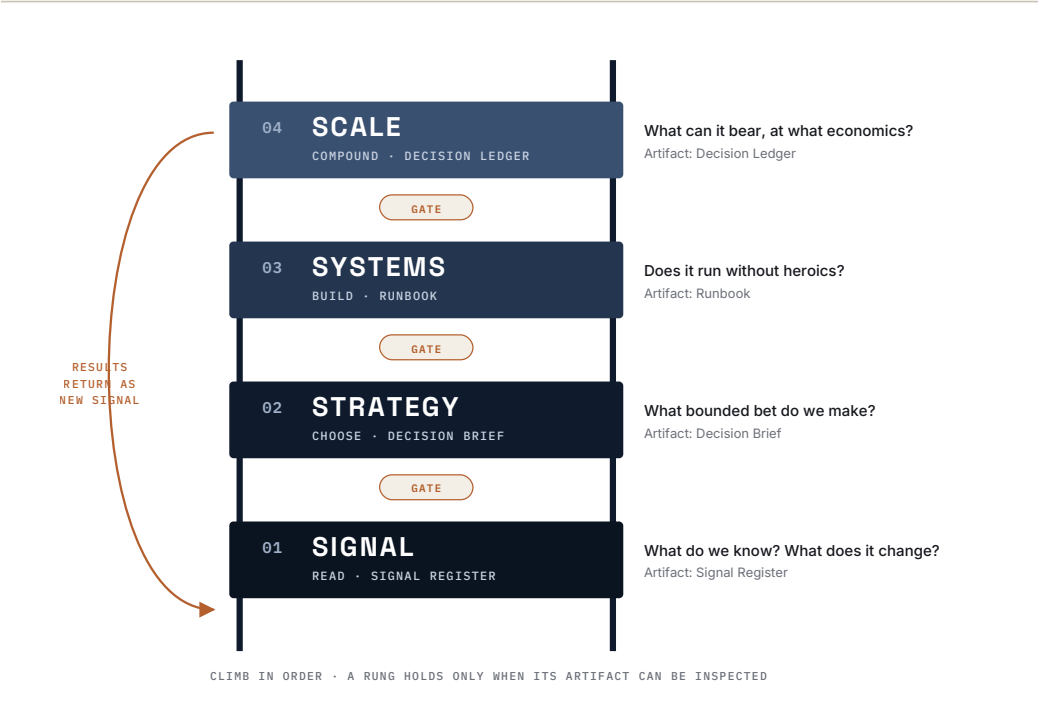


SPIIX is the operating system the ladders come from. It treats the business as one system, with no seams between departments, **one number** every function serves, and **one order** of work everyone follows. Internally I sometimes call that one-stone quality *the monolith*: a system that holds without whoever is heroic this quarter. The ladders are how you build it, one inspected rung at a time.

[STEVE TO ADD: confirm this framing of the title, or add the real origin of “Growth Ladders” in 2–4 sentences.]

# The Growth Ladder

At the center of SPIIX is a ladder with four rungs. The rungs are always climbed in the same order.



**FIG. 0.1 The SPIIX Growth Ladder.** Four rungs, one order, one return path. Each rung rests on the one below it, and you advance only when the rung’s artifact can be inspected by someone else.

**Signal: Read.** What do we actually know, and what decision does it change? The artifact is the **Signal Register**.

**Strategy: Choose.** What bounded intervention will we make against the constraint? The artifact is the **Decision Brief**.

**Systems: Build.** How does the work run without heroics? The artifact is the **Runbook**.

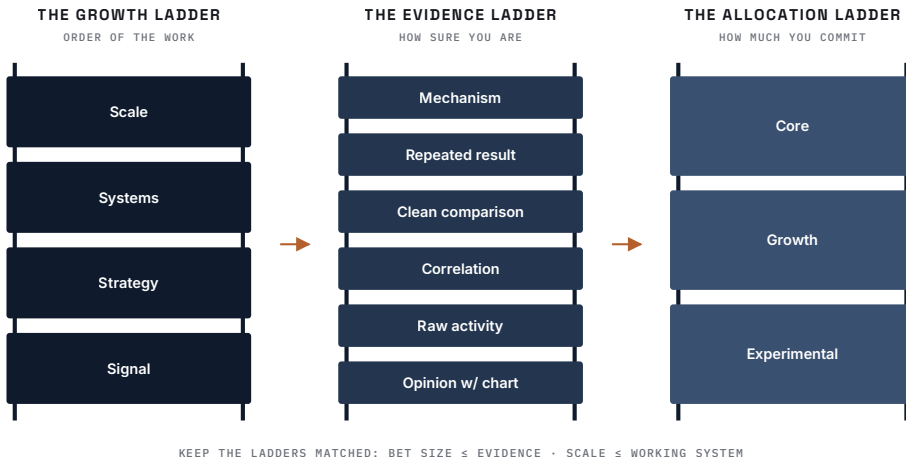
**Scale: Compound.** What can the system bear, and at what economics? The artifact is the **Decision Ledger**.

Three rules make it a ladder rather than a list:

1. **You climb in order.** Signal earns the right to choose. Strategy earns the right to build. Systems earn the right to scale. Every skipped rung moves the disagreement somewhere more expensive.
2. **A rung holds only when its artifact can be inspected.** The gate test never changes: an outsider must be able to inspect the artifact and reproduce the decision. If they can't, the rung isn't done.
3. **When a rung cracks, step down.** Results go back into Signal and get read again before any new choice. When performance changes, you don't start at the rung that hurts. You start at the lowest rung whose dependency is broken.

## Three ladders, one discipline

The Growth Ladder is the main frame. Two smaller ladders run alongside it, and you'll meet them in Parts II and III.



**FIG. 0.2 The three ladders.** The Growth Ladder sets the order of the work. The Evidence Ladder sets how sure you are. The Allocation Ladder sets how much you commit. Each rung on one ladder gives you permission for the matching rung on the next.

- **The Evidence Ladder** (Chapter 6) grades how much a claim can bear. It runs from opinion with a chart, up through activity counts and correlation, to a clean comparison, a repeated result, and an understood mechanism. Higher rungs permit bigger bets.
- **The Allocation Ladder** (Chapter 10) grades how much you commit: experimental, then growth, then core. Each step up is bounded, recorded, and reversible.

The discipline is to keep all three ladders matched. A bet sized above its evidence is gambling. Scale above a working system multiplies breakage. Strategy above an unread signal is opinion with a budget.

## The Growth Ladder Diagnostic

Before you read further, find out where you stand. Score each statement 0 (not true), 1 (partly true or not evidenced), or 2 (true, and you can show the evidence). Be strict. A “2” you can’t show is a “1.”

| #                       | Signal — the read                                                                             | Score                                                                   |
|-------------------------|-----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|
| 1                       | We can state our useful output, the number, in one sentence that every function would repeat. | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 2                       | For each metric on our main dashboard, we can name the last decision it changed.              | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 3                       | Marketing, sales, and finance report the same count for the same stage.                       | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 4                       | We compute win rate only on mature cohorts, never on open pipeline.                           | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 5                       | We have a written signal register with an owner and next-read date per entry.                 | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| Signal subtotal (of 10) |                                                                                               | ____ /10                                                                |

| #                         | Strategy — the choice                                                       | Score                                                                   |
|---------------------------|-----------------------------------------------------------------------------|-------------------------------------------------------------------------|
| 6                         | We can name the one constraint limiting useful output today, with evidence. | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 7                         | Our current priority is one bounded intervention, not a channel list.       | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 8                         | That intervention has one owner, one metric, and a written stop rule.       | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 9                         | We wrote the success criteria before the work started.                      | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 10                        | We can name what we explicitly decided not to do this quarter.              | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| Strategy subtotal (of 10) |                                                                             | ____ /10                                                                |

| #                        | Systems — the build                                                       | Score                                                                   |
|--------------------------|---------------------------------------------------------------------------|-------------------------------------------------------------------------|
| 11                       | Every stage in our chain has one named owner: a person, not a team.       | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 12                       | Every handoff has written acceptance criteria, a receiver, and a clock.   | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 13                       | Rejections use a closed list of reasons that travels back upstream.       | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 14                       | Our critical workflow has a runbook a second operator has run end to end. | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| 15                       | Nothing is automated that didn't first work by hand.                      | <input type="radio"/> 0 <input type="radio"/> 1 <input type="radio"/> 2 |
| Systems subtotal (of 10) |                                                                           | ____ /10                                                                |

| #                      | Scale — the compound                                                            | Score    |
|------------------------|---------------------------------------------------------------------------------|----------|
| 16                     | Output repeats without heroics, across operators and across weeks.              | 0 1 2    |
| 17                     | We know our cost per accepted opportunity and contribution pay-back by channel. | 0 1 2    |
| 18                     | We know where sales, delivery, and success capacity runs out.                   | 0 1 2    |
| 19                     | Critical metrics have guardrails with pre-written breach actions and owners.    | 0 1 2    |
| 20                     | Every scale step is recorded in a ledger with its reversal condition.           | 0 1 2    |
| Scale subtotal (of 10) |                                                                                 | ---- /10 |

**How to read your score.** Start at the **lowest rung scoring below 7**, even if a higher rung scores worse. A weak Scale score sitting on top of a weak Signal score is a Signal problem. Repairs made higher up are cosmetic.

| Starting rung                | Begin with                                                                                 |
|------------------------------|--------------------------------------------------------------------------------------------|
| Signal below 7               | Part I in full, then Chapter 6. Your first 30 days are about reading, not doing.           |
| Signal 7+, Strategy below 7  | Chapters 4 and 7. You have the facts and haven't made a choice.                            |
| Strategy 7+, Systems below 7 | Chapters 8 and 9. You've chosen, and the choice keeps leaking at the handoffs.             |
| Systems 7+, Scale below 7    | Chapter 10 and Part III. You've built something that works and you haven't priced it yet.  |
| All four 7+                  | Part V. Your job now is rhythm: keep re-reading, because the constraint has already moved. |

Write your four subtotals and today's date in the margin. You'll score yourself again at Day 90 (Chapter 15). The difference between the two scores is the only before-and-after this book will ask you to trust.

---

*Read the system. Name the constraint. Build what holds. Earn the scale.*

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PART I

# Diagnosis

*Read the system before you touch it.*

Most growth problems aren't marketing problems or sales problems. They're chain problems, and you read, measure, and fix a chain differently from a campaign. This part teaches you to see the chain, name the number it exists to produce, understand why it drifts out of alignment, and find the one place where it is actually limited. You won't change anything in Part I. That's deliberate. The cheapest mistake in growth is the one you catch before you touch anything.

# 01

## CHAPTER 01

# Growth Is a System, Not a Campaign

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*Every business has a commercial chain: a sequence of promises and handoffs that turns attention into revenue and revenue into something durable. Fix the chain, not the campaign.*

## A chain of promises, not a row of machines

Most teams run their funnel like a row of separate machines. Marketing feeds one end and sales works the other. Each side reports its own rate, hits its own target, and goes home. The dashboard is green everywhere except the one number that matters: the business did not grow.

The problem is not effort. It is architecture.

A funnel is not a collection of independent conversion rates. It is a set of **promises and handoffs**, and it helps to read them from the buyer's side of the table, because the buyer is the only one who experiences the whole chain:

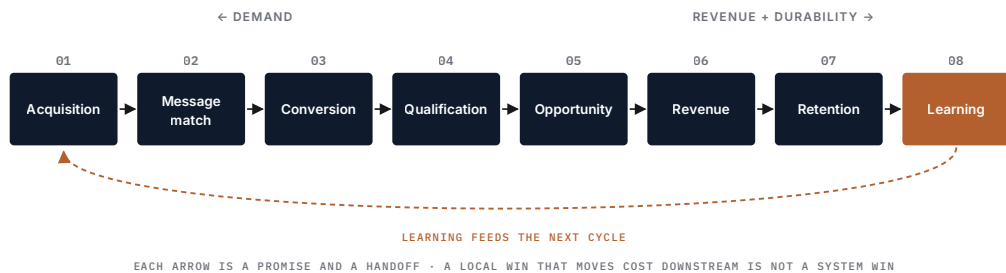
- The ad promises **relevance**: the right buyer, the right problem, the right moment.
- The page promises **an outcome worth the click**.
- The form promises **a next step**: a conversation with someone ready.
- Sales promises **responsiveness**, a commitment kept on time.
- Onboarding promises **the value that was sold**.
- The business promises **to learn**, getting better at all of this with every cycle.



Every handoff taxes the buyer's intent. Intent is not a stock you accumulate. It's a charge that decays: between the click and the page load, between the form submission and the first follow-up, in every quiet day between "we'd love to help" and an actual answer. A buyer who arrives with high intent and meets slow handoffs leaves with none. The system didn't fail at any one stage. It failed in the spaces between them.

## The eight stages

So the commercial chain has eight stages, and each one exists only in relation to the others: **Acquisition. Message match. Conversion. Qualification. Opportunity. Revenue. Retention. Learning.**



**FIG. 1.1 The commercial chain: eight stages, seven handoffs.** Each arrow is a handoff where a promise is made and buyer intent is taxed. When useful output stalls, look at the handoff before the weak stage, not only inside the stage itself.

Each stage asks one question:

| Stage                | The question it asks                           | What it promises the buyer | What breaks it                                                      | Who owns it        |
|----------------------|------------------------------------------------|----------------------------|---------------------------------------------------------------------|--------------------|
| <b>Acquisition</b>   | Are we reaching buyers who could actually buy? | Relevance                  | Wrong audience, wrong channel, economics that need a miracle        | Demand / marketing |
| <b>Message match</b> | Does the page agree with the ad?               | Continuity                 | Clickbait drift; one message for five segments                      | Marketing          |
| <b>Conversion</b>    | Is the next step obvious and cheap?            | An easy next step          | Long forms, vague calls to action, a "contact us" that goes nowhere | Marketing / web    |

| Stage                | The question it asks                              | What it promises the buyer           | What breaks it                                                         | Who owns it                |
|----------------------|---------------------------------------------------|--------------------------------------|------------------------------------------------------------------------|----------------------------|
| <b>Qualification</b> | Is this real demand, or just motion?              | Only real demand enters the pipeline | No criteria, or criteria that bend under quota pressure                | SDR / revenue ops          |
| <b>Opportunity</b>   | Is this pipeline we can actually win?             | A real buying process                | Stale deals kept alive for the forecast; discovery that never happened | Sales                      |
| <b>Revenue</b>       | Did value change hands, and will it be collected? | A clean commercial commitment        | Quarter-end discounting, unsigned scope, unchased invoices             | Sales / finance            |
| <b>Retention</b>     | Did the promise hold after the signature?         | The value that was sold              | Sales disappears; onboarding is a checklist; nobody owns week three    | Customer success / product |
| <b>Learning</b>      | Did we get better?                                | A smarter system every cycle         | Reports nobody acts on; the same mistake every quarter                 | Leadership / ops           |

Use the table as a diagnostic index. When a number moves, find its stage, read its promise, and check the handoff upstream before you touch anything downstream. The right-hand column is an ownership map: these are the people who should be in the room when that stage underperforms.

A stage's conversion rate is a verdict on the stage before it as much as on itself. When acceptance rates fall, marketing blames sales and sales blames marketing, and both can be holding accurate numbers. They are accurate numbers about the wrong unit of analysis.

#### OPERATOR NOTE

Learning is a stage, not a virtue. If no decision changed this quarter because of something the business learned, the stage is empty and the chain is running open-loop.

Fourteen years running demand and marketing operations has taught me one consistent lesson: **the system is legible only when you read it as a chain.** Read it as a set of independent rates and you'll spend your career fixing stages that were never broken.

## How stages fail

Stage failures rarely announce themselves. They show up looking like a later stage's problem. Each pattern below is a composite of recurring mistakes, not a case study. Read each row twice: once for the stage that failed, and once for the stage that paid.

| Stage         | The failure                                                                  | What the dashboard says          | What is actually happening                                                                              |
|---------------|------------------------------------------------------------------------------|----------------------------------|---------------------------------------------------------------------------------------------------------|
| Acquisition   | A paid campaign widens the audience to hit a lead target before quarter-end. | Lead volume up 60%.              | The new audience can't buy. Acceptance collapses; sales inherits the cost and the blame.                |
| Message match | An ad promises a result the page can't credibly deliver.                     | Click-through rate is excellent. | The page pays the debt: bounce rates spike, and the brand takes a small tax on trust every time.        |
| Conversion    | Six qualification fields are added to the form to "save sales time."         | Lead quality scores improve.     | Conversion halves. Good buyers who would have converted never enter the system.                         |
| Qualification | SDRs accept everything to hit an activity quota.                             | Pipeline coverage looks healthy. | The pipeline is fiction. Win rates fall and real opportunities drown in noise.                          |
| Revenue       | Quarter-end discounting closes deals that were never going to hold.          | Bookings beat plan.              | Margin and retention pay for it within two quarters. Booked revenue that never collects is not revenue. |
| Retention     | Onboarding is a checklist: log in, click through, good luck.                 | New-logo count is strong.        | Accounts go dark by day 30. Marketing keeps buying new logos to replace the ones leaking out.           |

### FAILURE MODE

The most expensive stage failure is the one that looks like success for a full quarter. By the time the cost surfaces downstream, the team that caused it has been rewarded and the team paying for it is defending itself.

## The campaign company and the system company

A campaign is a bounded event. A system keeps producing after the event is forgotten. One makes spikes; the other makes forecastable output.

| The campaign company                                    | The system company                                                                                 |
|---------------------------------------------------------|----------------------------------------------------------------------------------------------------|
| Pipeline arrives in waves; each quarter starts at zero. | Pipeline arrives at a known rate with known variance.                                              |
| Dips get answered with new initiatives.                 | Dips get answered by reading the system.                                                           |
| The leader owns the launch calendar.                    | The leader owns the architecture and funds the unglamorous middle as seriously as the visible top. |

When the number dips, the instinct is to launch something. It works briefly, then settles, because nothing in the system changed. The cost is the system work that never got done. Sometimes you do need a spike: a launch, a conference, a milestone. The mistake is taking a good campaign as evidence of a healthy system.

HYPOTHETICAL SCENARIO

Three quarters, same spike

A B2B software company runs a paid campaign every quarter. Leads spike, then settle, and revenue misses by the same margin each time. Read as a system, the problem is clear: the spike overwhelms routing, and first-response time balloons from 8 minutes to 6 hours. Intent decays while it waits. The fix was boring: routing capacity and a follow-up SLA. The next campaign didn't need to be bigger. The chain needed to be able to receive it.

**TAKEAWAYS**

- Growth is produced by a chain of promises and handoffs, not by stages acting alone.
- Buyer intent decays in the gaps between stages. Most failures happen on the bridges, not the nodes.
- A stage's rate is a verdict on the stage before it. Check the upstream handoff first.
- Learning is the eighth stage. If no decision changed, the chain is running open-loop.

**THIS WEEK**

Map your chain on one page using the eight stages, renamed for your business. Write one owner, by name, under each. Circle any stage where you hesitated, and look for the handoff that has broken around it.

**TOOLS**

T2 Commercial Chain Map · T45 System Check

# 02

## CHAPTER 02

# Define the Number

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*Before any discussion of activity, define useful output: the one thing the business can actually spend. Then work backward.*

## Local wins that cost the system

Every stage has a local optimum that is a global poison. Marketing buys more leads by widening the audience, and acceptance collapses downstream. Sales inflates the pipeline by accepting everything, and win rates collapse a quarter later. Support cuts ticket volume by making help hard to reach, and churn rises quietly six months out. Each is a win on somebody's report. Each moves the cost to the next stage instead of removing it.

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*A local win that moves the cost to the next stage is not a system win.*

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Measurement is never neutral. **Every metric is a set of instructions.** Tell a team “more leads” and you’ve told them to widen the definition of a lead. Tell SDRs “more accepted opportunities” and you’ve told them to lower the bar. The report improves and reality doesn’t. The teams aren’t cheating; they’re doing exactly what the instructions say. The instructions are wrong.

## The goal function

What's missing is a goal function. Before any discussion of activity, before volume, rates, or tactics, the system needs a definition of **useful output**: the thing the business can actually spend. I call it *the number*, because once it's defined, every other number in the business answers to it.

### WORKING DEFINITION

**Useful output.** The result the commercial chain exists to produce, the thing the business can spend, stated in one sentence every function agrees on. Everything else is either a means to it or motion.

**Activity** is countable motion: clicks, leads, meetings booked, pipeline created. It's cheap to produce and easy to report. Useful output is hard to produce and uncomfortable to report, because it refuses to flatter any single department. It belongs to the chain, not the stage. That's why activity replaces it the moment nobody is watching. Activity lets every department win on its own report while the system quietly loses.

## Useful output by business motion

| Business motion | Useful output                                       | The dangerous shortcut it invites  |
|-----------------|-----------------------------------------------------|------------------------------------|
| Sales-led       | Accepted opportunities that mature into won revenue | Counting every form fill as demand |
| Product-led     | Activated accounts that retain and expand           | Treating sign-ups as adoption      |
| Transactional   | Orders with sustainable contribution margin         | Discounting revenue upward         |

## The premise, in six moves

1. **The premise.** Useful output is the one thing the business can spend. Name it in one sentence every function agrees on. If it takes a paragraph, it's a negotiation, not a definition.
2. **Why it matters.** Without it, activity substitutes for progress. Useful output resists gaming: fake it at one stage and the damage surfaces at the next.

3. **The tension.** Useful output is shared, so by default nobody owns it. Managing to a number you only partly control is uncomfortable, and that discomfort is the mechanism.
4. **The misconception.** “More at the top fixes the bottom.” Volume doesn’t fix a broken chain; it multiplies the breakage. A chain converts at the rate of its weakest handoff.
5. **The operating reality.** Definitions are infrastructure. “Accepted opportunity” means written criteria, enforced the same way every time, and reviewed when they stop predicting wins.
6. **The decision implication.** Every decision comes down to one question: *does useful output go up, or does cost move downstream?*

## The four tests of a good number

A definition of useful output is ready when it passes four tests:

1. **Repeatable.** It fits in one sentence a new hire could repeat after hearing it once.
2. **Observable.** It can be counted in your systems today, not after a migration.
3. **Ungameable across stages.** No single team can improve it by pushing cost to another team.
4. **Owned.** A named person answers for it.

Three misuses to watch for: **the only number** (useful output becomes the sole metric and the guardrails disappear), **the flattering redefinition** (the definition quietly widens when the quarter is soft), and **the gamed definition** (one team finds the edge of the words and lives there).

### HYPOTHETICAL SCENARIO

#### One sentence ends an argument

Marketing counts form submissions; sales counts quota-worthy opportunities. Every pipeline review becomes a translation exercise. Then one sentence ends it: *useful output is accepted opportunities that reach discovery within five business days*. Reported volume halves overnight, and the new number predicts revenue. The business didn’t get worse that week. It finally got legible.



## More leads, less business

### HYPOTHETICAL SCENARIO

#### More leads, less business

A sales-led company generates 1,000 leads in a quarter. Twenty percent are accepted as opportunities, and twenty-five percent of those close: 200 accepted opportunities, 50 wins. The dashboard is fine. Nobody is celebrating, but the system is legible.

Marketing launches a broader message to “expand the top of the funnel.” Leads double to 2,000, a 100% increase, presented with pride. But the broader message reaches buyers the product was never built for. Acceptance falls to 8%. The new arithmetic: 160 accepted opportunities, 40 wins. **The lead dashboard is up 100%. Useful output is down 20%.**

Two explanations now compete for the narrative. Marketing’s version: sales capacity didn’t scale with volume, and acceptance criteria were applied too strictly. Sales’ version: the new leads were never real demand, and the acceptance drop proves it. Both can cite accurate numbers, and both can be sincerely believed. Neither answers the system question: *did the change raise useful output, or raise activity while moving cost downstream?*

What to check first. Did the acceptance criteria change, or only the mix? Hold the definition constant and the mix explains the fall. Did the extra 1,000 leads come from sources with any history of converting? Did follow-up speed hold? Doubled volume on fixed capacity means slower first touches, and intent decays while it waits. The decision that follows: if the broader message can’t clear the acceptance bar, narrow the message or fix qualification. Don’t pressure sales to accept more, which turns a marketing problem into a forecast problem.

[STEVE TO ADD: optional. The one-sentence definition of useful output you’ve used in a real operating role (anonymized if needed), and what changed in the room once it was agreed. Two to four sentences.]

### DECISION PROMPT

Write your useful output in one sentence. Then write the name of the person most likely to disagree with it, and schedule fifteen minutes with them this week.

**TAKEAWAYS**

- Every metric is a set of instructions. Choose them knowing they will be followed.
- Define useful output, *the number*, before discussing any activity.
- The number must be repeatable, observable, ungameable across stages, and owned.
- Volume through a broken chain multiplies the breakage.

**THIS WEEK**

Run the four tests on your current headline metric. If it fails any one of them, draft a replacement sentence and test it on one person from marketing, one from sales, and one from finance.

**TOOLS**

T3 Useful Output Definition · T2 Commercial Chain Map

# 03

## CHAPTER 03

# Why Systems Drift

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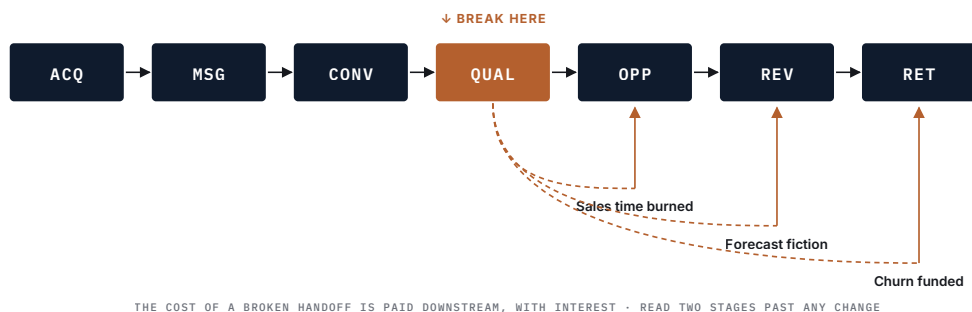
*Misalignment is not a character flaw. It's the default state of any commercial chain, and it starts at the handoffs nobody owns.*

## Everybody is following instructions

Every function optimizes what it's measured on. Marketing is measured on pipeline created, so it creates pipeline, whatever the quality. Sales is measured on bookings, so it books, whatever the margin. Nobody is misbehaving. Everybody is following instructions. The problem is that the instructions describe departments, not the system.

## Handoffs are where alignment dies

The handoffs are where alignment dies, because **handoffs are unowned**. Each one is a small negotiation between two teams with different scorecards, and nobody's bonus depends on the quality of the pass. So the pass gets sloppy. Leads arrive without context, opportunities without discovery notes, and customers without anyone having told success what was promised. The buyer feels each one as a small betrayal. The business sees them as "conversion problems."



**FIG. 3.1 What breaks downstream.** A local win at one stage becomes a cost at a later one. The cost of a broken handoff is paid downstream, with interest. Read two stages past the stage you changed.

Ask where today's reported win will land tomorrow, and who will pay for it. In Fig. 3.1, a break at qualification burns sales time at the opportunity stage, shows up as forecast fiction at revenue, and funds churn at retention. Each of those costs lands in a different meeting, owned by a different person, and none of them points back to where it started.

## Dashboards are where alignment goes to be buried

Then the dashboards arrive to describe the damage, and they bury the misalignment instead. A dashboard can be perfectly accurate and completely useless: stage rates to three decimal places, beautiful quarter-over-quarter charts, and not one changed decision. It was built to answer "how did each department do?" instead of "what limits useful output?"

Accuracy is not the test. Usefulness is. A **metric earns its place by changing a decision**. If a number has never once changed what anyone did, it's decoration, and decoration costs attention that should have gone to the constraint.

### DECISION PROMPT

Pull up your main growth dashboard. For each metric, write down the last decision it changed and when. Any metric with a blank answer is a candidate for removal.

## Coordination problems in disguise

Growth problems are coordination problems that look like performance problems. The marketer didn't fail; the handoff failed. The SDR didn't fail; the definition of an accepted opportunity failed. Fixing the people without fixing the coordination is how businesses end up with three reorganizations and the same numbers.

### HYPOTHETICAL SCENARIO

#### The queue between two teams

First-response time drifts from 10 minutes to 4 hours over a quarter. Marketing says routing is sales' job; sales says it's marketing's. Both are right that it isn't theirs, because it isn't anyone's. The fix takes one meeting: a named owner, the authority to change the routing rules, and one outcome, response under 15 minutes, reported weekly.

The rest of this book is about reading the chain, naming the constraint, and building the coordination that makes the chain hold.

### TAKEAWAYS

- Every function optimizes what it's measured on. Misalignment is the default, not a lapse.
- Handoffs are unowned by default, and unowned handoffs decay.
- Local wins land downstream as someone else's cost. Read two stages past any change.
- A dashboard can be accurate and useless. The test is whether it changes a decision.

### THIS WEEK

Pick the handoff with the most complaints. Write down who sends, who receives, what "done" means to the receiver, and how long the receiver has. If any of those four is blank, you've found this week's work.

### TOOLS

T9 Metric Retire-or-Keep Test · T21 Handoff Integrity Checklist

# 04

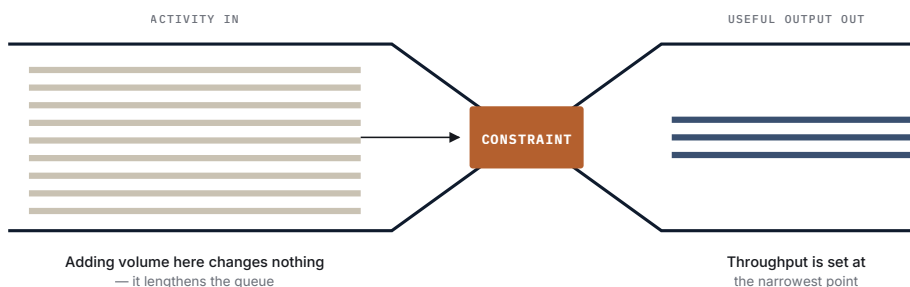
## CHAPTER 04

# Find the Constraint

*Every chain has one stage whose capacity sets its useful output. Find it with evidence, rank what comes next, and leave everything else alone for now.*

## The visible problem is rarely the whole problem

Every chain has a **constraint**: the one stage whose capacity sets the system's useful output. Improve any other stage and the system shrugs, because work flows faster into the bottleneck and waits. Improve the constraint and the whole chain moves. The constraint is almost never the stage that looks broken.



**FIG. 4.1 Constraint vs. symptom.** Throughput is set at the narrowest point. Adding volume anywhere else changes nothing except the length of the queue in front of the constraint.

What looks broken is usually a symptom. Low win rates look like a sales problem and are often a qualification problem. Slow pipeline looks like a demand problem and is often a follow-up problem. High churn looks like a product problem and is often a promise made three stages earlier. **Symptoms are loud and local. Constraints are quiet and systemic.**

Constraints move. Fix qualification and the constraint shifts to capacity; fix capacity and it shifts to message match. That isn't failure. It's the system working. Read the system, name the constraint, build what holds, and then read again.

#### WORKING DEFINITION

**Constraint.** The stage or input most limiting useful output today, named with evidence and agreed by the people who own the chain.

## The audit: a ranked explanation, not an inventory

You find the constraint with an **audit**. An audit is not an inventory of everything that could improve. It's a ranked explanation of what limits growth right now, plus the evidence that would change that ranking.

An audit produces one thing: **a ranked list of the constraints on useful output, each supported by observed data.** Not a deck. It's a diagnosis the commercial owners agree on: the limiting step, in their language, with the evidence attached. If it can't produce the sentence *"the limiting step is X, and here is why,"* it was theater.

## Ranking is the hard part

Every team can name five problems in a minute. The audit reduces those five to one ranked sequence: which constraint changes output most when lifted, and which only matters once the first one moves. Constraints are ordered, not listed.

The ranking also has to survive incentives. Marketing ranks volume first and sales ranks quality first. Follow the record instead. Sample accepted and rejected leads, measure response time, trace ownership, and let the data state the ranking in terms neither side can relabel.

## The evidence standard

For each constraint, name three things:

- **The baseline:** the number today, with source and date.
- **The evidence:** where you observed it.
- **The gaps:** what you don't know that could change the ranking.

The gaps are part of the deliverable. They become the strategy phase's first tests. A claim without a named evidence source is a rumor with formatting.

## How to run the audit

**Reconcile the data first.** Before you rank anything, make sure everyone is counting the same thing:

- Define the record you'll trace first: a lead, an opportunity, an account.
- Agree on field definitions across owners.
- Sample the rejections. They hold the constraint.
- Time every transition and measure elapsed time.
- Reconcile counts across systems first.
- Name any untraceable records, and why they can't be traced.

**Then interview the owners.** Seven questions, asked the same way every time:

1. What is the one number you're accountable for, and where does it come from?
2. Think of the last record that stalled. Where did it stop?
3. What's the most common rejection reason, and what does it actually mean?
4. Who owns the handoff to the next team, by name?
5. What's one thing you'd change about how work reaches you?
6. What evidence would change your mind?
7. What do we measure that changes no decision?

**Then rank, and get the owners to agree.** The output is a short page: useful output in one sentence, the baseline, Constraint #1 with its evidence, Constraint #2 (which limits once #1 moves), Constraint #3 held in reserve, the evidence gaps, and the names, not titles, of the owners who agree.



**FIELD TEST**

Pull the last twenty rejected leads or lost opportunities. Write the real reason for each in one line, then sort them. If one reason covers more than a third of the pile, you're probably looking at your constraint, or at the handoff right in front of it.

## Look for the constraint in the buyer's words

The audit's best evidence often isn't in the CRM. It's in what buyers say when they leave: lost-deal reasons, cancellation reasons, and the questions prospects ask twice because the first answer didn't land. Capture them in the buyer's words, not a rep's summary. "Price" on a closed-lost form is a category. "We couldn't get it through procurement before our budget reset" is a constraint.

[STEVE TO ADD: optional, approved and anonymized. An audit where the constraint turned out not to be where the team thought. What everyone believed, what the record showed, and what changed. 100–200 words.]

## The constraint map

Once the audit is ranked, compress it into one page you'll re-read every month: useful output in one sentence; the stage that limits it today; the evidence that it is the constraint (numbers, not opinion); what improves if the constraint moves 10%, and what you'll deliberately *not* improve; the next action, owner, and date.

**One constraint at a time.** Re-map when the numbers say it moved.

**FAILURE MODE**

Auditing everything and ranking nothing. Forty findings means forty priorities, which means none. The team debates priority while nothing moves.

**TAKEAWAYS**

- The constraint sets useful output. Improving anything else just grows the queue in front of it.
- Symptoms are loud and local; constraints are quiet and systemic.
- An audit is a ranked explanation with evidence and named gaps, not an inventory.
- Rank by the record, not by incentive. Sample the rejections.
- Constraints move. That's the system working, not failing.

**THIS WEEK**

Run the seven interview questions with one owner from each side of your weakest handoff. Write their answers down word for word. Compare the answers to question 2.

**TOOLS**

T4 Constraint Map · T5 Audit Guide · T6 Trusted Baseline Checklist

PART II

# The Framework

*The SPIIX Growth Ladder: four rungs, one order.*



Evidence supports the choice. The choice defines the workflow. The workflow earns the right to scale. This part teaches the Growth Ladder once, in full: what each rung is, the artifact it produces, the gate test it has to pass, and the most common way each one fails. Read it slowly. Everything in Parts III through V is either an instrument for one of these rungs or a way of keeping them climbed.

# 05

## CHAPTER 05

# Four Rungs, One Order

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*Read first. Choose small. Build what holds. Scale what earns it. The order isn't a preference. It's the cheapest sequence in which to be wrong.*

## What the rungs are, and what they are not

**The rungs are not departments.** Signal is not the data team, Strategy is not the executives, Systems is not operations, and Scale is not growth. Map the rungs to an org chart and the order dies: every department runs its own loop, out of sequence. That's the old chaos with new names.

**They are not phases either.** A phase ends; a rung holds. You never finish Signal. Results return to it, assumptions get re-read, and every choice starts from a fresh read. The rungs are four questions, each bounding the next:

1. **Signal:** What do we know, and what decision does it change?
2. **Strategy:** What bounded intervention do we choose?
3. **Systems:** How does it run without heroics?
4. **Scale:** What can it bear, and at what economics?

Ask them in that order, every time.

## The Ladder Table

Each rung has a primary job, an artifact, the question that ends it, and an exit test. When you climb the ladder for real, in the 90-day install, the work of each rung has a familiar name: *audit* is how you climb Signal, *strategy* is how you climb Strategy, *build* is how you climb Systems, and *allocation* is how you climb Scale.

| Rung         | The work                    | What changes                                                  | Artifact                       | The decision that ends it                     | Exit test                                                 |
|--------------|-----------------------------|---------------------------------------------------------------|--------------------------------|-----------------------------------------------|-----------------------------------------------------------|
| 1 • Signal   | Audit: read the system      | Opinion becomes a ranked constraint with named evidence       | Signal Register + ranked audit | Do we agree on the limiting step?             | Owners agree; gaps are named as the first tests           |
| 2 • Strategy | Choose: bound the bet       | The constraint becomes one hypothesis on one cohort           | Decision Brief                 | Is this the narrowest useful intervention?    | A second team could execute the brief as written          |
| 3 • Systems  | Build: install the workflow | The hypothesis becomes fields, routing, exceptions, ownership | Runbook                        | Does the buyer's handoff succeed, repeatedly? | A second operator runs it from the runbook alone          |
| 4 • Scale    | Allocate: commit in steps   | Proven workflows expand in bounded, reversible steps          | Decision Ledger                | Expand, hold, revise, or stop?                | The ledger records what changed and what would reverse it |

A rung that borrows the next rung's job, strategy that starts building or a build that starts scaling, breaks the sequence and raises the cost of being wrong.

## Why the order lowers the cost of being wrong

Order is a cost-control device. Every skipped rung moves the disagreement somewhere more expensive. A wrong read costs a week of looking. A wrong choice costs one bounded experiment. A failed build costs one workflow. Skip the order and the same mistake costs a migration, a reorg, or a quarter.

The gate test never changes: **an outsider must be able to inspect the artifact and reproduce the decision.** If they can't, the rung isn't done.

## Diagnose the lowest broken dependency

When performance changes, don't start at the rung that hurts. Start at the **lowest rung whose dependency is broken**. Repairs made higher up are cosmetic.

| Advancing to      | Depends on                                   | If it's missing                                              |
|-------------------|----------------------------------------------|--------------------------------------------------------------|
| Strategy (choose) | A reconciled cohort and an agreed constraint | Reconcile the definitions. Don't choose on contested ground. |

| Advancing to              | Depends on                                                      | If it's missing                 |
|---------------------------|-----------------------------------------------------------------|---------------------------------|
| <b>Systems</b><br>(build) | A bounded intervention with an owner, a metric, and a stop rule | Write the decision brief first. |
| <b>Scale</b> (compound)   | Repeatable output, stable economics, and capacity               | Hold volume and diagnose.       |

And Signal’s dependency is simply the honesty to read what’s actually there.



**FIG. 5.1** The rungs as a load-bearing stack. Read it bottom-up: Signal carries Strategy, Strategy carries Systems, Systems carry Scale. A crack in a lower rung shows up as a failure in the rung above it, which is why diagnosis always starts at the bottom.

## The failure map: the cost of skipping the order

**Skip Signal and you choose on noise.** The team buys the CRM because the loudest voice has a vendor relationship, and “reporting is bad” was never traced to a single record. The migration moves the disagreement. Six months later the reports are still unreliable, now in a more expensive tool, with a team that has learned to distrust every number a little more. *Cost: the price of the tool, plus the price of learning nothing.*

**Skip Strategy and you build without a bounded choice.** Fifteen workflows, five owners, no stop rule. The systems layer builds for every initiative. Each is fragile and none is ever judged, because nothing was bounded enough to be judged. The quarter ends with fifteen things in progress and a team that has quietly learned that new initiatives die on their own. *Cost: a museum of half-built processes, and operators who no longer believe in beginnings.*

**Skip Systems and you scale improvisation.** Volume goes behind a process that only works when the founder runs it. New hires inherit the improvisation and amplify it, each inventing their own version of the workflow. Economics decay, the team blames the channel, and the diagnosis budget gets spent discovering what a runbook would have shown for free. *Cost: the team scales the loss, then pays again to understand it.*

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*The teams that complain the loudest about the cost of the order are usually paying the cost of skipping it.*

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## What not to do

1. **Don't buy the tool to fix a definition problem.** A migration just moves the disagreement.
2. **Don't write strategy as a channel list.** That's a budget request, not a choice.
3. **Don't automate a process nobody has run by hand.** You only get the wrong output faster.
4. **Don't scale a unit that loses money politely.** Volume multiplies; it doesn't repair.
5. **Don't keep a metric that never changes a decision.** Retire it.
6. **Don't skip to the rung that feels like progress.** The order is the cheapest sequence in which to be wrong.

## One story, four rungs

The next five chapters follow one hypothetical team up the ladder, one rung per chapter: *the unreliable reports*. It's the most common story in commercial operations, and it shows the order paying for itself.

**TAKEAWAYS**

- The rungs are questions, not departments or phases.
- Each rung has one artifact and one gate test: can an outsider inspect it and reproduce the decision?
- Diagnose from the lowest broken dependency upward.
- Every skipped rung moves the disagreement somewhere more expensive.

**THIS WEEK**

Score the Rung Readiness Scorecard for your current top initiative. If any rung scores below 3 of 4, name the broken dependency, its owner, and the date you'll re-score.

**TOOLS**

T43 Rung Readiness Scorecard · T1 Growth Ladder Diagnostic



# 06

## CHAPTER 06

# Rung One, Signal: Evidence That Changes a Decision

---

*Read first. Signal is evidence that changes a decision. It isn't data, dashboards, or opinions with charts. If it can't change what you do next, it's noise, and noise is expensive.*

## What counts as signal

Signal has a strict definition. A report everyone reads and no one acts on is not signal. A dashboard with forty tiles is forty measurements auditioning for a decision, and most won't get the part. If removing a metric would change nothing you do, remove it.

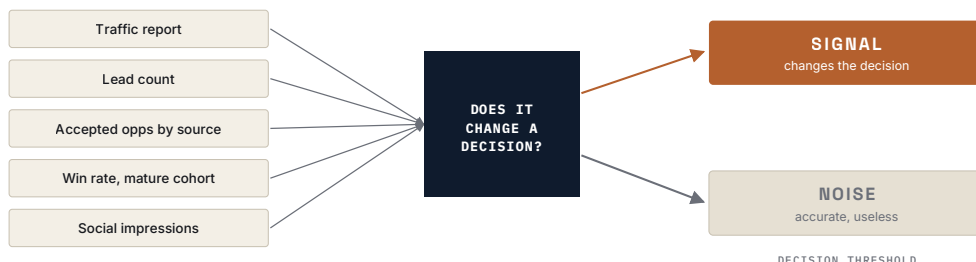
### WORKING DEFINITION

**Signal.** A reading that would change what you do next week. Everything else is noise.

Most companies don't suffer from too little data. They suffer from too many numbers that change nothing.

**Signal is read, not gathered.** Gathering is indiscriminate; reading takes judgment. Gathering ends with a warehouse of charts and the same arguments. Reading ends with a short list of claims, each attached to the decision it might change.

**Opinions are not signal**, even confident ones, even the founder's. **A trend is not an explanation**. A line going up tells you what happened, not why, and acting on a trend as if it were a cause is how teams scale accidents. **A hypothesis is not evidence**. It's where a read starts, not what it produces.



**FIG. 6.1 The decision filter.** Does it change a decision? Pass: signal. Fail: noise. A traffic report isn't wrong; it's insufficient when the decision is whether to fund accepted pipeline.

## The accurate dashboard nobody uses

A metric earns its place by changing a decision, not by being accurate. Accuracy is assumed. Being interesting doesn't count either. The question is always: *if this number moved, would we do anything differently?*

Most dashboards fail that test. They're accurate and useless at the same time: every number correct, none attached to a choice. They grow by accretion. Someone asks for a number once and it stays forever. **The leader's first job is subtraction:** keep the readings tied to a live decision and demote the rest. Vanity metrics, totals that only rise and rates with no denominator, are noise with good lighting.

## The twenty-percent test

For each metric, ask: *if this moved twenty percent next month, would we do anything differently, and what, specifically?* "What would we do" forces the metric to name its decision. A metric that can't is decoration.

## Every metric has a clock

Then check the clock. Clicks arrive immediately, qualified opportunities after a handoff, and won revenue after a full sales cycle. Comparing fresh test leads against a fully matured baseline manufactures a false loss. Counting early conversions while ignoring later churn manufactures a false win. Before you read any number, ask how long it takes to mature, and whether the cohort you're reading has had that long.

## Voice of the customer is signal, if you treat it like signal

Some of the strongest signal in a business never reaches the dashboard: why deals were lost, why customers cancelled, what prospects ask twice. It's qualitative, and that's fine. It earns a place in the register the same way a number does: a claim in one sentence, a source and date, and the decision it might change. "Three of the last five lost deals stalled at security review" is signal. "Buyers want more integrations" is a mood until someone attaches it to a record.

## The Signal Register

The register is the artifact for this rung. It's one living document, not a dashboard, where every entry carries the same fields:

1. **The claim**, in one sentence
2. **The evidence**, with source and date
3. **The decision** it's allowed to change, and who makes it
4. **The cohort and definitions** it rests on, reconciled across operators
5. **The clock**: how long until the reading matures
6. **Completeness**: what's missing, and whether the gap could skew the result
7. **The segment to split by** (source, buyer, size, or "none")
8. **The owner** who will re-read it, and **the next-read date**
9. **The last decision** it changed

An entry that can't fill every field is a rumor with a spreadsheet.

The register does two quiet jobs. It **forces reconciliation**: when two operators define “qualified” differently, the register shows the disagreement instead of letting both cite the same dashboard. And it **makes signal expire**, because evidence rots. Every entry carries a date and a next-read date. A **signal that hasn’t changed a decision in two quarters is demoted to the appendix**.

### Not all evidence weighs the same

In most meetings, a counted fact, a clean comparison, and an anecdote with a chart all get the same weight. They shouldn’t. Evidence sits on a ladder, the second of the book’s three.



**FIG. 6.2 The Evidence Ladder.** Bottom to top, each rung supports a larger bet. Write the rung on every readout. Most arguments happen on the bottom two rungs in the language of the top.

| Rung                     | What it is                             | What it can support             |
|--------------------------|----------------------------------------|---------------------------------|
| 1 · Opinion with a chart | A view, illustrated                    | No bet                          |
| 2 · Raw activity         | Accurate counts with no cohort         | Not useful output; context only |
| 3 · Correlation          | Two things moved together              | Suggestive; it explains nothing |
| 4 · Clean comparison     | One change isolated against a baseline | A bounded allocation            |
| 5 · Repeated result      | It held up twice                       | A larger allocation             |

| Rung                            | What it is                                 | What it can support |
|---------------------------------|--------------------------------------------|---------------------|
| 6 · <b>Understood mechanism</b> | You know why it works and where it repeats | Scale               |

## Confidence is a permission level

The ladder maps to three confidence levels, and each one grants a permission:

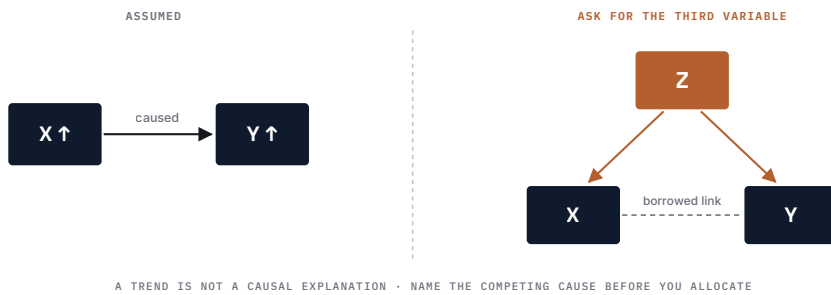
- **Low** (anecdote, raw activity, one comparison that hasn't been repeated) permits small, reversible bets and diagnostics. *Nothing scales on low.*
- **Medium** (a clean comparison, a maturing cohort, competing explanations checked) permits a bounded allocation with guardrails and a stop rule.
- **High** (a repeated result plus an understood mechanism) permits scale.

“Inconclusive” is a legitimate reading. It rules out going big and tells you what to measure next. Size the bet to the confidence, set the stop rule in advance, and write down what would change your mind.

## Trend is not cause

A trend is a description; a cause is a lever. Before declaring a cause, list the competing explanations: the market moved, the mix shifted, a large deal already in motion closed, seasonality, a tracking change. Most “wins” don't survive thirty seconds of this, which is why it's mandatory.

**Averages are the favorite hiding place.** An overall win rate can rise while every segment's falls, if the mix shifts toward the easier segment. Split by source and buyer before celebrating, but never slice so thin that you read noise as an effect.



**FIG. 6.3 The correlation trap.** X rose and Y rose, so X caused Y. Ask for the third variable: often Z drives both, and the X→Y link is borrowed. Name the competing cause before you allocate.

#### HYPOTHETICAL SCENARIO

### The deck that got the credit

A team ships a new pitch deck in March. Win rate rises from 21% to 27% in Q2, and the deck gets the credit, until someone splits the result by source. Outbound is flat. The whole lift is inbound, which surged after an April partner webinar. The deck may be fine, but it isn't the cause. An unexplained win is hard to repeat. A misattributed one gets repeated in the wrong place, at full budget.

## Questions before you trust a dashboard

- What decision does this dashboard change, and who makes it?
- What is each metric's definition, and who owns it?
- What is each metric's clock? Is the cohort mature?
- Are fresh test leads being measured against a matured baseline?
- What's missing, and does the gap correlate with the result?
- Which segment drives the average? Would splitting change the call?
- What competing explanations fit this movement?
- What else changed the week this number moved?
- Is this a trend we're riding, or a cause we can repeat?
- What number would change our minds, and was it written down before launch?
- Who benefits if this number looks good?
- When did we last remove a metric, and which one is next?

## Deciding with what you have

Evidence never arrives complete and on time. Three habits cover the gap: **diagnose before you debate**, **brief before you test**, and **never force certainty the data can't support**.

When a reading is ambiguous, don't debate it; diagnose it. Run the cheapest diagnostic that fits the symptom first.

| Symptom                                       | Diagnostic                                 | What it separates                     | Cost   |
|-----------------------------------------------|--------------------------------------------|---------------------------------------|--------|
| Lead volume up, accepted opportunities flat   | Acceptance audit by source and buyer       | Message effect vs. source-mix effect  | Low    |
| Conversion up, revenue flat                   | Stage-by-stage cohort trace                | Early win vs. later churn             | Low    |
| Win rate jumped in a single quarter           | Split by source, buyer, deal size          | Real gain vs. mix shift               | Low    |
| A test beat the control, but nobody trusts it | Pre-registered readout against a holdout   | Real effect vs. luck and peeking      | Medium |
| Two dashboards disagree                       | Reconcile definitions across owners        | Measurement error vs. real difference | Low    |
| Everything looks good; pipeline still stalls  | Downstream walk: acceptance to win to cash | Local win vs. whole-system gain       | Medium |
| A metric moved and no one knows why           | Change log: what shipped that week         | Cause vs. coincidence                 | Low    |

**Run the diagnostic before the debate.** Diagnosing is cheaper than arguing, and it's the only way an ambiguous reading gets better.

**When evidence is incomplete, walk the tree.** Don't skip a step to reach the answer you wanted.

1. **Is it reversible and cheap to undo?** If yes, run the small test, and file the brief first. If no, continue.
2. **Can the missing reading arrive inside the decision window?** If yes, wait for it. Monitor the guardrails and don't re-debate weekly. If no, continue.
3. **What does it cost to be wrong?** If it's bounded, make the bounded allocation and file the brief so the result teaches you something. If it's unbounded, don't decide. Repair the measurement, or shrink the bet.

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*Don't force certainty from incomplete data. Record the bet. Set the stop rule. Let the next reading change your mind.*

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## The exit test for Signal

The Signal rung is ready when an outsider can inspect the register and reproduce the read. If they reach a different conclusion, either the evidence is thinner than you thought or the definitions are contested. Either way, it's cheaper to find that out here than downstream.

- ☐ The claim, in one sentence
- ☐ The evidence, with source and date
- ☐ The decision it's allowed to change
- ☐ The cohort and definitions, reconciled across operators
- ☐ An owner and a next-read date

### HYPOTHETICAL SCENARIO

#### The unreliable reports, part one: read before you buy

A twelve-person B2B team decides its reporting is unreliable and starts evaluating new CRMs: the pipeline report never matches what sales says is real. Three vendors demo, and the team is ready to choose.

Then someone does the unglamorous thing. They trace ten real opportunities from first touch to current stage, asking what every field means. Marketing calls a lead “qualified” when it matches the ideal profile; sales calls it qualified when the prospect agrees to a meeting. Nobody defined what moves a deal between stages, so every rep improvises, and the report faithfully summarizes twelve different definitions. A migration would just move the disagreement into a more expensive tool. So the team stops the evaluation and starts at Signal instead: one register, one reconciled cohort, and three contested definitions to resolve first.



**FAILURE MODE**

Reading after choosing. The team picks the CRM, then collects evidence for the pick. The register becomes a justification file: every finding agrees with the plan, and every contrary record is an “edge case.” The symptom: the read never once threatened the decision.

[STEVE TO ADD: optional. A metric you retired in a real role, why, and what (if anything) anyone missed. Two to four sentences.]

**TAKEAWAYS**

- Signal is evidence that changes a decision. Accuracy is assumed; usefulness is the test.
- The leader’s first job is subtraction. Use the twenty-percent test.
- Every metric has a clock. Don’t compare immature cohorts with mature ones.
- Grade every claim on the Evidence Ladder and size the bet to the confidence.
- Diagnose before you debate. Trend is not cause, and averages hide shape.

**THIS WEEK**

Run the twenty-percent test on every metric on your main dashboard, out loud, with the dashboard’s owner. Nominate three for retirement. Start a Signal Register with the five that survived.

**TOOLS**

T7 Signal Register · T8 Questions Before You Trust a Dashboard · T9 Metric Retire-or-Keep Test · T10 Evidence Quality Checklist

# 07

## CHAPTER 07

# Rung Two, Strategy: The Narrowest Useful Intervention

---

*Choose, and bound the choice. Strategy is one intervention with an owner, a metric, and a stop rule. It isn't a channel list, a theme, or a deck.*

## A choice with edges

Strategy is a choice with edges. Not a direction or a theme, but an intervention, bounded in scope, in time, and in what it excludes:

*“We will do X, for this cohort, for this long, judged by this metric, and we will not do Y or Z while we do it.”*

**The exclusions are the strategy.** Anyone can list what they'll do; the choice is in what they refuse.

That's why strategy earns the right to build. A bounded choice tells the systems layer exactly what to build, and what not to build. An unbounded choice tells it to build everything, which is how you get fifteen fragile workflows instead of one that holds. Choosing feels like shrinking, and leaders keep options open to avoid being wrong in public. Every unmade choice is a tax on the layer below, paid in improvisation.

## Intervention, not plan

A strategy is not a plan for everything you'll do. It's **the narrowest intervention that could move the limiting step**, with dependencies and decision criteria made explicit. Narrow matters. A wide intervention that fails teaches nothing, because too many variables moved. A narrow one that fails is a cheap lesson. This is where you set the size of the bet small enough that being wrong is affordable.

## Why narrow is hard

Every leader feels the pull to fix the whole system at once. The audit found three constraints; the team wants to fix all three; the board wants a plan that matches the ambition. Narrow feels insufficient. In fact it's the only way to know whether anything worked.

## When strategy is a channel list

The most common counterfeit strategy is a list of channels with a timeline: SEO, paid, events, ABM, partnerships. Each is defensible on its own; together they're a confession that no choice was made. A channel list spreads effort until nothing gets enough of it to be judged. That's convenient, because judgment was the thing being avoided.

Real strategy names the constraint it accepts (one cohort, one motion, one quarter) and lets the constraint do the choosing. When everything is a priority, the systems layer gets fifteen build requests, the operators improvise, and the quarter ends with fifteen things "in progress." In progress is where unchosen strategy goes to be forgotten.

### FAILURE MODE

The channel list. Fifteen initiatives, no constraint, no stop rule, five owners. The symptom: every initiative is "in progress" and none can be judged. The cost: the systems layer builds fifteen fragile workflows instead of one that holds, and operators learn that new initiatives die quietly, so they stop investing in any of them.

## Context comes before prescription

Advice without context is a rumor. Before any recommendation, the context has to be on the table: the constraint, and what's true *now*, here, in this business.

The temptation is the borrowed playbook. *It worked at my last company. The agency recommends it. The board advisor swears by it.* So a new channel gets prescribed and the context never arrives.

The counterargument is fair: patterns do repeat, and experienced operators recognize them. Hold that experience as a hypothesis until the context confirms or kills it.

| The prescription company                               | The context company                                               |
|--------------------------------------------------------|-------------------------------------------------------------------|
| Recommendations arrive certain and unconditional.      | Every recommendation starts with the constraint and the evidence. |
| When results disappoint, the diagnosis is "execution." | Context is treated as the most important input.                   |

The leader’s job is to slow down the confident recommendation, reward the person who asks “*what’s different here?*”, and refuse to fund tactics that arrive without their conditions attached. The **Context Card** (T11) makes that refusal routine. Before any material recommendation, the recommender writes three lines: the constraint this addresses, the evidence it rests on (labeled hypothesis or evidence), and the conditions under which it stops being true. *No card, no funding.* Otherwise it’s a rumor with a budget.

**HYPOTHETICAL SCENARIO**

**The advisor’s playbook**

A board advisor prescribes an account-based program. Two quarters later, engagement looks good and pipeline hasn’t moved. The context read: the advisor sold six-figure contracts on eighteen-month cycles, and this company sells a \$12K product on a 45-day cycle. Redirected to follow-up speed, the same budget moved pipeline within a quarter.

Dependencies and decision criteria, made explicit

Name what must be true before the intervention can work, each **dependency** with an owner and a date. Then name what will count as working: the **primary metric**, the **guardrails**, the **stop rule**, and the **review window**. Write them before the test runs, because criteria written afterward are rationalization. Agree on the review window while everyone is calm, before anyone has invested ego in the outcome.

Then state the strategy as a hypothesis:

*“We believe X will move Y by Z, and we will know by this date.”*

One hypothesis. One cohort. One owner. One metric.

## The stop rule is the part teams skip

A choice you can't exit isn't a choice. It's a commitment in disguise. The stop rule makes strategy reversible, and reversibility makes choosing cheap enough to do honestly. Write the kill conditions when enthusiasm is highest. That's when you think most clearly about failure, because nobody argues for restraint while winning.

## The Decision Brief

The brief is the artifact for this rung: one page. There is one version of it, and this is it.

- |                                                                                           |                                                                                 |
|-------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| 1. <b>Decision:</b> in one sentence, with the owner (one name) and the date it's required | 8. <b>Dependencies:</b> what must be true first, with owner and date            |
| 2. <b>Constraint:</b> from the audit ranking                                              | 9. <b>Primary metric:</b> the one deciding number                               |
| 3. <b>Context:</b> three bullets at most                                                  | 10. <b>Guardrails:</b> what must not get worse                                  |
| 4. <b>Hypothesis:</b> <i>we believe ___ will move ___ by, because (mechanism)</i>         | 11. <b>Stop rule:</b> what ends it early (a date, a threshold, or a condition)  |
| 5. <b>Cohort:</b> in one sentence; one that can fail small but still means something      | 12. <b>Exclusions:</b> what we will <i>not</i> touch while this runs            |
| 6. <b>Options:</b> A / B / C / do nothing, with the cost and reversibility of each        | 13. <b>Review window:</b> interim and final read dates, already on the calendar |
| 7. <b>Knowns vs. assumptions:</b> labeled                                                 | 14. <b>What would change our minds:</b> written now                             |

**Building requires a bounded intervention, an owner, a metric, and a stop rule.** If any one is missing, write the brief first. Building without it isn't speed; it's unpriced risk. **One decision per brief.** Two recommendations means two briefs. If it runs longer than a page, it hasn't been thought through.

## A brief, filled in before launch

HYPOTHETICAL SCENARIO

### The sharper-message test

A team tests a sharper message on one campaign. Baseline: 400 leads, 80 accepted (20%). Test month: 320 leads, 96 accepted (30%). Accepted opportunities rise 20% while volume falls 20%. Marketing calls it a failure; sales calls it a win. Both are reading too early. The test cohort is weeks old and the baseline is fully matured, so the data can't support a verdict yet. Acceptance is also an early stage. If the message filters out poor-fit leads, win rate should hold. If it only filters slow leads or shifts the source mix, the “win” evaporates one stage later.

| Brief field                 | Entry (recorded before launch)                                                                |
|-----------------------------|-----------------------------------------------------------------------------------------------|
| Decision                    | Expand the sharper message to all campaigns, or hold it at test scale?                        |
| Hypothesis                  | The sharper message filters poor-fit leads earlier: acceptance rises and win rate holds.      |
| Expected behavior           | Acceptance at or above 25%; accepted-opportunity volume beats baseline by at least 10%.       |
| Primary downstream reading  | Opportunity-to-win rate at 90 days; cost per won deal.                                        |
| Guardrails                  | Pipeline coverage at or above 3× target; first response under 5 minutes.                      |
| Stop rule                   | Acceptance below 22% two weeks running: revert to the old message and diagnose.               |
| What would change our minds | Win rate per accepted opportunity drops, or cost per accepted opportunity rises, at maturity. |
| Read window                 | Interim readout at 60 days; decision at 90 days.                                              |

**The day-60 readout.** Acceptance is 28%, above the 25% bar and held for six weeks. Volume recovered to 360 through a second channel. The downstream reading isn't ready: the median cycle is 74 days, so the cohort is still maturing. Source mix was checked and response time is inside the guardrail. *Confidence: medium. Clean comparison, immature cohort.* **Decision:** hold at test scale and re-read at 90 days.

**The day-90 readout.** Acceptance is 29%. Opportunity-to-win is 18% against a 19% baseline, which is normal variation. Cost per accepted opportunity is down 12%. Source mix, response time, and seasonality were checked. *Confidence: medium.* **Decision:** expand to 70% of spend and hold 30% as a control. **What would change it:** win rate below 16% on the next cohort.

The brief is a commitment device. It stops the team from moving the goalposts after the numbers arrive. Even a fade would have taught something, that acceptance moves on message alone, so file what the test ruled out either way.

## The unreliable reports, part two

### HYPOTHETICAL SCENARIO

#### The unreliable reports, part two: the bounded choice

With the CRM evaluation paused, the team writes a decision brief instead of a vendor shortlist. **Intervention:** reconcile the three contested definitions and run one shared qualification workflow for thirty days. **Excluded:** any tool decision, any migration work, any new reporting build. **Owner:** the head of sales. **Metric:** the share of opportunities that two independent operators classify the same way, with a target of nine in ten. **Stop rule:** if the definitions aren't agreed in thirty days, the tool decision stays off the table and the team re-reads rather than re-shops.

The brief makes the choice small enough to be wrong about cheaply. If the intervention fails, the team loses thirty days and learns exactly which definition wouldn't hold. If they had chosen the CRM first, they'd have lost six months and learned nothing.

## The exit test for Strategy

- ☐ The intervention, in one sentence
- ☐ The exclusions, named explicitly
- ☐ One owner, one metric, one stop rule
- ☐ The date of the next read, on the calendar now
- ☐ A second team could execute the brief as written

**TAKEAWAYS**

- Strategy is a bounded intervention. The exclusions are the strategy.
- Narrow is the only size of bet that teaches you anything when it fails.
- Context comes before prescription: no Context Card, no funding.
- Write the criteria, guardrails, and stop rule before the test, while everyone is calm.
- One decision per brief, one page, one owner.

**THIS WEEK**

Take your current top initiative and write its Decision Brief, all fourteen fields. Then write its exclusions list, and tell one team, in writing, what they no longer have to do.

**TOOLS**

T11 Context Card · T12 Strategy Prioritization Matrix · T13 Hypothesis Builder · T14 Decision Brief · T15 Guardrail Builder · T16 Stop Rule Builder · T17 Test Design Worksheet



# 08

## CHAPTER 08

# Rung Three, Systems (I): Definitions and Handoffs

---

*Two teams can report the same label and mean different events. Until every important measure has a contract and every handoff has an acceptance test, your reports are parallel monologues, not coordination.*

## A system is a workflow that holds

A system is a workflow that holds. It produces the same result when the author is on vacation, when the new hire runs it, on an ordinary Tuesday. This chapter and the next are the Systems rung. This one covers the two things a system is made of: **definitions** (what the words mean) and **handoffs** (where the work changes hands). The next covers the runbook that ties them together and the automation that can follow.

## Two teams, one label, different events

Marketing reports 500 leads. Sales reports 420 reviewed. Both are correct: a lead counted at capture and a lead counted at review are two different things sharing one word. The leader's job is not to choose a number. It's to force the contract, then let the number be whatever the contract says.

## The metric contract

Every important measure needs six elements:

- **Start event:** what began the measurement.

- **End event:** what completed it.
- **Denominator:** what you divide by, and why.
- **Window:** the time period it covers.
- **Owner:** one name, not a function.
- **Exclusion rule:** what gets left out, and why.

**Version every change.** Never compare a new series with the old one without reconciling them first. The difference you're celebrating may be a definition change, not a performance change.

#### WORKING DEFINITION

**Definition.** A written contract for a measure or stage: start event, end event, denominator, window, owner, exclusion rule, version. If any of these is missing, it's a suggestion.

## A stage is a claim, not a label

A CRM stage is not a bucket. It's a claim that something happened and ownership changed. Write each stage as an **entry event**, its **exit events** (including rejection and timeout), a **single owner**, a **maximum age** before escalation, and a **handoff rule**.

A stage with no exit event is a parking lot. A stage with no owner is a rumor. When two reports disagree, reconcile the gap first. It usually holds the diagnosis.

#### HYPOTHETICAL SCENARIO

### Reconcile the 80-record gap

Marketing reports 500 leads generated; sales reports 420 reviewed. Reconcile the 80 first: 25 duplicates counted twice, 30 lost to a routing rule that failed silently, 15 unreviewed past the window, and 10 that fell across the month boundary. That's four system failures hiding behind one number. Fix the routing rule and the dedupe step.

Then label the number. 100 accepted out of 420 reviewed is 23.81%, which measures sales' judgment. 100 out of 500 is 20.00%, which measures the funnel's yield. Moving from 20% to 30% is ten points and a 50% relative lift. Both are true, and neither means anything until you inspect the cohort.

## Definitions are operating agreements

A definition that lives in one team's head is a private belief. A definition that two teams have signed is an **operating agreement**. The most important one in most businesses is the agreement at the marketing-to-sales boundary, the **Lead Acceptance Agreement**:

1. **Parties:** the sending owner and the receiving owner, by name.
2. **Definition of “lead”:** the full metric contract, pasted in, with no adjectives.
3. **Acceptance criteria:** what must be true for the record to be accepted.
4. **Required payload fields:** what travels with every record.
5. **Response SLA:** the first substantive response, in hours, measured from a named event.
6. **Rejection reasons:** allowed values only, from the taxonomy.
7. **Disposition of rejected records:** returned to whom, with what information.
8. **Review cadence:** the date of the next re-read.
9. **Signatures and date.**

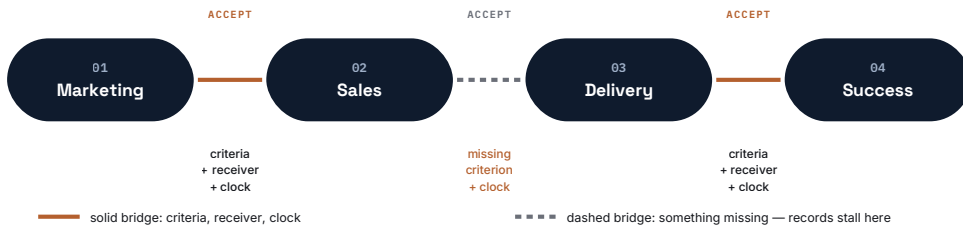
An agreement no individual will sign is a wish, not an agreement. Re-sign it quarterly. Revisit the definition of “qualified” before blaming volume or follow-up.

### OPERATOR NOTE

Getting the agreement signed is a political act, not a clerical one. Chapter 16 covers how to get two leaders with different scorecards to put their names on the same page.

## The handoff is the system

Work spends most of its life waiting: between stages, between owners, between decisions. Design the bridges, not just the nodes.

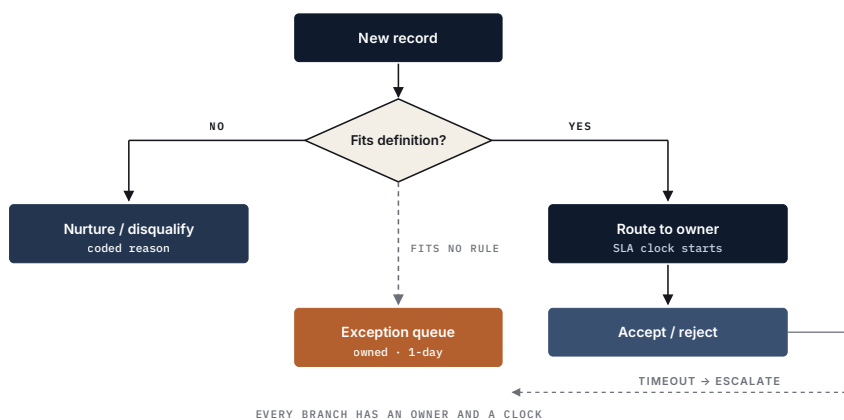


**FIG. 8.1 The handoff integrity map.** Nodes are stages, where work sits and someone owns it. Bridges are handoffs, the moments ownership transfers. Every bridge carries an acceptance test. A solid bridge has written criteria, a named receiver, and a clock. A dashed bridge is missing at least one of those, and that's where records stall, duplicate, or fall through. Count the dashed bridges first. That count is your system's real reliability score.

A handoff has four parts: **payload, acceptance criteria, owner, clock**. Remove any one and it becomes a hope. No criteria, no SLA, no owner: then there's no handoff, only a throw.

## Routing: write the default route first

Routing selects the bridge. Keep it to three branches: **accept and route, reject with a taxonomy reason, or escalate on timeout or failure**. Every branch names a person and starts a clock.



**FIG. 8.2 Routing and escalation logic.** A new record either fits the definition or it doesn't. If it fits, it routes to an owner and the SLA clock starts. If it doesn't, it's dispositioned with a reason. Anything that fits no rule goes to an owned exception queue. Every branch has an owner and a clock.

Write the default route first, because it carries most of the load. Every route needs an owner, a backup, and a named escalation path. Every signal gets exactly one route; a signal with two routes effectively has none. Escalation is a designed path, not a louder complaint.

## The exception playbook

Exceptions show you where the design is wrong. Handle them by rule, not heroics:

- **Rule 1: No unowned queues.** An exception no one owns is already lost.
- **Rule 2: Disposition within one working day.** Fix, reroute, return with a reason, or retire.
- **Rule 3: Three times is a design defect, not bad luck.** Fix the rule or the definition.
- **Rule 4: Instrument automated routes.** Silent drops must surface.

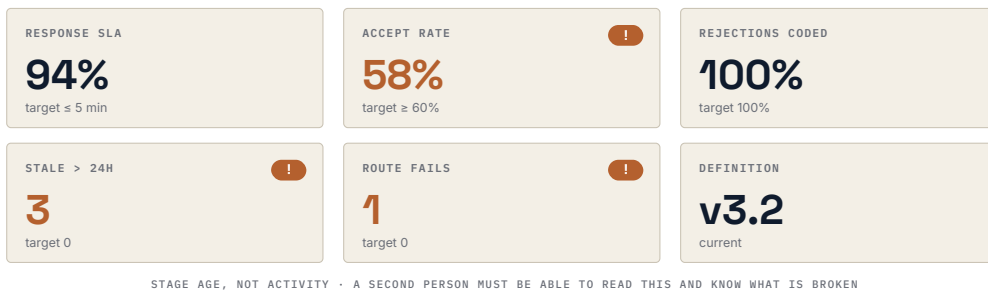
## Rejection reasons are signal, not blame

Each rejection is a diagnosis of the upstream contract. Use one closed taxonomy per handoff:

| Reason                  | Meaning                | Owner           | Action                      |
|-------------------------|------------------------|-----------------|-----------------------------|
| Duplicate               | Already in the system  | Sending team    | Merge; fix the dedupe rule  |
| No valid contact path   | Phone or email invalid | Data owner      | Suppress; fix at capture    |
| Outside scope           | Outside the charter    | Sending team    | Reassign or retire          |
| Not a fit               | Fails stated criteria  | Receiving owner | Return with a note          |
| Incomplete record       | Payload fields missing | Sending team    | Return to sender within SLA |
| Date or timing mismatch | Outside the window     | Record owner    | Recycle or retire           |
| Routing failure         | Wrong owner or queue   | System owner    | Reroute; fix the rule       |
| Source quality          | One bad source         | Sending team    | Review the source           |

Allowed values only. Free-text reasons can't be acted on. Two guardrails apply. First, **never score rejection rate without controlling for source mix**; punishing the rejection punishes the diagnosis. Second, **every rejection returns upstream with its reason**. A rejection that travels back is a feedback loop. One that vanishes into a report is blame.

## Measure stage age, not activity



**FIG. 8.3 A handoff health panel.** Response SLA, acceptance rate, coded rejections, records stale past 24 hours, routing failures, and the current definition version. A second person must be able to read it and know what's broken.

Measure elapsed time from the event that starts the clock to the event that ends it, not from when someone opened the record. A dashboard that shows activity counts instead of stage age is a theater report: motion, not progress.

**TAKEAWAYS**

- Every important measure needs a contract: start, end, denominator, window, owner, exclusions, version.
- A stage is a claim that something happened and ownership changed. No exit event: a parking lot.
- A handoff has four parts: payload, acceptance criteria, owner, clock.
- Exceptions and rejections are design feedback. Close the loop upstream.
- Measure stage age, not activity.

**THIS WEEK**

Reconcile one disagreement between two teams' counts of the same stage. Write down every record in the gap and the reason it's there. Count how many of the reasons are system failures rather than people failures.

**TOOLS**

T19 Metric Contract & Stage Definition · T20 Lead Acceptance Agreement · T21 Handoff Integrity Checklist · T22 Routing, Escalation & Rejection Map

# 09

## CHAPTER 09

# Rung Three, Systems (II): Runbooks, Reliability, and Automation

---

*Build what holds. The artifact is the runbook, and it's finished when a second operator can run it without asking the author. Automation follows a working process. It never comes first.*

## The runbook is the artifact

The runbook is the proof that a system exists. It covers the trigger, the inputs, the steps, the decision points, the handoffs (with a who and a by-when for each), the outputs, what to do when it breaks, the metric it feeds, and the review date. **If it isn't written, it isn't a system. It's a habit with a job title.**

## Ownership is infrastructure

Every runbook has one owner and a named second who has actually run it. Not “the team owns it”: the team is everyone, and therefore no one. When the owner leaves and the workflow survives, you built a system. When the workflow leaves with them, you had a person.

Handoffs are where systems break, not steps. The steps are usually fine. It's the space between people that fails silently: who picks this up, by when, and what “done” looks like to the next person. Write the handoffs first, with names and times.



## The unglamorous work

Build is where strategies become real, and it's unglamorous by design. It's field definitions, routing rules, rejection reasons a human can select without thinking, an exception queue with a named owner, quality checks that run whether or not anyone feels like it, and recovery paths for when the workflow breaks. It will break, and the breakage is the test of the build. **The happy path is the easy fifth of the work. The system lives or dies on the other four-fifths.**

## Specification before configuration

Configure nothing until the specification is written: every field the workflow touches, who may change it, what values are valid, what happens on invalid input, who gets routed what and when, and the fallback when routing fails. Write it in plain language the operators can read. If they can't, it's documentation for the builder, not a contract for the system.

| Element        | What it names                             | Done when                                                 |
|----------------|-------------------------------------------|-----------------------------------------------------------|
| Fields         | Fields, valid values, change rights       | Every field can only be read one way                      |
| Routing        | Who gets what, when; the fallback         | No record waits unowned                                   |
| Exceptions     | Malformed, missing, failed records        | A named owner and a review cadence                        |
| Rejections     | A closed list, never free-text only       | Rejections are measurable and the system learns from them |
| Quality checks | Checks that run regardless of workload    | Problems are caught before they reach the buyer           |
| Recovery       | Who is notified; what is preserved        | Failures can be diagnosed from the runbook                |
| Measurement    | The metric it feeds and how it's computed | It changes a decision, or it's cut                        |

The build isn't finished when the integration test passes. It's finished when **the buyer of the handoff** (the person receiving the work) accepts it and can do their job with what arrives, without follow-up questions.

## The second-operator test

This is the exit test for the Systems rung. A **second operator runs the workflow end to end while the author watches and says nothing**. Anything they have to ask about is a gap in the runbook, and gaps are where improvisation breeds.

A band that can only play the song when the songwriter is in the room hasn't learned the song. The chart is the runbook, and the test is whether someone else can play from it.

When results wobble, don't audit the people. Hand the runbook to the second operator and watch. Where they hesitate, the system is broken, not the operator.

A workflow is **operable** when a competent stranger can run it without calling the builder. They must be able to:

- ☐ Find the current definition and its version, in one place, without asking anyone.
- ☐ Trace any record's full path: every stage, and every owner who held it.
- ☐ Name the current owner of any record, right now.
- ☐ State what "done" looks like at the next handoff (the acceptance criterion).
- ☐ Trigger the recovery path for the three most common exceptions.
- ☐ Know which clock is running on the record, and when it expires.

If any of these requires a phone call, the system isn't finished. Passing the test makes the workflow infrastructure. Failing it means the workflow is a personal favor from whoever built it.

## Trace one record end to end

The cheapest truth in operations is one record, traced. Pick one from this week. Write its ID and its start event. At each stage and handoff, write the owner and whether the acceptance criterion was checked. Time each stage and mark where it waited longest. Ask why it waited. **The answer is the diagnosis**. Then write the one change that would have moved it faster, and the owner of that change. It takes forty-five minutes and tells you more than a quarter of dashboards. The person doing the trace should be someone who did *not* build the workflow.

## The Workflow Reliability Scorecard

Score the system, not the people. A low score is a fixable defect. The nine dimensions:

1. **Definitions:** contracted and versioned.
2. **Handoff criteria:** payload, test, receiver, and clock at every bridge.
3. **Routing backup:** a named escalation path for every route.
4. **Exceptions:** owned, with one-day disposition.
5. **Event-based SLAs:** a stage-age dashboard, not an activity count.
6. **Rejections:** coded, and spikes fixed upstream.
7. **Operability:** runs without the builder.
8. **Automation order:** the manual process worked first.
9. **Cadence:** reviews happen on schedule.

Scored 0–2 each, out of 18. Below 12, fix the lowest dimension before adding anything new.

## Automation follows a working process

Automation follows a working process. It never precedes it. Automating a working process multiplies useful output. Automating a broken one multiplies the breakage: faster reports nobody trusts, faster spend on a motion that never worked by hand. The sequence is fixed:

1. **Run it by hand.**
2. **Write the runbook.**
3. **Pass the second-operator test.**
4. **Automate the stable parts.**
5. **Choose the tool,** last.

The demo is always convincing, and buying is easier than doing the process work. So the tool goes in on top of a broken workflow and fails at scale, silently, for twelve months. The leader's job is to fund the boring part before the exciting part: the runbook before the demo.

The counterargument is that sometimes the tool *is* the process; nobody scores leads by hand at volume. Fine. Write the operating requirement first anyway. If you can't state it on one page, the tool is a wish with an invoice.

| The tool-first company                                | The process-first company                            |
|-------------------------------------------------------|------------------------------------------------------|
| Tools arrive before requirements.                     | The workflow runs by hand until it's correct.        |
| The routing engine routes by rules nobody wrote down. | Then the stable steps get automated, and only those. |

## Automation, AI, and the working process

Everything above applies with more force to AI agents, copilots, and generated workflows. They're automation that writes its own steps, which makes the order matter more, not less. An agent placed on top of contested definitions will produce confident output from the contest. An agent drafting follow-ups for a handoff with no acceptance criteria will speed up the throw.

The same five-step sequence holds. Three additions:

- **Write the acceptance test before you hand anything to a model.** If you can't say what a correct output looks like, the model can't either, and neither can the person reviewing it.
- **Name a human owner for the output, not just the agent.** Ownership has to survive the automation. Someone owns what the machine produced.
- **Instrument it like any other route.** Silent failures have to surface, and a model's failures are quieter than most.

[STEVE TO ADD: your own current stance on AI in marketing and revenue operations: where you've seen it earn its place, and where you'd hold it back. Speak only to what you've seen directly. 100–200 words.]

## Automation readiness

Before automating any step, check all ten. A “no” isn’t a delay; it’s the actual work, and the automation can wait for it.

- ☐ The manual process works: consistent results without the automation.
- ☐ It’s documented well enough that a second person could run it.
- ☐ Every measure and stage it touches has a versioned definition.
- ☐ Every handoff has acceptance criteria and a named owner.
- ☐ Inputs are structured, or can be made structured.
- ☐ Exceptions are rare and defined, have an owner and a disposition clock, and that includes the automation’s own failures.
- ☐ The volume justifies it: frequency times manual cost pays for the build and the maintenance within two quarters.
- ☐ You can measure before and after: same definition, same denominator, reconciled.
- ☐ There’s a rollback path back to manual without data loss, and monitoring that reports its own health.
- ☐ The step survives a “should this exist at all?” review, and ownership survives the automation.

## Data hygiene is a habit, not a project

Data quality decays by default. Fields go stale, duplicates accumulate, and free text creeps back where a taxonomy used to hold. The counter is a cadence with a named owner: required fields at entry, dedupe at capture, and a quarterly review that retires what no one reads.

Every handoff is a feedback loop waiting to be closed. Rejections say what to fix upstream, exceptions say where the design is wrong, and stage age says where work waits. Close the loops and the system improves on its own. That’s what infrastructure does: it holds without its builder in the room.

### HYPOTHETICAL SCENARIO

#### The unreliable reports, part three: one shared workflow

The team builds the qualification workflow and runs it by hand for three weeks: no new software, just the runbook. Week two surfaces what a migration would have buried. The teams weren’t merely using different definitions. Each was optimizing

for its own, because each team's incentives rewarded its own numbers. The workflow makes the conflict visible, and that's what finally lets the owner resolve it. A tool would have encoded the disagreement. The runbook exposed it.

By week four the runbook passes the second-operator test. A junior rep runs the full flow while the author says nothing, and hesitates once, at a handoff with no named owner. They fix it, re-test, and pass. Only then do they automate, and the automation is small, because the process is now simple enough to allow it. The CRM decision is still on hold. It hasn't earned anything yet.

#### FAILURE MODE

Automating the disagreement. Workflow rules coded on top of contested definitions. The automation works exactly as specified, and the reports are still unreliable, now at machine speed, with an audit trail proving it. The symptom: the system is "working" and nobody trusts the output. The fix isn't a better tool. It's the runbook that was never written.

[STEVE TO ADD: optional, approved and anonymized. A handoff or runbook fix from your own work: what broke, what the runbook changed, and what you measured afterward. Use verified figures only.]

### TAKEAWAYS

- If it isn't written, it isn't a system. The runbook is the artifact.
- One owner and one named second operator per workflow.
- The exit test: a second operator runs it end to end while the author stays silent.
- Run it by hand, write it down, pass the test, automate the stable parts, choose the tool last.
- AI doesn't change the order; it raises the cost of ignoring it.

### THIS WEEK

Trace one record end to end through your most important workflow. Then ask someone who didn't build the workflow to run it from whatever documentation exists, and write down every question they ask.

### TOOLS

T23 Systems Build Specification · T24 Runbook Template · T25 Trace One Record · T26 Workflow Validation Checklist · T27 Automation Readiness Checklist · T47 Workflow Reliability Scorecard

# 10

## CHAPTER 10

# Rung Four, Scale: Earned in Allocation Steps

---

*Compound only what holds. Scale is durable allocation behind a proven unit, gated by repeatable output, stable economics, real capacity, and customers who stay. It's earned, never declared.*

## Durability before volume

Scale is **durable allocation**: money, headcount, and attention placed behind a unit that repeats. Note the order: the unit first, then the allocation. Scaling is what you do with something that already works, not something you do to make it work. Volume is a multiplier. It multiplies whatever it touches, including the parts you haven't fixed.

This is the rung where activity is most often mistaken for useful output. More spend, more hires, more pipeline: all measurable, all reportable, and none of them proof that the system improved. A team can double its activity and halve its useful output in the same quarter, and the dashboard will call it growth.

---

*“Hold volume” is the hardest sentence in this book, and the most valuable. It isn't fear. It's the gate doing its job.*

---



## The four gates

All four gates must be green before volume rises. These are the four:

| Gate                                    | The question                                                                                                                                                   | Evidence required                                                                            |
|-----------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|
| <b>1 · Repeat-ability &amp; quality</b> | Does the system produce the result without heroics, across operators and weeks, with win rate and fit holding as volume grows?                                 | Win rate, ICP fit, and qualification rate over the last two quarters; closed-lost reasons    |
| <b>2 · Economics</b>                    | Does the unit math hold at higher volume, with the volume-only costs named in advance (support load, onboarding drag, discount pressure, management overhead)? | Cost per accepted opportunity, CAC payback, and gross margin by cohort, not channel averages |
| <b>3 · Capacity</b>                     | Can the people and processes absorb the next step, and who absorbs it, by name?                                                                                | Ramped headcount, utilization, backlog, follow-up SLAs                                       |
| <b>4 · Durability</b>                   | Do the customers stay and expand at target?                                                                                                                    | Retention and expansion curves across two or more cohorts                                    |

A team at its limit doesn't get more productive with more volume. It gets more creative about cutting corners.

Watch for **local optimization disguised as scale**: one stage scaled until it starves the next. Doubling lead volume into a sales team with no capacity doesn't grow revenue. It grows a backlog, then a blame cycle. The whole system is the unit, not the stage.

**A pass is evidence, not optimism.** Missing evidence fails the gate. If you can't measure it, build the measurement first.

## Allocation, not acceleration

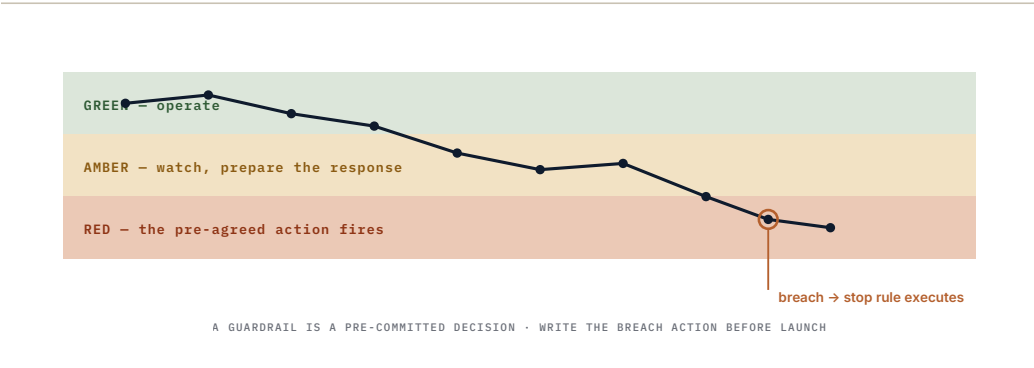
Scale means allocating more (budget, headcount, segments) to a workflow that has already proven it holds output quality as volume grows. Expansion happens in **bounded steps**, each gated by the same decision criteria that governed the strategy test. A step that skips the gate isn't scale. It's gambling with a system you built carefully and are now dismantling by size.

**Expand the allocation, not the definition.** The cohort definition that worked stays fixed while volume grows. Change one variable at a time, or the evidence stops meaning anything. If the acceptance definition, routing, or ownership changes during expansion, that's a new test, not a scale step. Call it one.

**Reversal is a feature.** Every step names in advance what would reverse it. If response time degrades past the guardrail, allocation steps back. If cost per accepted opportunity rises past the threshold, the segment shrinks. Reversal criteria written in advance protect the operator from sunk-cost momentum. Write “we are stepping back” when it’s easy, so it exists when it’s hard.

## Guardrails decide in advance

A guardrail is a decision made in advance about what you’ll do when a number moves. Set it when you’re calm; it fires when you’re not. That’s the whole mechanism, and it’s the difference between a system and a mood.



**FIG. 10.1 Guardrail bands: operate, watch, stop.** Each critical metric carries a green band (operate), an amber band (watch and prepare the response), and a red breach (the pre-agreed action fires). Set the bands from your own baselines.

Without guardrails, every breach becomes a debate, and the loudest voice wins. Spend continues because stopping feels like admitting failure. Pre-commitment removes the argument: when the breach fires, the action is the plan executing, not a judgment on anyone.

The misconception is that guardrails slow you down. Agreed boundaries let you move faster inside them. What slows teams down is the unmade decision.

| Metric                    | Green: operate | Amber: watch | Red: breach action                | Owner         |
|---------------------------|----------------|--------------|-----------------------------------|---------------|
| ICP-fit rate              | 70% or higher  | 55–69%       | Pause new spend; audit sources    | Demand leader |
| Win rate (mature cohorts) | 25% or higher  | 18–24%       | Freeze expansion; diagnose losses | Sales leader  |

| Metric                  | Green: operate    | Amber: watch | Red: breach action               | Owner          |
|-------------------------|-------------------|--------------|----------------------------------|----------------|
| CAC payback             | 12 months or less | 12–18 months | Cut lowest-efficiency spend      | Revenue leader |
| Delivery utilization    | 70–85%            | 86–95%       | Stop demand growth; add capacity | Delivery lead  |
| Onboarding backlog      | Under 2 weeks     | 2–4 weeks    | Divert budget to onboarding      | CS lead        |
| 90-day cohort retention | 85% or higher     | 75–84%       | Halt scale; retention task force | CS / product   |

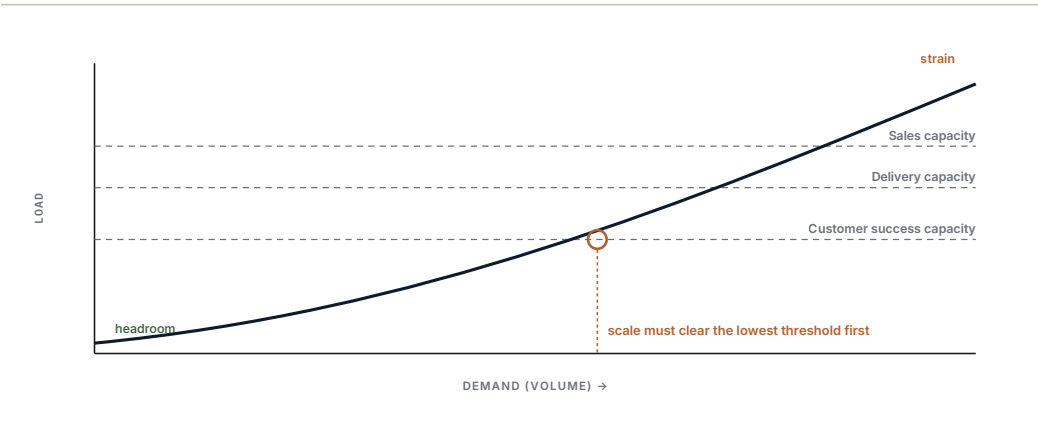
The bands are illustrative. Yours come from your baselines. Each guardrail needs a band, an owner who can act without a meeting when red fires, and a quarterly review. Baselines drift, and last year’s guardrail guards last year’s business.

OPERATOR NOTE

Write the breach action when you’re calm. You won’t write it well while you’re breaching. Set the capacity guardrail first: an overloaded handoff erases modeled lift, and every other guardrail assumes the team can absorb the workload.

The hidden constraint is capacity

Most scale conversations are demand conversations. The constraint that breaks scaling companies is **capacity**: the ability to absorb what demand creates.



**FIG. 10.2 Capacity vs. demand: the threshold chart.** Demand can rise faster than the system can absorb it. Sales, delivery, and customer success each cross from headroom into strain at a different point. Scale has to clear the lowest threshold, not the average.

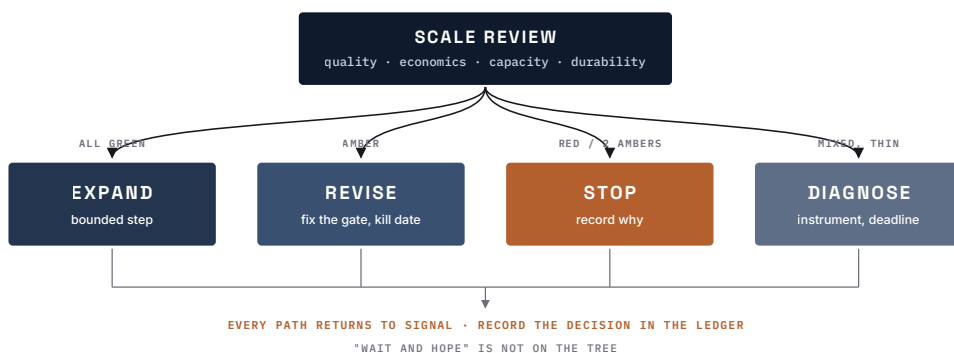
Run the capacity math first. **Sales capacity** is ramped reps times realistic attainment. **Delivery capacity** is utilization plus backlog; sustained utilization above roughly 85% produces worse output, not more. **The onboarding queue predicts 90-day retention.**

Pipeline that can't be worked decays. It ages, goes cold, and consumes cycles owed to winnable deals. Demand that outruns sales capacity buys aged pipeline, burned-out reps, and a falling win rate.

*Never ask “how do we grow faster?” Ask “what breaks next if we do?”*

## Four honest paths

After the scorecard and the guardrails, there are four honest paths, each with a defined next action and a defined exit.



**FIG. 10.3 The scale decision tree.** Score the gates, read the guardrails, then take one of four paths. Stop is a decision, not a failure; record it in the ledger. Every path returns to Signal. “Wait and hope” isn’t on the tree.

**Expand.** All four gates pass and the guardrails are green. Increase in bounded steps, a defined percentage over a defined window, and watch the next constraint, which has moved whether you acknowledge it or not.

**Revise.** Amber somewhere. Fix the failing gate first with a bounded experiment and a kill date: one variable, a written hypothesis, a date to read the evidence. Revision is aimed work, not delay. “Revise” without a retest date is a stop with better branding.

**Stop.** A red breach, or two ambers that won't clear. Pause the spend and protect the base. Write the stop rules in advance so the stop is a procedure, not a confession. The alternative costs more: unprofitable volume that churns and tells the market nothing good.

**Diagnose further.** Mixed signals, thin evidence. Don't guess; instrument. Build the measurement the scorecard asked for, run it for one cycle, and decide again. Diagnosis has a deadline.

Drifting, hoping, and re-running spend while the numbers deteriorate aren't on the tree.

## Allocate like a portfolio

Not every segment has to grow. This is the third of the book's ladders, the **Allocation Ladder**:



**FIG. 10.4 The Allocation Ladder.** Experimental segments are cheap to test and cheap to kill. Growth segments show evidence and get fed. Core segments fund the business and get defended. A segment climbs only on evidence, and every rung carries a review date.

- **Core** segments fund the business. *Defend them.*
- **Growth** segments show evidence. *Feed them*, in bounded steps.
- **Experimental** segments are cheap to test and cheap to kill. *Give them a kill date.*

The failure mode is treating every line item as a growth line item and funding channels long after the evidence stopped supporting them. **Reallocation is the discipline.** Moving money means telling a team their channel is no longer the future

and admitting a past allocation was wrong. Do it quarterly, in the workshop (Chapter 18). Allocation follows evidence, not hope, and no allocation survives on history alone.

DECISION PROMPT

Which segment is your core, and is it funded like one? What would you stop this quarter if you were making the decision fresh?

Durability is the other half of scale

Scale without durability is a liability factory. A cohort that churns inside ninety days cost acquisition spend, onboarding hours, and a rep’s quarter, and taught the market nothing good.

- ☐ Cohorts defined by entry period and source, written down
- ☐ Retention at 30, 90, and 180 days per cohort, compared cohort to cohort and never blended, so a strong old cohort can’t hide a weak new one
- ☐ Expansion vs. contraction tracked inside each cohort
- ☐ Segment-level performance reviewed separately from company averages
- ☐ Leading indicators instrumented: activation, time-to-value, tickets per account by cause, onboarding time
- ☐ The newest cohort judged only against prior cohorts at the same age

Watch the leading indicators. Activation and time-to-value move before retention does. Tickets per account, segmented by cause, separate fit problems from product problems. Lengthening onboarding signals capacity strain before churn shows up.

| Warning signal                                | What it usually indicates                  | First check                                |
|-----------------------------------------------|--------------------------------------------|--------------------------------------------|
| 90-day retention falling on the newest cohort | Newest acquisition quality slipping        | Audit source mix and qualification changes |
| Logo growth with flat expansion revenue       | Smaller or poorer-fit accounts             | Review ICP enforcement at qualification    |
| Onboarding time lengthening                   | Capacity strain in delivery or CS          | Utilization and queue length by team       |
| Support tickets per account rising            | A fit problem or a product gap, by segment | Segment tickets by cause before reacting   |

| Warning signal                           | What it usually indicates                 | First check                           |
|------------------------------------------|-------------------------------------------|---------------------------------------|
| Win rate steady, sales cycle lengthening | Weak urgency or buying-committee friction | Diagnose demand quality vs. execution |

Signals prompt diagnosis, not verdicts. When durability degrades, **narrow before you push**: the ICP, the segment, the promise. Narrow until the cohort curves recover. Then scale.

## Three scale decisions

### HYPOTHETICAL SCENARIO

#### The expansion that waited a quarter

A proposal to raise demand spend 40% scores three gates green: win rate and ICP fit holding, fourteen-month payback, two cohorts retaining. Capacity comes back amber at 88% delivery utilization. The call: **revise**. Spend rises 25% in one segment for ninety days, with guardrails preset and delivery named as the next constraint before the money moves.

### HYPOTHETICAL SCENARIO

#### The channel that stopped being a channel

A paid channel breaches its CAC payback guardrail two months running: payback past eighteen months, and win rate forty percent below baseline. The team argues for patience, and the guardrail was written for exactly this argument. The call: **stop**. Spend pauses and the budget moves to the core. The stop rule is logged: two consecutive red months ends the experiment, no appeals.

### HYPOTHETICAL SCENARIO

#### The segment that needed a different offer

A mid-market segment scores amber on quality, with ICP fit drifting and win rate softening, while demand stays strong. The losses cluster on packaging and terms, not need. The call: **revise**. One variable, the offer structure, goes into a sixty-day bounded experiment with a kill date and a written hypothesis.

## The Decision Ledger

The ledger is the artifact for this rung. Each step is recorded: date and step number; cohort and allocation (what expanded, and by how much); the result against the primary metric and guardrails; trade-offs (what improved, what degraded, what surprised you); what stayed constant (confirmed, not assumed); the next constraint; and the reversal condition. Three months from now, no one should have to remember why a step was taken. **The next review starts with evidence, not memory.**

The leader's job at this rung is mostly refusal: *not yet, not this quarter, not until the gate is green*. Each refusal should name the red gate and what would change it. Otherwise “not yet” is just fear with better posture.

[STEVE TO ADD: optional, approved and anonymized. A time you said “hold volume” to leadership or a board: what the pressure was, what evidence you brought, and what happened. 100–200 words.]

### HYPOTHETICAL SCENARIO

#### The unreliable reports, part four: the tool decision, at last

With definitions reconciled and one workflow holding for a quarter, the tool question is finally small. The team discovers it barely matters: the current CRM, with fixed definitions and a real runbook, produces reports both teams trust. They keep it, and write the brief for the migration they *didn't* do, so the reasoning survives the next person who suggests one.

They also decline to add reporting headcount. The workflow holds, and the headcount would have been volume without a gate. The most expensive option on the table six months earlier turned out to be unnecessary. That's what the order buys: **the right not to spend.**

### FAILURE MODE

Premature volume. Spend doubled behind a workflow that only worked when the founder ran it. Unit economics decay exactly as volume rises: support tickets climb, close rates slip, and new hires improvise because the runbook was never written. The symptom: the team blames the channel. The channel was fine. The gate was red.



**TAKEAWAYS**

- Scale is allocation behind a unit that already repeats. Volume multiplies whatever it touches.
- Four gates, all green: repeatability and quality, economics, capacity, durability.
- Expand the allocation, never the definition. Write the reversal condition first.
- Guardrails are decisions made in advance. Set capacity first.
- Expand, revise, stop, or diagnose. Never drift.

**THIS WEEK**

Take your next proposed spend or headcount increase and score it against the four gates. Name the weakest gate and the evidence that would change it. Write its reversal condition before anyone approves it.

**TOOLS**

T33 Economics & Capacity Guardrail Table · T34 Scale Readiness Scorecard · T35 Allocation Portfolio · T36 Durability Checklist · T39 Decision Ledger



PART III

# The Math

*The numbers that hold the ladder up.*



Read pipeline in dollars per day. Model the trade-offs. Keep the win honest. The math in this part isn't hard; the arithmetic is trivial. The discipline is in the inputs: what each number is allowed to mean, which cohort it comes from, and what it costs. These are the instruments for two rungs. Signal uses them to read the system honestly, and Scale uses them to pass the economics gate.

# 11

## CHAPTER 11

# Pipeline Velocity

*Pipeline velocity is the expected won value your pipeline produces per day. It's a discipline for comparing cohorts, not a forecast.*

### Velocity has units. Use them.

Pipeline velocity answers one question: *how fast is this cohort of opportunities expected to convert opportunity value into closed-won value?*



**FIG. 11.1** The velocity equation, annotated. Each input has a required meaning: a consistent cohort entry, deal value at entry, a mature-cohort win rate, and a cycle measured the same way every time. The output is a snapshot of expected won value per day. It isn't cash collected and it isn't a forecast.

$$\text{Velocity} = (\text{Opportunities} \times \text{Deal value} \times \text{Win rate}) \div \text{Cycle days}$$

The arithmetic is trivial. The discipline is in the inputs:

- **Opportunities** means accepted opportunities from one consistent cohort: same entry definition, same window.

- **Deal value** means value at entry, not after scope creep or discounts.
- **Win rate** means the won share of a *mature* cohort, one where enough time has passed for most opportunities to have closed either way.
- **Cycle length** means the days between one defined start event and one defined end event, measured identically for every opportunity.

Sloppy inputs produce a number that looks like a forecast and behaves like fiction. A win rate computed on open-plus-closed pipeline isn't a win rate; it's a ratio with the outcome removed. A cycle measured from first touch for half the cohort and from qualification for the other half is two rulers averaged. Velocity built from inputs like those doesn't say how fast the system converts value. It says someone multiplied things.

#### WORKING DEFINITION

**Pipeline velocity.** Expected won opportunity value per day for a defined cohort:  $(\text{Opportunities} \times \text{Deal value} \times \text{Win rate}) \div \text{Cycle days}$ . A snapshot for comparing consistent cohorts, not a cash-flow forecast.

## What velocity is for, and what it is not

**Velocity is for comparison.** Run it on two cohorts with consistent definitions and it tells you whether the system is getting faster or slower at converting opportunity value. Run it against a planned intervention and it tells you which lever deserves the test. That's its whole job: *locating leverage*.

**Velocity is not a cash-flow forecast.** It doesn't know collection terms, churn, or that a won deal worth \$20,000 of opportunity value may collect over months, or never fully collect. It doesn't know margin, and it says nothing about capacity. Treating it as revenue is the fastest way this metric lies to you.

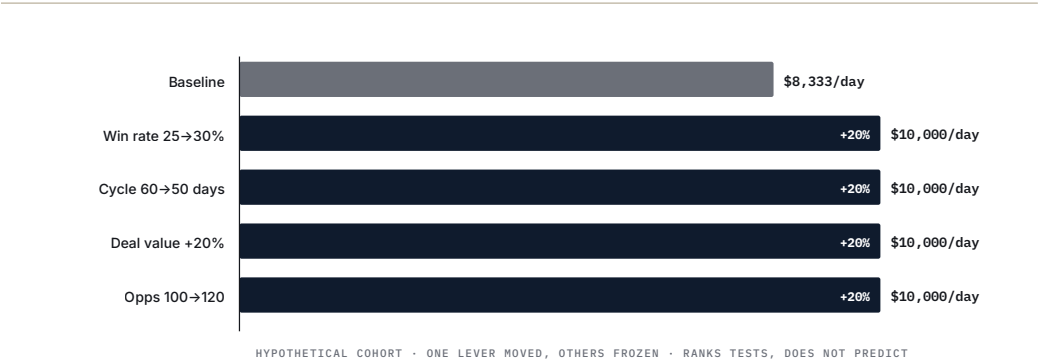
**Velocity is not a sales metric.** The common misconception is that it measures sales performance. It measures the *system's* performance, including marketing, qualification, handoff, closing, and capacity. When velocity drops, the cause can sit upstream in qualification or downstream in capacity just as easily as in closing skill.

### One lever at a time

Hold three inputs constant and move the fourth, and the equation becomes a sensitivity table. The table makes the assumption visible: it shows what each lever is worth *if the others hold*.

| Scenario      | Input change                        | Expected won value / day | Lift |
|---------------|-------------------------------------|--------------------------|------|
| Baseline      | 100 opps × \$20,000 × 25% ÷ 60 days | \$8,333                  | —    |
| Win rate      | 25% → 30%                           | \$10,000                 | +20% |
| Cycle         | 60 days → 50 days                   | \$10,000                 | +20% |
| Deal value    | \$20,000 → \$24,000                 | \$10,000                 | +20% |
| Opportunities | 100 → 120                           | \$10,000                 | +20% |

*Hypothetical cohort. Each row moves one input with the others frozen, which is a modeling convenience, not how systems behave.*



**FIG. 11.2 One-lever sensitivity, hypothetical cohort.** On paper, a 20% gain in any one lever is worth the same. Use the chart to rank where a test is worth running, not to predict combined outcomes.

### Locating leverage vs. proving it

A model makes assumptions visible; evidence decides which assumption is credible. The table says moving win rate from 25% to 30% is worth \$1,667 a day on this hypothetical cohort. It doesn't say the rate *can* reach 30%, what it costs to get there, or what breaks in the attempt. The model locates the question. Evidence decides whether the answer is worth the spend.

Before touching a lever, ask three things:

1. What evidence says this input can move?
2. What does it cost to move it?
3. What happens to the other three inputs when I do?

The third matters most, because the levers interact. That's the subject of the next chapter.

#### DECISION PROMPT

Run the one-lever sensitivity with your own inputs. For the highest-lift lever, write down the evidence that it can actually move, and what it would cost to move it.

[STEVE TO ADD: optional. How you've used velocity in a real planning or board conversation, and the question it settled. Anonymized, two to four sentences.]

#### TAKEAWAYS

- $\text{Velocity} = (\text{Opportunities} \times \text{Deal value} \times \text{Win rate}) \div \text{Cycle days}$ . The discipline is in the inputs.
- It's a comparison instrument for consistent cohorts, not a forecast and not revenue.
- It measures the whole system, not the sales team.
- Models locate leverage. Evidence proves it.

#### THIS WEEK

Compute velocity for your last fully mature cohort and for the one before it, with locked definitions. If you can't lock the definitions, that's your Signal work for the month.

#### TOOLS

T30 Pipeline Velocity Calculator · Formula Reference (Appendix C)

# 12

## CHAPTER 12

# Cohorts, Cost, and Honest Lift

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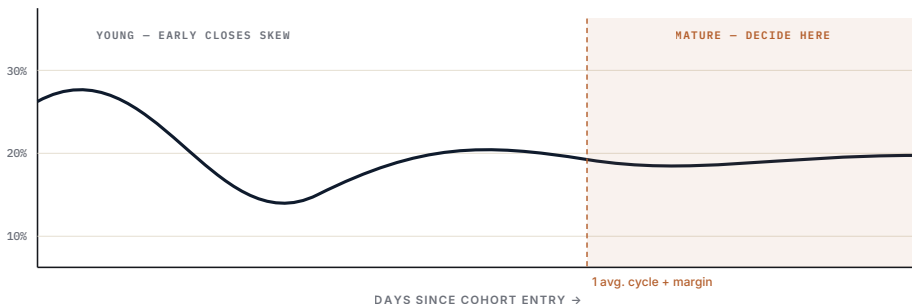
*Every input in the velocity equation is a claim about a cohort. If the cohort is defined sloppily, the number is a rumor. And every gain has a cost booked somewhere.*

### The mature-cohort rule

A cohort is **mature** when enough time has passed that most of its opportunities have reached an outcome, won or lost. Until then, win rate isn't a rate. It's a partial count with the numerator still filling in.

**Never compute win rate on a mix of open and closed pipeline.** Open opportunities aren't wins or losses yet, so including them dilutes the rate with undecided outcomes. Reading only the early closures of a young cohort overstates it, because early closes skew fast and easy.





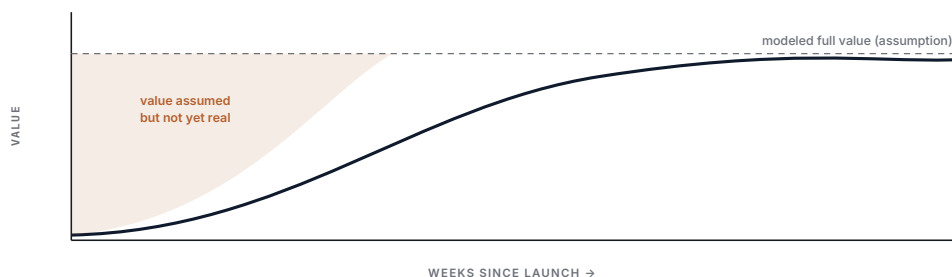
**FIG. 12.1 Win rate by cohort maturity, hypothetical.** Read early, a cohort's win rate swings with whichever deals happened to close first. It stabilizes only as the cohort closes out. Decide on the flat part of the curve.

The fix: **freeze the cohort at entry, then report win rate only after its natural close window has passed.** One average sales cycle plus a margin is a workable starting definition of “mature.” Miss this and leadership plans against win rates that blend today's wins with tomorrow's losses: chronic over-optimism, followed by a forecast that keeps slipping.

Comparisons are only valid across cohorts with matching definitions: same entry event, same exit events, same cycle boundaries. If one quarter measured cycle from first touch and the next from sales acceptance, you're comparing measurement choices, not velocity. Write the definitions down once and lock them.

## Adoption ramps and assumed value

New workflows don't reach full value on day one. Any model of a change's value has to include the ramp: how long until the people running it run it well.



**FIG. 12.2 Workflow-adoption ramp, hypothetical.** Opportunity value rises as adoption grows. The ramp models potential, not results; it's an assumption to test, not a promise to report.

## Cost per accepted opportunity

Cheap leads can create expensive pipeline. **Cost per accepted opportunity** (defined spend divided by accepted opportunities) charges every lead's cost against the ones that actually entered the system. Ten thousand cheap leads that yield twelve qualified is an expensive channel in disguise.

### FAILURE MODE

Optimizing for cost per lead while ignoring acceptance rate. The dashboard shows efficiency while sales drowns in rejections.

### HYPOTHETICAL SCENARIO

#### The lower-volume channel that produces more useful output

Two channels run side by side. Channel A: 400 leads a month at \$8 each (\$3,200 in media). Channel B: 90 leads at \$40 each (\$3,600). Channel A wins every top-of-funnel metric. But A produces 30 accepted opportunities and B produces 45. Cost per accepted opportunity is \$107 for A and \$80 for B. The “cheap” channel is the expensive one.

There's ambiguity in both directions. A's low acceptance could mean the wrong audience, an overpromising message, or misaligned qualification, and each has a different fix. B's high acceptance could mean genuine fit, or qualification that's too loose, with the losses deferred to close. Either way, cost per accepted opportunity is the arbiter.

Reallocate from A to B only after confirming that B's accepted opportunities close at a real win rate: a mature-cohort check. If it holds, the budget moves, and A gets rebuilt or killed. The goal isn't more marketing; it's marketing that matters.

## Combine the levers, inspect the cost

Single-lever sensitivity shows what each lever is worth alone. Combine them and the math gets exciting.

### HYPOTHETICAL SCENARIO

#### The +72.8% that isn't

Baseline: 100 opportunities at \$20,000 average value, a 25% win rate, and a 60-day cycle. Expected won value per day: \$8,333. Now improve three inputs: 120 opportunities, a 30% win rate, a 50-day cycle, deal value unchanged. The math:  $120 \times \$20,000 \times 30\% \div 50 = \$14,400$  per day, a 72.8% increase.

That's mathematical sensitivity, not proof. It shows what the equation says *if all three improvements hold at once*. It says nothing about whether they can be achieved together, and often they can't, because the levers interact.

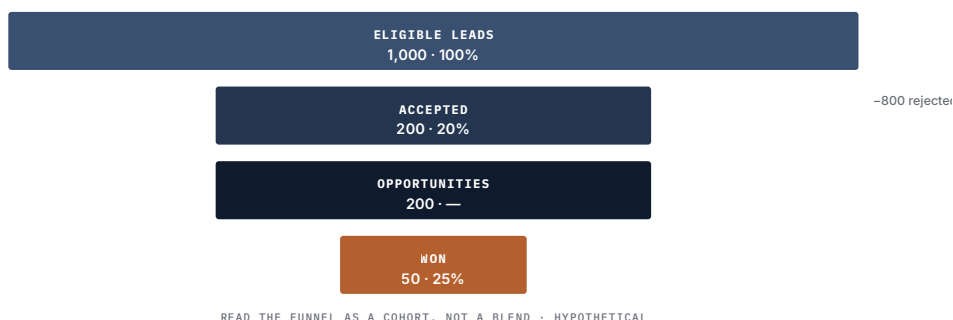
**The trade-off analysis the model skips.** More opportunities consume capacity. Larger deals take longer cycles; enterprise scrutiny isn't a 50-day process. Faster closes may require discounting, which cuts margin even as velocity rises. Each is a tax on the headline number, paid by a different part of the system from the one that celebrated the improvement.

After any combined scenario, ask: *where is the cost booked?* Twenty extra opportunities per cohort have to be qualified, worked, and followed up. If that capacity doesn't exist, the "improvement" degrades win rate and stretches the cycle, and the model that promised +72.8% delivers a worse pipeline wearing better numbers.

### OPERATOR NOTE

Capacity is a guardrail, not an input. Workload against usable capacity decides whether modeled lift survives contact with the team.

## Read the funnel as a cohort, not a blend



**FIG. 12.3** Funnel progression with drop-off, hypothetical. 1,000 eligible leads → 200 accepted (20%) → 200 opportunities → 50 won (25%). Read improvements stage by stage. A lift at the top that reverses at qualification isn't an improvement.

## Relative lift vs. percentage-point lift

Conversion reporting has two languages, and one is routinely abused. A form moving from 2% to 2.4% improved by 0.4 points, which is 20% in relative terms. “Conversion lifted 20%” is accurate and misleading, because the listener hears “2% to 22%.” State both, “2.0% to 2.4%, a 0.4-point, 20% relative lift,” or leave the ambiguity for someone else to misread.

Baselines decide what a lift means. A 20% relative lift is 0.4 points on a 2% baseline and 8 points on a 40% baseline. A lift counts economically only if it passes three filters: **a stable baseline, an adequate sample, and improvement at the revenue-producing stage.**

A conversion lift is a local optimization until it improves the system's useful output. Doubling form submissions while halving the qualification rate doesn't improve the funnel; it moves rejection downstream, where rejection costs more. Trace every claimed gain to the nearest revenue-adjacent stage. If it evaporates first, it's a reporting event, not an economic improvement.

### HYPOTHETICAL SCENARIO

**A successful conversion lift that produces a worse business**

A B2B firm tests a new landing page. Form conversion rises from 2.0% to 2.8%, a 0.8-point, 40% relative lift, and it's rolled out as a win. Next quarter, pipeline velocity falls: the new cohort closes markedly worse, and cost per accepted opportunity climbs.

The competing explanations: the new message overpromises, so leads arrive misled and die at qualification; lower friction let casual browsers in while serious buyers stayed flat; capacity never grew, so follow-up slowed and good leads decayed; or the cohort is simply immature, eighteen months of closes compared against six. Different owners, different fixes.

Freeze the cohort, wait for maturity, and trace the lift stage by stage. If the form lift never reaches accepted opportunity, the test lifted a metric that doesn't matter, so roll it back. Rolling back a "winning" test is politically expensive. Keeping worse economics is commercially fatal.

## The payback check

Velocity says how fast value moves. **Payback says whether the acquisition was worth it.**

### WORKING DEFINITION

**Contribution payback.** Customer acquisition cost divided by the monthly contribution margin each new customer produces: the months of margin needed to recover the acquisition spend.

A \$6,000 CAC against \$1,000 of monthly revenue at 80% margin is \$800 of monthly contribution, a **7.5-month payback**. Discount to \$800 a month to close faster and payback stretches to **9.375 months**. Shorter cycle, worse investment.

Run both numbers on every scenario. If the combined-lever model speeds up the pipeline but payback shows a worse investment, the lever fired the wrong way.

**TAKEAWAYS**

- Freeze cohorts at entry. Report win rate only once the cohort is mature.
- Cost per accepted opportunity beats cost per lead. Cheap leads can make expensive pipeline.
- Combined-lever lifts are sensitivity, not proof. Ask where the cost is booked.
- State lift in both points and percent. Trace it to the revenue-producing stage.
- Run velocity and payback together. Faster can be worse.

**THIS WEEK**

Compute cost per accepted opportunity for your top three channels using fully loaded spend. Rank them. Compare that ranking with the one your dashboard implies.

**TOOLS**

T31 Conversion Economics Worksheet • T32 Pipeline Quality Score • T30 Pipeline Velocity Calculator

# 13

## CHAPTER 13

# How Numbers Lie

*None of the ways pipeline numbers lie require fraud. All of them require only habit. The honest version of a metric puts back the cost, constraint, or uncertainty that the misuse took out.*

## The guardrail habit

Across every metric in this book the pattern is the same: **the misuse removes a cost, a constraint, or an uncertainty from the measurement, and the honest version puts it back.** It's the difference between a number that supports a choice and a number that supports a mood.

| Metric           | The misuse                                                                  | The honest version                                                                                                                  |
|------------------|-----------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|
| <b>Velo-city</b> | Presented as a revenue forecast: "the pipeline generates \$14,400 a day."   | Expected won opportunity value per day for a defined cohort: a comparison instrument, labeled hypothetical in scenario work.        |
| <b>Win rate</b>  | Computed on open-plus-closed pipeline to flatter the quarter.               | The won share of a mature, frozen cohort. Open pipeline never enters the denominator.                                               |
| <b>CAC</b>       | Media only, with salaries and tools excluded, then quoted as the full cost. | All defined acquisition costs (media, labor, tools, overhead) divided by new customers.                                             |
| <b>Pay-back</b>  | Run on gross revenue, and shortened by whatever margin was left out.        | CAC divided by monthly contribution margin per customer. Margin repays the investment; revenue is only what the investment touched. |

## Seven ways pipeline numbers lie

| The lie                              | What to check                                                 |
|--------------------------------------|---------------------------------------------------------------|
| 1. Open-cohort win rates             | Recompute on the last fully mature cohort.                    |
| 2. Pipeline quoted as revenue        | Ask: accepted where, closed when, won by whom?                |
| 3. Gross pipeline without acceptance | Apply the rejection rate; report accepted only.               |
| 4. Averages that hide shape          | Check the median and the distribution.                        |
| 5. Lift without a baseline           | Require the baseline, window, and exclusions in writing.      |
| 6. Relative lift reported as points  | Restate it both ways; let the person who owns the money pick. |
| 7. Stale or duplicate records        | Reconcile on cadence; age out or close by rule.               |

## Every model assumes

When a model surprises you, check this list before you check the math.

| The assumption                                  | What breaks if it's false                                                |
|-------------------------------------------------|--------------------------------------------------------------------------|
| Shared definitions across functions             | Rates become incomparable; reporting becomes translation.                |
| Cohorts measured over closed windows            | Win rates and cycles flatter or depress with whatever is still open.     |
| Pipeline is opportunity value, not revenue      | Forecasts confuse hope with cash, and cash inherits the optimism.        |
| Entry criteria enforced at acceptance           | Rejections hide in the conversion math; sales inherits the leftovers.    |
| Costs fully loaded where stated                 | CAC and payback understate reality; spend is decided on a partial price. |
| Rates carry denominator, window, and exclusions | Lift claims can't be checked; arguments turn on the metric.              |
| Evidence observed, not modeled (unless labeled) | Attribution reads as measurement; spend follows a credit rule.           |

### WORKING DEFINITION

**Attribution.** Credit assigned across the touches that preceded an outcome. It's a model, never a measurement. Label it as one.



## HYPOTHETICAL SCENARIO

## The metric that lied

A team celebrates: qualified leads are up 40% and cost per lead is down 30%. Meanwhile opportunities are flat and cost per opportunity is up 20%. The bar was lowered. Every number on the celebration slide was accurate.

## The Pipeline Quality Score

Before you forecast or plan against a cohort, score its readiness. It's a gate, not a grade: it decides whether the cohort's velocity number is trustworthy enough to steer a decision.

| Dimension                | What a 2 looks like                                                                                        |
|--------------------------|------------------------------------------------------------------------------------------------------------|
| <b>Cohort definition</b> | Entry event, exit events, and time window written down and frozen; unchanged across compared cohorts.      |
| <b>Win-rate maturity</b> | The cohort has closed beyond one full average cycle; open opportunities are excluded from the denominator. |
| <b>Cycle measurement</b> | Identical start and end events for every opportunity; no mixed measurement points.                         |
| <b>Deal-value basis</b>  | Value recorded at cohort entry; discounts and scope changes tracked separately, not retrofitted.           |
| <b>Cost visibility</b>   | Full defined acquisition cost captured; cost per accepted opportunity computed per channel.                |
| <b>Capacity fit</b>      | Workload per owner within usable capacity; follow-up SLAs met; no overloaded handoff.                      |

Scored 0–2 each, out of 12. **Forecast-grade requires 9 or more with no zeros.** Below that, fix the definitions before you model.

## Economics guardrails

Set the boundaries every scenario, test, or budget has to respect. The operator and the finance lead own them jointly, and they're reviewed quarterly and after any material change in spend or capacity.

| Metric                                                   | Threshold (yours) | Breach action                                                                                    |
|----------------------------------------------------------|-------------------|--------------------------------------------------------------------------------------------------|
| Cost per accepted opportunity                            |                   | Pause or rebuild the channel; don't scale a channel failing acceptance economics.                |
| CAC (all defined acquisition costs ÷ new customers)      |                   | Freeze new spend until the numerator is audited.                                                 |
| Contribution payback (CAC ÷ monthly contribution margin) |                   | Reprice, repackage, or cut acquisition cost. Don't grow into a bad investment.                   |
| Sales capacity (workload vs. usable capacity)            |                   | Stop adding opportunities; add capacity or tighten qualification first.                          |
| Win rate (mature cohorts only)                           |                   | Diagnose by stage (message fit, qualification, capacity, cohort maturity) before touching spend. |

### TAKEAWAYS

- The misuse removes a cost, constraint, or uncertainty. The honest version puts it back.
- Seven lies, all habits: open-cohort rates, pipeline as revenue, unaccepted pipeline, hidden shape, missing baselines, points vs. percent, stale records.
- Attribution is a model. Label it.
- Score pipeline quality before you forecast against it.

### THIS WEEK

Take the last board or leadership slide that showed a pipeline number. Check it against the seven lies. Rewrite the slide's headline honestly, and keep the rewrite for next time.

### TOOLS

T32 Pipeline Quality Score · T33 Economics & Capacity Guardrail Table · Appendix D

PART IV

# Implementation

*Installing SPIIX in ninety days.*

# IV

You now have the model and the instruments. This part is the installation manual: what to do Monday, how to run the first ninety days, how to deal with the people and incentives that will push back, and which shortcuts will tempt you along the way. The pace is deliberate, slow enough to be real and fast enough to matter. One intervention at a time. Running two in parallel doubles the attention cost and halves the learning.

# 14

## CHAPTER 14

# The First Week

---

*No new tools, no new hires, no new spend. Read the system before you change it. By Friday you'll have a baseline, a named constraint, one decision, and a review date.*

### Ten steps, one week

The first week is about reading, not doing. Each step produces something you can hold up in a room.

**1. Write the useful output in one sentence.** This quarter's downstream result: *the number*. Everything else is candidate work. Use the four tests from Chapter 2: repeatable, observable, ungameable across stages, owned. *Output: one sentence, one owner.*

**2. Draw the commercial chain on one page.** From first signal to collected cash, with each stage's owner named. Use the eight stages from Chapter 1, renamed for your business; you may need fewer. *Output: the chain map, with blanks circled.*

**3. Define acceptance.** Write entry criteria that both sides sign: the first clause of the operating agreement. Don't try to perfect it this week. Get it written and get two names on it. *Output: a draft acceptance definition.*

**4. Close the last mature cohort.** Find the most recent window in which nothing is still open. Compute win rate, median cycle, and average deal value. *Output: a trusted baseline, signed and dated.*

**5. Price acceptance.** Fully loaded stage cost ÷ accepted opportunities. Write it next to the chain. *Output: cost per accepted opportunity, by source if you can.*

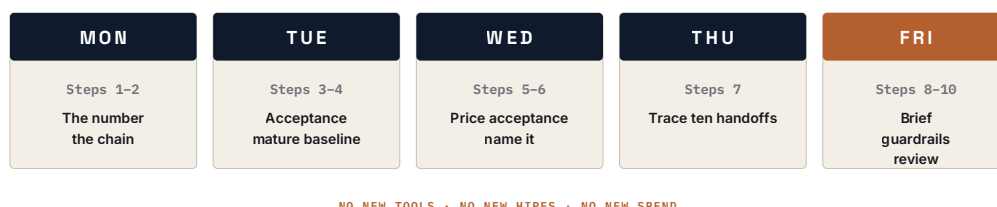
**6. Name the constraint.** The one stage limiting useful output most. Say it out loud, in the room. *Output: one sentence: “The limiting step is X, and here is why.”*

**7. Audit the last ten handoffs.** Pull ten recent items across the constraint’s boundary. Note the dwell time, the rejections, and the reason codes. *Output: ten traced records and the longest wait.*

**8. Write one decision brief.** Constraint, evidence, three options, the chosen move, owner, and review date. One page. *Output: a signed brief (T14).*

**9. Set the guardrails and the stop rule.** What the move must not damage, and the condition that ends it. Written before launch. *Output: guardrails and a stop rule attached to the brief.*

**10. Schedule the review.** One calendar event at the review date, with the evidence to be examined named in advance. *Output: a meeting that already knows what it’s for.*



**FIG. 14.1 The first week.** Monday and Tuesday are for reading, Wednesday for pricing and naming, Thursday for tracing, and Friday for choosing. Ten steps, five days, zero new spend.

| Day       | Steps | What you'll have by end of day                                 |
|-----------|-------|----------------------------------------------------------------|
| Monday    | 1-2   | The number and the chain                                       |
| Tuesday   | 3-4   | A draft acceptance definition and a mature-cohort baseline     |
| Wednesday | 5-6   | Cost per accepted opportunity and the named constraint         |
| Thursday  | 7     | Ten traced handoffs                                            |
| Friday    | 8-10  | A brief, guardrails, a stop rule, and a review on the calendar |

**SYSTEM CHECK**

If you can't complete step 4, closing a mature cohort, because the data won't support it, stop there. Your constraint for the next thirty days is measurement, and your first decision brief is about definitions, not growth. That isn't a detour. It's the ladder working.

**TAKEAWAYS**

- Week one is reading. No tools, hires, or spend.
- Each step produces an artifact you can show someone.
- If you can't close a mature cohort, measurement is your constraint.
- Friday's yield: a baseline, a named constraint, one decision, a review date.

**THIS WEEK**

Block two hours a day for five days. Do the ten steps in order. Don't skip step 7.

**TOOLS**

T2 • T3 • T4 • T6 • T14 • T15 • T16

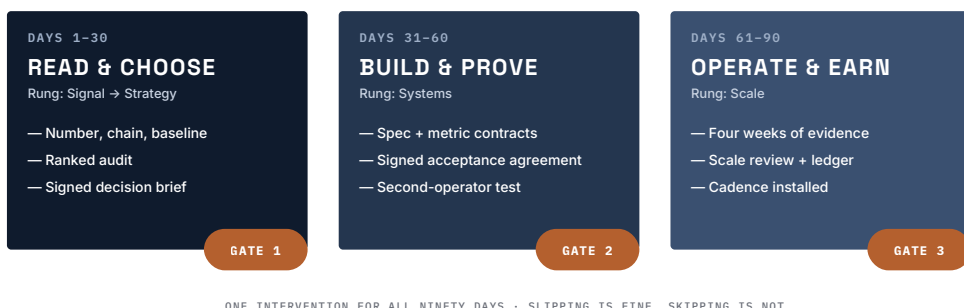
# 15

## CHAPTER 15

# The 30/60/90-Day Install

*Ninety days, three blocks, one intervention: read and choose, build and prove, operate and earn. Each block ends with an exit test, and you don't start the next block until it passes.*

## The shape of the ninety days



**FIG. 15.1** The 30/60/90-day install. Each block climbs one or two rungs of the Growth Ladder and ends at a gate. Days 1–30 read and choose (Signal, Strategy). Days 31–60 build and prove (Systems). Days 61–90 operate and earn (Scale), and the operating rhythm begins.

| Weeks | Block         | Rung   | Work                                                                       | Output                                                     |
|-------|---------------|--------|----------------------------------------------------------------------------|------------------------------------------------------------|
| 1     | Read & Choose | Signal | The first week (Chapter 14)                                                | The number, the chain, a baseline, a named constraint      |
| 2–3   | Read & Choose | Signal | Audit: define the record, reconcile data, run interviews, rank constraints | Ranked audit signed off by owners; Signal Register started |

| Weeks | Block          | Rung     | Work                                                                                                    | Output                                                                 |
|-------|----------------|----------|---------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|
| 4     | Read & Choose  | Strategy | Decision brief: hypothesis, cohort, metric, guardrails, stop rule, review                               | <b>Gate 1:</b> brief approved                                          |
| 5–6   | Build & Prove  | Sys-tems | Write the spec; configure fields, routing, rejection reasons, exceptions; sign the acceptance agreement | Spec and configured workflow, running by hand                          |
| 7     | Build & Prove  | Sys-tems | Trace records end to end; fix; run the second-operator test                                             | <b>Gate 2:</b> runbook passes; handoff verified                        |
| 8     | Build & Prove  | Sys-tems | Launch the pilot at test size with guardrails live                                                      | Pilot running; first weekly review held                                |
| 9–11  | Operate & Earn | Scale    | Operate at pilot size; honor the review window; don't re-debate                                         | Four weeks of evidence                                                 |
| 12    | Operate & Earn | Scale    | Scale review: expand, revise, stop, or diagnose; first ledger entry                                     | <b>Gate 3:</b> ledger started; next constraint named; rhythm installed |

## Days 1–30: Read and Choose

**Goal.** Replace opinion with a ranked, evidenced constraint, and make one bounded choice against it.

### Weekly work.

- *Week 1.* The ten steps from Chapter 14.
- *Week 2.* Run the audit (T5). Define the record you'll trace first. Reconcile counts across systems and agree field definitions across owners. Sample the rejections. Interview one owner on each side of every handoff in the chain, using the seven questions.
- *Week 3.* Rank the constraints, #1, #2, and #3 in reserve, each with its baseline, evidence, and gaps. Bring the ranking to the owners and get agreement by name. Start the Signal Register (T7) with the claims the ranking rests on.
- *Week 4.* Write the Decision Brief (T14). Run the Context Card (T11) on it. Write the guardrails (T15) and the stop rule (T16) while everyone is calm. Get it approved.

**Artifacts.** Useful output definition (T3) · Chain map (T2) · Trusted baseline (T6) · Ranked audit (T5) · Constraint map (T4) · Signal Register (T7) · Approved Decision Brief (T14).



**Gate 1 (exit test).** An outsider can read the audit and the brief and reproduce the decision. The brief has one owner, one metric, one stop rule, and named exclusions. The review dates are on the calendar.

**The leader's job.** Protect the reading time. Refuse to let anyone start building. Make the exclusions public: tell the teams what they're *not* doing this quarter.

**What to tell leadership at Day 30.** “Here’s the number we’re managing to. Here’s the constraint, with evidence. Here’s the one intervention we’re making, what it will cost, what would make us stop, and when you’ll hear the result. Here’s what we’ve stopped doing to make room for it.”

## Days 31–60: Build and Prove

**Goal.** Install the intervention as a workflow that a second operator can run, and get the pilot live with guardrails.

**Weekly work.**

- *Week 5.* Write the Systems Build Specification (T23) before configuring anything. Write the metric contracts and stage definitions (T19) the workflow touches. Draft the Lead Acceptance Agreement (T20) or the equivalent handoff agreement for your constraint.
- *Week 6.* Configure fields, routing, rejection reasons, and the exception queue. Run it **by hand**. Get the acceptance agreement signed by both owners.
- *Week 7.* Trace records end to end (T25), run by someone who didn’t build the workflow. Fix what the trace finds. Run the second-operator test: the author watches and says nothing. Validate (T26).
- *Week 8.* Launch the pilot at test size. Turn the guardrails on. Hold the first Weekly Operating Review (T40).

**Artifacts.** Build spec (T23) · Metric contracts (T19) · Signed acceptance agreement (T20) · Routing and rejection map (T22) · Runbook (T24) · Trace log (T25) · Validation checklist (T26) · Live guardrails (T33).

**Gate 2 (exit test).** A second operator runs the workflow end to end from the runbook alone. The receiving side accepts the handoff and can work with what arrives. Every exception has an owner. Nothing has been automated that didn’t first work by hand.

**The leader's job.** Fund the boring part before the exciting part. Defer every tool conversation to after Day 90. Make sure ownership is real: authority as well as accountability.

**What to tell leadership at Day 60.** “The workflow runs without its builder. Here's the runbook. The pilot is live at this size, with these guardrails. Here's what we've learned already, including what broke in the trace and how we fixed it. We'll read the evidence at Day 90 against criteria we wrote at Day 30.”

## Days 61–90: Operate and Earn

**Goal.** Generate clean evidence at pilot size, make the first honest scale decision, and install the operating rhythm.

### Weekly work.

- *Weeks 9–11.* Operate at pilot size. Hold the weekly review. **Honor the review window:** don't re-debate weekly, and don't move the goalposts. Watch the guardrails, and if a stop rule fires, it fires. Hold the first Monthly Commercial & Decision Review (T41).
- *Week 12.* Score the Scale Readiness Scorecard (T34). Hold the scale review: expand, revise, stop, or diagnose. Write the first Decision Ledger entry (T39) with its reversal condition. Name the next constraint. Put the cadence on the calendar for the next two quarters (Chapter 18). Score the Growth Ladder Diagnostic again.

**Artifacts.** Four weeks of pilot evidence · Readout (T38) · Experiment Ledger (T37) · Scale Readiness Scorecard (T34) · Decision Ledger (T39) · Cadence calendar · Second Diagnostic score (T1).

**Gate 3 (exit test).** The scale decision is written in the ledger with the evidence that supports it and the condition that would reverse it. The next constraint is named. The weekly, monthly, and quarterly reviews are on the calendar with owners.

**The leader's job.** Be the gate between evidence and scale. If the evidence is medium-confidence, the allocation is bounded. If a stop fires, treat it as the system working and say so publicly.

**What to tell leadership at Day 90.** “Here’s what the intervention did, read on a mature basis where we can and labeled where we can’t. Here’s our confidence level and why. Here’s the decision: expand, revise, stop, or diagnose, and the condition that would reverse it. Here’s the next constraint, because the constraint has moved. Here’s the rhythm we’ll run from now on.”

#### FAILURE MODE

Starting a second intervention at Day 45 because the first one “is going well.” Two in parallel doubles the attention cost and halves the learning. If you have spare capacity, spend it on the Signal Register and the next audit, not on a second build.

## When the plan slips

Ninety days is a realistic pace, not a promise. Plans slip for three common reasons, and each has a rung:

- **The data won’t reconcile.** Signal. Extend Days 1–30 and make definitions the intervention.
- **The owners won’t sign.** Strategy, or Chapter 16. The disagreement is the finding; escalate it to whoever decides the rung.
- **The second operator keeps hesitating.** Systems. The runbook isn’t done. Don’t launch the pilot until it passes.

Slipping is fine. Skipping isn’t.

[STEVE TO ADD: optional. If you’ve run this 30/60/90 with a team or client (anonymized, with permission), one sentence on what surprised them most. No outcome claims unless verified.]

**TAKEAWAYS**

- Three blocks, three gates. Don't start the next block until the gate passes.
- Days 1–30 read and choose; 31–60 build and prove; 61–90 operate and earn.
- One intervention for all ninety days.
- Each block ends with a short, honest update to leadership.
- Slipping is fine. Skipping isn't.

**THIS WEEK**

Put the three gates on the calendar now, at Days 30, 60, and 90, with the names of the people who must attend. Print the Install Tracker (T46) and fill in the owner column.

**TOOLS**

T46 30/60/90 Install Tracker • T1 Growth Ladder Diagnostic • T34 • T39 • T40 • T41

# 16

## CHAPTER 16

# Owners, Incentives, and the Politics of the Install

*Ownership is infrastructure. Ownership without authority is blame with a title, and an incentive that rewards the stage over the chain will undo any framework you install.*

## Every stage needs a name

Every stage needs a name: a person with the authority to act and an outcome they own. Stages without owners decay.

The temptation is to say “the team owns it” or “we co-own it.” In practice that means nobody is responsible, and the stage runs on whoever cares that week. The counterargument is fair: over-assigning ownership creates turf. The answer is to separate accountability from collaboration: **one named owner per outcome, with the authority to pull in anyone needed.**

| The “team owns it” company                                                | The named-ownership company                           |
|---------------------------------------------------------------------------|-------------------------------------------------------|
| Outcomes float. Three people watch the routing queue and nobody fixes it. | Every stage has a name, an authority, and an outcome. |
| When something fails, there’s a meeting.                                  | When something fails, one person explains it.         |

The leader’s job is to assign ownership and protect it: real authority, honest reporting, and no absorbing the problem back upward.

## Decision rights by rung

The rungs set the order of the work. This matrix sets who carries each one: **one decider and one artifact owner per rung**. An unstaffed rung is a skipped rung with better manners.

| Rung            | Founder / CEO             | Growth leader                 | Marketing ops                     | Sales leader               | RevOps                                    |
|-----------------|---------------------------|-------------------------------|-----------------------------------|----------------------------|-------------------------------------------|
| <b>Signal</b>   | Decides the read          | Owens the register            | Supports: definitions, data truth | Supports: field truth      | <b>Owens</b> cohort reconciliation        |
| <b>Strategy</b> | Decides the choice        | Owens the decision brief      | Supports                          | Supports: constraint input | Supports: economics check                 |
| <b>Sys-tems</b> | Supports: funds the build | <b>Decides</b> build priority | <b>Owens</b> the run-book         | Supports: runs it          | Supports: hand-off design                 |
| <b>Scale</b>    | <b>Decides</b> allocation | <b>Owens</b> the gates read   | Supports                          | Supports: capacity truth   | <b>Owens</b> economics and capacity model |

*Adjust the columns to your org chart. The rule doesn't change.*

**One decider per rung.** Two deciders is a negotiation, not a decision. **Support isn't a veto.** Supplying the truth isn't the same as approving the artifact. If the team can't agree on who decides a rung, reconcile the matrix first. It's the cheapest disagreement in this chapter.

## Incentives are instructions too

Chapter 2 made the point that every metric is a set of instructions. **Compensation is the loudest instruction in the building.** If marketing is paid on MQLs and sales on bookings, you have instructed marketing to widen the definition of a lead and sales to discount at quarter-end, and no framework in this book will outvote the paycheck.

You don't need to redesign comp to start the install. You do need to stop the worst instruction. Three moves, in order of difficulty:

1. **Report the shared number alongside every team's own number.** Visibility first. Every functional dashboard shows useful output next to its local metric.
2. **Add a downstream guardrail to every local target.** Marketing's lead target comes with an acceptance-rate floor. Sales' bookings target comes with a dis-

count ceiling or a 90-day retention floor. The local number still counts, but it can't be hit by moving cost downstream.

3. **Move part of variable comp to the shared outcome.** For example, marketing on accepted opportunities that reach a defined stage rather than raw MQLs. This is a leadership decision with finance and HR in the room; this book doesn't prescribe the split.

[STEVE TO ADD: optional, approved and anonymized. An incentive or comp change you made or recommended that realigned two teams, and what happened. No invented figures.]

## Getting two teams to sign the same page

The Lead Acceptance Agreement (T20) is where the install usually meets its first real resistance. Some patterns that help:

- **Bring the record, not the opinion.** Open with the ten traced handoffs from Week 1 and the reconciled gap. It's hard to argue with a record you both can see.
- **Let the receiving side write the acceptance criteria first.** The sender then negotiates the payload and the SLA. This reverses the usual order, where the sender defines "qualified" alone.
- **Make the rejection reasons a closed list both sides draft together.** Once they agree on why things get rejected, they've mostly agreed on what "good" means.
- **Sign for a quarter, not forever.** A 90-day agreement with a review date is easier to sign than a permanent one, and you were going to re-sign quarterly anyway.
- **If they still won't sign, escalate the disagreement, not the people.** Take it to whoever decides the rung, framed as: "Here are the two definitions, and here's what each one predicts."

## Saying "hold volume" upward

The hardest conversation in this book is telling a CEO or board that the right move is not to spend yet. Some practical guidance:

- **Lead with the gate, not the fear.** "We're holding because the capacity gate is amber at 88% utilization. Here's what turns it green and when." Each "not yet" names the red gate and what would change it.

- **Offer a bounded step instead of a no.** “We’ll release a third of the increase now, fund routing and one intake hire, and gate the rest on response time.” (See the “Spend before the system is ready” case in Part VI.)
- **Show the pre-mortem.** “It’s six months from now and the doubled spend failed. Here’s why.” It’s easier to agree with a story about failure than with a refusal.
- **Write the reversal condition into the approval.** Leadership approves more easily when it can see the exit.

Common resistance, and the rung it points to

| What you hear                                        | What it usually means                    | Where to go                                                            |
|------------------------------------------------------|------------------------------------------|------------------------------------------------------------------------|
| “We don’t have time to audit; we need pipeline now.” | Pressure to skip Signal                  | Chapter 5’s failure map; the first week costs five days, not a quarter |
| “Let’s just try all three ideas.”                    | Avoiding a choice                        | Chapter 7: narrow is the only bet that teaches                         |
| “The new platform will fix it.”                      | Tool before process                      | Chapter 9: automation follows a working process                        |
| “Sales just needs to follow up better.”              | A people diagnosis for a handoff problem | Chapter 8: check the bridge before the person                          |
| “The pilot worked; let’s 10× it.”                    | Declaring scale                          | Chapter 10: four gates, bounded steps                                  |

DECISION PROMPT

Write one name per stage of your chain. Blanks are gaps. For each name, write what that person can change *alone*. When was the ownership map last updated?



**TAKEAWAYS**

- Ownership is infrastructure: one name per outcome, with real authority.
- One decider per rung. Support isn't a veto.
- Comp is the loudest instruction in the building. At least add downstream guardrails to local targets.
- Bring the record, not the opinion, to every alignment conversation.
- "Not yet" must name the red gate and what turns it green.

**THIS WEEK**

Fill in the Ownership Grid (T29) for your chain. Share it with every named owner and ask one question: "Can you change this alone?" Record every "no."

**TOOLS**

T29 Ownership Grid · T20 Lead Acceptance Agreement · T18 Pre-Mortem · Appendix E Diagnostics by Function

# 17

## CHAPTER 17

# Shortcuts, Exceptions, and Pre-Mortems

*Every phase has a tempting shortcut, and each one borrows against the same account: the cost of being wrong. When you have to move before you're certain, bound the exception, and run the pre-mortem first.*

## Common shortcuts and their cost

| Shortcut                                   | What breaks                                              | What it costs                                                         |
|--------------------------------------------|----------------------------------------------------------|-----------------------------------------------------------------------|
| Skip the audit; fix the obvious            | The ranking: the "obvious" fix targets a symptom         | Months of work on a non-constraint while output stays flat            |
| Audit everything; rank nothing             | Agreement: forty findings means forty priorities         | The team debates priority while nothing moves                         |
| Strategy as three initiatives in one brief | The decision rule: no single metric can judge three bets | Every outcome is defensible; nothing is learned                       |
| Criteria written after the test            | The evidence: late criteria are rationalization          | Success is claimed on whichever metric moved                          |
| Happy path only; defer the exceptions      | The workflow: exceptions are where real records live     | Buyers improvise; definitions drift                                   |
| Scale the launch, not the allocation       | Durability: unproven workflows don't survive volume      | The system breaks at size; reversal means dismantling the celebration |

Every shortcut is priced in reversibility: each one makes the next mistake more expensive to undo.

*Automation follows a working process. It doesn't create one.*

---

## The bounded exception

Sometimes you have to move before the system is ready. A launch date is fixed, a market window is closing, attribution is mid-repair. The principles don't forbid moving; they forbid moving *unbounded*. Every exception gets **an owner, an exposure limit, and an expiry date**.

### HYPOTHETICAL SCENARIO

#### Launching before attribution repair

A company is ready to launch, but its attribution is mid-repair, and reporting won't be trustworthy for six weeks. Rather than wait or launch blind, the team launches a bounded exception: a limited cohort, manual source capture, capped spend, and a hard stop. When the six weeks are up, the exception either becomes a proper test with clean measurement or it ends.

The **Exception Log** (T28) records the assumption (what we don't yet know), the exposure limit (cohort size, spend cap, time box), and the owner, expiry date, and kill condition. **An exception without an expiry date is a policy you didn't admit to.**

### DECISION PROMPT

What's automated that never worked manually? Can you write the next tool requirement on one page? Which exceptions are past their review date?

## The pre-mortem

Before any material commitment, imagine it has already failed.

### HYPOTHETICAL SCENARIO

#### The pre-mortem that stopped a doubling

A company plans to double paid spend. First, a pre-mortem: *“It’s six months from now, and the doubled spend failed. Why?”* The room converges quickly. At double volume, response time, which is already the constraint, collapses. The doubling is shelved, and the routing work is funded instead.

Run it in thirty minutes. Set the scene: one year from now, the commitment has failed. Each person writes three failure reasons alone: what broke first, what was ignored, and what moved at the new volume. Then share, cluster, and agree on the **early warning to watch** (signal, not hope). Close with a decision: **proceed, fence, or kill**, and the evidence threshold for the next step.

**A pre-mortem that changes nothing was theater.**

#### TAKEAWAYS

- Every shortcut borrows against the cost of being wrong.
- You can move before you’re certain, but only with a bounded exception: owner, exposure limit, expiry.
- An exception without an expiry date is a hidden policy.
- Run a pre-mortem before every material commitment, and let it change something.

#### THIS WEEK

List every “temporary” workaround currently running in your chain. Give each one an owner and an expiry date in the Exception Log, or retire it.

#### TOOLS

T28 Exception Log · T18 Pre-Mortem · T16 Stop Rule Builder

PART V

# Operating Rhythm

*Keeping it running.*



A framework you install once is a project. One you run every week is an operating system. This part is about tempo: the meetings, ledgers, and loops that keep the ladder climbed after the install team moves on. In music, tempo is a decision someone makes on purpose. The same is true here. Choose the cadence, protect it, and let it do the remembering for you.

# 18

## CHAPTER 18

# The Cadence Stack

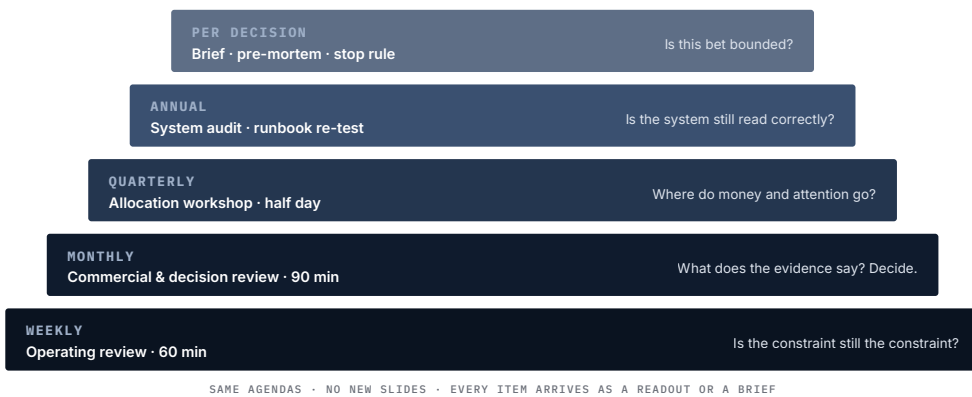
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*One rhythm, five tempos: weekly, monthly, quarterly, annual, and per decision. Same agendas, no new slides, and every item arrives as a readout or a brief.*

## Why cadence is infrastructure

Without a cadence, every review is a special event, and special events get cancelled. Cadence turns the ladder from something you remember to do into something that happens. It's also how the organization remembers. The ledgers hold what was decided and why; the cadence makes sure someone reads them.

Most companies run five different review meetings with five different agendas, and two of them usually disagree about who decides what. Here they are reconciled into one stack.



**FIG. 18.1 The Cadence Stack.** Each tempo answers a different question. Weekly: is the constraint still the constraint? Monthly: what does the evidence say, and what do we decide? Quarterly: where do money and attention go next? Annually: is the whole system still read correctly? Per decision: is this bet bounded?

| Tempo        | Meeting                      | Length                          | Owner             | The question it answers                                  | Inputs                                                                     | Outputs                                                             |
|--------------|------------------------------|---------------------------------|-------------------|----------------------------------------------------------|----------------------------------------------------------------------------|---------------------------------------------------------------------|
| Weekly       | Operating Review             | 60 min                          | Operator          | Is the constraint still the constraint?<br>What's stuck? | Numbers vs. plan, active experiments, stage-age panel                      | Owners and dates for every blocker                                  |
| Monthly      | Commercial & Decision Review | 90 min                          | Commercial leader | What does the evidence say, and what do we decide?       | Reconciled cohorts, ledgers, guardrail breaches, readouts due              | Decisions; retired metric; next constraint; approved briefs         |
| Quarterly    | Allocation Workshop          | Half day (90-min decision core) | Decision owner    | Where do money and attention go next?                    | Guardrail dashboard, capacity model, cohort curves, fresh readiness scores | Allocation changes with owners; guardrail resets; at least one kill |
| Annual       | System Audit                 | 2–3 days of work                | Commercial leader | Is the system still read correctly?                      | Full audit (T5), runbook re-tests, definition review                       | Re-ranked constraints; re-tested runbooks; retired definitions      |
| Per decision | Brief, pre-mortem, stop rule | As needed                       | Decision owner    | Is this bet bounded?                                     | Context Card, brief                                                        | A signed brief with review dates on the calendar                    |

## Weekly Operating Review: 60 minutes

Same time every week. No status theater: every item ends with an owner and a date, or it didn't happen.

| Time | Item                                                                                                                         |
|------|------------------------------------------------------------------------------------------------------------------------------|
| 0:00 | <b>Numbers vs. plan, and the constraint check.</b> Is it still the constraint?                                               |
| 0:15 | <b>Active experiments.</b> On track, at risk, or ready to read out. Guardrails checked; any stop rule that has fired, fires. |
| 0:30 | <b>Handoffs and blockers.</b> What's stuck between owners? Read the stage-age panel, not activity counts.                    |
| 0:40 | <b>Exceptions.</b> Any exception past its disposition clock or its expiry date.                                              |
| 0:50 | <b>Decisions needed and commitments.</b> Who does what, by when.                                                             |

## Monthly Commercial & Decision Review: 90 minutes

This is the meeting where evidence meets allocation. It merges three meetings most companies run separately: the decision review, the commercial review, and the next-constraint review. Bring the reconciled numbers, the ledgers, and the breaches; everything else is commentary.

| Time | Item                                                                                                                                      |
|------|-------------------------------------------------------------------------------------------------------------------------------------------|
| 0:00 | <b>Guardrails (5 min).</b> Any test outside its guardrails? The stop rule fires. No debate.                                               |
| 0:05 | <b>Cohort outcomes vs. forecast.</b> Reconciled, not snapshot. Maturity stated before any number.                                         |
| 0:20 | <b>Funnel reconciliation.</b> Gaps explained (T5 checklist).                                                                              |
| 0:30 | <b>Economics.</b> Cost per accepted opportunity, cost per won deal, payback, break-even.                                                  |
| 0:40 | <b>Readouts due.</b> Brief vs. actual, stated confidence, a decision for each.                                                            |
| 0:60 | <b>Negative results.</b> What each failed test ruled out, entered in the ledger before you adjourn.                                       |
| 0:65 | <b>Dashboard audit.</b> Nominate one metric for removal; the register decides.                                                            |
| 0:70 | <b>Next constraint.</b> Three inputs (guardrails, capacity model, cohort curves). One output: the next constraint, one action, one owner. |
| 0:80 | <b>New briefs and assignments.</b> Approve or reject. No brief, no test. Every diagnostic leaves with an owner and a date.                |

End with named bets, not themes.



## Quarterly Allocation Workshop: half day

The quarterly workshop is where reallocation happens. It's the hardest discipline in the stack, because moving money means admitting a past allocation was wrong. Block a half day: preparation and review first, then a protected 90-minute decision core.

### Before the decision core (review, 60–90 min):

- Where capital and time went, and what it returned, by bet, against the stop rules.
- The constraint re-map (T4): has it moved?
- Fresh Scale Readiness scores (T34) for every segment asking for more.

### The decision core (90 min, same agenda every quarter):

| Minutes | Item                                                                                                    |
|---------|---------------------------------------------------------------------------------------------------------|
| 15      | <b>Guardrail review.</b> What breached, what's amber, and what reset.                                   |
| 15      | <b>Capacity check.</b> Sales, delivery, CS: where's the lowest threshold?                               |
| 15      | <b>Cohort durability.</b> 30/90/180-day curves by cohort and segment.                                   |
| 25      | <b>Allocation decisions.</b> By segment and channel: fund, feed, revise, or stop. One decision per bet. |
| 10      | <b>Decision ledger.</b> Every decision written, with its reversal condition.                            |

**Outputs:** allocation changes with owners, guardrail resets, and the named next constraint. **Rules:** no allocation survives on history alone. If the money and the priorities disagree, the money is telling the truth. **Kill at least one thing every quarter.**

## Annual: re-read the whole system

Once a year, or whenever the constraint changes in a way the monthly review can't explain, run the full audit again (T5). Re-test every runbook with a new second operator. Review every definition and retire the ones nobody uses. The annual audit exists because the monthly review reads the constraint you already know about. The audit is how you find the one you don't.

## The organization's memory: three ledgers

The cadence only compounds if what's decided gets written down. Three ledgers, each with one job:

- **The Experiment Ledger (T37)** records every test: hypothesis, decision it informs, brief date, read window, guardrails and stop rule, result, and what was learned. Unwritten experiments get repeated, including the failed ones.
- **The Readout (T38)** closes every test: what we expected (copied from the brief), what happened (numbers plus cohort maturity), competing explanations checked, evidence rung and confidence, the decision, and what would change it. Readouts end with a decision, never with “interesting.” Write “inconclusive” when it's true, with the next diagnostic named.
- **The Decision Ledger (T39)** records every material decision: date, decision, owner, evidence cited, expected outcome, review date, outcome at review, and what it teaches the next decision. A decision without a review date is a bet you never settle.

[STEVE TO ADD: optional. The weekly or monthly review agenda you actually run (or have run), and one thing you've learned about keeping it from turning into status theater.]

### TAKEAWAYS

- Cadence is infrastructure. Without it, reviews get cancelled and the ladder decays.
- Five tempos: weekly (60 min), monthly (90 min), quarterly (half day), annual (audit), per decision.
- Same agendas every time. Every item arrives as a readout or a brief.
- Kill at least one thing every quarter.
- Three ledgers hold the organization's memory.

### THIS WEEK

Put the weekly and monthly reviews on the calendar for the next two quarters, with owners. Cancel one existing meeting they replace.

### TOOLS

T37 Experiment Ledger · T38 Readout · T39 Decision Ledger · T40 Weekly Review · T41 Monthly Review · T42 Quarterly Workshop

# 19

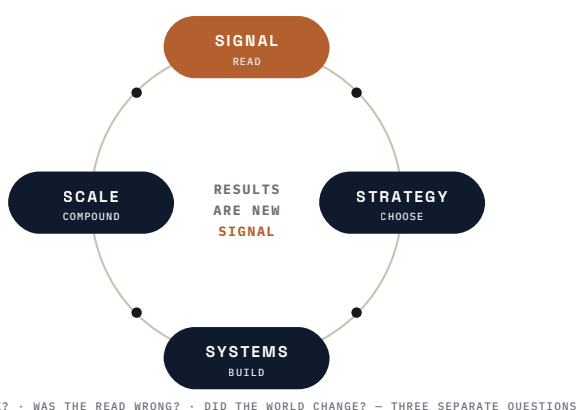
## CHAPTER 19

# The Return Loop: When the Constraint Moves

*Results aren't the end of the loop. They're new signal, and the return path is what makes the ladder an operating system instead of a one-pass plan.*

## Results are new signal

Choosing, building, scaling, and then starting over from zero with a new plan and the same unread assumptions: that's how a team learns nothing twice. The ladder has a return path for a reason. Every result goes back to Signal and gets read again before any new choice.



**FIG. 19.1** The return loop. Signal → Strategy → Systems → Scale, then back to Signal. Read it bottom to top on the way up and top to bottom on the way back. Nothing compounds that hasn't been re-read.

### Three separate questions

Read results against the decision brief, not against vibes. The brief named a metric and a stop rule. The return read asks three separate questions:

- 1. Did the intervention work?
- 2. Was the original read wrong?
- 3. Did the world change underneath both?

These are different failures with different fixes. Teams that don't separate them fix the wrong one, usually by rebuilding the system when the read was wrong.

The brief's review date is the re-entry appointment. Put it on the calendar when you write the brief. And when an assumption breaks between reviews, don't wait: re-enter at the rung the symptom points to.

### The re-entry guide

| Symptom                                        | Re-enter at          | First check                                                                                          |
|------------------------------------------------|----------------------|------------------------------------------------------------------------------------------------------|
| Two teams read the same dashboard and disagree | Signal               | Do the definitions reconcile? If not, reconcile before anything else.                                |
| The metric moved, but no decision changed      | Signal               | Did that metric ever change a decision? If not, retire it.                                           |
| The plan was followed and results fell off     | Signal               | Which assumption in the original read broke? Re-read before re-choosing.                             |
| Operators are improvising around the workflow  | Systems              | Where does the runbook fail the second-operator test? Fix the workflow, not the operators.           |
| Unit economics decay as volume rises           | Scale, then Strategy | Which gate went red: repeatability, economics, capacity, or durability? Hold volume and diagnose.    |
| The tool is being blamed for bad output        | Strategy             | Was the intervention ever bounded, owned, and measured? Automating a disagreement only speeds it up. |
| A key operator leaves and the workflow wobbles | Systems              | Was the runbook a person all along? Re-run the second-operator test.                                 |

## Constraints move, and that's the point

Fix qualification and the constraint shifts to capacity. Fix capacity and it shifts to message match. Every one of the twelve cases in Part VI ends with a *next constraint*, because that's what success looks like in a system: the bottleneck relocates. If your constraint hasn't moved in two quarters, either your intervention isn't working, or you aren't reading the system anymore.

## Scale can be unearned

Scale is earned one gate at a time, and it can be unearned. Economics decay. A key operator leaves and the runbook turns out to have been a person after all. When that happens, step back a rung and earn it again. That's what the return path is for.

---

*Re-entry isn't failure. It's the loop working. The only failed loop is the one nobody re-enters.*

---

### TAKEAWAYS

- Results are new signal. Re-read them before choosing again.
- Separate the three questions: did it work, was the read wrong, did the world change?
- Re-enter at the rung the symptom points to; the guide tells you where.
- A constraint that hasn't moved in two quarters is a warning.
- Scale can be unearned. Step back and earn it again.

### THIS WEEK

Take the last initiative you finished. Answer the three questions about it in writing. If you can't answer the second one, the original read was never written down. Start a register entry for the next one.

### TOOLS

T7 Signal Register · T38 Readout · T39 Decision Ledger · T43 Rung Readiness Scorecard

# 20

## CHAPTER 20

# The Six Operator Principles

---

*Principles are most useful when the pressure rises: the data is incomplete, the budget is on the line, and the room wants an answer today. These are the six rules that govern everything else.*

Each principle below is taught in full earlier in the book. This chapter collects them as rules to reach for under pressure. For each one: the temptation it resists, the honest counterargument, the leader's responsibility, and the questions to ask in the room.

---

## 1 • Growth is a system, not a campaign.

*Taught in Chapter 1. **The temptation:** when the number dips, launch something. **The counterargument:** sometimes you need a spike; the error is mistaking a good campaign for a healthy system. **The leader's responsibility:** own the architecture, not the launch calendar. Fund the unglamorous middle as seriously as the visible top.*

**In the room:** Without campaigns, what does the system produce? Which stage breaks first at double volume? Where does the effort go, launches or the system? *If you can't state next quarter's output without a launch on the calendar, you fail the System Check (T45).*

## 2 • Context comes before prescription.

*Taught in Chapter 7.* **The temptation:** the borrowed playbook. **The counterargument:** patterns repeat, so hold experience as a hypothesis until context confirms or kills it. **The leader's responsibility:** slow down the confident recommendation, reward “what's different here?”, and refuse to fund tactics that arrive without their conditions.

**In the room:** What changed in our market in the last year? What would make the last recommendation wrong? Execution or context: which do we check first? *No Context Card, no funding (T11).*

---

## 3 • Ownership is infrastructure.

*Taught in Chapters 9 and 16.* **The temptation:** “the team owns it.” **The counterargument:** over-assigning creates turf, so separate accountability from collaboration. **The leader's responsibility:** assign ownership and protect it with real authority. Ownership without authority is blame with a title.

**In the room:** One name per stage; blanks are gaps. What can each owner change alone? When was the ownership map last updated? *Any stage without a single name is an unowned stage, a known risk until it's filled (T29).*

---

## 4 • Automation follows a working process.

*Taught in Chapter 9.* **The temptation:** the demo is convincing and the purchase is easier than the process work. **The counterargument:** sometimes the tool is the process, so write the operating requirement first anyway. **The leader's responsibility:** write the requirement before the purchase, and bound every exception with an owner, a limit, and an expiry.

**In the room:** What's automated that never worked manually? Can we write the next requirement on one page? Which exceptions are past their review date? *(T27, T28)*

## 5 • A metric earns its place by changing a decision.

*Taught in Chapters 3 and 6.* **The temptation:** dashboards accumulate; every quarter adds metrics and nothing retires. A locally excellent metric can hide deteriorating economics downstream. **The counterargument:** some metrics earn their place as context. The test still holds: if the weather changes, does any decision change? Context that never informs a choice is trivia with a chart. **The leader’s responsibility:** kill reports regularly, publicly, without apology.

**In the room:** Which metric would you retire? Read your best metric’s next two stages: same story? When a number moves, does it lead to a discussion or a decision? *Keep: decision named, owner attached, changed a decision recently. Retire: anything else (T9).*

## 6 • Scale is earned.

*Taught in Chapter 10.* **The temptation:** scaling feels like progress. **The counterargument:** some things only work at scale (network effects, brand spend). The principle still applies; only the evidence bar shifts. What you earn is proof of the mechanism, and hope isn’t a mechanism. **The leader’s responsibility:** be the gate between evidence and scale.

**In the room:** What are we scaling, and what earns the next step? What breaks at ten times the volume? When did we last kill an unsupported scale-up? *The most expensive sentence in growth: “It worked in the pilot, so it will work at ten times the size.”*

| The promise company                                                                                | The evidence company                                                     |
|----------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------|
| Scale follows conviction and momentum. The pilot worked, so the channel gets ten times the budget. | Scale is gated. Each step up requires the evidence from the step before. |
| The budget grows; the evidence stays at the pilot.                                                 | When the economics degrade, scale stops until the system is fixed.       |

*Evidence supports the choice. The choice defines the workflow. The workflow earns the right to scale.*



**TAKEAWAYS**

- Six principles, each the short form of a chapter.
- Each one names a temptation, takes the counterargument seriously, and assigns the leader a job.
- Reach for them when the room wants an answer today.

**THIS WEEK**

Print the six principles on one page. Bring it to your next leadership meeting and ask which one the team broke most recently.

**TOOLS**

T45 System Check · T11 · T29 · T27 · T9 · T34



PART VI

# Practice

*Twelve situations, read as systems.*



These twelve cases aren't case studies and they aren't advice. They're instruments for practicing the habit this book teaches: naming the actual question before choosing the intervention, writing the stop rule before spending the money, and treating every confident reading of a dashboard as a hypothesis with a half-life. Every case is hypothetical. Each one is mapped to the rung and chapter it exercises.

# 21

## CHAPTER 21

# Twelve Field Cases

*A team that practices on hypotheticals starts doing it on real decisions, and that's the entire point.*

## How to use these in the room

Bring a case to a leadership conversation when the team is arguing about a symptom. Then:

1. **Read the presenting problem aloud.** Nothing else.
2. **Ask the room for the misleading interpretation** before you reveal it. Most rooms produce it within a minute.
3. **Ask for the actual question.** Write the room's version on a whiteboard before reading the case's version.
4. **Let the group argue** about which competing explanation fits *their own* data.
5. **Close with the next constraint.** Every case ends with one, because fixing a constraint moves it.

The value isn't in the answer each case reaches. It's in the habit the exercise builds.

| # | Case                        | Rung          | Chapter |
|---|-----------------------------|---------------|---------|
| 1 | More spend, same acceptance | Signal        | 6, 12   |
| 2 | Traffic without demand      | Signal        | 2, 6    |
| 3 | Better forms, worse closes  | Signal / Math | 12      |
| 4 | Volume versus quality       | Systems       | 8       |

| #  | Case                                        | Rung             | Chapter |
|----|---------------------------------------------|------------------|---------|
| 5  | A full pipeline that starves revenue        | Signal / Math    | 12, 13  |
| 6  | Bigger deals, slower cycles                 | Scale / Math     | 10, 11  |
| 7  | The automation that doesn't automate        | Systems          | 9       |
| 8  | A channel that eats its payback             | Scale            | 10, 12  |
| 9  | The segment that converts and leaves        | Scale            | 10      |
| 10 | Spend before the system is ready            | Scale            | 10, 16  |
| 11 | One dashboard, twelve versions of the truth | Systems          | 8       |
| 12 | Scale, revise, stop, or diagnose            | Strategy / Scale | 7, 10   |

## Case 1 • More spend, same acceptance

|                                      |                                                                                                                      |
|--------------------------------------|----------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | Spend up 100% year over year; MQLs up 90%; acceptance flat at 34%.                                                   |
| <b>THE MISLEADING INTERPRETATION</b> | Stable acceptance means quality held. But blended stability can hide a mix shift.                                    |
| <b>THE ACTUAL QUESTION</b>           | Is the marginal cost per accepted lead rising? What is acceptance by source and by cohort?                           |
| <b>SIGNAL NEEDED</b>                 | Acceptance by source per monthly cohort; cost per accepted lead; MQL aging.                                          |
| <b>LIKELY CONSTRAINT</b>             | Fit: the new spend reaches demographically matched audiences without buying intent.                                  |
| <b>DECISION BRIEF</b>                | Hypothesis: marginal sources accept below legacy sources. If acceptance is uniform by source, audit routing instead. |
| <b>INTERVENTION</b>                  | Hold spend flat for one quarter; shift 30% from the two worst sources to the two best.                               |
| <b>PRIMARY METRIC</b>                | Cost per accepted lead, by source, by monthly cohort.                                                                |
| <b>GUARDRAILS</b>                    | Keep accepted volume above plan; watch for reps lowering the acceptance bar.                                         |
| <b>READOUT</b>                       | Falling cost per accepted lead: the mix was the problem. Flat: the constraint is downstream.                         |
| <b>DECISION</b>                      | Scale the winning sources; rewrite the MQL definition around observed acceptance.                                    |
| <b>NEXT CONSTRAINT</b>               | Accepted leads stalling in the first stage. Acceptance is a handoff, not a close.                                    |

## Case 2 • Traffic without demand

|                                      |                                                                                                                                            |
|--------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | Organic sessions up 210% year over year after a sustained publishing program; qualified opportunities up 12%; cost per opportunity rising. |
| <b>THE MISLEADING INTERPRETATION</b> | “Content takes time.” Time doesn’t convert readers who were never buyers.                                                                  |
| <b>THE ACTUAL QUESTION</b>           | What share of traffic carries buying intent, by topic cluster rather than by channel?                                                      |
| <b>SIGNAL NEEDED</b>                 | Opportunities per cluster; share of sessions from in-market accounts; assisted paths.                                                      |
| <b>LIKELY CONSTRAINT</b>             | Topic-to-buyer mismatch. The calendar rewards reach, and reach rewards generic topics.                                                     |
| <b>DECISION BRIEF</b>                | Hypothesis: under 20% of sessions are in-market, and yield varies tenfold by cluster.                                                      |
| <b>INTERVENTION</b>                  | Pause the two lowest-yield clusters; put one concrete next step on every top page.                                                         |
| <b>PRIMARY METRIC</b>                | Qualified opportunities per 1,000 sessions, by cluster.                                                                                    |
| <b>GUARDRAILS</b>                    | Protect talent-brand and partner traffic; don’t judge short cycles on opportunities alone.                                                 |
| <b>READOUT</b>                       | Yield concentrated in a few clusters: a calendar problem. Flat and low everywhere: an offer or handoff problem.                            |
| <b>DECISION</b>                      | Rebuild content briefs around buyer intent; make opportunity yield a standing content KPI.                                                 |
| <b>NEXT CONSTRAINT</b>               | Conversion paths sales doesn’t trust. Content leads carry a stigma with reps.                                                              |

## Case 3 • Better forms, worse closes

|                               |                                                                                                                                                    |
|-------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| PRESENTING PROBLEM            | A form redesign lifts conversion from 2.1% to 2.9%. Close rate on form-sourced deals falls from 18% to 12%; revenue per submitter is down a fifth. |
| THE MISLEADING INTERPRETATION | “The form is fixed; now improve follow-up.” But the friction was doing the qualifying.                                                             |
| THE ACTUAL QUESTION           | Who did the friction exclude: lower-price buyers, or never-buyers?                                                                                 |
| SIGNAL NEEDED                 | Submitter fit before vs. after; close rate by fit decile; time-to-disqualify.                                                                      |
| LIKELY CONSTRAINT             | Self-qualification. The old form’s effort filtered buyers; the new one admits curiosity.                                                           |
| DECISION BRIEF                | The incremental submitters are low-fit: revenue per submitter fell while conversion rose.                                                          |
| INTERVENTION                  | Keep the low-friction path; restore two high-signal questions; route low-fit submitters to nurture.                                                |
| PRIMARY METRIC                | Revenue per submitter, before vs. after, on a 120-day window.                                                                                      |
| GUARDRAILS                    | A purer form that starves sales is its own failure; watch the mobile share.                                                                        |
| READOUT                       | Revenue per submitter recovers: the fix worked. The lift dies once the questions return: the lift was never commercial.                            |
| DECISION                      | Judge tests on revenue per entrant; make revenue per submitter a permanent guardrail.                                                              |
| NEXT CONSTRAINT               | Whether sales follows up on nurture handoffs. Routing rules decay without ownership.                                                               |



## Case 4 • Volume versus quality

|                                      |                                                                                                                                                                                |
|--------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | Sales says quality is weak; marketing says volume is strong. Leads up 35% quarter over quarter; acceptance down from 41% to 33%; selling days per accepted opportunity up 22%. |
| <b>THE MISLEADING INTERPRETATION</b> | “Send fewer, better leads.” The real issue is the missing jointly owned definition.                                                                                            |
| <b>THE ACTUAL QUESTION</b>           | What does a lead that becomes revenue look like, in fields both teams can see at the handoff?                                                                                  |
| <b>SIGNAL NEEDED</b>                 | Win rate by lead attribute; acceptance reasons in a forced taxonomy; acceptance-to-close rate.                                                                                 |
| <b>LIKELY CONSTRAINT</b>             | Definition and ownership. MQL criteria were written by marketing alone and never ratified.                                                                                     |
| <b>DECISION BRIEF</b>                | Hypothesis: a shared definition raises acceptance without cutting volume by more than 15%.                                                                                     |
| <b>INTERVENTION</b>                  | Rebuild the rubric from 200 closed-won records; pilot for 30 days; publish one dashboard.                                                                                      |
| <b>PRIMARY METRIC</b>                | Accepted-lead-to-close rate, monthly, against the joint target.                                                                                                                |
| <b>GUARDRAILS</b>                    | Watch for sales moving the goalposts, and for marketing quietly loosening the rubric.                                                                                          |
| <b>READOUT</b>                       | Acceptance up and cycles shorter: it was a definition problem. Acceptance up, closes flat: look at sales execution.                                                            |
| <b>DECISION</b>                      | Review the rubric quarterly; tie part of marketing’s comp to accepted-lead outcomes.                                                                                           |
| <b>NEXT CONSTRAINT</b>               | Response time. Even a perfect lead decays if sales takes three days to call.                                                                                                   |

## Case 5 • A full pipeline that starves revenue

|                                      |                                                                                                                             |
|--------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | Pipeline coverage sits at a comfortable 3.2×. Win rate has slipped from 24% to 17% over three quarters; deal age is up 40%. |
| <b>THE MISLEADING INTERPRETATION</b> | “We need more pipeline.” Coverage built on aging, low-probability deals isn’t coverage.                                     |
| <b>THE ACTUAL QUESTION</b>           | What’s the age-weighted pipeline value, and what share shows real buyer commitment?                                         |
| <b>SIGNAL NEEDED</b>                 | Win rate by deal age and stage; share with a documented next step; the decay curve.                                         |
| <b>LIKELY CONSTRAINT</b>             | Qualification discipline at entry. Deals enter on optimism and nobody owns removing them.                                   |
| <b>DECISION BRIEF</b>                | Hypothesis: half the pipeline is older than 120 days with no buyer commitment.                                              |
| <b>INTERVENTION</b>                  | Triage week: re-qualify every deal older than 120 days with the buyer, or return it to nurture.                             |
| <b>PRIMARY METRIC</b>                | Commitment-weighted coverage: pipeline value × verified buyer commitment.                                                   |
| <b>GUARDRAILS</b>                    | Don’t let triage become a purge that teaches reps to hide deal age.                                                         |
| <b>READOUT</b>                       | Cleaned coverage below 2×: a hidden sourcing problem. Near 3×: a hygiene problem.                                           |
| <b>DECISION</b>                      | Make commitment evidence a stage gate; forecast off commitment-weighted coverage.                                           |
| <b>NEXT CONSTRAINT</b>               | Whether marketing can source genuinely new demand once the vanity pipeline is gone.                                         |

## Case 6 • Bigger deals, slower cycles

|                                      |                                                                                                                                                      |
|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | Moving upmarket lifts ACV 45%. Cycles stretch from 68 to 121 days; the cash cycle grows by 60 days; two quarters are missed despite record pipeline. |
| <b>THE MISLEADING INTERPRETATION</b> | Flat win rates read as health, when longer cycles may mean a mid-market motion being sold at enterprise prices.                                      |
| <b>THE ACTUAL QUESTION</b>           | What's the expected value per selling day, before and after the move?                                                                                |
| <b>SIGNAL NEEDED</b>                 | Value per selling day by segment; buying-committee size; discounts actually taken.                                                                   |
| <b>LIKELY CONSTRAINT</b>             | Process mismatch. Discovery and procurement playbooks were built for smaller deals.                                                                  |
| <b>DECISION BRIEF</b>                | Hypothesis: per-day economics are worse upmarket. ACV rose and productivity fell.                                                                    |
| <b>INTERVENTION</b>                  | Split the book: one team runs the enterprise motion while the core stays on the best segment.                                                        |
| <b>PRIMARY METRIC</b>                | Expected revenue per selling day, by segment, quarterly.                                                                                             |
| <b>GUARDRAILS</b>                    | Longer cycles mean the company funds the gap; "larger deals" at 40% off aren't larger.                                                               |
| <b>READOUT</b>                       | Legacy segment wins on per-day math: it was a vanity trade. The gap closes with maturity: early, not wrong.                                          |
| <b>DECISION</b>                      | Allocate headcount by per-day economics; require a cash-flow model before any segment move.                                                          |
| <b>NEXT CONSTRAINT</b>               | Delivery capacity. Larger deals demand implementation work that was never staffed.                                                                   |

## Case 7 • The automation that doesn't automate

|                                      |                                                                                                                                                                                                               |
|--------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | The automation exists in the architecture diagram; the manual repair exists in the calendar. About 14 staff-hours a week go to manual repair, and repaired records have more errors than system-created ones. |
| <b>THE MISLEADING INTERPRETATION</b> | “We need better automation.” It was layered on top of a process nobody stabilized.                                                                                                                            |
| <b>THE ACTUAL QUESTION</b>           | Where exactly does the flow break, and what would the process need, with a name on every field?                                                                                                               |
| <b>SIGNAL NEEDED</b>                 | A two-week repair log, with every fix tagged by failure point; the share of records that pass through untouched.                                                                                              |
| <b>LIKELY CONSTRAINT</b>             | Ownership. Sales enters data for speed, marketing for segmentation, finance for billing.                                                                                                                      |
| <b>DECISION BRIEF</b>                | 80% of repairs trace to five failure points, each fixable with a definition or an owner.                                                                                                                      |
| <b>INTERVENTION</b>                  | Freeze new automation for 30 days; one owner per failing field; make the top five fields required.                                                                                                            |
| <b>PRIMARY METRIC</b>                | Untouched pass-through rate per workflow: records needing zero manual repair.                                                                                                                                 |
| <b>GUARDRAILS</b>                    | Don't stop manual repair before the fix is proven; audit required fields for junk entries like “asdf.”                                                                                                        |
| <b>READOUT</b>                       | Pass-through above 90%: the process was the constraint. Stays low: replace the automation, don't patch it.                                                                                                    |
| <b>DECISION</b>                      | No workflow ships until its manual predecessor has run clean for 30 days.                                                                                                                                     |
| <b>NEXT CONSTRAINT</b>               | Reports built on dirty historical data. Cleaning the pipe doesn't clean the reservoir.                                                                                                                        |

## Case 8 • A channel that eats its payback

|                                      |                                                                                                                                        |
|--------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | A channel launches with 4-month payback; six months later payback is 11 months. CAC is up 130%, and the channel is 28% of acquisition. |
| <b>THE MISLEADING INTERPRETATION</b> | “Normal saturation.” Or a crowded auction, creative fatigue, or an anomalous early cohort.                                             |
| <b>THE ACTUAL QUESTION</b>           | Is payback dying from price, mix, or execution? Each demands a different decision.                                                     |
| <b>SIGNAL NEEDED</b>                 | CAC split into media cost vs. conversion; first-year value by cohort.                                                                  |
| <b>LIKELY CONSTRAINT</b>             | Auction dynamics or audience exhaustion. The early wins came from an uncrowded auction.                                                |
| <b>DECISION BRIEF</b>                | Hypothesis: the decay is driven by price and mix, and neither will reverse without intervention.                                       |
| <b>INTERVENTION</b>                  | Cap spend where marginal payback holds; test refreshed creative; tighten targeting.                                                    |
| <b>PRIMARY METRIC</b>                | Marginal payback per monthly cohort, not the blended average.                                                                          |
| <b>GUARDRAILS</b>                    | Know your payback ceiling first; watch for the team optimizing to spend caps instead of payback.                                       |
| <b>READOUT</b>                       | Stabilizes under the ceiling: the channel earns its place. Keeps decaying: harvest and reallocate.                                     |
| <b>DECISION</b>                      | Set a written payback ceiling before launch; kill channels that breach it twice.                                                       |
| <b>NEXT CONSTRAINT</b>               | Retention. A cheap customer who leaves in month eight is an expensive one.                                                             |

## Case 9 • The segment that converts and leaves

|                                      |                                                                                                                                                 |
|--------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | One segment converts at 2.1× the average and churns at triple the rate: 31% retention vs. 68%, with net revenue per customer 40% below average. |
| <b>THE MISLEADING INTERPRETATION</b> | “Fix onboarding.” Onboarding can’t retain someone who should never have bought.                                                                 |
| <b>THE ACTUAL QUESTION</b>           | Why do they buy fast and leave fast, and is it the same reason?                                                                                 |
| <b>SIGNAL NEEDED</b>                 | Cancellation reasons in the customers’ own words; time-to-value vs. time-to-cancel.                                                             |
| <b>LIKELY CONSTRAINT</b>             | Expectation mismatch. The funnel is honest about the hook and silent about the catch.                                                           |
| <b>DECISION BRIEF</b>                | Hypothesis: churn is set at acquisition, and onboarding can’t retain mis-sold buyers.                                                           |
| <b>INTERVENTION</b>                  | Align the ads with what retained customers actually experience; add one explicit “not for you if...”                                            |
| <b>PRIMARY METRIC</b>                | Net revenue per acquired customer at 12 months, by segment.                                                                                     |
| <b>GUARDRAILS</b>                    | Cutting a high-volume segment hurts before the replacement arrives.                                                                             |
| <b>READOUT</b>                       | Rises toward average: salvageable with honest positioning. Stays low: exit the segment.                                                         |
| <b>DECISION</b>                      | Judge segments on net revenue per customer, never on conversion alone.                                                                          |
| <b>NEXT CONSTRAINT</b>               | Customers who stay but never expand: retention without growth, only slower.                                                                     |

## Case 10 • Spend before the system is ready

|                                      |                                                                                                                                                          |
|--------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | The board wants scale: spend set to triple. Routing runs through a shared inbox, the SLA is verbal, median response is 26 hours, and utilization is 92%. |
| <b>THE MISLEADING INTERPRETATION</b> | “We’ll fix routing once volume justifies it.” Volume punishes missing infrastructure.                                                                    |
| <b>THE ACTUAL QUESTION</b>           | How much demand can the system receive before conversion collapses?                                                                                      |
| <b>SIGNAL NEEDED</b>                 | Conversion by response-time bucket; routing error rate; rep capacity before quality degrades.                                                            |
| <b>LIKELY CONSTRAINT</b>             | Receiving capacity. Routing, response time, and bandwidth form a chain, and the weakest link governs.                                                    |
| <b>DECISION BRIEF</b>                | The system absorbs about 1.5× before the cliff; the planned 3× wastes most of the incremental spend.                                                     |
| <b>INTERVENTION</b>                  | Release a third of the increase now; fund routing and one intake hire; gate the rest on response time.                                                   |
| <b>PRIMARY METRIC</b>                | Median response time and conversion by response-time bucket, weekly.                                                                                     |
| <b>GUARDRAILS</b>                    | Watch for “temporary” workarounds becoming permanent; watch for burnout.                                                                                 |
| <b>READOUT</b>                       | Conversion holds: release the next tranche. Cliff breached: the holdback was money well spent.                                                           |
| <b>DECISION</b>                      | Scale is earned: no spend increase without a receiving-capacity sign-off.                                                                                |
| <b>NEXT CONSTRAINT</b>               | Delivery. Won deals the company can’t fulfill become churn with extra steps.                                                                             |

## Case 11 • One dashboard, twelve versions of the truth

|                                      |                                                                                                                                               |
|--------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | Marketing reports 412 MQLs; sales counts 388; finance shows 405. One dashboard, 6% variance, and the review spends its time debating numbers. |
| <b>THE MISLEADING INTERPRETATION</b> | “We need a better BI tool.” This is a definition, filter, and timing problem in disguise.                                                     |
| <b>THE ACTUAL QUESTION</b>           | For each metric: the exact definition, what’s in and out, when the cohort freezes, and who may change it.                                     |
| <b>SIGNAL NEEDED</b>                 | Every metric traced to its query, filters, boundaries, and owner; the three exports diffed.                                                   |
| <b>LIKELY CONSTRAINT</b>             | Governance. Definitions live in people’s heads, and nobody owns the semantic layer.                                                           |
| <b>DECISION BRIEF</b>                | The variance traces to three or fewer definition differences, each resolvable in one session.                                                 |
| <b>INTERVENTION</b>                  | Write the ten most-disputed definitions; assign one owner per metric; freeze one snapshot time.                                               |
| <b>PRIMARY METRIC</b>                | Unexplained variance between teams’ counts, driven to zero and kept there.                                                                    |
| <b>GUARDRAILS</b>                    | Don’t rebuild the dashboard mid-audit; watch for a new shadow spreadsheet.                                                                    |
| <b>READOUT</b>                       | Variance reaches zero: governance was the constraint. Disputes recur: shorten the review cadence.                                             |
| <b>DECISION</b>                      | Every metric gets a definition, an owner, and a frozen snapshot time.                                                                         |
| <b>NEXT CONSTRAINT</b>               | Whether anyone acts. Shared truth without shared decisions is just a calmer meeting.                                                          |



## Case 12 • Scale, revise, stop, or diagnose

|                                      |                                                                                                                                                                           |
|--------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | A six-week pilot ends in ambiguity: positive on the primary metric, flat on the secondaries, costs rising linearly. Nobody can say what evidence would change their mind. |
| <b>THE MISLEADING INTERPRETATION</b> | “Run it longer.” More time on an undesigned test produces more ambiguity.                                                                                                 |
| <b>THE ACTUAL QUESTION</b>           | What was it supposed to prove, and which of the four moves does the evidence support?                                                                                     |
| <b>SIGNAL NEEDED</b>                 | Pre-registered criteria (if any); the primary metric with its confidence interval; the cost curve at scale.                                                               |
| <b>LIKELY CONSTRAINT</b>             | Decision design. There were no written stop rules, no control, and no agreement on what “good” meant.                                                                     |
| <b>DECISION BRIEF</b>                | The pilot can’t support scale; it was never designed to. The honest moves are revise-with-redesign or stop.                                                               |
| <b>INTERVENTION</b>                  | First agree on what the evidence shows; only then choose one of the four moves.                                                                                           |
| <b>PRIMARY METRIC</b>                | The primary metric with its uncertainty range, and the threshold it needed to clear.                                                                                      |
| <b>GUARDRAILS</b>                    | “Revise” without a retest date is a stop with better branding. Sunk cost doesn’t vote.                                                                                    |
| <b>READOUT</b>                       | Scale needs a cleared threshold and a mechanism; revise needs a named flaw; stop needs discipline.                                                                        |
| <b>DECISION</b>                      | Every pilot launches with written criteria, a stop rule, and a decision date.                                                                                             |
| <b>NEXT CONSTRAINT</b>               | Whether the organization can actually stop things. One that has never killed a pilot won’t start now.                                                                     |



PART VII

# The Rung Playbooks

*Each rung, run as a sequence of plays.*



Parts I through VI taught the system. Part VII is the operator's manual for running it. Each rung gets a playbook: the entry conditions, who is in the room, a numbered sequence of plays with the time each one takes and the artifact it leaves behind, one worked example carried all the way through, the exit gate, and the specific ways the rung goes wrong in practice. The plays are written to be run, not read. Each one names its inputs, its steps, and what “done” looks like, so that a second operator could pick up the playbook and run the rung without the author in the room. That's the same test the book applies to every workflow, applied to the book itself.

# 22

## CHAPTER 22

# The Signal Playbook

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*Signal work is the cheapest work in the system and the most often skipped. Run it as six plays over two to three weeks, and you leave with a register an outsider can audit and a ranked constraint the owners have signed.*

## When to run it

Run the Signal playbook in four situations: at the start of any install; whenever the Diagnostic scores Signal below 7; whenever two teams read the same dashboard and reach different conclusions; and once a year, as the core of the annual audit. If you're unsure whether you need it, you need it. Nothing in the rest of the system is cheaper to run, and nothing else is as expensive to get wrong.

## Entry conditions

You don't need clean data to start Signal work. Cleaning the data *is* Signal work. You need three things:

- **A sponsor with decision rights over the read.** In most companies this is the CEO or the commercial leader. Their job in this playbook is small and essential: protect the reading time, and refuse to let anyone start building until the read is done.
- **One operator who owns the register.** One name. They do the work, and they keep it honest.
- **Read access to the systems that hold the chain:** CRM, marketing automation, billing, and whatever spreadsheet is secretly running the forecast.

## Who's in the room

| Role                                | What they do in this playbook                                      | Time required                  |
|-------------------------------------|--------------------------------------------------------------------|--------------------------------|
| <b>Sponsor</b>                      | Protects the time; approves the ranking; decides the read          | 2 hours across three weeks     |
| <b>Register owner</b>               | Runs plays 1–6; maintains the register                             | 15–25 hours across three weeks |
| <b>Stage owners</b> (one per stage) | Answer the seven interview questions; reconcile their own counts   | 1–2 hours each                 |
| <b>Finance partner</b>              | Reconciles stage counts with booked and collected figures          | 2–3 hours                      |
| <b>A second reader</b>              | Someone outside the chain who audits the register at the exit gate | 1 hour                         |

## Play 1 • Write the number and the chain (half a day)

**Inputs:** whatever your current headline metric is, and the org chart. **Steps:**

1. Draft useful output in one sentence and run the four tests from Chapter 2. Score each test 0–2 on the Useful Output Definition (T3).
2. Draw the commercial chain on one page with the eight stages renamed for your business. You may merge stages, but don't drop Learning.
3. Under each stage, write the owner's name. Circle every stage where you hesitated.
4. Write the entry trigger and the exit evidence for each stage. A stage without exit evidence is a waiting room.

**Output:** a one-sentence number with a test score, and a chain map with every blank circled. **Done when:** a new hire could read the map and say, for any record, which stage it's in and who owns it.

## Play 2 • Reconcile one count (one to two days)

**Inputs:** the stage where two teams' numbers disagree most. If no one can name one, use the marketing-to-sales boundary. **Steps:**

1. Pull both teams' counts for the same window, from their own systems, the way they normally pull them.

2. Write the metric contract (T19) each team is implicitly using: start event, end event, denominator, window, owner, exclusions.
3. List every record in the gap. For each one, write the reason in one line.
4. Sort the reasons into system failures (duplicates, silent routing failures, window boundaries, missing fields) and judgment differences (one team calls it qualified, the other doesn't).
5. Write one reconciled contract and get both owners to initial it.

**Output:** a reconciled count, a list of gap reasons, and a versioned contract. **Done when:** both teams can re-pull the reconciled number the same way twice.

#### OPERATOR NOTE

Do the reconciliation on records, not on totals. Arguing about whether the right number is 412 or 388 goes nowhere. Listing the 24 records that differ, and the reason for each, ends the argument in an afternoon.

### Play 3 • Close the last mature cohort (one day)

**Inputs:** the median sales cycle, and the opportunity export. **Steps:**

1. Define “mature” as one median cycle plus a margin. Twenty-five percent is a sensible default.
2. Find the most recent entry window in which, by that definition, nothing should still be open. Check that very little actually is.
3. Compute, on that cohort only: win rate (won divided by all, losses included), median cycle, average deal value at entry, and cost per accepted opportunity if spend can be attributed.
4. Fill in the Trusted Baseline Checklist (T6). Sign it, date it, and freeze it.

**Output:** a frozen baseline that every later comparison rests on. **Done when:** the owner can re-pull it the same way twice and gets the same answer.

#### SYSTEM CHECK

If you can't close a mature cohort because the data won't support it, stop. Your constraint is measurement. Run Plays 2 and 3 on a smaller scope, one source or one segment, until you can, and make the definitions themselves the first intervention.

## Play 4 • Retire before you add (two hours)

**Inputs:** the main growth dashboard and its owner. **Steps:**

1. For every tile, ask the twenty-percent test out loud: *if this moved twenty percent next month, what would we do differently?*
2. Write the answer, or “nothing,” next to each tile.
3. Ask for the last decision each metric changed, and the date.
4. Nominate every “nothing” for retirement. Retire at least three on the spot. Demote the rest to an appendix tab that nobody presents.

**Output:** a shorter dashboard and a list of retired metrics. **Done when:** every surviving metric names its decision and its decider.

## Play 5 • Interview the chain (three to five days, elapsed)

**Inputs:** the seven interview questions from Chapter 4, and the circled stages from Play 1. **Steps:**

1. Interview one owner on each side of every handoff. Thirty minutes each. Ask the seven questions in the same order every time. Don’t add commentary.
2. Write the answers down word for word. Summaries lose the evidence.
3. Pull twenty rejected leads or lost opportunities. Write the real reason for each in one line, in the buyer’s words where you have them.
4. Lay the interview answers to question 2 (“the last record that stalled: where did it stop?”) side by side. Where they cluster is a candidate constraint.

**Output:** a transcript per owner, a sorted rejection pile, and a short list of candidate constraints. **Done when:** every handoff has been described by both its sender and its receiver.

## Play 6 • Rank, register, and sign (one to two days)

**Inputs:** everything above. **Steps:**

1. Rank the candidate constraints: #1, #2 (which limits once #1 moves), and #3 in reserve. For each, write the baseline, the evidence, and the gaps.
2. Write each claim the ranking rests on as a Signal Register entry (T7), all nine fields. Grade each one on the Evidence Ladder.

- 3. Fill in the Constraint Map (T4): the limiting stage, the evidence, what improves if it moves ten percent, what you'll deliberately *not* improve, and the next action.
- 4. Bring the ranking to the stage owners. Get agreement by name, not by title. Record any dissent in the register as a named gap.
- 5. Hand the register and the ranking to the second reader. Ask them to reproduce the ranking without your help.

**Output:** a ranked audit, a register, and a constraint map, signed. **Done when:** the second reader reaches the same #1, or their disagreement has been resolved and written down.

Time budget

| Play                      | Elapsed time | Operator hours | The artifact it leaves      |
|---------------------------|--------------|----------------|-----------------------------|
| 1 · Number and chain      | Half a day   | 3–4            | T3, T2                      |
| 2 · Reconcile one count   | 1–2 days     | 4–8            | T19, gap list               |
| 3 · Close a mature cohort | 1 day        | 3–5            | T6 baseline                 |
| 4 · Retire before you add | 2 hours      | 2              | Shorter dashboard           |
| 5 · Interview the chain   | 3–5 days     | 5–8            | Transcripts, rejection pile |
| 6 · Rank, register, sign  | 1–2 days     | 4–6            | T4, T5, T7                  |

The whole playbook fits inside weeks 1 through 3 of the 90-day install. If it's taking longer, Play 2 or 3 is usually the reason, and that delay is itself the finding.

Worked example: the reconciliation that moved the constraint

HYPOTHETICAL SCENARIO

Northfield Analytics, weeks 1–3

*Northfield is an invented mid-market B2B software company with a sales-led motion, about forty people in go-to-market, and a 64-day median cycle. Every number below is illustrative.*



**Play 1.** The headline metric is “marketing-sourced pipeline.” It fails the ungameable test, since marketing can raise it by widening the audience, and scores 4 of 8 on T3. The team rewrites useful output as *accepted opportunities that reach a held discovery call within five business days*. The chain map has two circles: qualification, where SDRs and marketing ops both claim ownership, and retention, where nobody wrote a name.

**Play 2.** Marketing reports 610 MQLs for the quarter; sales reports 540 worked. The 70-record gap breaks down as 22 duplicates, 26 records sent to a retired queue by a routing rule nobody updated, 14 that arrived after 5 p.m. on the last day of the month and were counted in different months, and 8 that sales rejected without a reason code. Sixty-two of seventy are system failures.

**Play 3.** Mature means 80 days. The last fully mature quarter has 188 accepted opportunities, 41 won, 129 lost, and 18 still open. That’s more open than expected, so the team extends the window by two weeks and re-pulls: 47 won of 188, a 25% mature win rate. The dashboard has been reporting 31%, computed on won divided by won-plus-lost, with open deals excluded from neither side consistently.

**Play 4.** The dashboard has 34 tiles. Eleven fail the twenty-percent test outright. Seven are retired that afternoon.

**Play 5.** Five of six owners name the same stall point in question 2: the period between an SDR accepting a lead and an account executive holding the first call. The rejection pile agrees from a different angle. Nine of twenty lost deals cite “went with a vendor who got back to us first.”

**Play 6.** Constraint #1: the SDR-to-AE handoff. The median time from acceptance to a held discovery call is 9.5 business days, and only 38% of accepted opportunities hit the five-day standard in the new definition. Constraint #2: message match on two paid sources with acceptance under 12%. #3 in reserve: onboarding ownership. The team had come in believing the constraint was lead volume. The second reader, a finance analyst, reproduces the ranking from the register in forty minutes.

The point of the example is the turn in Play 6. The team arrived with a volume story and left with a handoff story, and every step of the turn sits in an artifact someone else can check.

## The exit gate

- ☐ Useful output in one sentence, scoring at least 6 of 8 on T3.
- ☐ At least one contested count reconciled at the record level, with a versioned contract.
- ☐ A frozen, signed baseline on a mature cohort.
- ☐ Constraint #1, #2, and #3, each with baseline, evidence, and named gaps.
- ☐ Every claim the ranking rests on, entered in the register with all nine fields and an evidence rung.
- ☐ Owners' agreement recorded by name; dissent recorded as a gap.
- ☐ A second reader reproduced the ranking from the artifacts alone.

## How the Signal rung goes wrong in practice

**The read that never threatens the plan.** The team already knows what it wants to buy or build, and the register becomes a justification file. Test: has any entry in the register argued *against* the current plan? If not, the read was a formality.

**Reconciling totals instead of records.** Two teams negotiate a number in the middle. The gap is still there, just averaged. Insist on the record list.

**The infinite read.** Signal work has a deadline. If the data won't reconcile in three weeks, the constraint is measurement, and the first intervention is a definition, not more reading.

**Interviewing titles instead of owners.** The VP describes the process as designed. The person running the queue describes the process as it runs. Interview the person who touches the record.

**Grading everything “medium.”** When every entry lands on the middle rung of the Evidence Ladder, the grading has stopped meaning anything. Force each one to a rung, and write down why it isn't one rung higher.

### FACILITATOR NOTE

In the ranking session (Play 6), present the evidence before the conclusion, and let the owners reach the ranking themselves. A ranking the room arrived at survives the first difficult week. One that was handed to them doesn't.

[STEVE TO ADD: optional, approved and anonymized. A reconciliation from your own work where the gap held the diagnosis. Verified figures only.]

### TAKEAWAYS

- Signal is six plays over two to three weeks: number and chain, reconcile, close a mature cohort, retire, interview, rank.
- Reconcile records, not totals.
- If you can't close a mature cohort, measurement is the constraint.
- The exit gate is a second reader reproducing the ranking from the artifacts alone.

### THIS WEEK

Run Play 2 on your most-disputed count. List every record in the gap and its reason, and count the system failures.

### TOOLS

T2 · T3 · T4 · T5 · T6 · T7 · T19 · T48 Signal Sprint Board

# 23

## CHAPTER 23

# The Strategy Playbook

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*Strategy work takes about a week of elapsed time and most of the courage in the install. Run it as five plays, and you leave with one signed brief, a public exclusions list, and review dates already on the calendar.*

## When to run it

Run the Strategy playbook when the Signal gate has passed: a ranked constraint, signed by its owners. Run it again whenever a readout comes back and the return loop sends you to Strategy, and whenever someone proposes a material new initiative. If anyone is about to configure, buy, or hire, and there is no signed Decision Brief, run this playbook first.

## Entry conditions

- A **signed constraint map** from the Signal playbook. If the owners haven't agreed on the limiting step, you're choosing on contested ground. Go back.
- A **decision owner**. One name, with the authority to approve the brief and to enforce its exclusions.
- A **finance partner** willing to put a cost and a reversibility rating on each option.

## Who's in the room

| Role           | What they do in this playbook                               | Time required |
|----------------|-------------------------------------------------------------|---------------|
| Decision owner | Chooses among options; signs the brief; enforces exclusions | 3 hours       |
| Brief author   | Usually the growth leader. Drafts the brief; runs plays 1–5 | 8–12 hours    |

| Role             | What they do in this playbook                              | Time required |
|------------------|------------------------------------------------------------|---------------|
| Constraint owner | Owns the stage the intervention targets; tests feasibility | 2–3 hours     |
| Finance partner  | Costs each option; checks the economics guardrails         | 2 hours       |
| Receiving owner  | The person downstream who will feel the change             | 1 hour        |

## Play 1 • Generate options against the constraint (90 minutes)

**Inputs:** the constraint map, and the register entries behind it. **Steps:**

1. Write the constraint as a question. Not “the handoff is slow” but “how do we get accepted opportunities to a held discovery call within five business days?”
2. In silence, each person writes three interventions on separate cards. Ten minutes.
3. Cluster the cards. Name each cluster as one intervention, stated as a verb and an object: *add a routing rule, shift two SDRs to booking, change the acceptance definition.*
4. Add “do nothing” as an explicit option. It’s always on the table, and pricing it is how you find out what the others are worth.

**Output:** four to eight named options, plus do-nothing. **Done when:** every option is specific enough that someone could start on it Monday.

## Play 2 • Price and narrow (two hours)

**Inputs:** the options, plus the finance partner. **Steps:**

1. Score each option on the Strategy Prioritization Matrix (T12): expected effect on the constraint, evidence that it can move it, cost, time to a readable result, and reversibility.
2. For each option, write its **Context Card** (T11): the constraint it addresses, the evidence it rests on (labeled hypothesis or evidence), and the conditions under which it stops being true. An option with no card is struck.
3. Take the top two. For each, ask: *what is the narrowest version of this that could still move the limiting step?* Narrow by cohort, by source, by segment, by time window.
4. Choose one. Write down why the runner-up lost. That sentence goes into the brief.

**Output:** one narrowed intervention, and a sentence on the runner-up. **Done when:** the intervention fits the template sentence: *we will do X, for this cohort, for this long, judged by this metric, and we will not do Y or Z while we do it.*

#### OPERATOR NOTE

The narrowing question does more work than the scoring. Most teams pick a reasonable option and then run it on the whole business. A reasonable option on one cohort, for six weeks, with a clean comparison, teaches you more than a brilliant option on everything.

### Play 3 • Write the hypothesis and the criteria (two hours)

**Inputs:** the chosen intervention, and the baseline from Signal. **Steps:**

1. Use the Hypothesis Builder (T13): \*we believe \_\_\_ will move \_\_\_ by , *because* (the mechanism), and we'll know by \_\_\_\_.\*
2. Name the **primary metric**: one number that decides it.
3. Name two or three **guardrails** with the Guardrail Builder (T15): what must not get worse, with a band and an owner for each.
4. Write the **stop rule** with the Stop Rule Builder (T16): a date, a threshold, or a condition that ends the test early. Write it now, while enthusiasm is highest.
5. Name the **read window**: the interim read date and the final read date. Check them against the metric's clock. If the cohort can't mature in the window, change the metric or the window, not the rule.
6. Write **what would change our minds**, in one sentence.

**Output:** the hypothesis, the primary metric, guardrails, stop rule, read window, and the mind-changer. **Done when:** someone who wasn't in the room could tell, on the read date, whether the test passed.

### Play 4 • Design the test (one to two hours)

**Inputs:** the hypothesis. **Steps:**

1. Fill in the Test Design Worksheet (T17): the cohort, the comparison (a holdout, a prior mature cohort, or a matched segment), the sample needed for the effect you care about, and the confounds you'll check.

- 2. List what else is changing in the same window: a pricing change, a new hire, a seasonal peak. If something big is, move the window or add it to the competing explanations you'll check at readout.
- 3. Write the exclusions list: every initiative, build request, or tool conversation that will *not* happen while this runs.
- 4. Run a thirty-minute **pre-mortem** (T18). "It's the read date and the test failed. Why?" Fold what it finds into the guardrails or the design.

**Output:** a test design, an exclusions list, and pre-mortem notes. **Done when:** the design names its comparison and the exclusions are specific.

Play 5 • Sign, publish, and calendar (one hour)

Steps:

- 1. Assemble the fourteen-field Decision Brief (T14). One page. If it runs longer, something hasn't been decided.
- 2. The decision owner signs it. The constraint owner and the receiving owner initial it.
- 3. Publish the exclusions in writing to every team they affect: *here is what you no longer have to do this quarter*.
- 4. Put the interim and final reads on the calendar now, with the evidence each one will examine named in the invite.
- 5. Add the brief to the Experiment Ledger (T37).

**Output:** a signed brief, a sent exclusions note, and two calendar events. **Done when:** the Strategy exit test passes. A second team could execute the brief as written.

Time budget

| Play                        | Elapsed time | The artifact it leaves                     |
|-----------------------------|--------------|--------------------------------------------|
| 1 • Generate options        | 90 minutes   | Option list with do-nothing                |
| 2 • Price and narrow        | 2 hours      | T11 cards, T12 matrix, one narrowed choice |
| 3 • Hypothesis and criteria | 2 hours      | T13, T15, T16                              |
| 4 • Design the test         | 1–2 hours    | T17, T18, exclusions                       |

| Play                  | Elapsed time | The artifact it leaves         |
|-----------------------|--------------|--------------------------------|
| 5 · Sign and calendar | 1 hour       | T14, T37 entry, calendar holds |

Spread across week 4 of the install, that’s about eight working hours, and most of them are in the room.

Worked example: Northfield chooses

HYPOTHETICAL SCENARIO

Northfield Analytics, week 4

*Continuing the invented company from Chapter 22. All numbers are illustrative.*

**Play 1.** The constraint question: *how do we get accepted opportunities to a held discovery call within five business days?* Seven options come out of the silent round. They include: add a routing rule that books directly onto AE calendars; give SDRs authority to book; hire a scheduler; shorten the acceptance form; move two SDRs onto follow-up; buy a scheduling tool; and do nothing.

**Play 2.** The scheduling tool has no Context Card anyone can write without saying “the vendor says.” It’s struck. The direct-booking rule scores highest on effect and reversibility. Narrowed, it becomes: *for inbound demo requests from the two highest-acceptance sources only, SDRs book discovery directly onto AE calendars at the point of acceptance, for six weeks.* The runner-up, moving two SDRs to follow-up, loses because it would change headcount allocation and booking behavior at the same time, so the result couldn’t be attributed.

**Play 3.** Hypothesis: *we believe direct booking at acceptance will raise the share of accepted opportunities reaching a held discovery call within five business days from 38% to at least 60%, because the delay lives in the email back-and-forth between SDR and AE, and we’ll know by the end of week six.* Primary metric: that share. Guardrails: AE no-show rate on booked calls stays under 20%, and acceptance rate on the two sources doesn’t fall more than three points. Stop rule: if AE no-shows exceed 25% for two consecutive weeks, revert. Read window: interim at week three, final at week six. The five-day metric matures in five days, so the window is safe. Mind-changer: *if the five-day share rises but discovery-to-opportunity conversion falls below the baseline’s 55%, the booked calls are worse calls and the rule is moving cost downstream.*

**Play 4.** Comparison: the other inbound sources, which keep the old process. A pricing page update is scheduled for week two. It’s moved to after the read. Exclusions: no CRM changes beyond the one booking rule, no new SDR hires, no scheduling-



tool evaluation, and no changes to the acceptance definition. The pre-mortem turns up one risk nobody had named: AEs on PTO. A backup-calendar rule is added to the design.

**Play 5.** The brief fits on one page. The CRO signs it. The SDR manager and the AE manager initial it. The exclusions note goes to marketing ops, sales ops, and the SDR team. Reads are on the calendar for weeks three and six.

## The exit gate

- ☐ One intervention, in one sentence, on one cohort.
- ☐ A Context Card for the chosen option, and a sentence on why the runner-up lost.
- ☐ A hypothesis with a mechanism.
- ☐ One primary metric, two or three guardrails with owners, and a written stop rule.
- ☐ A read window that fits the metric's clock.
- ☐ An exclusions list, sent to the people it frees.
- ☐ Interim and final reads on the calendar.
- ☐ A second team could execute the brief as written.

## How the Strategy rung goes wrong in practice

**The bundle.** Three interventions in one brief, presented as one strategy. No single metric can judge three bets, so every outcome is defensible. One decision per brief.

**The secret exclusions.** The exclusions are written down but never sent. The teams keep doing the excluded work out of habit, and the intervention gets a fraction of the attention it was promised. An exclusion nobody was told about isn't one.

**The unreadable window.** The brief names a win-rate metric on a 90-day cycle and a six-week read. On the read date, nothing has matured, so the test gets extended, then extended again. Check the clock in Play 3.

**The soft stop rule.** "We'll revisit if results are disappointing." That's not a stop rule. A stop rule has a number or a date in it.

**The orphan brief.** The brief is signed by someone who can't enforce its exclusions. When the first conflict arrives, it loses. The signature has to belong to the person who decides the rung.

**FACILITATOR NOTE**

In Play 1, keep the room silent for the full ten minutes. The loudest person's first idea becomes the anchor if you let the talking start early. Silent cards first, discussion second, every time.

[STEVE TO ADD: optional, approved and anonymized. A brief you wrote or approved where the exclusions list mattered more than the intervention. Verified only.]

**TAKEAWAYS**

- Five plays: generate options, price and narrow, write criteria, design the test, sign and calendar.
- Always price “do nothing.”
- The narrowing question matters more than the scoring.
- Check the metric's clock against the read window before anyone signs.
- An exclusion nobody was told about isn't an exclusion.

**THIS WEEK**

Take your current top initiative and ask the narrowing question: what is the smallest version of this that could still move the limiting step? Rewrite the brief around that version.

**TOOLS**

T11 • T12 • T13 • T14 • T15 • T16 • T17 • T18 • T49 Options & Narrowing Sheet

# 24

## CHAPTER 24

# The Systems Playbook

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*Systems work is where strategies become real, and where most of them quietly die. Run it as seven plays over four weeks: specify, contract, configure by hand, sign, trace, test with a second operator, and launch the pilot with guardrails live.*

## When to run it

Run the Systems playbook once a Decision Brief is signed. Run it again whenever a key operator leaves, whenever the Workflow Reliability Scorecard (T47) drops below 12, and whenever the return loop sends you here because operators are improvising around the workflow. Never run it to “get ahead” of an unsigned brief. A build without a bounded choice is the museum of half-built processes from Chapter 5.

## Entry conditions

- **A signed Decision Brief** with exclusions that have been sent.
- **A workflow owner and a named second.** The second has to be someone who did *not* design the workflow.
- **Configuration rights** in the systems the workflow touches, or a named person who has them and has blocked the time.

## Who's in the room

| Role                                | What they do in this playbook                                                | Time required               |
|-------------------------------------|------------------------------------------------------------------------------|-----------------------------|
| <b>Workflow owner</b>               | Usually marketing ops or RevOps. Writes the spec and runbook; runs plays 1–7 | 25–40 hours over four weeks |
| <b>Second operator</b>              | Runs the workflow from the runbook alone in Play 6                           | 3–4 hours                   |
| <b>Sending and receiving owners</b> | Negotiate and sign the handoff agreement                                     | 2–3 hours each              |
| <b>System admin</b>                 | Configures fields, routing, and queues to spec                               | Varies                      |
| <b>Brief author</b>                 | Checks that the build matches the brief, and nothing more                    | 2 hours                     |

## Play 1 • Write the specification before you configure anything (two to three days)

**Inputs:** the signed brief. **Steps:**

1. List every field the workflow touches. For each: the valid values, who may change it, and what happens on invalid input.
2. Write the routing: who gets what, when, and the fallback when routing fails. Write the default route first.
3. Name the exceptions: malformed, missing, and failed records. Name the exception queue's owner and its review cadence.
4. Write the rejection reasons as a closed list.
5. Name the quality checks that run regardless of workload, and the recovery path: who is notified, and what is preserved.
6. Name the metric the workflow feeds and how it's computed.
7. Use the Systems Build Specification (T23). Write it in language the operators can read.

**Output:** a specification with a done-when test for each of the seven elements.

**Done when:** the brief author confirms the spec builds what the brief chose, and nothing it excluded.

**OPERATOR NOTE**

The fastest way to find a missing piece of the spec is to write the exception section first. If you can't say what happens to a record with no email address, you don't yet know what the happy path assumes.

## Play 2 • Contract every measure and stage it touches (one day)

### Steps:

1. For every metric in the spec, write the metric contract (T19): start event, end event, denominator, window, owner, exclusions, and version.
2. For every stage, write the entry event, the exit events (including rejection and timeout), the single owner, the maximum age before escalation, and the hand-off rule.
3. Version everything at 1.0 and record the date. From now on, every change gets a new version and a reconciliation note.

**Output:** a contract sheet the dashboard can be built from. **Done when:** every number the pilot will report has exactly one way to be computed.

## Play 3 • Configure, and run it by hand (one week)

### Steps:

1. Configure only what the spec names. Anything extra goes on a list for after Day 90.
2. Run the workflow by hand for five working days. Where the spec says “the system routes,” a person routes, following the written rule exactly.
3. Keep a **friction log**: every time the operator hesitated, guessed, or asked someone.
4. Fix the spec, not just the configuration. Every friction-log entry should change a line in the spec or the runbook.

**Output:** a configured workflow, a week of manual runs, and a friction log. **Done when:** five consecutive working days run without a new friction-log entry. Until then, it isn't ready to sign or automate.

## Play 4 • Sign the handoff agreement (one to three days, elapsed)

### Steps:

1. Draft the Lead Acceptance Agreement (T20), or the equivalent agreement for the boundary your constraint sits on.
2. Let the receiving owner write the acceptance criteria first. The sender then negotiates the payload and the SLA.
3. Draft the rejection reasons together, from the closed list in the spec.
4. Sign for a quarter, with a review date. Both owners sign by name.

**Output:** a signed agreement. **Done when:** both names are on the page and the review date is on both calendars. If they won't sign, take the disagreement to whoever decides the Systems rung, framed as *here are the two definitions, and here's what each one predicts* (Chapter 16).

## Play 5 • Trace records end to end (two days)

### Steps:

1. Pick five records that went through the workflow during the manual week, including at least one exception and one rejection.
2. Someone who didn't build the workflow traces each one with T25: owner at each stage, acceptance criteria checked or not, time at each stage, and the longest wait.
3. For every wait, ask why. Write one change and its owner.
4. Make the changes. Re-run Play 3 for two days if any change touched routing.

**Output:** five traces and a change list. **Done when:** no traced record waited unowned.

## Play 6 • The second-operator test (half a day)

### Steps:

1. Hand the runbook (T24) to the second operator. The author sits in the room and says nothing.
2. The second operator runs the workflow end to end on live records, including triggering the recovery path for the three most common exceptions.

- 3. Write down every question, hesitation, and guess. Each is a gap in the runbook.
- 4. Fix the gaps and repeat until the second operator completes a run with no questions.
- 5. Validate with the Workflow Validation Checklist (T26), and score the Workflow Reliability Scorecard (T47).

**Output:** a runbook that passed, and a reliability score. **Done when:** the second operator completes a full run with zero questions, and the reliability score is 12 or more of 18.

Play 7 • Launch the pilot with guardrails live (one day)

Steps:

- 1. Turn the guardrails on: the bands, the owners, and the breach actions, copied from the brief into the Economics & Capacity Guardrail Table (T33).
- 2. Stand up the handoff health panel: response SLA, acceptance rate, coded rejections, records stale past 24 hours, routing failures, and the current definition version.
- 3. Launch at the cohort size the brief names. Not larger.
- 4. Hold the first Weekly Operating Review (T40) at the end of the week.

**Output:** a live pilot with a panel and guardrails. **Done when:** the first weekly review runs from the panel, with no hand-built slides.

Time budget

| Week of install | Plays                                                  | The artifact it leaves     |
|-----------------|--------------------------------------------------------|----------------------------|
| 5               | 1 · Specification · 2 · Contracts                      | T23, T19                   |
| 6               | 3 · Configure and run by hand · 4 · Sign the agreement | Friction log, T20          |
| 7               | 5 · Trace · 6 · Second-operator test                   | T25, T24, T26, T47         |
| 8               | 7 · Launch the pilot                                   | T33 live, T40 first review |

Worked example: Northfield builds the booking rule

HYPOTHETICAL SCENARIO

Northfield Analytics, weeks 5–8

*Continuing the invented company. All numbers are illustrative.*

**Play 1.** The spec has eleven fields. Writing the exception section first turns up a problem nobody had seen: about one in ten inbound demo requests arrives from a personal email address, and the routing rule assumes a company domain. The spec adds a rule: personal-domain requests go to an owned enrichment queue with a four-hour clock.

**Play 2.** “Held discovery call” gets a contract. Start event: the opportunity’s acceptance timestamp. End event: the discovery call marked held by the AE, with notes attached. Denominator: accepted opportunities from the two pilot sources. Window: the business-day count, excluding company holidays. Owner: the SDR manager. Exclusion: requests the prospect reschedules, which get their own reason code. Version 1.0.

**Play 3.** The manual week produces fourteen friction-log entries. The biggest: SDRs can’t see AE calendars for two AEs whose calendar permissions were never shared. That’s a five-minute admin fix that would have silently broken the automated rule. Days six through ten run clean.

**Play 4.** The AE manager writes the acceptance criteria first: a confirmed problem statement, a named decision-maker or path to one, and a timeframe. The SDR manager negotiates the payload down from nine fields to six. Both sign for one quarter.

**Play 5.** One traced record waited two days in the enrichment queue because its owner was on PTO. The fix: a named backup on the queue.

**Play 6.** The second operator, a newly hired SDR, hesitates twice: once at a reschedule, and once when an AE declined a booked call. The runbook gets two new steps. The second run has no questions. Reliability scores 13 of 18. The lowest dimension is cadence, because the weekly review hasn’t happened yet.

**Play 7.** Guardrails go live: an AE no-show band (green under 15%, amber 15–20%, red over 20%, with a two-week red as the stop rule) and an acceptance-rate band on the two sources. The pilot launches on the two sources only. The first weekly review runs from the panel.



## The exit gate

- ☐ A specification with a done-when test for every element, checked against the brief.
- ☐ Every metric and stage contracted and versioned.
- ☐ Five consecutive clean days of manual runs.
- ☐ A signed handoff agreement with a review date.
- ☐ Five traced records with no unowned waits.
- ☐ A second operator completed a run from the runbook with zero questions.
- ☐ Reliability of 12 or more out of 18.
- ☐ Guardrails live; pilot at brief size; first weekly review held.
- ☐ Nothing automated that didn't first run by hand.

## How the Systems rung goes wrong in practice

**Configuring from the brief instead of the spec.** The admin builds what they think the brief means. The spec is the translation, and skipping it hands the translation to whoever has the admin password.

**The happy-path pilot.** The pilot runs on clean records only, so it passes. The first personal-domain request, reschedule, or PTO breaks it in production. Trace at least one exception and one rejection in Play 5.

**The coached second operator.** The author “just helps a little” during the test. Any help is a gap in the runbook. Silence is the test.

**Automating during the manual week.** Someone builds “just the easy part” in automation while the manual run is still producing friction. Now the friction log is measuring two processes. Freeze automation until Play 6 passes.

**Signing without a review date.** A permanent agreement is harder to sign and easier to ignore. A quarterly one is both easier to sign and harder to forget.

### FACILITATOR NOTE

Put the second-operator test on the calendar as soon as the brief is signed, and invite the decision owner to watch the first ten minutes. Watching someone hesitate at a gap in the runbook does more for the case for “boring” process work than any slide.

[STEVE TO ADD: optional, approved and anonymized. A second-operator test you ran, and the gap it found. Verified only.]

### TAKEAWAYS

- Seven plays over four weeks: spec, contract, configure by hand, sign, trace, second-operator test, launch.
- Write the exceptions section of the spec first.
- Five consecutive clean manual days before anyone signs or automates.
- The second-operator test is silent, or it isn't a test.
- Launch at brief size, with guardrails already live.

### THIS WEEK

Start a friction log on your most important workflow. Every hesitation, guess, or “who do I ask about this?” for five days. Count the entries on Friday.

### TOOLS

T19 · T20 · T21 · T22 · T23 · T24 · T25 · T26 · T47 · T50 Friction Log

# 25

## CHAPTER 25

# The Scale Playbook

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*Scale work is mostly refusal, done well. Run it as six plays: operate inside the window, read out honestly, score the gates, choose one of four paths, size the step, and write the ledger. The output is a decision someone can reverse.*

## When to run it

Run the Scale playbook when a pilot reaches its final read date; whenever anyone proposes more spend, headcount, or throughput behind a workflow; and every quarter in the Allocation Workshop for every segment asking for more. If a scale request arrives without a pilot behind it, it isn't a Scale question yet. Send it to Strategy.

## Entry conditions

- A **pilot that ran inside its brief**, with guardrails live and a weekly review held throughout.
- A **mature read**, or a clearly labeled immature one. If the primary metric hasn't matured, the honest options are *diagnose further* or a bounded *revise*. Not expand.
- A **capacity model** for every team the next step would load: sales, delivery, customer success.

## Who's in the room

| Role                                | What they do in this playbook                                               | Time required |
|-------------------------------------|-----------------------------------------------------------------------------|---------------|
| <b>Allocation decider</b>           | Usually the CEO or CRO. Chooses the path; signs the ledger entry            | 2 hours       |
| <b>Gate reader</b>                  | Usually the growth leader. Writes the readout; scores the gates             | 6–10 hours    |
| <b>Economics and capacity owner</b> | Usually RevOps with finance. Owns the unit economics and the capacity model | 4–6 hours     |
| <b>Capacity owners</b>              | Sales, delivery, and CS leads. Confirm, by name, what they can absorb       | 1 hour each   |
| <b>Devil's advocate</b>             | Assigned in advance; argues for the path the room is leaning against        | 1 hour        |

## Play 1 • Operate inside the window (the length of the pilot)

### Steps:

1. Hold the weekly review every week, from the panel, in the same slot.
2. Honor the read window. Don't re-debate the result weekly, and don't move the goalposts.
3. If a stop rule fires, it fires. Log it and revert. Don't hold a meeting about whether it "really" fired.
4. Keep a change log of anything else that shipped during the window. You'll need it for competing explanations.

**Output:** a pilot that ran to its read date with an intact design, and a change log.

**Done when:** the read date arrives and the design is still the one in the brief.

## Play 2 • Write the readout (half a day)

### Steps:

1. Copy the expected outcome from the brief, verbatim, into the Readout (T38).
2. Write what happened: the primary metric, the guardrails, and the cohort's maturity. State maturity before any number.
3. List competing explanations and check each: mix, seasonality, a big deal already in motion, a tracking change, anything in the change log.

4. Grade the evidence on the Evidence Ladder, and state the confidence: low, medium, or high.
5. Walk downstream two stages. Did the gain survive to the next revenue-adjacent stage, or did it evaporate?
6. Write the recommended decision and what would change it.

**Output:** a one-page readout. **Done when:** someone who missed every weekly review could read it and understand both the result and how sure you are.

### Play 3 • Score the four gates (two hours)

#### Steps:

1. Score the Scale Readiness Scorecard (T34) for the proposed step: repeatability and quality, economics, capacity, and durability.
2. Missing evidence scores zero. Don't round up because the team worked hard.
3. For capacity, get a name and a number from each capacity owner: *we can absorb X more per week before our SLA breaks*. Use the lowest one.
4. Check the guardrail table. What's green, what's amber, what's red?
5. Name the weakest gate and the evidence that would change its score.

**Output:** a scored T34, and the weakest gate. **Done when:** every score has evidence attached.

### Play 4 • Choose the path (one meeting, 60 minutes)

#### Agenda:

| Minutes | Item                                                                     |
|---------|--------------------------------------------------------------------------|
| 0–10    | Readout, presented as written. No new slides.                            |
| 10–20   | Gate scores and the guardrail table.                                     |
| 20–30   | The devil's advocate argues the other path.                              |
| 30–45   | Discussion against the decision tree: expand, revise, stop, or diagnose. |
| 45–55   | Decision, sized step, and reversal condition.                            |
| 55–60   | Ledger entry read aloud and signed.                                      |

**Rules:** all four gates green and guardrails green, and *expand* is available. Any amber, and the choice is between *revise* and a smaller step. A red, or two ambers that won't clear, and it's *stop*. Thin or mixed evidence, and it's *diagnose further*, with a deadline. "Wait and hope" isn't on the tree.

**Output:** one path. **Done when:** the decider has said the path out loud and nobody asked for "one more week" without a named diagnostic.

## Play 5 • Size the step and write its reversal (one hour)

### Steps:

1. If expanding, choose a step size: a defined percentage over a defined window. As a starting point, a step should be small enough that reversing it costs less than one quarter's learning. Your own number comes from your economics.
2. **Expand the allocation, not the definition.** The cohort definition, routing, and ownership that worked stay fixed. If any of them must change, call it a new test and go back to Strategy.
3. Write the reversal condition: the guardrail breach that steps the allocation back, and by how much.
4. Name the next constraint. It has moved, whether anyone acknowledges it or not.
5. Name its owner and the date of the next gate read.

**Output:** a sized step, a reversal condition, and the next constraint. **Done when:** the step and its reversal fit in two sentences.

## Play 6 • Write the ledger and close the loop (30 minutes)

### Steps:

1. Write the Decision Ledger entry (T39): date and step number; cohort and allocation; the result against the primary metric and guardrails; trade-offs; what stayed constant; the next constraint; and the reversal condition.
2. Write any negative result into the Experiment Ledger (T37): what the test ruled out.
3. Send the readout and the ledger entry to everyone who received the brief.
4. Put the next gate read on the calendar.

5. Re-enter Signal with the result as a new register entry (T7).

**Output:** a signed ledger entry, a closed experiment, and a new register entry. **Done when:** three months from now, nobody has to remember why this step was taken.

## Worked example: Northfield reads out and steps up

### HYPOTHETICAL SCENARIO

#### Northfield Analytics, weeks 9–12

*Continuing the invented company. All numbers are illustrative.*

**Play 1.** The pilot runs six weeks. The stop rule never fires: AE no-shows peak at 17%, amber, in week two, then settle at 12%. The change log shows one unplanned event: a competitor's outage in week four drove a short surge in demo requests on one of the two pilot sources.

**Play 2.** Expected: the five-day held-discovery share rises from 38% to at least 60%. Actual: 71% across the six weeks, against 36% on the control sources over the same window. The metric matures in five business days, so the cohort is mature for this reading. Competing explanations: the competitor surge, so the team re-runs the numbers excluding week four (69%); source mix, which is fixed by design; and AE capacity, since one AE was on leave for two weeks and the backup rule handled it. Downstream: discovery-to-opportunity conversion is 57% against a 55% baseline, so the gain survived one stage. Win rate hasn't matured. On a 64-day cycle, it won't be readable until roughly week sixteen. *Evidence rung: clean comparison. Confidence: medium.*

**Play 3.** Repeatability and quality: 2. It held across six weeks and four SDRs. Economics: 1. Cost per accepted opportunity is unchanged and there's no added spend, but win rate is immature. Capacity: the AE manager says the team can absorb about 30% more booked discovery calls before calendar density breaks the no-show guardrail. Score 1. Durability: 0. There's no retention evidence for this cohort yet. Weakest gate: durability, which can't be read for months, followed by economics, which needs the mature win rate.

**Play 4.** The devil's advocate argues for expanding to all inbound sources immediately: the rule costs nothing and the effect is large. The room weighs it. The decision tree says that with one gate at zero and two at one, *expand* to everything isn't available. *Revise* doesn't fit, because nothing failed. The decider chooses a bounded step:

expand to two more inbound sources, holding the remaining inbound sources as the control, and diagnose the durability and economics gates on the original cohort as it matures.

**Play 5.** Step: from two inbound sources to four, roughly 30% more booked calls, inside the AE capacity number. Definitions, routing, and ownership are unchanged. Reversal: if the AE no-show rate is red for two consecutive weeks, or discovery-to-opportunity conversion on the new sources falls below 50%, the two new sources revert. Next constraint, named: AE discovery capacity, which will bind before demand does if the step works. Next gate read: week sixteen, when the original cohort's win rate matures.

**Play 6.** The ledger entry is read aloud and signed. The Experiment Ledger records what the test ruled out: *the delay was not caused by lead quality, since quality held while speed rose*. A new register entry opens: *AE discovery capacity will bind at roughly 1.3 times current booked volume; source: AE manager estimate, week 12; rung: opinion with a chart; next read: week 16, from calendar data*.

Notice what Northfield didn't do. It didn't buy the scheduling tool, hire a scheduler, or roll the rule out everywhere because it "costs nothing." The rule may cost nothing. The calendar density it creates doesn't, and the capacity owner named the limit before the money and attention moved.

## The exit gate

- ☐ The pilot ran to its read date with its design intact.
- ☐ A readout with maturity stated, competing explanations checked, a downstream walk, and a confidence level.
- ☐ All four gates scored with evidence; missing evidence scored zero.
- ☐ Capacity confirmed by name, using the lowest threshold.
- ☐ One path chosen from the four.
- ☐ A sized step that expands the allocation, not the definition.
- ☐ A written reversal condition and a named next constraint.
- ☐ A signed ledger entry, and a new register entry.

## How the Scale rung goes wrong in practice

**Reading early because the result looks good.** A strong week-three interim becomes the final read. If the pilot was designed for six weeks, it reads at six.



**Averaging capacity.** Sales can absorb 50% more, and delivery 10%. “About 30%” is not the answer. The lowest threshold is the answer.

**Changing the definition during expansion.** The step to more sources quietly loosens the acceptance criteria “to fit the new sources.” That’s a new test wearing a scale step’s clothes.

**“Hold” without a red gate.** Refusal that doesn’t name the gate and what turns it green is just fear with better posture. Every “not yet” needs a gate, evidence, and a date.

**The ledger written later.** Ledger entries written a week after the meeting are reconstructions. Write it in the room and read it aloud.

#### FACILITATOR NOTE

Assign the devil’s advocate before the meeting, and rotate the role. The person who has argued the other path in public is far more likely to raise the reversal condition when it fires.

[STEVE TO ADD: optional, approved and anonymized. A scale decision you made in bounded steps, and what the reversal condition protected you from. Verified only.]

#### TAKEAWAYS

- Six plays: operate inside the window, read out, score the gates, choose the path, size the step, write the ledger.
- State maturity before any number.
- Capacity is the lowest threshold, confirmed by name.
- Expand the allocation, never the definition.
- Every step leaves a ledger entry and a new register entry.

#### THIS WEEK

Take your largest current allocation and write the Decision Ledger entry it should have had: the evidence, what stayed constant, the next constraint, and the reversal condition. Note which fields you couldn’t fill.

#### TOOLS

T33 · T34 · T35 · T36 · T37 · T38 · T39 · T51 Scale Step Sizer



PART VIII

# Role Tracks

*The same ladder, from four seats at the table.*



The ladder doesn't change by role. What changes is which rung you decide, which artifacts you own, which conversations land on you, and which temptations you're most exposed to. Each chapter in this part is written for one seat: the CEO or founder, the CMO or growth leader, the RevOps or marketing operations leader, and the sales leader. Each one covers what that seat owns on the ladder, the numbers it answers for, a ninety-day track that runs alongside the install, the weekly and quarterly habits that keep it honest, the conversations that seat has to hold, and the failure modes that seat causes most often. Read your own chapter first. Then read the chapter for the seat across your weakest handoff, because that's where the install will meet resistance.

# 26

## CHAPTER 26

# The CEO and Founder Track

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*The CEO decides three of the four rungs and funds the fourth. The job isn't to run the ladder. It's to protect the order, enforce the exclusions, and be the gate between evidence and scale, especially when the board wants an answer today.*

## What you own on the ladder

From the decision-rights matrix in Chapter 16, the CEO or founder **decides** the read on Signal, the choice on Strategy, and the allocation on Scale, and **funds** the Systems rung. That's a lot of deciding, and very little building. In practice it comes down to four jobs:

1. **Own the number.** You're the final owner of useful output. Not "the pipeline target": the one sentence everyone answers to.
2. **Protect the order.** You're the only person in the company who can stop a team from skipping a rung, because every skipped rung is usually being skipped at someone's request, and often at yours.
3. **Enforce the exclusions.** A brief's exclusions only hold if the person who signs it defends them when the first conflict arrives.
4. **Be the gate.** Between evidence and scale, between the pilot and the ten-times budget. That gate is yours, and it's the one under the most pressure.

## Your numbers

| Number                    | Why it's yours                                                       | Its guardrail                                                         |
|---------------------------|----------------------------------------------------------------------|-----------------------------------------------------------------------|
| Useful output             | It's the goal function; every other number answers to it             | Never reported without the guardrails beside it                       |
| Constraint #1             | You decide the read; you need to know what limits the business today | Re-read monthly; a constraint unchanged for two quarters is a warning |
| Contribution pay-back     | It tells you whether growth is an investment or a leak               | Set the ceiling before any channel launches                           |
| Lowest capacity threshold | It tells you how much growth the company can absorb                  | Scale clears the lowest threshold, never the average                  |
| Kills per quarter         | It tells you whether the company can stop things                     | At least one per quarter                                              |

The last one isn't on most CEO dashboards. It should be. An organization that has never killed a pilot won't start when it matters, and the person who sets that norm is you.

## Your ninety days

**Days 1–30: Read and Choose.** Your job is to protect the reading time. Say this out loud in week one: *for thirty days, we read before we build*. Approve the useful-output sentence personally. Sit in on at least two of the Play 5 interviews in the Signal playbook, as a listener. In week four, sign the Decision Brief, and send the exclusions note yourself. Exclusions sent by the CEO are exclusions. Exclusions sent by a manager are suggestions.

**Days 31–60: Build and Prove.** Your job is to fund the boring part. Defer every tool conversation to after Day 90, and say so in writing. Watch the first ten minutes of the second-operator test. Ask one question at the Day 60 update: *what broke in the trace, and how did you fix it?* If the answer is “nothing broke,” the trace wasn't real.

**Days 61–90: Operate and Earn.** Your job is to be the gate. Don't ask for the result early. At the scale review, ask for the weakest gate before you ask for the result. If a stop rule fired during the pilot, thank the team publicly for honoring it. That sentence will do more for the install than any other thing you say in ninety days.

## Your cadence

- **Weekly (15 minutes):** read the weekly review's one-page output. Don't attend unless something is red. Your presence in the weekly review turns it into a status meeting.
- **Monthly (90 minutes):** chair or attend the Commercial & Decision Review. You're there to make decisions, not to hear updates. Arrive having read the readouts.
- **Quarterly (half day):** you're the decision owner of the Allocation Workshop. Come with the kill you're willing to make.
- **Annually:** commission the system audit, and make sure someone outside the chain does the second read.

## The conversations that land on you

**With the board:** *"We're holding volume."* Lead with the gate, not the fear. *"We're holding the increase because the capacity gate is amber. Delivery is at 88% utilization. Here's what turns it green, and when you'll hear from us."* Offer a bounded step instead of a no. Show the pre-mortem. Write the reversal condition into the approval. The board doesn't need certainty from you. It needs to see that the decision has a gate, an exit, and a date.

**With the board:** *"The pilot worked. Why aren't we tripling it?"* *"Because the pilot proved one gate and two aren't readable yet. Here's the step we're taking now, inside capacity, and here's the date the next two gates can be read."* Bring the ledger entry, not a slide.

**With your CMO and CRO:** *"Sign the same page."* When the acceptance agreement stalls, don't pick a side. Ask for the two definitions and what each predicts, and decide on the prediction. Then stop the worst instruction in the comp plan: add a downstream guardrail to each local target before the next quarter starts.

**With yourself:** *"I know what the answer is."* You may. Founders often do. Write it as a hypothesis on a Context Card anyway, with the conditions under which it stops being true. If you're right, it costs you an hour. If you're wrong, it saves you a quarter.

## Where CEOs most often break the ladder

**The pet project.** The CEO's idea skips Signal because nobody wants to ask the CEO for evidence. Fix it by putting your own ideas through the Context Card first, publicly, so the team sees the rule applies upward.

**The Monday override.** A board comment on Friday becomes a new priority on Monday, and the signed brief's exclusions evaporate. If something truly changed, re-enter at the right rung on purpose. If nothing did, the brief stands.

**Attending everything.** The CEO in the weekly review turns a working meeting into a performance. Read the output. Attend the monthly.

**Asking for the number early.** "How's it looking?" at week three of a six-week pilot is a request to read early. The team will give you an answer, and then they'll defend it.

**Declaring scale.** "This worked. Let's do it everywhere." The four gates exist to protect you from your own enthusiasm as much as anyone else's.

### OPERATOR NOTE

The most powerful thing a CEO can say in an install is "not yet, and here's the gate." The second most powerful is "we stopped that, and I'm glad we did." Both cost nothing, and both have to come from you.

## Worked example: the board meeting at Day 90

### HYPOTHETICAL SCENARIO

#### Northfield Analytics, the Q-end board meeting

*Continuing the invented company. All numbers are illustrative.*

Northfield's board has seen the five-day held-discovery share move from 38% to 71% on the pilot sources. One director asks the obvious question: *if a free routing rule doubled it, why not turn it on everywhere tomorrow, and double paid spend behind it?*

The CEO brings three pages: the readout, the scored gates, and the ledger entry. Her answer takes ninety seconds. *The rule worked on speed, at medium confidence. It's a clean comparison and the cohort is mature for that metric. It hasn't been read on win rate, because our cycle is 64 days. We've expanded it to four sources, inside the capacity number our AE manager gave us. Doubling paid spend now would push booked discovery past that*

*capacity by about half, and our own guardrail says no-shows would breach. We'll read win rate at week sixteen. If it holds, we'll bring a sized spend step to the next meeting, with the AE capacity plan attached.*

The director asks what would make her stop. She reads the reversal condition aloud. The board approves the bounded plan and asks to see the week-sixteen read.

The example isn't about the routing rule. It's about the shape of the answer: what was proven, at what confidence, what wasn't readable yet, what was done anyway within a limit, and when the next read lands.

## Your self-check

- ☐ I can say our useful output in one sentence, and so can my direct reports, word for word.
- ☐ I can name constraint #1 and the evidence for it without looking.
- ☐ Every initiative I've sponsored this quarter has a signed brief with exclusions I've defended at least once.
- ☐ I've said "not yet" this quarter and named the gate.
- ☐ We killed at least one thing last quarter, and I said so publicly.
- ☐ My own ideas went through a Context Card.

### TAKEAWAYS

- The CEO decides Signal, Strategy, and Scale, and funds Systems.
- Your four jobs: own the number, protect the order, enforce the exclusions, be the gate.
- Read the weekly review; attend the monthly; own the quarterly kill.
- To the board, bring the gate, the exit, and the date.
- Put your own ideas through the Context Card, publicly.

### THIS WEEK

Send one exclusions note yourself: *here is what we are not doing this quarter, and why*. Then count how many people reply with relief.

### TOOLS

T3 · T4 · T11 · T14 · T34 · T39 · T42 · T52 CEO Gate Review



# 27

## CHAPTER 27

# The CMO and Growth Leader Track

---

*The growth leader owns more artifacts than anyone else on the ladder: the register, the brief, and the read of the gates. The job is to make marketing matter, which means reporting against a number marketing doesn't fully control, and liking it.*

## What you own on the ladder

From the decision-rights matrix, the CMO or growth leader **owns the Signal Register**, **owns the Decision Brief**, **decides build priority** on Systems, and **owns the read of the gates** on Scale. You're the person who turns the read into a choice and the choice into a test, and who tells the CEO, honestly, whether the test earned the next step.

That's an unusual position for a marketing leader, and it changes the job. You stop being the owner of the top of the funnel and become the owner of the evidence about the whole chain. Most of the hardest conversations in this chapter come from that shift.

## Your numbers

| Number                                                      | Why it's yours                                                              | The trap it sets                           |
|-------------------------------------------------------------|-----------------------------------------------------------------------------|--------------------------------------------|
| <b>Accepted opportunities</b> (or your motion's equivalent) | It's the first stage where marketing's output meets someone else's judgment | Lowering the definition to raise the count |

| Number                                                     | Why it's yours                                   | The trap it sets                            |
|------------------------------------------------------------|--------------------------------------------------|---------------------------------------------|
| <b>Cost per accepted opportunity, by channel</b>           | It's the honest price of what marketing produces | Quoting cost per lead instead               |
| <b>Acceptance rate, by source</b>                          | It's the verdict on message match and targeting  | Reading it blended, which hides a mix shift |
| <b>Evidence rung on every readout</b>                      | It's how sure you are, stated before anyone asks | Grading everything "medium"                 |
| <b>Share of spend that's experimental, with kill dates</b> | It's how much you're learning                    | Experiments that never die                  |

Notice what isn't there: MQLs, raw pipeline created, traffic, and cost per lead. They're still useful as context on a working dashboard. They just aren't your number, and if they're on the board slide, they're instructions to widen the definition.

## Your ninety days

**Days 1–30.** Own the Signal playbook (Chapter 22). Run Play 2, the reconciliation, personally on the marketing-to-sales boundary. You can't credibly own a number you've never reconciled by hand. In week four, write the brief. If the constraint turns out to be downstream of marketing, in a handoff or in sales capacity, write the brief anyway. Owning the brief isn't the same as owning the stage.

**Days 31–60.** Decide build priority, and protect it. Your marketing ops leader will be asked for twenty other things during these four weeks. Your job is to make sure the spec gets written before anything is configured, and to say no to the other nineteen requests in writing. Show up for the second-operator test.

**Days 61–90.** Write the readout yourself. The person who owns the brief writes the readout, so the expected outcome and the actual one are in the same voice. Score the gates honestly, including the ones where marketing looks worse. Bring the CEO a decision, not a deck.

## Your cadence

- **Weekly:** own the agenda of the Weekly Operating Review alongside the operator. Bring the experiments block: on track, at risk, or ready to read out.
- **Monthly:** present the readouts that are due, the negative results, and one metric you're nominating for retirement. A growth leader who never retires a marketing metric isn't running a register.

- **Quarterly:** bring the Allocation Portfolio (T35) for marketing spend, sorted into core, growth, and experimental, with a kill date on every experimental line, and the line you'd kill.

## Reporting against a number you don't control

The first objection every marketing leader raises is fair: *I'm being asked to own an outcome that depends on sales, on capacity, and on the product.* Yes. That's the design. Here's how to hold it without losing your team.

**Report both.** Every marketing dashboard shows marketing's local number *next to* useful output. Your team keeps credit for what it controls. Everyone sees what it's for.

**Attach the guardrail.** Your lead or MQL target comes with an acceptance-rate floor. Hit the volume and miss the floor, and the target isn't met. You'll lose some reported volume. You'll gain a number sales believes.

**Make rejections your best friend.** A closed rejection taxonomy (Chapter 8) is the most useful marketing data you'll get all year, and it's free. A rising "not a fit" rate on one source tells you where message match broke before the pipeline does.

**Own the bridge, not the far bank.** You don't own the AE's discovery call. You do own whether the payload that arrives lets them run a good one. That's the handoff agreement, and you should want to sign it.

## The conversations that land on you

**With sales:** "Your leads are bad." Don't defend the leads. Ask for the rejection codes. "*Which reason, on which source, in which month?*" If there's no taxonomy, offer to draft one together this week. You've moved the argument from adjectives to records.

**With the CEO:** "Why is marketing-sourced pipeline down?" "*Because we changed the definition to accepted opportunities that reach discovery, and the old number counted things sales never worked. Here's the new number, here's last quarter recomputed the same way, and here's the trend.*" Bring the recomputed baseline. A definition change without a reconciled history looks like an excuse.

**With your own team: “We’re being punished for honesty.”** You may be, for a quarter. Protect them. Make the acceptance-rate floor part of how you evaluate them, make sure the CEO sees both numbers, and celebrate the first channel your team killed on evidence.

**With an agency or vendor: “This worked for our other clients.”** Ask for the Context Card. *What constraint does it address here, what evidence is it based on, and when does it stop being true?* No card, no funding. That includes your own favorite channels.

## Where growth leaders most often break the ladder

**Volume as reflex.** The number dips and the first instinct is a campaign. Read the chain first: is the dip upstream of your stages, inside them, or downstream?

**The flattering redefinition.** A soft quarter, and “accepted” quietly widens. Version every definition, reconcile every change, and say so on the slide.

**Attribution as measurement.** A multi-touch model gets presented as what happened. Label it as a model. Use clean comparisons for allocation decisions.

**Experiments that never die.** Ten “tests” running, none with a stop rule or read date. That’s a channel list wearing a lab coat.

**Writing the readout to protect the brief.** The readout is where you find out whether the brief was right. If every readout you write confirms the brief, your evidence standard has slipped.

## Worked example: the channel the CMO killed

### HYPOTHETICAL SCENARIO

#### The webinar series that stopped being a channel

*An invented growth leader at an invented company. All numbers are illustrative.*

A monthly webinar series has run for two years and is the marketing team’s favorite program. It produces about 400 registrants a month and is the largest single source of MQLs. In the first Signal pass, the growth leader runs cost per accepted opportunity on it, fully loaded with the team’s time, the speakers, and the promotion. It

comes out at roughly three times the company average. Acceptance on webinar leads is 9%, against 24% for demo requests. Of the accepted opportunities on the last mature cohort, the win rate is close to the company's.

The read: the webinars reach a lot of people who aren't buying, and the few who are behave like any other buyer. The constraint isn't the webinar's quality; it's that the series is being measured, and funded, as a pipeline channel.

The brief: for one quarter, the series moves from the growth line to the experimental line in the allocation portfolio. Promotion spend is cut by two thirds. A single, explicit next step, a short diagnostic call, goes on every session. Primary metric: accepted opportunities per session. Guardrail: registrant satisfaction scores stay above their baseline. Stop rule: if accepted opportunities per session don't reach the company average cost per accepted opportunity by the end of the quarter, the series becomes a customer-education program funded from the success budget, and leaves the pipeline report.

At the quarterly workshop, it hasn't reached the bar. The growth leader moves it, says so in the room, and logs it as the quarter's kill. The team keeps the program they love. The pipeline report stops pretending it's something else.

## Your self-check

- ☐ Marketing's dashboard shows useful output next to every local metric.
- ☐ Every volume target has a downstream guardrail.
- ☐ We report cost per accepted opportunity by channel, fully loaded.
- ☐ Every experiment has a stop rule and a read date.
- ☐ I retired at least one marketing metric this quarter.
- ☐ My last three readouts include at least one that didn't confirm its brief.

[STEVE TO ADD: optional, approved and anonymized. A moment from your own marketing leadership where you reported a smaller, truer number and what happened next. Verified only.]

**TAKEAWAYS**

- The growth leader owns the register, the brief, and the read of the gates.
- Your number lives downstream of where marketing is easiest to fake.
- Report both numbers; attach a guardrail to every volume target.
- Rejection codes are the best marketing data you'll get all year.
- If every readout confirms its brief, the evidence standard has slipped.

**THIS WEEK**

Recompute last quarter's headline marketing number as accepted opportunities under one written definition. Put the old and new numbers side by side and send them to your CEO before anyone asks.

**TOOLS**

T7 · T9 · T11 · T14 · T31 · T35 · T38 · T53 Channel Truth Table

# 28

CHAPTER 28

## The RevOps and Marketing Operations Track

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*Operations owns the parts of the ladder that hold everything else up: the cohort reconciliation, the runbook, the economics and capacity model. Your job is to make the truth cheap to find and hard to argue with, and to refuse to automate anything that hasn't worked by hand.*

### What you own on the ladder

The decision-rights matrix gives operations more ownership than authority, which is exactly why this chapter exists. RevOps **owns cohort reconciliation** on Signal and **owns the economics and capacity model** on Scale. Marketing operations **owns the runbook** on Systems. Both support Strategy with the economics check and the handoff design.

Put plainly: you own the instruments. Every other seat on the ladder decides with numbers you produce, through workflows you built. If the instruments are wrong, every decision is wrong in the same direction, and nobody can see it. That makes your seat the most leveraged one in the install, and the one most likely to be treated as a service desk.

### Your numbers

| Number                                     | What it tells the business           | What it tells you               |
|--------------------------------------------|--------------------------------------|---------------------------------|
| Unexplained variance between teams' counts | Whether anyone can trust the meeting | Where a definition is contested |

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| Number                                           | What it tells the business                      | What it tells you                     |
|--------------------------------------------------|-------------------------------------------------|---------------------------------------|
| <b>Untouched pass-through rate, per workflow</b> | How much of the system actually runs            | Where manual repair is hiding         |
| <b>Stage age, by stage</b>                       | Where work waits                                | Which handoff to fix next             |
| <b>Workflow Reliability score</b>                | Whether the system is infrastructure or a favor | Which dimension to fix first          |
| <b>Pipeline Quality Score, per cohort</b>        | Whether a forecast is allowed                   | Which input to repair before modeling |
| <b>Lowest capacity threshold</b>                 | How much growth the company can absorb          | Which guardrail to set first          |

## Your ninety days

**Days 1–30.** Run Plays 2 and 3 of the Signal playbook: the reconciliation and the mature cohort. These are yours, because nobody else will do them at the record level. Publish the gap list. Version the first contracts at 1.0. Score the Pipeline Quality Score on the baseline cohort, and say plainly whether it's forecast-grade. Most aren't on day one, and saying so early protects everyone from a bad plan.

**Days 31–60.** Run the Systems playbook (Chapter 24). Write the exceptions section of the spec first. Keep the friction log. Refuse, in writing, every automation request until Play 6 passes. Build the handoff health panel from contracts, not from whatever fields are already on the dashboard.

**Days 61–90.** Own the economics and capacity model for the scale review. Get capacity numbers by name from each team lead and report the lowest one. Score the gates you own honestly. Stand up the stage-age panel for the weekly review so nobody ever has to build a slide for it again.

## Your cadence

- **Daily (10 minutes):** the exception queue and routing failures. Anything un-owned gets an owner today.
- **Weekly:** prepare the panel for the Weekly Operating Review. Bring the stage-age view and the exceptions past their clock. That's your block of the agenda.
- **Monthly:** run the funnel reconciliation for the Commercial & Decision Review. Explain every gap. Bring one definition change, versioned, or one metric to retire.



- **Quarterly:** re-score the Workflow Reliability Scorecard on every critical workflow. Bring the capacity model and the guardrail resets to the Allocation Workshop.
- **Annually:** re-test every runbook with a new second operator. Retire every definition nobody uses.

## Make the truth cheap

Most operations teams spend their time producing numbers on request. The ladder asks for something different: make the truth so cheap to find that nobody bothers arguing about it.

**One definitions page.** Every metric contract and stage definition, versioned, in one place that anyone can read without asking you. If people message you to ask what a field means, that page is missing or out of date.

**Frozen snapshots.** Pick one snapshot time per reporting period and freeze it. Most “the numbers changed” arguments are really “you pulled at a different time” arguments.

**Reconcile on a schedule, not on a fight.** A monthly reconciliation that nobody asked for is cheap. An emergency reconciliation the night before a board meeting is expensive, and it’s usually wrong.

**Panels, not reports.** A panel shows stage age, SLA attainment, coded rejections, stale records, routing failures, and the definition version. A second person can read it and know what’s broken. A report shows activity counts and needs you in the room to explain it.

## Automation, held to the order

You’ll get more automation requests than anyone else, and in 2026 many of them will be AI agents and copilots. The order from Chapter 9 is your best defense:

1. Run it by hand.
2. Write the runbook.
3. Pass the second-operator test.
4. Automate the stable parts.
5. Choose the tool last.

Add the three AI rules on top. Write the acceptance test before you hand anything to a model. Name a human owner for the output. Instrument it like any other route, because a model's failures are quieter than most. Then use the ten-item Automation Readiness Checklist (T27) as a public gate. When a request fails the checklist, the "no" isn't yours. It's the checklist's, and the failed item tells the requester exactly what to do next.

## The conversations that land on you

**"Can you just pull the number?"** *Yes. Which definition, which window, which snapshot?* If the requester can't answer, offer the contract page. Pulling a number with no contract is how two versions of the truth get born.

**"The dashboard is wrong."** Ask for the record. *"Which one? Let's trace it."* Then trace it, in front of them, with T25. Nine times in ten, the dashboard is right about a definition someone didn't know about. The tenth time, you've found a defect.

**"Let's buy a better tool."** *"Happy to. What's the one-page operating requirement?"* If nobody can write it, the tool is a wish with an invoice. If someone can, it goes through the readiness checklist like everything else.

**"Why can't you build this faster?"** *"Because the spec isn't written yet, and the last three things we built fast are the three things the team repairs by hand every week."* Bring the repair log.

## Where operations most often breaks the ladder

**Becoming the service desk.** Every request gets done, nothing gets refused, and the definitions page never gets written. A team that can't say no can't hold the order.

**Fixing the configuration but not the spec.** The friction log produces fixes in the system that never make it into the written spec, and the next operator inherits a workflow nobody can describe.

**Silent routing.** Automated routes with no instrumentation. The day a rule fails, records vanish and nobody knows until the quarter misses.

**Reporting blended averages.** One win rate, one cycle, one cost. The average is where mix shifts hide. Split by source, segment, and cohort by default.

**Owning everything.** Operations ends up as the named owner of stages it can't change. Ownership without authority is blame with a title. Push ownership of outcomes back to the people with the authority to act, and keep ownership of the instruments.

## Worked example: the semantic-layer week

### HYPOTHETICAL SCENARIO

#### Twelve versions of the truth, closed in a week

*An invented RevOps team at an invented company. All numbers are illustrative.*

Three teams report three counts of last month's MQLs: 412, 388, and 405. Every monthly review spends its first twenty minutes on the difference. The RevOps lead proposes one week, not a tool evaluation.

Day one: every metric in the review is traced to its query, filters, boundaries, and owner. Ten metrics, fourteen distinct definitions. Day two: the three MQL exports are diffed at the record level. The 24-record gap between marketing and sales splits into 11 records counted at capture versus at review, 9 de-duplicated in one system and not the other, and 4 across a time-zone boundary at month end. Finance's 405 uses a different snapshot time. Day three: one contract per metric, versioned at 1.0, with one owner each. Day four: one frozen snapshot time is agreed: 6 a.m. Eastern on the first business day. Day five: the review runs from the new definitions. Unexplained variance is zero.

The next month, variance comes back at two records. Both trace to a new form that bypassed the dedupe rule. The friction log catches it, the spec gets a line, and the definitions page gets version 1.1.

## Your self-check

- ☐ Every metric in the monthly review has a contract, a version, and one owner.
- ☐ Unexplained variance between teams is zero, and reconciliation runs monthly.
- ☐ Every critical workflow has a runbook a second operator has run.
- ☐ Every automated route is instrumented; silent failures surface.
- ☐ I refused at least one automation request this quarter, citing the checklist.
- ☐ The capacity number in the last scale review came from named owners.

[STEVE TO ADD: optional, approved and anonymized. A reconciliation or runbook from your own operations career that changed how leadership made decisions. Verified only.]

### TAKEAWAYS

- Operations owns the instruments: reconciliation, runbooks, and the economics and capacity model.
- Make the truth cheap: one definitions page, frozen snapshots, scheduled reconciliation, panels.
- The automation order is your best defense; let the checklist say no.
- Push ownership of outcomes to people with authority; keep ownership of the instruments.

### THIS WEEK

Publish a one-page definitions sheet for the five metrics argued about most. Version each at 1.0, name one owner each, and set one frozen snapshot time.

### TOOLS

T6 · T19 · T22 · T25 · T27 · T32 · T33 · T47 · T54 Definitions Register

# 29

## CHAPTER 29

# The Sales Leader Track

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*Sales is where the chain's promises are either kept or quietly renegotiated. The sales leader supplies the truth that three rungs depend on: field truth for the read, constraint input for the choice, and capacity truth for scale. And sales runs the workflow more than anyone else does.*

## What you own on the ladder

On the decision-rights matrix, the sales leader mostly **supports**: field truth on Signal, constraint input on Strategy, running the workflow on Systems, and capacity truth on Scale. Don't read "supports" as "minor." Support isn't a veto, but it is the evidence. A Signal read without field truth is a marketing opinion. A scale decision without capacity truth is a guess. A runbook sales doesn't run isn't a system.

Sales also owns most of the stages where the buyer's intent is either honored or lost: the opportunity, the revenue commitment, and the handoff into delivery. That's where the chain's most expensive failures surface, and where they're most often blamed on someone upstream.

## Your numbers

| Number                                       | Why it matters                                   | The honest version                                  |
|----------------------------------------------|--------------------------------------------------|-----------------------------------------------------|
| Win rate                                     | It's the verdict on qualification and on selling | Mature cohorts only; never open-plus-closed         |
| Time from acceptance to a held first meeting | It's where intent decays fastest                 | Measured from the acceptance event, by business day |

| Number                              | Why it matters                              | The honest version                                                |
|-------------------------------------|---------------------------------------------|-------------------------------------------------------------------|
| <b>Commitment-weighted coverage</b> | It's what the pipeline can actually produce | Pipeline value times verified buyer commitment, divided by target |
| <b>Deal age, by stage</b>           | It's where the forecast hides its fiction   | Against a written maximum age per stage                           |
| <b>Discount depth at close</b>      | It's the margin you're trading for speed    | Tracked against a ceiling, by rep and by quarter                  |
| <b>Ramped capacity</b>              | It's how much demand you can absorb         | Ramped reps times realistic attainment, not headcount             |

## Your ninety days

**Days 1–30.** Bring field truth to the Signal playbook. Have your managers sit for the interviews and answer question 2 honestly: *the last record that stalled, where did it stop?* Pull twenty lost deals and write the real reason for each, in the buyer's words where you have them. Recompute win rate on the last mature cohort, and put it beside the rate you've been reporting. If they differ, say so first. It's better coming from you.

**Days 31–60.** Write the acceptance criteria. In the handoff agreement, the receiving side goes first, and that's you. Write what must be true for a record to be worth your team's time, in fields marketing can see at the handoff. Then sign. Have one of your reps be the second operator if the workflow touches the sales stage, and protect their time to do it properly.

**Days 61–90.** Supply the capacity number for the scale review, by name and by stage: *my team can absorb X more qualified meetings a week before response time breaks the guardrail.* Don't round up to be agreeable. An optimistic capacity number is the most expensive favor you can do anyone.

## Your cadence

- **Weekly:** in the Weekly Operating Review, own the handoffs-and-blockers block for the sales stages. Bring stage age, not activity counts.
- **Weekly, your own team:** a pipeline review that reads deal age and buyer commitment, not just stage and amount. Every deal past its maximum age either gets a dated buyer commitment or goes back to nurture.

- **Monthly:** bring the mature-cohort win rate, the lost-deal reasons in the buyer's words, and discount depth against the ceiling.
- **Quarterly:** bring ramped capacity by team to the Allocation Workshop, and the rejection codes you'd like marketing to enforce harder, with the evidence.

## Keep the forecast honest

Most forecast fiction comes from three habits. Each one has a fix that costs nothing.

**Deals kept alive for coverage.** A deal with no buyer activity in sixty days is still “in the pipeline” because removing it makes coverage look thin. Fix: a written maximum age per stage, and a triage rule. Past the age, the deal needs a dated, verified buyer commitment, or it returns to nurture. Report commitment-weighted coverage next to raw coverage.

**Win rates computed on open pipeline.** It's the most flattering number in sales, and it's always wrong. Fix: report win rate only on mature cohorts, and say how old the cohort is.

**Quarter-end discounting.** It closes deals that were never going to hold, and margin and retention pay within two quarters. Fix: a discount ceiling as a downstream guardrail on the bookings target. You can still hit the number. You just can't hit it by moving cost into next year.

## The conversations that land on you

**With marketing:** “Your leads are bad.” Don't say it. Bring the rejection codes. *“Forty percent of last month's rejections were ‘no valid contact path,’ mostly from one source.”* That's a data-capture fix marketing can make this week. “Bad” is an adjective. A code is a fix.

**With your team:** “We're adding an acceptance standard.” Your reps will hear “fewer leads.” Tell them what it buys: fewer records they have to work that will never close, and a definition marketing has signed. Then hold the line when a rep wants to accept something off-standard to fill a calendar. Exceptions go in the exception log with an owner and an expiry.

**With the CEO: “Can sales absorb double the leads?”** Give a number, not a mood. *“At current ramped capacity, we absorb about thirty percent more qualified meetings before first response slips past our guardrail. Past that, the extra demand ages in the queue and win rate falls. Here’s what it takes to raise the ceiling: one ramped rep is about a quarter away.”*

**With delivery and success: “What did we promise?”** The handoff from sales to delivery is as much a bridge as the one from marketing to sales, and it’s usually less designed. Write its payload: what was sold, what was promised, the buyer’s stated success measure, and the names on the buying committee. If success has to rediscover the promise, the chain is leaking value after the signature.

## Where sales leaders most often break the ladder

**Accepting everything.** Accepting every lead to show “we work what you send” floods the pipeline with noise and hides the fit problem from the people who could fix it.

**Rejecting with adjectives.** “Not a fit,” “junk,” “not ready.” Without a closed list, rejections can’t travel upstream as feedback.

**The forecast as a negotiation.** Commit numbers that reflect what the rep can defend in the meeting rather than what the buyer has committed to. Separate the two: buyer commitment is evidence, and rep confidence is an opinion with a chart.

**Capacity as optimism.** Saying yes to more demand than the team can work. The excess doesn’t vanish. It ages, goes cold, and drags the win rate down with it.

**The silent handoff to delivery.** Closing, celebrating, and leaving success to find out what was promised.

## Worked example: triage week

### HYPOTHETICAL SCENARIO

#### The pipeline that was half air

*An invented sales team at an invented company. All numbers are illustrative.*



Coverage sits at 3.2 times target. Win rate on the last mature cohort has slid from 24% to 17% across three quarters, and median deal age is up 40%. The sales leader suspects the pipeline is padded and proposes a triage week instead of a pipeline-generation push.

Every deal older than 120 days is re-qualified with the buyer: a call or an email that asks for a dated next step the buyer has agreed to. A deal with a verified commitment stays in its stage. A deal without one goes back to nurture, with a reason code, and the rep keeps credit for re-opening it later.

At the end of the week, 46% of the deals older than 120 days are back in nurture. Raw coverage falls to 2.1 times. Commitment-weighted coverage, which had never been calculated before, is 1.8 times. The forecast for the quarter drops, and so does the gap between forecast and actual at quarter end. The next constraint, named at the monthly review, is new demand. Without the padding, the company can finally see how much real pipeline marketing needs to source.

The guardrail that made it work: reps weren't penalized for deals going back to nurture. A triage that punishes honesty teaches reps to hide deal age next time.

## Your self-check

- ☐ We report win rate on mature cohorts only, and state the cohort's age.
- ☐ Every stage has a maximum age, and deals past it need a verified buyer commitment.
- ☐ Rejections use a closed list that marketing sees every month.
- ☐ Our capacity number in the last scale review was the honest one.
- ☐ Discount depth is tracked against a ceiling.
- ☐ The sales-to-delivery handoff has a written payload.

[STEVE TO ADD: optional, approved and anonymized. A time a sales leader you worked with brought field truth that changed the constraint ranking. Verified only.]

**TAKEAWAYS**

- Sales supplies the field truth, constraint input, and capacity truth that three rungs depend on.
- Write the acceptance criteria first; you're the receiving side.
- Keep the forecast honest: maximum stage age, mature-cohort win rates, a discount ceiling.
- Reject with codes, not adjectives.
- Design the handoff to delivery as carefully as the one from marketing.

**THIS WEEK**

Run a one-day triage on every deal past your longest stage's maximum age. Ask each buyer for a dated next step. Compute commitment-weighted coverage and put it beside raw coverage.

**TOOLS**

T20 · T21 · T22 · T32 · T33 · T34 · T55 Pipeline Triage Sheet

PART IX

# Implementation

*Sprints, the second ninety days, and installing under pressure.*



Part IV gave you the shape of the install: a first week, three thirty-day blocks, and three gates. This part turns that shape into a working cadence a team can run without the book open. Chapter 30 breaks the ninety days into six two-week sprints with goals, backlogs, ceremonies, and a definition of done for each. Chapter 31 covers what happens after Day 90, when the first constraint has moved and the rhythm has to carry the system through a full year. Chapter 32 covers the installs that don't get ideal conditions: the tiny team, the board in a hurry, the new leader, the company just through a layoff.

# 30

## CHAPTER 30

# Implementation Sprints

*Ninety days is six two-week sprints. Each sprint has one goal, a short backlog, a fixed set of ceremonies, and a definition of done tied to a rung. The sprint is a container for the ladder, not a replacement for it: the gates still decide when you move.*

## Why sprints

The 30/60/90 install works. In practice, though, thirty days is long enough for a team to lose the thread. Week two blurs into week three, the audit expands to fill the month, and the gate arrives as a surprise. Two-week sprints fix that. They give the install a heartbeat: a planning session, a short daily check, a review, and a retrospective, every fourteen days, with the same people in the same slots.

The sprint doesn't change the ladder's rules. You still climb in order. A gate still has to pass before the next block starts. If a sprint's goal isn't done, the next sprint repeats it. Slipping is fine. Skipping isn't.

## The sprint map

| Sprint               | Days  | Rung              | Sprint goal                                                      | Gate at the end |
|----------------------|-------|-------------------|------------------------------------------------------------------|-----------------|
| S1 · Read            | 1–14  | Signal            | The number, the chain, a reconciled count, and a mature baseline | —               |
| S2 · Rank and choose | 15–28 | Signal → Strategy | A ranked, signed constraint and a signed Decision Brief          | Gate 1          |

| Sprint                           | Days  | Rung    | Sprint goal                                                                             | Gate at the end |
|----------------------------------|-------|---------|-----------------------------------------------------------------------------------------|-----------------|
| <b>S3 · Specify and contract</b> | 29–42 | Systems | A written spec, versioned contracts, and a week of manual runs                          | —               |
| <b>S4 · Prove</b>                | 43–56 | Systems | A signed agreement, traced records, a passed second-operator test, and a live pilot     | <b>Gate 2</b>   |
| <b>S5 · Operate</b>              | 57–70 | Scale   | Clean pilot evidence, an honored window, and the first monthly review                   | —               |
| <b>S6 · Earn</b>                 | 71–90 | Scale   | A readout, scored gates, a ledger entry, the next constraint, and the cadence installed | <b>Gate 3</b>   |

S6 runs about three weeks rather than two, which absorbs the slack most installs need before the first scale review.

## The ceremonies

Every sprint runs the same four ceremonies. Keep the slots fixed for all ninety days. The calendar does the remembering.

| Ceremony               | When                   | Length | Who                                              | Output                                               |
|------------------------|------------------------|--------|--------------------------------------------------|------------------------------------------------------|
| <b>Sprint planning</b> | Day 1 of the sprint    | 60 min | Install lead, rung owner, sponsor (first 15 min) | Sprint goal; backlog with owners; definition of done |
| <b>Daily check</b>     | Every working day      | 10 min | Install team                                     | Blockers named, with owners, by end of day           |
| <b>Sprint review</b>   | Last day               | 45 min | Install team, sponsor, the receiving owner       | Artifacts shown, not described; done or not done     |
| <b>Retrospective</b>   | Last day, after review | 30 min | Install team only                                | One thing to keep, one to change, one owner          |

**The daily check is not a status meeting.** Three questions, in order: what artifact moved yesterday, what's blocked, and who unblocks it by when. If it runs past ten minutes, something is being discussed that should be a separate conversation.

**The sprint review shows artifacts.** No slides. Open the register, the brief, the run-book, or the panel. If an artifact can't be shown, it isn't done.

**The retrospective is about the install, not the business.** Keep it short and specific. The output is one change to how the team runs the next sprint.

## Sprint 1 • Read (days 1–14)

**Goal:** the number, the chain, a reconciled count, and a mature baseline.

**Backlog:**

- Useful output drafted and scored on T3; tested on one person each from marketing, sales, and finance.
- Commercial chain map (T2) with one owner per stage and the blanks circled.
- The most-disputed count reconciled at the record level (Signal Play 2); contract versioned at 1.0.
- The last mature cohort closed and a baseline frozen (T6).
- The dashboard retirement session held; at least three metrics retired (T9).
- Interview schedule set for Sprint 2: one owner on each side of every handoff.

**Definition of done:** the four artifacts (T3, T2, the reconciled contract, T6) can be shown in the review, and a second person can re-pull the baseline.

**Common blocker:** the data won't close a mature cohort. Don't push through. Narrow the scope to one source or segment, and carry the measurement work into Sprint 2 as the first intervention candidate.

## Sprint 2 • Rank and choose (days 15–28)

**Goal:** a ranked, signed constraint, and a signed Decision Brief.

**Backlog:**

- Interviews run with the seven questions, written word for word.
- Twenty rejections or losses sorted by real reason.
- Constraints #1, #2, and #3 ranked, with baseline, evidence, and gaps.
- Register entries (T7) for every claim the ranking rests on, graded on the Evidence Ladder.
- Owners' agreement recorded by name; second reader reproduces the ranking.
- Strategy plays 1–5: options with do-nothing, Context Cards, narrowing, hypothesis and criteria, test design, pre-mortem, brief.
- Exclusions note sent by the sponsor.

**Definition of done:** Gate 1 passes. An outsider can read the audit and the brief and reproduce the decision; review dates are on the calendar.

**Common blocker:** two owners won't agree on the ranking. That disagreement is a finding. Record both views in the register, take them to the person who decides the Signal rung, and frame it as *here are the two readings, and here's what each predicts*.

### Sprint 3 • Specify and contract (days 29–42)

**Goal:** a written spec, versioned contracts, and a week of manual runs.

**Backlog:**

- Systems Build Specification (T23), exceptions section first.
- Metric contracts and stage definitions (T19) for everything the workflow touches.
- Configuration to spec, and only to spec. Everything else goes on the after-Day-90 list.
- Five working days of manual runs with a friction log (T50).
- Spec and runbook updated from every friction-log entry.
- Handoff agreement drafted, with the receiving owner's acceptance criteria first.

**Definition of done:** the spec is checked against the brief; five consecutive clean manual days; the agreement draft is with both owners.

**Common blocker:** someone starts automating “the easy part.” Freeze it. The friction log only means something if it measures one process.

### Sprint 4 • Prove (days 43–56)

**Goal:** a signed agreement, traced records, a passed second-operator test, and a live pilot.

**Backlog:**

- Handoff agreement (T20) signed for one quarter.
- Five records traced end to end (T25), including one exception and one rejection, by someone who didn't build the workflow.
- Changes from the trace made; manual runs repeated if routing changed.
- Second-operator test run in silence; repeated until there are zero questions.
- Validation (T26) and reliability (T47, 12 or more of 18).

- Guardrails live (T33); handoff health panel up; pilot launched at brief size.
- First Weekly Operating Review (T40) held from the panel.

**Definition of done:** Gate 2 passes. A second operator ran it from the runbook alone; the receiving side accepts the handoff; nothing was automated that didn't first work by hand.

**Common blocker:** the second operator keeps hesitating. The runbook isn't done. Don't launch the pilot until it passes. A late pilot costs days; a pilot on an unfinished runbook costs the evidence.

## Sprint 5 • Operate (days 57–70)

**Goal:** clean pilot evidence and an honored read window.

### Backlog:

- Weekly reviews held from the panel, same slot.
- Change log kept for competing explanations.
- Guardrails watched; any stop rule that fires, fires, and gets logged.
- First Monthly Commercial & Decision Review (T41) held.
- Capacity owners asked for their numbers for the scale review, by name.
- Cadence calendar drafted for the next two quarters.

**Definition of done:** two weeks of evidence with the design intact, a monthly review held, and capacity numbers in hand.

**Common blocker:** someone wants to read early because the interim looks good. The answer is the brief: the read date is the read date.

## Sprint 6 • Earn (days 71–90)

**Goal:** a readout, scored gates, a ledger entry, the next constraint, and the cadence installed.

### Backlog:

- Readout (T38): expected outcome copied from the brief, maturity stated, competing explanations checked, downstream walk, confidence.
- Scale Readiness Scorecard (T34) with evidence on every gate.



- Scale review held: expand, revise, stop, or diagnose, with a devil’s advocate assigned.
- Decision Ledger entry (T39) signed in the room, with a reversal condition.
- Next constraint named, with an owner and a date.
- New register entry opened from the result.
- Weekly, monthly, and quarterly reviews on the calendar for two quarters, with owners.
- Growth Ladder Diagnostic (T1) re-scored and compared with Day 1.

**Definition of done:** Gate 3 passes. The decision is in the ledger with its evidence and reversal; the next constraint is named; the rhythm is on the calendar.

## The sprint board

Run the install from one board with five columns: **Backlog** · **This sprint** · **In progress** · **Shown in review** · **Done (gate-relevant)**. One card per artifact, not per task. A card moves to “Shown in review” only when the artifact was opened in the sprint review and the receiving owner saw it. The Install Sprint Board (T56) in the Field Kit lays out the columns and the cards for all six sprints.

### OPERATOR NOTE

Cards are artifacts, not activities. “Interview the AE team” is an activity. “Seven-question transcripts for both sides of the SDR–AE handoff” is an artifact. Write the cards as nouns, and the review will show you what actually exists.

## Who runs the install

| Role                   | Sprint responsibility                                                                                            |
|------------------------|------------------------------------------------------------------------------------------------------------------|
| <b>Sponsor</b>         | Attends the first 15 minutes of planning and all of every review; sends exclusions; decides at the gates         |
| <b>Install lead</b>    | Runs the ceremonies; owns the board; usually the growth leader or a senior operator                              |
| <b>Rung owner</b>      | Owns the artifacts for the sprint’s rung: register owner in S1–S2, workflow owner in S3–S4, gate reader in S5–S6 |
| <b>Receiving owner</b> | Attends the review whenever the sprint touched their handoff                                                     |

| Role                            | Sprint responsibility                                            |
|---------------------------------|------------------------------------------------------------------|
| Second reader / second operator | Called in for the gate tests; deliberately kept out of the build |

## Sprint review template

1. **Sprint goal**, read aloud from the plan (one minute).
2. **Artifacts**, opened and shown, one by one (20 minutes).
3. **Done or not done**, against the definition, decided by the sponsor (five minutes).
4. **Gate check**, if this sprint ends at a gate: run the exit-gate checklist from the matching playbook (ten minutes).
5. **Carry-over**: anything not done goes into the next sprint’s backlog first (five minutes).
6. **Next sprint’s goal**, stated (two minutes).

## Sprints after Day 90

After the install, keep the two-week heartbeat for every new intervention, but shrink it. Most second and third interventions don’t need the full Signal sprint, because the register and the baseline already exist. A typical second intervention runs four sprints: one to re-read and choose, one to build, one to prove, and one to operate and read out. The rest of the time, the cadence stack from Chapter 18 carries the system.

[STEVE TO ADD: optional. If you’ve run installs in sprint form, one sentence on the ceremony teams most wanted to skip, and why you kept it. No outcome claims unless verified.]

**TAKEAWAYS**

- Ninety days is six sprints: read, rank and choose, specify, prove, operate, earn.
- Four ceremonies, fixed slots: planning, a ten-minute daily check, review, retrospective.
- Reviews show artifacts, not slides. Cards are artifacts, not activities.
- Gates still decide when you move. An unfinished sprint goal repeats.

**THIS WEEK**

Put all six sprint reviews on the calendar now, with the sponsor and the receiving owners invited, and write the six sprint goals in the invites.

**TOOLS**

T46 30/60/90 Install Tracker · T56 Install Sprint Board · T40 · T41

# 31

## CHAPTER 31

# The Second Ninety Days, and Year One

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*Day 90 is where most installs quietly end. The first constraint moved, the team celebrated, and nobody owned what came next. The second ninety days decide whether you installed an operating system or ran a project.*

## What Day 91 looks like

At the end of the install you have one number, one named constraint (now probably a different one), one workflow that holds, a first ledger entry, and a cadence on the calendar. You also have a team that's tired of the word "artifact," a sponsor whose attention is drifting to the next board meeting, and a backlog of requests that were parked "until after Day 90."

That backlog is the first test of the system. If it gets worked in the order it was parked, the install is over. If it gets read against the register and ranked against the next constraint, the operating system is running.

## The three jobs of the second ninety days

**1. Run the next constraint through the ladder, faster.** The first intervention took ninety days because you were building the register, the baseline, the contracts, and the cadence from nothing. The second should take closer to sixty. The register exists. The baseline exists. You start at the rung the new constraint points to, not at the bottom by habit.

**2. Make the cadence boring.** The weekly review should be running from the panel with no prepared slides. The monthly review should end with named decisions. The first quarterly Allocation Workshop should kill something. By Day 180, none of these should feel like special events.

**3. Earn or unearn the first scale step.** The first ledger entry named a next gate read, usually once the pilot cohort's slower metrics mature. Hold that read on the date it was set. If the step holds, take the next one. If it doesn't, the reversal condition fires and you say so out loud.

## Re-entering at the right rung

The second constraint usually lives somewhere else in the chain. Use the re-entry guide from Chapter 19, and add one more question: *what do we already know?*

| If the new constraint is...                   | You probably already have...           | Start at...                                               |
|-----------------------------------------------|----------------------------------------|-----------------------------------------------------------|
| Downstream of the first, in the same workflow | Contracts, baseline, run-book          | Strategy. Write a new brief against the existing register |
| In a different handoff                        | Baseline, cadence, partial register    | Signal Play 2 on the new boundary only, then Strategy     |
| Capacity, created by the first fix working    | Capacity numbers from the scale review | Strategy, with the capacity owner as constraint owner     |
| Measurement, discovered during the readout    | Partial contracts                      | Signal. Make the definitions the intervention             |
| A durability problem in newer cohorts         | Cohort definitions                     | Signal, with a cohort trace and customer-language reasons |

## The quarterly arc

From Day 91 onward, the year runs on the cadence stack, and every quarter has the same shape.

| Quarter weeks | What happens                                                               | Owner          | Artifact                         |
|---------------|----------------------------------------------------------------------------|----------------|----------------------------------|
| 1             | Allocation Workshop: kill one thing, fund the next brief, reset guardrails | Decision owner | Ledger entries, guardrail resets |
| 1-2           | Re-read and choose against the next constraint                             | Growth leader  | Brief                            |

| Quarter weeks | What happens                                                  | Owner          | Artifact                            |
|---------------|---------------------------------------------------------------|----------------|-------------------------------------|
| 3–6           | Build and prove                                               | Workflow owner | Spec, runbook, second-operator pass |
| 7–11          | Operate and read out                                          | Gate reader    | Readout, gate scores                |
| 12            | Scale review; Diagnostic re-score; next constraint named      | Decision owner | Ledger entry, T1 score              |
| 13            | Buffer. Clean up the register; retire metrics and definitions | Register owner | Pruned register                     |

Some interventions are small enough to run two in a quarter. The rule from Part IV still holds: **one intervention at a time per constraint owner**. Two in parallel doubles the attention cost and halves the learning. If you have spare capacity, put it into the register and the next audit, not a second build.

### The annual audit

Once a year, run the full Signal playbook again, on the whole chain, as if you’d never seen it. Use a second reader from outside the commercial teams. Re-test every runbook with a new second operator. Review every definition and retire the ones nobody uses.

The monthly review reads the constraint you already know about. The audit is how you find the one you don’t. Most teams that skip it discover the unseen constraint the expensive way, when a quarter misses for a reason no dashboard showed.

#### What a healthy year leaves behind:

- Four Diagnostic scores, one per quarter, rising or explained.
- A register that’s been pruned at least twice.
- Three or four constraints named and moved, each with a ledger trail.
- At least four kills, one per quarter, each logged with what it ruled out.
- Every critical workflow re-tested by a second operator who wasn’t there when it was built.
- A definitions page at version 2 or 3, with every change reconciled.

## When the system decays

Systems decay by default. Here are the five signs, and where each one sends you.

**The weekly review starts needing slides.** The panel has drifted from the contracts. Re-enter at Systems: rebuild the panel from the definitions page.

**Briefs stop including exclusions.** Strategy is turning back into a channel list. The decision owner re-reads Chapter 7 with the team, and no brief is approved without exclusions.

**A key operator leaves and something wobbles.** The runbook was a person. Re-run the second-operator test with the replacement before they inherit anything else.

**Nothing has been killed in two quarters.** The Allocation Workshop has become a budget meeting. The decision owner arrives at the next one with the kill already chosen.

**The constraint hasn't moved in two quarters.** Either the intervention isn't working or nobody is reading the system any more. Run an out-of-cycle audit.

## Handing the system on

The real test of an operating system is whether it survives the person who installed it. Before the install lead moves on, or at the end of year one regardless, run a **handover review**:

- ☐ Every artifact has an owner other than the install lead.
- ☐ Every recurring meeting has an owner other than the install lead, and has run at least twice without them.
- ☐ The register, the ledgers, and the definitions page are in one place anyone can find.
- ☐ A new operator has run every critical workflow from its runbook.
- ☐ The next constraint is named, with a brief in progress.

If all five pass, the install lead's last job is to stop attending. A system that still needs its builder in the room hasn't been handed on.

### HYPOTHETICAL SCENARIO

#### Northfield Analytics, days 91–365

*Continuing the invented company. All numbers are illustrative.*

At week sixteen, the original pilot cohort's win rate matures at 26% against the 25% baseline. That's within normal variation, so quality held as speed rose. The ledger's next step fires: the direct-booking rule extends to all inbound sources. As predicted, AE discovery capacity becomes the constraint within three weeks.

The second intervention starts at Strategy, not Signal. The register already holds the AE capacity entry, now upgraded from an estimate to calendar data. The brief: for one quarter, two AEs pilot a shortened discovery format on the smallest deal band, with discovery-to-opportunity conversion as the guardrail. It reads out at medium confidence: a modest gain in capacity, with conversion holding. It's expanded in one step.

The first quarterly workshop kills a paid source whose acceptance never cleared 12%, which was constraint #2 from the original audit. The second workshop kills a webinar promotion budget. The annual audit, run by a new second reader in month eleven, finds a constraint nobody had on the list: renewals handled by whichever AE closed the deal, with no runbook and no owner. It becomes the first brief of year two.

[STEVE TO ADD: optional. Your own view on what makes the second ninety days stick, from direct experience. Two to four sentences.]



**TAKEAWAYS**

- Day 91 is the real test: is the parked backlog read against the register, or worked in order?
- The second intervention should run faster, starting at the rung the new constraint points to.
- Every quarter has the same shape, ending in a scale review and a Diagnostic re-score.
- Run the annual audit with an outside reader; it finds the constraint you don't know about.
- The install lead's last job is to stop attending.

**THIS WEEK**

Take the backlog of requests parked “until after Day 90.” Rank every item against the register and the next constraint. Kill or defer anything that doesn't touch it, in writing.

**TOOLS**

T1 · T5 · T7 · T39 · T42 · T57 Year-One Operating Calendar

# 32

## CHAPTER 32

# Installing Under Pressure

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*Nobody installs SPIIX in ideal conditions. The order doesn't change when conditions are bad. What changes is the scope of each rung, the size of the first bet, and how loudly the exclusions have to be said.*

## The rule for every special situation

Every situation in this chapter tempts you to skip a rung “just this once.” The rule is the same in all of them: **shrink the rung, don't skip it**. A Signal read on one handoff is still a Signal read. A brief on one cohort for four weeks is still a brief. A runbook with eight steps is still a runbook. What breaks the system is the skipped artifact, not the small one.

## The tiny team (under ten people in go-to-market)

**What's different.** One person may hold four rungs. There's no RevOps function, and the CRM is half-configured. The founder is often also the best salesperson.

**How to adapt.**

- **Compress the chain.** Four or five stages is enough. Don't drop Learning.
- **One owner can hold several stages, but every handoff still needs a receiver and a clock,** even if the “handoff” is the same person switching hats. Write it down. That's the step that lets the first hire take a stage over.
- **The first week is the install.** For many small teams, the ten steps in Chapter 14 produce the constraint, the brief, and the review date, and the build is small enough to finish in two sprints.

- **Use a spreadsheet register.** Nine columns, one row per claim. Don't buy anything.
- **The second-operator test is your hiring plan.** The first runbook you write is the onboarding document for your next hire.

**The trap.** The founder skips Signal because they “talk to every customer.” They do. That's anecdote, the bottom of the Evidence Ladder. Write what you hear as register entries, with dates and the decision each one could change.

## The board in a hurry

**What's different.** A board, investor, or parent company wants growth this quarter. Spend has been pre-approved, or pre-demanded. Saying “we're reading first” sounds like stalling.

**How to adapt.**

- **Run the first week in the first week.** Five days, ten steps, a named constraint, and a brief by Friday. That's fast enough for any board, and it puts evidence in front of the spending decision.
- **Release a tranche, gate the rest.** Spend a bounded part of the approved increase now, behind the constraint the first week found, and tie the remainder to a named guardrail. (Case 10, “Spend before the system is ready,” is the model.)
- **Bring the pre-mortem to the board.** “It's six months from now, and the doubled spend failed. Here's why.” A story about failure is easier to agree with than a refusal.
- **Write the reversal condition into the approval.** The board approves more easily when it can see the exit.

**The trap.** Agreeing to spend everything immediately and “fixing the system in parallel.” The system work never wins a parallel race with spend. The spend goes behind the constraint, and the constraint eats it.

## The new leader in their first ninety days

**What's different.** You were hired to change something. Everyone is waiting to see your plan. You don't know where the bodies are buried, and your predecessor's dashboards are still on the wall.

## How to adapt.

- **Your first ninety days and the install's first thirty are the same work.** Signal is the most credible thing a new leader can do: it's visible, it's fast, and it produces a ranked constraint with your name on the read.
- **Interview with the seven questions.** They're neutral, they're the same for everyone, and they let you hear the system without signaling who you think is to blame.
- **Retire before you add.** Retiring three metrics in your first month sends a clearer message than launching three initiatives.
- **Don't inherit the brief.** If your predecessor's initiative has no brief, write one or stop it. Either is fine. Running it without one is how you inherit its failure.

**The trap.** Launching a signature initiative in month one to show momentum. It will be judged against a baseline you didn't set, on definitions you didn't write.

## After a layoff or a reorg

**What's different.** Capacity just dropped. Runbooks that were really people walked out the door. The team that's left is stretched and suspicious of any new framework.

## How to adapt.

- **Start at Systems, not Signal.** Not because the order changed, but because the lowest broken dependency is now the workflows. Use the re-entry guide: *a key operator left and the workflow wobbles*. Re-run the second-operator test on every critical workflow with whoever now owns it.
- **Re-do the capacity math before anyone sets a target.** The demand plan was built for the old team.
- **Update the ownership grid in week one.** Every stage whose owner left is unowned until someone is named, with authority.
- **Retire work, visibly.** The fastest relief you can give a stretched team is a written list of things they no longer have to do.

**The trap.** Keeping the old targets and expecting the smaller team to “find efficiencies.” That's capacity as optimism, and it shows up as aged pipeline and a falling win rate within a quarter.

## Product-led growth

**What's different.** Useful output is activated accounts that retain and expand, not accepted opportunities. Much of the chain runs through the product, and the “handoff” is often between the product and a human.

**How to adapt.**

- **Define activation the way you'd define acceptance:** a written contract with a start event, an end event, a window, and an owner. “Signed up” isn't activated.
- **The product-to-sales handoff is a bridge like any other.** Which product signals route an account to a human, with what payload, to whom, on what clock?
- **Cohorts matter more, not less.** Retention curves by sign-up cohort and source are the durability gate. Never blend them.

**The trap.** Treating sign-ups as demand. It's the product-led version of counting every form fill.

## Enterprise and long cycles

**What's different.** Cycles of six to eighteen months mean win rates mature slowly. A pilot can't wait for win rate.

**How to adapt.**

- **Choose primary metrics that mature inside the read window,** and treat win rate as the slower confirmation read on the ledger. Stage conversion with verified buyer commitment, or time to a multi-threaded buying committee, can mature in weeks.
- **Use commitment-weighted coverage.** Raw coverage on long cycles is the most padded number in sales.
- **Put the slower read on the calendar when you write the brief,** even if it's two quarters out.

**The trap.** Reading win rate on a young cohort because the board meeting is next week.

## When marketing is run by an agency

**What's different.** Much of the work, and much of the data, lives with an outside partner whose incentives are tied to activity or spend.

How to adapt.

- **The agency gets a metric contract and a guardrail like any internal team.** Report their local number next to useful output.
- **Require Context Cards for agency recommendations.** It’s the same rule that applies internally.
- **Own the register and the definitions yourself.** You can outsource execution. You can’t outsource the read.

**The trap.** Letting the agency define “qualified.” The party paid on volume shouldn’t write the definition of volume.

The quick reference

| Situation            | Shrink this                            | Never skip this                   |
|----------------------|----------------------------------------|-----------------------------------|
| Tiny team            | The chain (4–5 stages); the tooling    | Written handoffs; a register      |
| Board in a hurry     | Signal to five days                    | A brief with a reversal condition |
| New leader           | Your own initiatives                   | The seven-question interviews     |
| After a layoff       | Targets, until capacity is re-measured | Second-operator tests             |
| Product-led          | Human-touch stages                     | A contract for “activated”        |
| Enterprise cycles    | The primary metric’s clock             | The slow read, on the calendar    |
| Agency-run marketing | What you execute yourself              | Owning the definitions            |

[STEVE TO ADD: optional, approved and anonymized. Which of these situations you've installed in, and the one adaptation that mattered most. Verified only.]

**TAKEAWAYS**

- Shrink the rung; don't skip it.
- Small teams: write the handoffs even when one person holds both ends.
- Boards: run the first week fast, release a tranche, and gate the rest.
- New leaders: the Signal read is your most credible first move.
- After a layoff: re-test the runbooks and redo the capacity math before setting targets.

**THIS WEEK**

Name which special situation you're in, if any. Write the one rung you're most tempted to skip, and the smallest honest version of it you could run this month.

**TOOLS**

T1 · T14 · T18 · T29 · T33 · T58 Special Situations Planner





PART X

# Failure Modes

*How the system breaks, how to see it early, and where to re-enter.*



Every chapter in this book names its most common failure mode. This part collects them, adds the ones that only show up once a system has been running for a while, and gives each one the same treatment: the symptom you'll actually see, what's really happening underneath, the early warning that shows up before the cost does, the fix, and the rung to re-enter at. Use it as a lookup when something feels wrong and nobody can say what. Use it in retrospectives. And use it before an install, with the team, to agree in advance which of these you're most likely to commit.

# 33

## CHAPTER 33

# The Failure Mode Catalog

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*Systems rarely fail in new ways. They fail in the same few dozen ways, wearing different clothes. Learn to recognize the clothes and you'll catch most failures a quarter before they cost you.*

## How to use this catalog

Each entry has five parts.

- **Symptom:** what you'll see in the meeting or on the dashboard.
- **Underneath:** what's actually happening.
- **Early warning:** the signal that shows up before the cost does.
- **Fix:** the smallest move that addresses the cause.
- **Re-enter at:** the rung to return to, per the return loop.

The entries are grouped by the rung where the failure *starts*, which is often not the rung where it *surfaces*. That's the whole reason for the catalog.

## Signal failures

**S1 · The justification file.** *Symptom:* the register agrees with the plan, every time. *Underneath:* the read happened after the choice. *Early warning:* no register entry has ever argued against a current initiative. *Fix:* require one “disconfirming” entry per constraint ranking: the strongest evidence that the ranking is wrong. *Re-enter at:* Signal.

**S2 · Averaged reconciliation.** *Symptom:* two teams agree on a number halfway between theirs. *Underneath:* the gap was negotiated, not explained, and it's still there. *Early warning:* the agreed number can't be re-pulled by either team. *Fix:* reconcile at the record level, with a reason for each record in the gap. *Re-enter at:* Signal Play 2.

**S3 · The open-cohort win rate.** *Symptom:* win rate is high and the forecast keeps slipping. *Underneath:* open opportunities are in the calculation, or only early closes are counted. *Early warning:* the reported win rate is above the last mature cohort's. *Fix:* freeze cohorts at entry; report win rate only on mature cohorts, with their age. *Re-enter at:* Signal.

**S4 · The immortal metric.** *Symptom:* the dashboard grows every quarter. *Underneath:* nothing is ever retired, so attention is spread across decoration. *Early warning:* nobody can name the last decision half the tiles changed. *Fix:* the monthly dashboard audit retires one metric, every month. *Re-enter at:* Signal Play 4.

**S5 · Everything is medium.** *Symptom:* every claim is graded medium confidence. *Underneath:* the Evidence Ladder has become a formality. *Early warning:* no readout in a quarter was graded low or high. *Fix:* for each grade, write why it isn't one rung higher. *Re-enter at:* Signal.

**S6 · The trend promoted to cause.** *Symptom:* a rising line gets the credit and the budget. *Underneath:* nobody listed competing explanations. *Early warning:* the readout has no "competing explanations checked" section. *Fix:* no readout without three competing explanations, each checked. *Re-enter at:* Signal.

**S7 · The infinite read.** *Symptom:* Signal work is in its sixth week. *Underneath:* the data won't reconcile, and the team keeps reading instead of naming measurement as the constraint. *Early warning:* Play 3 hasn't produced a mature baseline by the end of week two. *Fix:* narrow the scope; make definitions the first intervention. *Re-enter at:* Strategy, with measurement as the constraint.

## Strategy failures

**T1 · The channel list.** *Symptom:* the strategy is five channels with a timeline. *Underneath:* no choice was made. *Early warning:* the brief has no exclusions. *Fix:* one intervention per brief; exclusions are mandatory. *Re-enter at:* Strategy.

**T2 · The bundle.** *Symptom:* one brief, three interventions, one metric. *Underneath:* nothing can be attributed, so every outcome is defensible. *Early warning:* the hypothesis has “and” in it more than once. *Fix:* split into three briefs, rank them, run one. *Re-enter at:* Strategy Play 2.

**T3 · Criteria after the fact.** *Symptom:* success is claimed on whichever metric moved. *Underneath:* the primary metric and stop rule were written after launch, or never. *Early warning:* the brief’s date is later than the pilot’s start. *Fix:* no launch without a signed brief; the Experiment Ledger records the brief date. *Re-enter at:* Strategy.

**T4 · The unreadable window.** *Symptom:* the test keeps getting extended. *Underneath:* the primary metric can’t mature inside the read window. *Early warning:* the metric’s clock is longer than the window. *Fix:* choose a primary metric that matures in the window; put the slow metric on the ledger as a later read. *Re-enter at:* Strategy Play 3.

**T5 · The borrowed playbook.** *Symptom:* a tactic arrives certain and unconditional, from an advisor, a vendor, or a previous job. *Underneath:* the context was never checked. *Early warning:* nobody can write the Context Card. *Fix:* no card, no funding. *Re-enter at:* Strategy.

**T6 · The orphan brief.** *Symptom:* exclusions collapse at the first conflict. *Underneath:* the signer can’t enforce them. *Early warning:* the brief’s signer isn’t the rung’s decider in the ownership matrix. *Fix:* the rung’s decider signs, and sends the exclusions note. *Re-enter at:* Strategy Play 5.

**T7 · The soft stop rule.** *Symptom:* a failing test runs for months. *Underneath:* the stop rule had no number or date in it. *Early warning:* the stop rule contains the words “if disappointing.” *Fix:* rewrite it with a threshold, a date, or a condition anyone can check. *Re-enter at:* Strategy Play 3.

## Systems failures

**Y1 · Tool before process.** *Symptom:* a new platform, and the same arguments. *Underneath:* a definition problem was handed to software. *Early warning:* the purchase has no one-page operating requirement. *Fix:* write the requirement; run the readiness checklist; run it by hand first. *Re-enter at:* Signal, then Systems.

**Y2 · Automating the disagreement.** *Symptom:* the system “works” and nobody trusts the output. *Underneath:* rules were coded on contested definitions. *Early warning:* two teams still report different counts after go-live. *Fix:* reconcile the definitions; write the runbook; then rebuild the automation small. *Re-enter at:* Signal.

**Y3 · The happy-path build.** *Symptom:* the workflow breaks on the first unusual record. *Underneath:* exceptions were deferred. *Early warning:* the spec has no exceptions section, or it was written last. *Fix:* write exceptions first; trace an exception and a rejection before launch. *Re-enter at:* Systems Play 1.

**Y4 · The runbook that is a person.** *Symptom:* the workflow wobbles when one operator is out. *Underneath:* the documentation never passed a real second-operator test. *Early warning:* only one person has ever run it end to end. *Fix:* a silent second-operator test; fix every gap. *Re-enter at:* Systems Play 6.

**Y5 · The unowned queue.** *Symptom:* records vanish, or sit for weeks. *Underneath:* an exception or routing queue has no named owner or clock. *Early warning:* stale-past-24-hours count is rising. *Fix:* every queue gets a named owner, a backup, and a disposition clock. *Re-enter at:* Systems.

**Y6 · Silent routing failure.** *Symptom:* a source’s volume drops to near zero, and nobody notices for a month. *Underneath:* an automated route failed without alerting anyone. *Early warning:* routing-failure count is zero for too long. Real systems fail occasionally. *Fix:* instrument every automated route; alert on failures and on suspicious silence. *Re-enter at:* Systems.

**Y7 · Free-text rejection.** *Symptom:* rejections pile up and nothing changes upstream. *Underneath:* rejection reasons are adjectives, so they can’t be acted on. *Early warning:* “other” is the top rejection reason. *Fix:* a closed taxonomy per handoff; every rejection returns upstream with its code. *Re-enter at:* Systems.

**Y8 · The silent handoff to delivery.** *Symptom:* churn in the first ninety days. *Underneath:* what was sold never reached the people delivering it. *Early warning:* onboarding asks customers what they bought. *Fix:* a written payload for the sales-to-delivery handoff. *Re-enter at:* Systems.

**Y9 • The AI agent on an undefined handoff.** *Symptom:* fast, confident, wrong output, at volume. *Underneath:* the model was given a task with no acceptance test. *Early warning:* nobody can describe what a correct output looks like. *Fix:* write the acceptance test, name a human owner for the output, and instrument the route. *Re-enter at:* Systems.

## Scale failures

**L1 • Premature volume.** *Symptom:* unit economics decay exactly as spend rises; the channel gets blamed. *Underneath:* volume went behind a workflow that only worked when its builder ran it. *Early warning:* any gate scored zero, or wasn't scored. *Fix:* hold volume; score the gates; take a bounded step. *Re-enter at:* Scale, then Systems.

**L2 • Averaged capacity.** *Symptom:* one team drowns after an expansion that “fit capacity.” *Underneath:* the average threshold was used, not the lowest. *Early warning:* capacity was reported as one number. *Fix:* capacity by team, by name; scale clears the lowest. *Re-enter at:* Scale Play 3.

**L3 • The definition drift.** *Symptom:* results change after expansion, and nobody can say why. *Underneath:* the cohort definition, routing, or ownership changed during the scale step. *Early warning:* the definitions page version changed mid-expansion. *Fix:* expand the allocation, not the definition; call any definition change a new test. *Re-enter at:* Strategy.

**L4 • The blended cohort.** *Symptom:* retention looks stable while new customers churn faster. *Underneath:* a strong old cohort hides a weak new one. *Early warning:* retention is reported as one company-wide number. *Fix:* cohort curves by entry period and source, never blended. *Re-enter at:* Signal.

**L5 • History as allocation.** *Symptom:* the budget looks like last year's, plus ten percent. *Underneath:* nothing gets reallocated, because moving money means admitting a past allocation was wrong. *Early warning:* no kill in the last two Allocation Workshops. *Fix:* arrive at every quarterly workshop with the kill already chosen. *Re-enter at:* Scale.

**L6 · “Not yet” without a gate.** *Symptom:* scale requests are refused indefinitely, and the team stops proposing. *Underneath:* refusal has become fear. *Early warning:* refusals don’t name a gate, evidence, or date. *Fix:* every “not yet” names the red gate, the evidence that would turn it green, and when it’ll be read. *Re-enter at:* Scale Play 4.

**L7 · The ledger nobody reads.** *Symptom:* the same scale mistake, two years running. *Underneath:* decisions were recorded, but the next review started from memory. *Early warning:* the quarterly workshop doesn’t open the ledger. *Fix:* the workshop’s first ten minutes read the ledger entries whose review dates have arrived. *Re-enter at:* Scale.

## Organizational failures

**O1 · Ownership without authority.** *Symptom:* the named owner explains the failure but couldn’t have prevented it. *Underneath:* accountability was assigned without the rights to act. *Early warning:* owners answer “no” to “can you change this alone?” *Fix:* give the authority, or move the ownership to someone who has it. *Re-enter at:* the ownership grid.

**O2 · The comp plan wins.** *Symptom:* the install is agreed in meetings and undone at quarter-end. *Underneath:* compensation still rewards the stage over the chain. *Early warning:* a spike in accepted-but-never-worked records, or in discounts, in the last two weeks of a quarter. *Fix:* add downstream guardrails to every local target before next quarter. *Re-enter at:* Chapter 16.

**O3 · The cadence collapse.** *Symptom:* the weekly review is cancelled twice in a month. *Underneath:* it became a status meeting, so it became optional. *Early warning:* attendees bring slides. *Fix:* run it from the panel; end every item with an owner and a date, or drop the item. *Re-enter at:* the cadence stack.

**O4 · Two interventions at once.** *Symptom:* neither intervention produces a readable result. *Underneath:* attention split and variables overlapped. *Early warning:* a second brief is signed before the first one’s read date. *Fix:* one intervention at a time per constraint owner; spare capacity goes to the register. *Re-enter at:* Strategy.

**O5 · The framework as theater.** *Symptom:* every artifact exists and nothing has changed. *Underneath:* the artifacts are being produced for their own sake. *Early warning:* no brief has been killed, no metric retired, and no constraint has moved in two quarters. *Fix:* audit the decisions, not the documents. Which decisions did the artifacts change? *Re-enter at:* Signal.

## The early-warning panel

Most of the early warnings above can be watched on one page. Put this on the monthly review agenda as a five-minute standing item.

| Early warning                                                | Failure modes it catches | Check            |
|--------------------------------------------------------------|--------------------------|------------------|
| Reported win rate above the last mature cohort's             | S3                       | Monthly          |
| No metric retired this month                                 | S4                       | Monthly          |
| No readout graded low or high this quarter                   | S5                       | Quarterly        |
| A live test with no stop rule, or a brief dated after launch | T3, T7                   | Monthly          |
| A brief signed by someone other than the rung's decider      | T6                       | Per brief        |
| "Other" as the top rejection reason                          | Y7                       | Monthly          |
| Routing failures at zero for 60+ days                        | Y6                       | Monthly          |
| Stale-past-24-hours count rising three weeks running         | Y5                       | Weekly           |
| A workflow only one person has run                           | Y4                       | Quarterly        |
| Capacity reported as one number                              | L2                       | Per scale review |
| No kill in two quarterly workshops                           | L5                       | Quarterly        |
| Quarter-end spike in acceptances or discounts                | O2                       | Quarterly        |
| A second brief signed before the first one's read date       | O4                       | Per brief        |
| No constraint movement in two quarters                       | O5                       | Quarterly        |



**FACILITATOR NOTE**

Before an install starts, show the team this catalog and ask each person to circle the three failure modes they think *this* team is most likely to commit. Collect the circles and put the top five on the early-warning panel. Teams are surprisingly accurate about their own habits when asked in advance and in private.

[STEVE TO ADD: optional. The failure mode from this catalog you've seen most often in your own career, and the earliest sign you've learned to watch for. Two to four sentences, verified.]

**TAKEAWAYS**

- Failures start on one rung and surface on another. Look up the symptom; re-enter where it started.
- Every failure mode has an early warning that shows up before the cost.
- Put the early-warning panel on the monthly review as a standing item.
- Organizational failures, like ownership, comp, cadence, and theater, undo every rung at once.

**THIS WEEK**

Circle the three failure modes your team is most likely to commit. Add their early warnings to next month's review agenda.

**TOOLS**

T45 System Check · T59 Failure Mode Pre-Commitment



PART XI

# The Facilitator Guide

*Running the system in a room.*



Most of the artifacts in this book are decided in a room, not at a desk. A ranking that one person produced is a draft. A ranking the owners argued through and signed is an operating decision. This part is for whoever runs those rooms: the install lead, an internal operator, an outside advisor, or a leader running their own team. It has a short set of facilitation rules, then eight workshop designs with agendas, timing, materials, scripts for the hard moments, and the artifact each one must produce. Chapter 35 adds eight more field cases written for teaching.

# 34

## CHAPTER 34

# Running the Room

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*A workshop is a decision with a time box. If you leave without a signed artifact, an owner, and a date, you held a meeting.*

## Seven rules for the facilitator

1. **Name the artifact before the agenda.** Open every session by holding up the blank artifact: “We leave with this filled in and signed.” Everything on the agenda serves that.
2. **Pre-read or don’t meet.** Data goes out forty-eight hours ahead. The room is for argument and decision, not for reading tables for the first time.
3. **Silent first, then discuss.** Every scoring and ranking exercise starts with individual, written, silent answers. It’s the cheapest defense against the loudest person in the room.
4. **Evidence gets the floor, rank doesn’t.** When a senior voice asserts, ask, kindly and every time: “Where on the Evidence Ladder is that?”
5. **Park, don’t debate, out-of-scope items.** Keep a visible parking lot. Every parked item gets an owner and a date before the session ends, or it’s dropped on purpose.
6. **Disagreement gets written down.** When the room can’t agree, record both positions and the evidence that would settle it, then let the rung’s decider decide. Dissent on record is healthy. Dissent in the hallway is a failure mode.
7. **Close with owners and dates.** The last ten minutes are always the same: read the artifact aloud, name each owner, confirm each date, and confirm who sends the follow-up note today.

### The facilitator’s kit

Bring these to every session: the printed artifact (blank), the chain map, the current baseline panel, the definitions page, the Evidence Ladder on one sheet, a timer, and the parking lot. If the session is remote, the artifact lives in one shared document that everyone edits, and cameras stay on for the scoring rounds.

### Workshop 1 • The Diagnostic Read (90 minutes)

**Purpose:** a shared, honest score on the twenty-statement Growth Ladder Diagnostic, and agreement on the lowest rung. **Who:** the leaders who own each rung, plus one person close to the work from each team. **Pre-read:** none. This one works best cold. **Artifact:** the team’s diagnostic scores by rung, the gaps between individual scores, and the named lowest rung.

| Time | Block        | What happens                                                             |
|------|--------------|--------------------------------------------------------------------------|
| 0:00 | Frame        | The artifact, the rules, and “we’re scoring the system, not the people.” |
| 0:10 | Silent score | Everyone scores all twenty statements alone, in writing.                 |
| 0:25 | Reveal       | Scores per statement go up on the wall, unattributed.                    |
| 0:35 | The gaps     | Discuss only the statements where scores differ by two or more.          |
| 1:05 | Lowest rung  | Agree on the lowest rung, using the lowest-rung rule.                    |
| 1:20 | Close        | Owner for the next step, the date, and who sends the note.               |

**The hard moment.** A leader scores their own rung high and everyone else scores it low. *Script:* “The gap is the finding. Let’s not settle it by vote. What’s one piece of evidence that would show which score is right?” Then assign someone to bring it.

### Workshop 2 • Constraint Ranking (2 hours)

**Purpose:** a ranked constraint audit the owners sign. **Who:** owners of every stage in the chain, the RevOps lead, and the rung’s decider. **Pre-read:** the chain map, the baseline panel, reconciliation notes, and the interview summary. **Artifact:** the ranked constraint audit, recorded on the Audit Guide (T5) and Constraint Map (T4), signed.

| Time | Block | What happens                             |
|------|-------|------------------------------------------|
| 0:00 | Frame | The number, the chain, and the artifact. |

| Time | Block          | What happens                                                                   |
|------|----------------|--------------------------------------------------------------------------------|
| 0:10 | Candidates     | Each owner writes candidate constraints, one per card, silently.               |
| 0:25 | Cluster        | Group the duplicates. Name each cluster as a stage-level constraint.           |
| 0:45 | Evidence check | For each cluster: the evidence, its rung on the Evidence Ladder, and the cost. |
| 1:15 | Rank           | Silent ranking, then reveal, then discuss the top three.                       |
| 1:40 | Sign           | The decider confirms the top constraint. The owners sign.                      |
| 1:50 | Close          | Disconfirming-evidence owner, brief owner, dates.                              |

**The hard moment.** The room wants to rank “lead volume” first because it’s the most familiar complaint. *Script:* “Let’s check it against useful output. If volume doubled tomorrow, would useful output double? If the answer is ‘not unless something else changed,’ then that something else is the constraint.”

### Workshop 3 • Writing the Decision Brief (2 hours)

**Purpose:** one signed Decision Brief, with a Context Card and stop rule. **Who:** the brief owner, the rung’s decider, the owners of the stages touched, and someone from finance for any spend. **Pre-read:** the signed constraint audit and the options sheet. **Artifact:** Decision Brief (T14) and Context Card (T11), signed.

| Time | Block        | What happens                                                                              |
|------|--------------|-------------------------------------------------------------------------------------------|
| 0:00 | Frame        | The constraint, the artifact, and the one-intervention rule.                              |
| 0:10 | Options      | Three to five options. Each in one line, with what it would cost.                         |
| 0:30 | Narrow       | Score them against the constraint. Pick one. Write the rest down as exclusions.           |
| 0:50 | Context Card | Fill it in for the chosen option. If you can’t, the option isn’t ready.                   |
| 1:10 | Metrics      | Primary metric, guardrails, read window. Check that the metric matures inside the window. |
| 1:30 | Stop rule    | Written with a number or a date. Pre-mortem: “It’s the read date, and it failed. Why?”    |
| 1:50 | Close        | Signatures. The exclusions note goes out today.                                           |

**The hard moment.** Someone wants to keep a second intervention “running in the background.” *Script:* “Then we can’t read either one. Which would you rather learn from? We’ll rank the other one first for next time.”

## Workshop 4 • The Handoff Agreement (90 minutes)

**Purpose:** one signed handoff agreement between two teams. **Who:** both stage owners, one front-line person from each side, and the RevOps lead. **Pre-read:** twenty traced records across the handoff, and the rejection-reason sample. **Artifact:** Lead Acceptance Agreement (T20), used as the handoff agreement, signed, with the rejection taxonomy.

| Time | Block              | What happens                                                          |
|------|--------------------|-----------------------------------------------------------------------|
| 0:00 | Frame              | “We’re writing the contract that both sides will be measured on.”     |
| 0:10 | The records        | Walk five traced records together. Where did each one stall, and why? |
| 0:30 | Entry and payload  | What qualifies a record to cross? What must travel with it?           |
| 0:50 | Clock and receiver | Who receives it, and by when? What happens when the clock runs out?   |
| 1:05 | Rejection          | A closed list of reasons. How a rejection goes back upstream.         |
| 1:20 | Close              | Signatures, the effective date, and who updates the routing map.      |

**The hard moment.** The sending team says the receiving team “just doesn’t work the leads.” *Script:* “Maybe. Let’s write the clock so that we’ll know, instead of guess, by the end of next week.”

## Workshop 5 • The Second-Operator Test (90 minutes, mostly silent)

**Purpose:** proof that a workflow runs without its builder. **Who:** the builder, one operator who has never run the workflow, and the facilitator. **Artifact:** the Workflow Validation Checklist (T26) and a list of gaps.

**How it runs.** The builder hands over the runbook and stays in the room, silent. The operator runs the workflow on live or realistic records, saying aloud what they’re doing and what they’re unsure of. The facilitator records every hesitation, question, and workaround. The builder may not speak until the run is done. Then, thirty minutes of debrief: each recorded gap gets a fix owner and a date.

**The hard moment.** The builder can't stay silent. *Script:* "Every time you help, we find out the runbook is you. Write it down instead. That's the fix."

## Workshop 6 • The Scale Review (2 hours)

**Purpose:** one decision from the four moves (expand, revise, stop, or diagnose), recorded on the ledger. **Who:** the brief owner, the rung's decider, finance, and the owners of every downstream stage that would absorb the volume. **Pre-read:** the readout, the gate scores, and the capacity check by team. **Artifact:** Scale Readiness Scorecard (T34) and a Decision Ledger entry (T39).

| Time | Block    | What happens                                                                         |
|------|----------|--------------------------------------------------------------------------------------|
| 0:00 | Frame    | The brief's own criteria, read aloud first.                                          |
| 0:10 | Readout  | Primary metric with its uncertainty, guardrails, and competing explanations checked. |
| 0:35 | Gates    | Silent gate scoring, then reveal. Any zero ends the scale question for today.        |
| 1:00 | Capacity | Capacity by team, by name. The lowest threshold sets the step size.                  |
| 1:20 | The move | Expand, revise, stop, or diagnose. A step size and a guardrail for any expansion.    |
| 1:45 | Close    | The ledger entry is written in the room, with its review date.                       |

**The hard moment.** The readout is ambiguous and the room wants to "run it longer." *Script:* "What would we see in four more weeks that we don't see now? If nobody can say, this is a revise with a redesign, or a stop."

## Workshop 7 • The Quarterly Allocation Workshop (half day)

**Purpose:** a reallocated budget, with at least one kill. **Who:** the leadership team and finance. **Pre-read:** ledger entries whose review dates have arrived, current allocation by tier, the constraint status, and each owner's proposed kill. **Artifact:** the Quarterly Allocation (T42) with tiers, kills, and new bets.

| Time | Block             | What happens                                                         |
|------|-------------------|----------------------------------------------------------------------|
| 0:00 | The ledger        | Read the due entries. What did we expect, and what happened?         |
| 0:30 | Constraint status | Has the constraint moved? Where to now?                              |
| 1:00 | Kills first       | Each owner presents their kill. The room confirms or strengthens it. |



| Time | Block    | What happens                                                               |
|------|----------|----------------------------------------------------------------------------|
| 1:45 | Break    |                                                                            |
| 2:00 | Tiers    | Core, growth, experimental. Rebalance, starting from the freed budget.     |
| 3:00 | New bets | Only bets with a signed brief, or a brief owner and a date.                |
| 3:40 | Close    | The allocation, read aloud, signed. The communication note goes out today. |

**The hard moment.** Nobody brings a kill. *Script:* “Then we’ll pick one together, now, from the experimental tier, the bet with the oldest unread result. We don’t leave without one.”

### Workshop 8 • Teaching With Field Cases (60–90 minutes)

**Purpose:** building the habit of reading before solving, using cases no one in the room is defensive about. **Who:** anyone: a new team, a new hire cohort, a leadership offsite. **Artifact:** each group’s case analysis, and one “this is us” note per person.

**How it runs.** Hand out a case card with only the *Presenting problem* and *The misleading interpretation* rows visible. Small groups have fifteen minutes to write the actual question, the signal they’d need, and the likely constraint. Reveal the rest of the card. Discuss the gap between their answer and the card. End with each person writing one sentence: “The place this shows up in our business is...” Collect the sentences. They’re often the best input you’ll get for the next diagnostic.

### Handling resistance

| What you hear                  | What it usually means                      | What to say                                                                                                   |
|--------------------------------|--------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| "We don't have time for this." | The current pace feels safer than a pause. | "The first week is five days. What we're spending on the current constraint costs more than that every week." |
| "We already know the problem." | A favored answer exists.                   | "Great, then the read will be fast. Let's check it against the evidence and sign it."                         |
| "This is just more process."   | Past frameworks were theater.              | "Judge it by decisions, not documents. If no artifact changes a decision in ninety days, we stop."            |
| "My team is fine; it's them."  | The handoff is the problem.                | "Let's write the agreement both of you will be measured on."                                                  |

| What you hear                      | What it usually means | What to say                                                                            |
|------------------------------------|-----------------------|----------------------------------------------------------------------------------------|
| "The data is wrong."               | Often true.           | "Then measurement is the constraint, and fixing it is the first intervention."         |
| "Leadership will never kill that." | A sacred cow.         | "Let's put it on the ledger with a review date. The ledger will make the case for us." |

## Running it remotely

Remote sessions work if you keep three things. **Silence still comes first:** use a shared form or a private document for individual scores, and reveal them together. **The artifact is the screen:** share the artifact, not a slide about it. **Sessions are shorter:** split any session longer than two hours across two days, with the pre-read in between.

## When you're facilitating your own team

You'll be tempted to argue for your own position. Name it at the start: "I have a view, and I'll give it last." Then give it last. If the decision is yours as the rung's decider, say so, so that nobody mistakes the workshop for a vote. People accept a decision they disagree with much more easily than a fake consensus.

[STEVE TO ADD: optional. The workshop you've run most often, and one thing you do in the room that isn't written here. Verified only.]

### TAKEAWAYS

- A workshop is a decision with a time box. No signed artifact, no workshop.
- Silent first, then discuss. Evidence gets the floor, rank doesn't.
- Every hard moment has a script that returns the room to evidence.
- The facilitator's last ten minutes are always owners, dates, and the follow-up note.

### THIS WEEK

Pick the next workshop your install needs. Send the pre-read forty-eight hours ahead, and open the session by holding up the blank artifact.

### TOOLS

T1 · T5 · T11 · T14 · T20 · T26 · T34 · T39 · T42 · T60 Workshop Planner

# 35

CHAPTER 35

## Eight More Field Cases

*The first twelve cases taught the habit. These eight are the situations operators bring to the room once the habit has started to stick: AI agents, board targets, inherited forecasts, reorgs, product-led handoffs, partners, expansion, and a stalled install.*

### How to use these

Run them with Workshop 8. Show only the first two rows, let small groups write the actual question, the signal, and the likely constraint, then reveal the rest. Every case is hypothetical. None describes a real client or company, and none of the numbers in them are drawn from real results.

| #  | Case                                 | Rung            | Chapters   |
|----|--------------------------------------|-----------------|------------|
| 13 | The AI SDR that doubled meetings     | Systems         | 9, 24, 28  |
| 14 | The board wants the number doubled   | Scale           | 10, 26, 32 |
| 15 | The new CRO's inherited forecast     | Signal          | 12, 29     |
| 16 | The reorg that broke routing         | Systems         | 8, 24, 32  |
| 17 | Product-qualified leads nobody wants | Systems         | 8, 32      |
| 18 | The agency's qualified leads         | Signal          | 6, 27, 32  |
| 19 | The expansion motion with no owner   | Systems / Scale | 16, 26     |
| 20 | The install that stalled at day 45   | Install         | 15, 30, 33 |

## Case 13 • The AI SDR that doubled meetings

|                                      |                                                                                                                                                                                                |
|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | An AI outbound tool doubles booked meetings in its first month. Two months later, accepted opportunities are flat, and account executives say half the meetings are with people who can't buy. |
| <b>THE MISLEADING INTERPRETATION</b> | "It's working. Sales needs to convert better." The tool is graded on its local metric, which it optimized.                                                                                     |
| <b>THE ACTUAL QUESTION</b>           | Was the tool given an acceptance test for a meeting, and does its output survive the next handoff?                                                                                             |
| <b>SIGNAL NEEDED</b>                 | Meeting-to-accepted-opportunity rate by source, mature cohorts only; a rejection sample with reason codes; the tool's targeting rules, written out.                                            |
| <b>LIKELY CONSTRAINT</b>             | Definition. "Meeting" was never contracted, so the agent optimized for calendar events.                                                                                                        |
| <b>DECISION BRIEF</b>                | Write the acceptance test for a qualified meeting; re-scope the tool against it; hold volume until the downstream rate recovers.                                                               |
| <b>INTERVENTION</b>                  | A metric contract for "qualified meeting," enforced at booking, with a human owner for the agent's output.                                                                                     |
| <b>PRIMARY METRIC</b>                | Accepted opportunities from AI-booked meetings, per week.                                                                                                                                      |
| <b>GUARDRAILS</b>                    | AE hours spent on unqualified meetings; domain and sender reputation; opt-out and complaint rates.                                                                                             |
| <b>READOUT</b>                       | If the accepted rate rises while meetings fall, the tool was creating work, not demand.                                                                                                        |
| <b>DECISION</b>                      | No automated agent runs on a handoff that lacks an acceptance test.                                                                                                                            |
| <b>NEXT CONSTRAINT</b>               | AE capacity, once qualified volume returns.                                                                                                                                                    |

## Case 14 • The board wants the number doubled

|                                      |                                                                                                                                                |
|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | A board approves a plan to double new bookings next year, with marketing spend doubling to match. The plan was built top-down from the target. |
| <b>THE MISLEADING INTERPRETATION</b> | “Double the inputs, double the output.” The plan assumes every stage scales linearly.                                                          |
| <b>THE ACTUAL QUESTION</b>           | Which stage breaks first at double volume, and what does it cost to find out?                                                                  |
| <b>SIGNAL NEEDED</b>                 | Capacity by team and by name; mature-cohort conversion by stage; payback by channel at the current margin, not the average.                    |
| <b>LIKELY CONSTRAINT</b>             | Capacity downstream. The plan has no hiring ramp that lands before the volume does.                                                            |
| <b>DECISION BRIEF</b>                | Release the first tranche behind the measured constraint; tie the rest to a capacity guardrail and a payback guardrail.                        |
| <b>INTERVENTION</b>                  | Staged spend with written gates, and a hiring plan sequenced ahead of each step.                                                               |
| <b>PRIMARY METRIC</b>                | Useful output per step, with payback on the marginal cohort.                                                                                   |
| <b>GUARDRAILS</b>                    | Speed to lead; aged pipeline; marginal CAC payback; win rate on mature cohorts.                                                                |
| <b>READOUT</b>                       | Each tranche is read on the marginal cohort, not the blend.                                                                                    |
| <b>DECISION</b>                      | Targets come with a capacity plan, or they come with a staged release.                                                                         |
| <b>NEXT CONSTRAINT</b>               | Hiring speed and ramp time.                                                                                                                    |

## Case 15 • The new CRO's inherited forecast

|                                      |                                                                                                                                    |
|--------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | A new revenue leader inherits a forecast with 4x coverage and a track record of missing by a quarter of the number.                |
| <b>THE MISLEADING INTERPRETATION</b> | “The reps are sandbagging,” or “the reps are optimistic.” Both treat the miss as a people problem.                                 |
| <b>THE ACTUAL QUESTION</b>           | What does an opportunity have to show to count as pipeline here, and how much of the coverage meets it?                            |
| <b>SIGNAL NEEDED</b>                 | Stage-entry criteria as written versus as practiced; aged-opportunity share; commitment-weighted coverage; slip history by stage.  |
| <b>LIKELY CONSTRAINT</b>             | Stage definitions. Stages mark activity, not buyer commitment.                                                                     |
| <b>DECISION BRIEF</b>                | Rewrite stage-entry criteria around verified buyer actions; re-score the current pipeline against them before changing any target. |
| <b>INTERVENTION</b>                  | New stage definitions, a one-time pipeline re-score, and an aged-opportunity rule.                                                 |
| <b>PRIMARY METRIC</b>                | Forecast accuracy on the next two quarters' commit.                                                                                |
| <b>GUARDRAILS</b>                    | Rep time on CRM hygiene; no retroactive comp penalties for the re-score.                                                           |
| <b>READOUT</b>                       | Coverage will fall. That's the read, not the failure.                                                                              |
| <b>DECISION</b>                      | Pipeline is defined by buyer commitment, and the definition is versioned.                                                          |
| <b>NEXT CONSTRAINT</b>               | Early-stage creation, once the pipeline is honest.                                                                                 |

## Case 16 • The reorg that broke routing

|                               |                                                                                                                                                                    |
|-------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| PRESENTING PROBLEM            | After a reorg, territory changes are made in the CRM. Within a month, inbound speed to lead triples for one region, and nobody notices until a customer complains. |
| THE MISLEADING INTERPRETATION | “That region’s team is slow.”                                                                                                                                      |
| THE ACTUAL QUESTION           | Did the routing rules and queue owners change when the org chart did?                                                                                              |
| SIGNAL NEEDED                 | Routing-failure count; unassigned-queue age; a trace of ten records from the affected region.                                                                      |
| LIKELY CONSTRAINT             | Systems. Routes still point to people who moved or left, and the fallback queue has no owner.                                                                      |
| DECISION BRIEF                | Re-map routing to the new ownership grid; name an owner and a clock for every fallback queue; instrument failures.                                                 |
| INTERVENTION                  | A routing re-map with a trace test, and alerts on suspicious silence.                                                                                              |
| PRIMARY METRIC                | Speed to lead by region, at the median and the 90th percentile.                                                                                                    |
| GUARDRAILS                    | Records with no owner after four business hours.                                                                                                                   |
| READOUT                       | Region-level speed returns to baseline within two weeks, or the trace finds the next broken route.                                                                 |
| DECISION                      | Every reorg includes a routing and ownership change list, signed before the effective date.                                                                        |
| NEXT CONSTRAINT               | Whatever the old routing was hiding.                                                                                                                               |

## Case 17 • Product-qualified leads nobody wants

|                                      |                                                                                                                          |
|--------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | A product-led company starts routing “product-qualified” accounts to sales. Sales ignores most of them.                  |
| <b>THE MISLEADING INTERPRETATION</b> | “Sales doesn’t understand product-led growth.”                                                                           |
| <b>THE ACTUAL QUESTION</b>           | What product behavior actually predicts a purchase, and was that the rule that was written?                              |
| <b>SIGNAL NEEDED</b>                 | Purchase rate by product-signal combination, on mature cohorts; the current scoring rule; a rejection sample from sales. |
| <b>LIKELY CONSTRAINT</b>             | Definition. The rule was written from usage volume, not from behavior that predicts buying.                              |
| <b>DECISION BRIEF</b>                | Rebuild the qualification rule from the historical signals of accounts that bought; contract it with sales.              |
| <b>INTERVENTION</b>                  | A written product-to-sales handoff agreement, with entry rules, a payload, a receiver, and a clock.                      |
| <b>PRIMARY METRIC</b>                | Accepted-to-won rate on routed accounts.                                                                                 |
| <b>GUARDRAILS</b>                    | Self-serve conversion for accounts not routed; product engagement after a sales touch.                                   |
| <b>READOUT</b>                       | Fewer accounts routed, more accepted, and no drop in self-serve.                                                         |
| <b>DECISION</b>                      | Product signals are a handoff like any other: contracted, owned, and measured.                                           |
| <b>NEXT CONSTRAINT</b>               | Sales capacity to work product-led accounts quickly.                                                                     |



## Case 18 • The agency's qualified leads

|                                      |                                                                                                                       |
|--------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | An agency reports record qualified leads and falling cost per lead. Pipeline from the channel is down.                |
| <b>THE MISLEADING INTERPRETATION</b> | "The agency is crushing it." The agency writes its own definition of qualified.                                       |
| <b>THE ACTUAL QUESTION</b>           | Whose definition of qualified is the agency measured on, and what happens to its leads downstream?                    |
| <b>SIGNAL NEEDED</b>                 | The agency's qualification rule; acceptance and pipeline by agency-sourced cohort; a sample of rejected agency leads. |
| <b>LIKELY CONSTRAINT</b>             | Measurement ownership. The party paid on volume defines volume.                                                       |
| <b>DECISION BRIEF</b>                | Move the definition of qualified in-house; add a downstream guardrail to the agency's contract.                       |
| <b>INTERVENTION</b>                  | A metric contract the agency is measured against, with useful output reported next to cost per lead.                  |
| <b>PRIMARY METRIC</b>                | Accepted opportunities per dollar from the agency.                                                                    |
| <b>GUARDRAILS</b>                    | Cost per accepted opportunity; rejection rate; brand and compliance checks.                                           |
| <b>READOUT</b>                       | If cost per lead rises and cost per accepted opportunity falls, the change worked.                                    |
| <b>DECISION</b>                      | Partners are measured on the company's definitions, never their own.                                                  |
| <b>NEXT CONSTRAINT</b>               | Creative and offer quality, once the measurement is honest.                                                           |

## Case 19 • The expansion motion with no owner

|                                      |                                                                                                                                |
|--------------------------------------|--------------------------------------------------------------------------------------------------------------------------------|
| <b>PRESENTING PROBLEM</b>            | Net revenue retention falls for three quarters. Customer success says renewals are fine; sales says expansion isn't their job. |
| <b>THE MISLEADING INTERPRETATION</b> | "We need an expansion team." It adds a stage without defining the handoff.                                                     |
| <b>THE ACTUAL QUESTION</b>           | Who owns expansion today, with what authority, and what triggers a handoff to them?                                            |
| <b>SIGNAL NEEDED</b>                 | Retention and expansion by cohort, unblended; the ownership grid for post-sale stages; expansion opportunities by source.      |
| <b>LIKELY CONSTRAINT</b>             | Ownership. Expansion is everyone's job, so it's nobody's.                                                                      |
| <b>DECISION BRIEF</b>                | Name an owner for expansion with real authority; write the success-to-sales handoff; pilot it on one segment.                  |
| <b>INTERVENTION</b>                  | An ownership change and one written handoff, piloted on the segment with the most expansion history.                           |
| <b>PRIMARY METRIC</b>                | Expansion revenue from the pilot segment, by cohort.                                                                           |
| <b>GUARDRAILS</b>                    | Gross retention; customer satisfaction after an expansion touch.                                                               |
| <b>READOUT</b>                       | Read on the pilot segment's cohort, against a comparable segment.                                                              |
| <b>DECISION</b>                      | Every revenue stage has one owner, after the sale as well as before.                                                           |
| <b>NEXT CONSTRAINT</b>               | Product packaging that makes expansion possible.                                                                               |

## Case 20 • The install that stalled at day 45

|                               |                                                                                                                                                                                 |
|-------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| PRESENTING PROBLEM            | An install produced a signed brief on schedule. By day 45, the build is behind, the weekly review has been cancelled twice, and leaders are asking whether the framework works. |
| THE MISLEADING INTERPRETATION | “The framework is too heavy for us.”                                                                                                                                            |
| THE ACTUAL QUESTION           | Which artifact stopped changing decisions, and when?                                                                                                                            |
| SIGNAL NEEDED                 | The install tracker; review attendance; whether the build has a named owner with protected time; open parking-lot items.                                                        |
| LIKELY CONSTRAINT             | Capacity and cadence. The build owner was never given time, and the review became a status meeting.                                                                             |
| DECISION BRIEF                | Shrink the build scope to what one owner can finish in two sprints; protect their time in writing; reset the weekly review to run from the panel.                               |
| INTERVENTION                  | A re-scoped build and a reset cadence, announced by the sponsor.                                                                                                                |
| PRIMARY METRIC                | Gate 2 passed by a new date, written now.                                                                                                                                       |
| GUARDRAILS                    | No new initiatives until Gate 2; the review is held weekly, with no cancellations.                                                                                              |
| READOUT                       | Gate 2 passes, or the stall’s cause is named and goes on the failure-mode panel.                                                                                                |
| DECISION                      | Installs are staffed like projects, with a named owner and protected time.                                                                                                      |
| NEXT CONSTRAINT               | Whatever the first install was built to fix, which is now overdue.                                                                                                              |

**TAKEAWAYS**

- Most new situations are old failure modes in new clothes: definitions, ownership, capacity, and cadence.
- AI agents, agencies, and product signals are handoffs. Contract them like any other.
- An honest pipeline shrinks before it grows. That's the read, not the failure.
- Installs stall for the same reasons workflows do: no owner, no protected time, no cadence.

**THIS WEEK**

Run one of these cases with your team using Workshop 8. Collect the “this is us” sentences.

**TOOLS**

T19 • T20 • T29 • T34 • T46 • T60 Workshop Planner

APPENDICES

# The Field Kit

*Every tool, once, in one place.*

Print these. Every tool has one canonical version here, numbered T1–T61 and grouped by rung (T48–T61 are new in the Operators Edition). Each one lists when to use it, who owns it, and how often it runs, followed by the fields to fill in and a one-line rule. A tool filled in alone at a desk is a draft. A tool filled in with the people who own the work is an operating decision. Every tool earns its place by changing a decision. If one never does in your business, retire it.

# Appendix A • Worksheets and Templates

DIAGNOSIS

T1 Growth Ladder Diagnostic

**Use when:** before the install, and again at Day 90 · **Owner:** the commercial leader · **Cadence:** quarterly

---

The twenty-item diagnostic is printed in full in the Introduction. Score each item 0–2. Start at the lowest rung scoring below 7 of 10.

T2 Commercial Chain Map

**Use when:** building or auditing the commercial system, or when useful output stalls · **Owner:** the revenue owner · **Cadence:** quarterly

01 Useful output of the whole chain, in one sentence

02 The weakest handoff, and the evidence for it

03 The metric most likely to be lying to you

04 The limiting stage, the evidence, and the decision it changes this week

| Stage (4–8, renamed for your business) | Promise to the buyer | Entry trigger | Exit evidence | Owner (one name) | One number | Where value leaks |
|----------------------------------------|----------------------|---------------|---------------|------------------|------------|-------------------|
|                                        |                      |               |               |                  |            |                   |
|                                        |                      |               |               |                  |            |                   |
|                                        |                      |               |               |                  |            |                   |

One owner and one piece of exit evidence per stage. Otherwise it's a waiting room, not a stage.

### T3 Useful Output Definition

**Use when:** defining the number, or when teams disagree about success · **Owner:** the CEO or revenue owner · **Cadence:** annually, or on any change of business motion

01 Our useful output, in one sentence

02 Business motion (sales-led / product-led / transactional) and the dangerous shortcut it invites

03 Test 1, repeatable: could a new hire repeat it after hearing it once? (0–2)

04 Test 2, observable: can we count it in our systems today? Where? (0–2)

05 Test 3, ungameable: which team could improve it by moving cost downstream? (0–2)

06 Test 4, owned: the one name who answers for it (0–2)

07 The person most likely to disagree, and their objection

*If it takes a paragraph, it's a negotiation, not a definition.*



## T4 Constraint Map

**Use when:** setting priorities for the period · **Owner:** the operator · **Cadence:** monthly

01 Useful output, in one sentence

02 The stage that limits it today

03 Evidence it's the constraint (numbers, not opinion)

04 What improves if the constraint moves 10%

05 What we'll deliberately not improve

06 Next action, owner, date

*One constraint at a time. Re-map when the numbers say it moved.*

## T5 Audit Guide

**Use when:** growth has stalled, or a big investment looms · **Owner:** the commercial leader · **Cadence:** yearly, or when the constraint changes

01 Useful output, in one sentence

02 Baseline: number, source, date

03 Constraint #1, and the evidence

04 Constraint #2, which limits once #1 moves

05 Constraint #3, held in reserve

06 Evidence gaps: what would change the ranking

07 The owners who agree (names, not titles)

### DATA RECONCILIATION CHECK-LIST

- ☐ Define the record to trace first.
- ☐ Agree on field definitions across owners.
- ☐ Sample the rejections; they hold the constraint.
- ☐ Time every transition; measure elapsed time.
- ☐ Reconcile counts across systems first.
- ☐ Name untraceable records, and why.

### STAKEHOLDER INTERVIEW PROMPTS

1. The one number you're accountable for, and its source?
2. The last record that stalled: where did it stop?
3. The most common rejection reason: what does it mean?
4. Who owns the handoff to the next team, by name?
5. One thing you'd change about how work reaches you?
6. What evidence would change your mind?
7. What do we measure that changes no decision?

T6 Trusted Baseline Checklist

Use when: freezing the numbers later comparisons will rest on · Owner: the metric owner · Cadence: once per baseline

- ☐ Period defined with exact start and end dates.
- ☐ Data source named, accessible, and repeatable.
- ☐ Every metric has a written definition (T19).
- ☐ Gaps, exclusions, and manual adjustments listed.
- ☐ One-off anomalies flagged, not silently kept.
- ☐ Owner reviewed the pull, signed off, dated, and froze it.

If a number can't be re-pulled the same way twice, it isn't a baseline. It's a memory.

SIGNAL

T7 Signal Register

Use when: choosing what the business watches, or auditing a dashboard · Owner: the growth leader · Cadence: reviewed monthly; pruned quarterly

| Claim<br>(one sentence) | Evidence:<br>source & date | Decision<br>it may<br>change,<br>and who<br>decides | Definition<br>& cohort | Clock<br>(time to<br>mature) | Completeness /<br>gaps | Split<br>by | Owner<br>& next<br>read | Last<br>decision<br>changed |
|-------------------------|----------------------------|-----------------------------------------------------|------------------------|------------------------------|------------------------|-------------|-------------------------|-----------------------------|
|                         |                            |                                                     |                        |                              |                        |             |                         |                             |
|                         |                            |                                                     |                        |                              |                        |             |                         |                             |
|                         |                            |                                                     |                        |                              |                        |             |                         |                             |

An entry that can't fill every field is a rumor with a spreadsheet. Anything that hasn't changed a decision in two quarters is demoted.

## T8 Questions Before You Trust a Dashboard

**Use when:** before any dashboard reading drives a decision · **Owner:** the decision owner · **Cadence:** per reading

- ☐ What decision does this dashboard change, and who makes it?
- ☐ Each metric's definition, and its owner?
- ☐ Each metric's clock: is the cohort mature?
- ☐ Fresh test leads measured against a matured baseline?
- ☐ What's missing, and does the gap correlate with the result?
- ☐ Which segment drives the average? Would splitting change the call?
- ☐ What competing explanations fit this movement?
- ☐ What else changed the week this number moved?
- ☐ A trend we're riding, or a cause we can repeat?
- ☐ What number would change our minds, written down before launch?
- ☐ Who benefits if this number looks good?
- ☐ When did we last remove a metric, and which is next?

## T9 Metric Retire-or-Keep Test

**Use when:** a dashboard review, or when a new metric is proposed · **Owner:** the metric owner · **Cadence:** quarterly

01 The metric, in one line, and the specific decision it informs

02 The owner of that decision, named

03 The twenty-percent test: if it moved 20% next month, what exactly would we do?

04 The last time it changed a decision: a date, not a feeling

05 Verdict: keep / demote / retire

*Keep: decision named, owner attached, changed a decision recently. Retire: anything else.*

### T 10 Evidence Quality Checklist

**Use when:** grading any claim before it enters a decision · **Owner:** the decision owner · **Cadence:** per claim

- ☐ Source named: who produced this, and how.
- ☐ Method repeatable; sample size and time period stated.
- ☐ Baseline or comparison shown, not just the headline.
- ☐ Confounders and alternative explanations considered.
- ☐ Correlation not presented as cause; limitations listed, not buried.
- ☐ Someone else could reproduce the result from the description.
- ☐ **Evidence Ladder rung (1–6):** \_\_\_ **Confidence:** low / medium / high

*Grade the evidence first, then decide how much weight it carries.*

## STRATEGY

### T 11 Context Card

**Use when:** before any material recommendation · **Owner:** the recommender · **Cadence:** per decision

**01** The constraint this addresses, in one sentence

**02** The evidence it rests on, labeled hypothesis or evidence

**03** Where this has worked before, and how that context differs from ours

**04** The conditions under which this recommendation stops being true

*No card, no funding. Otherwise it's a rumor with a budget.*

T 12 Strategy Prioritization Matrix

Use when: choosing which bets get resources · Owner: the decision owner · Cadence: quarterly

| Initiative | Moves the<br>constraint<br>(1–5) | Evidence<br>(1–5) | Cost to<br>test (1–5,<br>5 =<br>cheap) | Payback<br>(1–5) | Reversible<br>(1–5) | Total | Rank |
|------------|----------------------------------|-------------------|----------------------------------------|------------------|---------------------|-------|------|
|------------|----------------------------------|-------------------|----------------------------------------|------------------|---------------------|-------|------|

Score “moves the constraint” first. Work that ignores the constraint can total high, rank well, and change nothing. (This is the one tool that keeps a 1–5 scale, because it ranks rather than gates.)

T 13 Hypothesis Builder

Use when: before any test, change, or spend · Owner: the test owner · Cadence: per bet

01 We believe [change] causes [effect] for [segment], because [mechanism]

02 We’re right when [metric] moves from [baseline] to [target] by [date]

03 We’re wrong when [disproof condition]

04 The cheapest test that could disprove it

Write the “we’re wrong” line before the test starts. Afterward, every result looks like confirmation.

## T 14 Decision Brief

**Use when:** any decision with cost, risk, or irreversibility · **Owner:** the decision owner (one name) · **Cadence:** per decision

01 Decision, in one sentence. Owner. Date required.

02 Constraint (from the audit ranking)

03 Context: three bullets at most

04 Hypothesis: we believe \_\_\_ will move \_\_\_ by , because

05 Cohort, in one sentence

06 Options A / B / C / do nothing, with the cost and reversibility of each

07 Knowns vs. assumptions

08 Dependencies: what must be true first, with owner and date

09 Primary metric: the one deciding number

10 Guardrails: what must not get worse (T15)

11 Stop rule: what ends it early (T16)

12 Exclusions: what we will NOT touch while this runs

13 Review window: interim and final read dates, already on the calendar

14 What would change our minds

*One decision per brief. If it runs longer than a page, it hasn't been thought through.*

### T 15 Guardrail Builder

**Use when:** before launching any test or change · **Owner:** the test owner · **Cadence:** per bet

- 
- 01 The metric that must not break, with its acceptable floor and ceiling
- 
- 02 Who watches it, and how often
- 
- 03 Amber (alert) threshold vs. red (stop) threshold
- 
- 04 The pre-agreed response when each threshold trips, and who can act without a meeting
- 

*Set guardrails before the test starts. Nobody argues for restraint while winning.*

### T 16 Stop Rule Builder

**Use when:** before committing budget or time to a bet · **Owner:** the decision owner · **Cadence:** per bet

- 
- 01 The bet, its total cost cap, and the kill metric and threshold
- 
- 02 Review date: no test runs past this without re-approval
- 
- 03 What “kill” means in practice: who pulls it, and what happens to the spend
- 
- 04 What we keep if we kill it: learning, assets, lists
- 

*Write the kill conditions when enthusiasm is highest. That’s when you think most clearly about failure.*



## T 17 Test Design Worksheet

**Use when:** designing any experiment · **Owner:** the test owner · **Cadence:** per test

01 Hypothesis (T13), and the decision this result will change

02 Treatment vs. control: what changes, what stays fixed, how assignment is randomized

03 Sample, duration, and the minimum effect worth acting on

04 Primary metric (one), guardrail metrics (T15), stop rule (T16)

05 Read window, chosen with cohort maturity in mind

*One primary metric; everything else is context. If the result can't change a decision, don't run the test.*

## T 18 Pre-Mortem

**Use when:** before any material commitment · **Owner:** the decision owner · **Setup:** it's one year from now, and the commitment has failed

01 Three failure reasons: what broke first, what was ignored, what moved at the new volume

02 The early warning to watch (signal, not hope)

03 Decision: proceed, fence, or kill, plus the evidence threshold for the next step

*A pre-mortem that changes nothing was theater.*

SYSTEMS

T19 Metric Contract & Stage Definition

**Use when:** creating, auditing, or changing any metric or CRM stage · **Owner:** the metric or stage owner (one name) · **Cadence:** quarterly, or on any definition change

| Metric or stage | Start / entry event | End / exit events (incl. rejection & timeout) | Denominator | Window | Owner | Max age | Exclusions | Handoff acceptance criteria & payload | Version |
|-----------------|---------------------|-----------------------------------------------|-------------|--------|-------|---------|------------|---------------------------------------|---------|
|                 |                     |                                               |             |        |       |         |            |                                       |         |

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A stage without an exit event is a parking lot. Version every change, never edit history, and reconcile before comparing.

## T20 Lead Acceptance Agreement

**Use when:** two teams hand work to each other · **Owner:** both signatories · **Cadence:** re-signed quarterly

- 
- 01** Parties: the sending owner and the receiving owner, by name
- 
- 02** Definition of "lead": paste the full metric contract (no adjectives)
- 
- 03** Acceptance criteria: what must be true for the record to be accepted
- 
- 04** Required payload fields on every handoff
- 
- 05** Response SLA in hours, measured from which event
- 
- 06** Rejection reasons: allowed values only (T22)
- 
- 07** Disposition of rejected records: returned to whom, with what information
- 
- 08** Review cadence and the metric reviewed
- 
- 09** Signatures and date
- 

*An agreement no individual will sign is a wish, not an agreement.*

## T21 Handoff Integrity Checklist

**Use when:** designing or auditing any handoff between teams · **Owner:** the sender, countersigned by the receiver · **Cadence:** per handoff, spot-checked monthly

---

- ☐ Receiving owner named: one name, not a team.
- ☐ Acceptance criteria written and measurable; artifact and format specified.
- ☐ Timestamp and source travel with the handoff.
- ☐ Rejected-handoff path defined: who gets it back, and how fast.
- ☐ Acceptance SLA set in hours, not “soon”; audit trail kept.
- ☐ Both owners signed the agreement (T20).

*A handoff without acceptance criteria is a blame generator. Check this list before checking people.*

T 2.2 Routing, Escalation & Rejection Map

Use when: defining who handles what, and what happens when they can't · Owner: operations · Ca-  
dence: quarterly, or after any miss

| Signal or<br>condition | Routes to<br>(owner) | Backup | Response<br>SLA | Escalates to,<br>and when | Escalation<br>SLA |
|------------------------|----------------------|--------|-----------------|---------------------------|-------------------|
|------------------------|----------------------|--------|-----------------|---------------------------|-------------------|

Default route:

| Rejection reason (closed list) | Meaning | Owner | Action upstream |
|--------------------------------|---------|-------|-----------------|
|--------------------------------|---------|-------|-----------------|

Write the default route first. Every signal gets exactly one route. Free-text rejection reasons can't  
be acted on.

## T23 Systems Build Specification

**Use when:** turning a working process into a repeatable system · **Owner:** the system owner · **Cadence:** per system, reviewed quarterly

---

**01** System name, and its useful output in one sentence

---

**02** Trigger (what starts it) and required inputs (nothing runs on missing inputs)

---

**03** Fields: valid values and change rights

---

**04** Steps, numbered, each with an owner; decision points (if this, then that)

---

**05** Routing and fallback; exception queue and its owner

---

**06** Rejections (closed list); quality checks that run regardless of workload

---

**07** Recovery: who is notified and what is preserved

---

**08** Outputs and where they land; the metric fed and how it's computed

---

**09** Owner (one name), review cadence, kill criteria

---

*Specification before configuration. Validate with T26 before automating with T27.*

## T 2.4 Runbook Template

**Use when:** a workflow must survive its builder's absence · **Owner:** the workflow owner, plus a named second operator · **Cadence:** re-tested annually, and after any change

01 Workflow name, owner (one name), second operator (one name), and purpose (the useful output)

02 Trigger and inputs

03 Normal path: stages and handoffs, in order, each with a who and a by-when

04 Acceptance criteria at each handoff

05 Top three exceptions and the disposition for each

06 Escalation path (names, not roles) and recovery procedure after a failure

07 Measurement: which contract, which dashboard, review cadence, version

08 Second-operator test: date passed, and what they asked

*A runbook that has never been tested is fiction. Walk one record through it end to end before you call it done.*

## T 25 Trace One Record End to End

**Use when:** you want the truth, not the diagram; or a build claims to be finished · **Owner:** someone who did not build it · **Time:** 45 minutes · **Cadence:** before every exit test, then monthly

- 01 Record ID, start event, and the time it fired
- 02 Every stage, in order, with timestamps, the owner, and whether the acceptance criterion was checked
- 03 Where routing fired, and what the rule did
- 04 Where data was missing, and what the exception path did
- 05 Where it waited longest, and why (this is the diagnosis)
- 06 Where it would stall if the owner were out
- 07 The receiver: the one question they asked
- 08 Verdict, pass or fix: the one change that would have moved it faster, and its owner

## T 26 Workflow Validation Checklist

**Use when:** before a workflow goes live, and after any change · **Owner:** the workflow owner · **Cadence:** per launch and per change

- ☐ Tested end to end with real inputs, not samples, including the failure path.
- ☐ Edge cases documented, with their handling.
- ☐ The owner can run it without the builder in the room.
- ☐ Outputs land where downstream expects them, in the expected format.
- ☐ Timing measured against the SLA it has to meet.
- ☐ Documented in one page or less; revalidation scheduled for any adjacent change.

*“It worked in the demo” isn’t validation. Validate with the ugliest real input you have.*



T 2 7 Automation Readiness Checklist

**Use when:** before automating any workflow step, including AI agents and copilots · **Owner:** the process owner · **Cadence:** once per candidate

- ☐ The manual process works: consistent results without the automation.
- ☐ It's documented well enough that a second person could run it.
- ☐ Every measure and stage it touches has a versioned definition.
- ☐ Every handoff has acceptance criteria and a named owner.
- ☐ Inputs are structured, or can be made structured.
- ☐ Exceptions are rare and defined, with an owner and a disposition clock, including the automation's own failures.
- ☐ The volume justifies the build and maintenance within two quarters.
- ☐ Before/after measurement uses the same definition and denominator, reconciled.
- ☐ A rollback path to manual exists without data loss, and monitoring reports its own health.
- ☐ The step survives a "should this exist at all?" review, and a named human owns the output.

*All ten checked before the build starts. Every unchecked box is a reason to wait.*

T 2 8 Exception Log

**Use when:** launching before certainty, or running any workaround · **Owner:** the decision owner · **Cadence:** reviewed at each expiry date

| Exception | Assumption (what we don't yet know) | Exposure limit (cohort, spend cap, time box) | Owner | Expiry date | Kill condition |
|-----------|-------------------------------------|----------------------------------------------|-------|-------------|----------------|
|           |                                     |                                              |       |             |                |

*An exception without an expiry date is a policy you didn't admit to.*

T 29 Ownership Grid

Use when: a quarterly review, or a failing stage · Owner: the operating leader · Cadence: quarterly

| Stage (inbound, first response, qualification, handoff, measurement...) | Owner (one name) | Authority: what they can change alone | One-number outcome | Last updated |
|-------------------------------------------------------------------------|------------------|---------------------------------------|--------------------|--------------|
|-------------------------------------------------------------------------|------------------|---------------------------------------|--------------------|--------------|

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No shared cells and no blanks. Any stage without a single name is an unowned stage, a known risk until it's filled.

## THE MATH

## T30 Pipeline Velocity Calculator

**Use when:** sizing what the pipeline can produce, or ranking levers · **Owner:** commercial operations ·

**Cadence:** monthly, per mature cohort

| Input                                    | Definition locked?       | Value           |
|------------------------------------------|--------------------------|-----------------|
| A. Accepted opportunities (one cohort)   | <input type="checkbox"/> |                 |
| B. Average deal value at entry           | <input type="checkbox"/> |                 |
| C. Win rate, mature cohort (decimal)     | <input type="checkbox"/> |                 |
| D. Cycle length in days (same start/end) | <input type="checkbox"/> |                 |
| <b>Velocity = (A × B × C) ÷ D</b>        |                          | <b>\$ / day</b> |
| Cheapest 10% input move, and its effect  |                          |                 |

*Pipeline is opportunity value, not booked revenue. Move one input at a time. Worked example (hypothetical):  $40 \times \$8,000 \times 0.25 \div 60 \text{ days} = \$1,333 \text{ per day}$ .*

**T 31 Conversion Economics Worksheet**

**Use when:** judging whether the funnel math works · **Owner:** the commercial leader · **Cadence:** monthly

---

**01** Total commercial investment this period (spend + loaded labor + tools)

---

**02** Stage volumes, and conversion % between stages

---

**03** Cost per accepted opportunity, by channel; cost per won deal

---

**04** Collected value per won deal (cash, not pipeline); contribution payback; break-even volume

---

**05** Which 10% stage-conversion move cuts cost per won deal the most?

---

*Cost per won deal is the number that matters. Cost per lead flatters volume that never converts.*

T33 Economics & Capacity Guardrail Table

**Use when:** setting the hard limits the system runs inside · **Owner:** the operator and the finance lead, jointly · **Cadence:** quarterly, or when economics shift

| Guardrail                                  | Green<br>(operate) | Amber<br>(watch) | Red<br>(breach) | Breach<br>action | Owner | Current |
|--------------------------------------------|--------------------|------------------|-----------------|------------------|-------|---------|
| Cost per accepted<br>opportunity           |                    |                  |                 |                  |       |         |
| Max cost per won<br>deal                   |                    |                  |                 |                  |       |         |
| CAC payback<br>(months)                    |                    |                  |                 |                  |       |         |
| Win rate (mature) /<br>max cycle days      |                    |                  |                 |                  |       |         |
| Capacity ceiling /<br>utilization red line |                    |                  |                 |                  |       |         |
| Onboarding back-<br>log                    |                    |                  |                 |                  |       |         |
| 90-day cohort re-<br>tention               |                    |                  |                 |                  |       |         |
| Hiring / capacity<br>trigger               |                    |                  |                 |                  |       |         |

*Set the capacity guardrail first. Guardrails are set in calm and enforced in storms. Growth that breaks one is damage with a delay.*

SCALE

T 35 Allocation Portfolio

Use when: the quarterly workshop · Owner: the decision owner · Cadence: quarterly

| Segment / channel | Role: core (defend) · growth (feed) · experimental (kill date) | Allocation | Guardrail | Owner | Review / kill date |
|-------------------|----------------------------------------------------------------|------------|-----------|-------|--------------------|
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Every row carries a review date. No allocation is permanent, and none survives on history alone.

T 36 Durability Checklist

Use when: before any scale step, and in the quarterly workshop · Owner: the CS or revenue leader · Cadence: monthly

- ☐ Cohorts defined by entry period and source, written down.
- ☐ Retention at 30, 90, and 180 days per cohort, compared cohort to cohort, never blended.
- ☐ Expansion vs. contraction tracked inside each cohort.
- ☐ Segment-level performance reviewed separately from company averages.
- ☐ Leading indicators instrumented: activation, time-to-value, tickets per account by cause, onboarding time.
- ☐ The newest cohort judged only against prior cohorts at the same age.

OPERATING RHYTHM

| T37 Experiment Ledger                                                                             |                    |            |                     |             |             |                        |                                            |                                        |
|---------------------------------------------------------------------------------------------------|--------------------|------------|---------------------|-------------|-------------|------------------------|--------------------------------------------|----------------------------------------|
| Use when: launching any test · Owner: the test owner · Cadence: at launch and at each readout     |                    |            |                     |             |             |                        |                                            |                                        |
| ID                                                                                                | Test & launch date | Hypothesis | Decision it informs | Brief filed | Read window | Guardrails & stop rule | Result: expand / hold / kill / re-diagnose | Learning; next diagnostic, owner, date |
|                                                                                                   |                    |            |                     |             |             |                        |                                            |                                        |
|                                                                                                   |                    |            |                     |             |             |                        |                                            |                                        |
|                                                                                                   |                    |            |                     |             |             |                        |                                            |                                        |
| Every row: brief, readout, result. Unwritten experiments get repeated, including the failed ones. |                    |            |                     |             |             |                        |                                            |                                        |

## T38 Readout

**Use when:** reporting any test or reading that asks for a decision · **Owner:** the test owner · **Cadence:** at each agreed read window, within one week of close

01 Test (ledger ID) and read window

02 What we expected (copied from the brief)

03 What happened: numbers vs. baseline, with cohort maturity stated first

04 Competing explanations checked, and how

05 Evidence rung and confidence (low / medium / high), and why

06 Decision: expand / hold / kill / re-diagnose; owner; date

07 What would change this decision

*Readouts end with a decision, never with “interesting.” Write “inconclusive” when it’s true, and name the next diagnostic.*



T 3 9 Decision Ledger

**Use when:** every material decision and every scale step, taken or reversed · **Owner:** the decision or workflow owner · **Cadence:** per decision; reviewed quarterly

| Date / step | Decision (one sentence) & owner | Evidence cited | Cohort & allocation change | Result vs. metric & guardrails | Trade-offs | What stayed constant | Next constraint | Reversal condition | Re da ou |
|-------------|---------------------------------|----------------|----------------------------|--------------------------------|------------|----------------------|-----------------|--------------------|----------|
|-------------|---------------------------------|----------------|----------------------------|--------------------------------|------------|----------------------|-----------------|--------------------|----------|

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*A decision without a review date is a bet you never settle. The next review starts with evidence, not memory.*

T 4 0 Weekly Operating Review

**Owner:** the operator · **Cadence:** weekly, 60 minutes, same time

| Time | Item                                                                 | Owner / notes |
|------|----------------------------------------------------------------------|---------------|
| 0:00 | Numbers vs. plan. Constraint check: is it still the constraint?      |               |
| 0:15 | Active experiments: on track, at risk, ready to read out; guardrails |               |
| 0:30 | Handoffs and blockers: stage age, what's stuck between owners        |               |
| 0:40 | Exceptions past their clock or expiry                                |               |
| 0:50 | Decisions needed; commitments: who does what by when                 |               |

*Every item ends with an owner and a date, or it didn't happen. No status theater.*

T 41 Monthly Commercial & Decision Review

Owner: the commercial leader · Cadence: monthly, 90 minutes

| Time | Item                                                                | Owner / notes |
|------|---------------------------------------------------------------------|---------------|
| 0:00 | Guardrails: any breach fires its stop rule. No debate.              |               |
| 0:05 | Cohort outcomes vs. forecast, reconciled; maturity stated first     |               |
| 0:20 | Funnel reconciliation: gaps explained                               |               |
| 0:30 | Economics: cost per accepted opp, cost per won, payback, break-even |               |
| 0:40 | Readouts due: brief vs. actual, confidence, decision                |               |
| 0:60 | Negative results: what each failed test ruled out, into the ledger  |               |
| 0:65 | Dashboard audit: one metric nominated for removal                   |               |
| 0:70 | Next constraint: one action, one owner                              |               |
| 0:80 | New briefs (no brief, no test) and assignments                      |               |

## T 4.2 Quarterly Allocation Workshop

**Owner:** the decision owner · **Cadence:** quarterly, half day (with a 90-minute decision core)

| Block     | Item                                                                              | Notes |
|-----------|-----------------------------------------------------------------------------------|-------|
| Review    | Where capital and time went, and what it returned, by bet, against the stop rules |       |
| Review    | Constraint re-map (T4): has it moved? Fresh readiness scores (T34)                |       |
| Core · 15 | Guardrail review                                                                  |       |
| Core · 15 | Capacity check                                                                    |       |
| Core · 15 | Cohort durability                                                                 |       |
| Core · 25 | Allocation: fund, feed, revise, or stop, by segment and channel                   |       |
| Core · 10 | Decision ledger entries, with reversal conditions                                 |       |

*If the money and the priorities disagree, the money is telling the truth. Kill at least one thing every quarter.*

## T 4.5 System Check

**Use when:** a quarterly review, or diagnosing a dip · **Owner:** the marketing or growth lead · **Cadence:** monthly

- ☐ Useful output defined in one sentence: the output the system exists to produce.
- ☐ Every stage named, with measured conversion and cycle time.
- ☐ One constraint named, and one commitment funded against it.

*If you can't state next quarter's output without a launch on the calendar, you fail.*

T 46 30/60/90 Install Tracker

Use when: running the install (Chapter 15) · Owner: the install lead · Cadence: reviewed weekly

| Week | Work                                                     | Artifact                                         | Owner | Due | Done                     |
|------|----------------------------------------------------------|--------------------------------------------------|-------|-----|--------------------------|
| 1    | The first week: ten steps                                | Number, chain, baseline, constraint, brief draft |       |     | <input type="checkbox"/> |
| 2    | Audit: reconcile, sample rejections, interviews          | Reconciliation notes; interview notes            |       |     | <input type="checkbox"/> |
| 3    | Rank constraints; owners agree; start register           | Ranked audit (T5); Signal Register (T7)          |       |     | <input type="checkbox"/> |
| 4    | Decision brief, context card, guardrails, stop rule      | Gate 1: approved brief (T14)                     |       |     | <input type="checkbox"/> |
| 5    | Build spec; metric contracts; draft agreement            | T23, T19, T20 draft                              |       |     | <input type="checkbox"/> |
| 6    | Configure; run by hand; sign agreement                   | Signed T20; routing map (T22)                    |       |     | <input type="checkbox"/> |
| 7    | Trace records; fix; second-operator test                 | Gate 2: runbook passes (T24, T25, T26)           |       |     | <input type="checkbox"/> |
| 8    | Pilot live; guardrails on; first weekly review           | Live T33; T40 held                               |       |     | <input type="checkbox"/> |
| 9–11 | Operate; honor the window; first monthly review          | Four weeks of evidence; T41 held                 |       |     | <input type="checkbox"/> |
| 12   | Scale review; ledger; next constraint; cadence; re-score | Gate 3: T34, T39, calendar, T1                   |       |     | <input type="checkbox"/> |

OPERATORS EDITION TOOLS

These fourteen tools support the playbooks, role tracks, sprints, failure modes, and workshops in Parts VII through XI. They follow the same rules as T1–T47. Each one earns its place by changing a decision.

## T 48 Signal Sprint Board

**Use when:** running the Signal playbook (Chapter 22) · **Owner:** the install lead · **Cadence:** daily during the sprint; reviewed weekly

| Play                 | Input                           | Artifact                           | Owner | Due | Done                     |
|----------------------|---------------------------------|------------------------------------|-------|-----|--------------------------|
| 1 · Frame the number | Leadership's working definition | Useful output sentence (T3)        |       |     | <input type="checkbox"/> |
| 2 · Reconcile        | Two systems' counts             | Record-level gap notes             |       |     | <input type="checkbox"/> |
| 3 · Baseline         | Mature cohorts                  | Trusted baseline (T6)              |       |     | <input type="checkbox"/> |
| 4 · Prune            | Current dashboard               | Retire-or-keep list (T9)           |       |     | <input type="checkbox"/> |
| 5 · Interview        | Seven questions                 | Interview summary                  |       |     | <input type="checkbox"/> |
| 6 · Rank             | Plays 1–5                       | Ranked constraint, signed (T4, T5) |       |     | <input type="checkbox"/> |

*Signal ends when the constraint is signed, not when the data is perfect. If Play 3 has no mature baseline by week two, measurement is the constraint.*

T 49 Options & Narrowing Sheet

**Use when:** choosing one intervention against a signed constraint (Chapter 23) · **Owner:** the brief owner · **Cadence:** once per brief

| Option<br>(one line) | Effect on<br>constraint | Evidence<br>rung | Cost · time<br>to read | Smallest<br>honest version | Keep /<br>exclude |
|----------------------|-------------------------|------------------|------------------------|----------------------------|-------------------|
|----------------------|-------------------------|------------------|------------------------|----------------------------|-------------------|

|  |  |  |  |  |  |
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|  |  |  |  |  |  |
|--|--|--|--|--|--|
|  |  |  |  |  |  |
|--|--|--|--|--|--|

**Chosen option:** \_\_\_\_\_ **Excluded, in writing:** \_\_\_\_\_

*Every option not chosen becomes a written exclusion. Narrow the chosen one before you price it.*

T50 Friction Log

**Use when:** running a workflow by hand before building or automating it · **Owner:** the operator running it · **Cadence:** every run for five working days

| Date | Record / step | What happened (hesitated, guessed, asked, worked around) | Who was asked | Time lost | Fix needed | Fix owner |
|------|---------------|----------------------------------------------------------|---------------|-----------|------------|-----------|
|------|---------------|----------------------------------------------------------|---------------|-----------|------------|-----------|

*Log one process only. Every entry gets a fix or a written reason it doesn't need one, before automation starts.*

T 51 Scale Step Sizer

**Use when:** choosing how much to expand after a scale review (Chapter 25) · **Owner:** the brief owner, with finance · **Cadence:** per expansion step

| Item                                    | Value |
|-----------------------------------------|-------|
| Current allocation                      |       |
| Proposed step (% over window)           |       |
| Lowest team capacity threshold, by name |       |
| Marginal-cohort payback at this step    |       |
| Guardrail that pauses the step          |       |
| Cost to reverse this step               |       |
| One quarter's learning, valued          |       |
| Read date                               |       |

*The step is small enough that reversing it costs less than one quarter's learning, and it fits under the lowest capacity threshold, not the average.*



T 52 CEO Gate Review

**Use when:** approving any initiative, budget, or scale request (Chapter 26) · **Owner:** the CEO or founder · **Cadence:** per request; monthly sweep

- ☐ Which constraint does this address, and who signed the ranking?
- ☐ Is there a Context Card, and is each claim labeled hypothesis or evidence?
- ☐ One intervention, one primary metric that matures inside the window?
- ☐ Guardrails and a stop rule with a number or a date?
- ☐ What does it exclude, and who will enforce the exclusions?
- ☐ For scale: every gate scored, none at zero, capacity by name?
- ☐ What's the reversal condition, and when is the ledger review?

*Any unchecked box sends the request back with the box named, not with a “no.”*

T 53 Channel Truth Table

**Use when:** reviewing channel performance or allocation (Chapter 27) · **Owner:** the CMO or growth leader · **Cadence:** monthly; before every allocation workshop

| Channel | Local metric | Accepted opps | Useful output (mature) | Marginal payback | Tier · next decision |
|---------|--------------|---------------|------------------------|------------------|----------------------|
|---------|--------------|---------------|------------------------|------------------|----------------------|

*No channel is judged on its local metric alone. The useful-output column decides; the local column explains.*

T 54 Definitions Register

**Use when:** maintaining every stage, metric, and status definition (Chapter 28) · **Owner:** the RevOps or marketing operations leader · **Cadence:** reviewed monthly; versioned on every change

| Term | Definition (start event, end event, window) | System of record & field | Owner | Version & date | What changed | Who was told |
|------|---------------------------------------------|--------------------------|-------|----------------|--------------|--------------|
|------|---------------------------------------------|--------------------------|-------|----------------|--------------|--------------|

*A definition changes only with a new version, a date, and a note to every team that reports it. A definition change in the middle of a test makes it a new test.*

T 55 Pipeline Triage Sheet

**Use when:** a pipeline triage week, or any coverage review (Chapter 29) · **Owner:** the sales leader · **Cadence:** quarterly, and whenever win rate slides

| Opportunity · rep | Stage | Age / max age | Last verified buyer action | Keep · re-qualify · nurture | Checked |
|-------------------|-------|---------------|----------------------------|-----------------------------|---------|
|-------------------|-------|---------------|----------------------------|-----------------------------|---------|

*Past its stage’s maximum age, a deal needs a dated, verified buyer commitment, or it leaves the pipeline. Report coverage before and after.*

T56 Install Sprint Board

**Use when:** running the 90-day install in two-week sprints (Chapter 30) · **Owner:** the install lead · **Ca-**  
**dence:** updated daily; reviewed at every sprint review

| Backlog | This sprint | In progress | Shown in review | Done (gate-relevant) |
|---------|-------------|-------------|-----------------|----------------------|
|---------|-------------|-------------|-----------------|----------------------|

**Card format:** artifact · owner · receiving owner · gate it serves · due date

*One card per artifact, not per task. A card reaches “Shown in review” only when the receiving owner saw it opened.*

T57 Year-One Operating Calendar

**Use when:** planning the cadence after the first 90 days (Chapter 31) · **Owner:** the operating leader · **Cadence:** set once per year; reviewed quarterly

| Month   | Weekly review | Monthly review | Quarterly workshop | Constraint re-rank | Diagnostic re-score | Second-operator tests | Metric retired |
|---------|---------------|----------------|--------------------|--------------------|---------------------|-----------------------|----------------|
| Q1 · M1 |               |                |                    |                    |                     |                       |                |
| Q1 · M2 |               |                |                    |                    |                     |                       |                |
| Q1 · M3 |               |                |                    |                    |                     |                       |                |
| Q2      |               |                |                    |                    |                     |                       |                |
| Q3      |               |                |                    |                    |                     |                       |                |
| Q4      |               |                |                    |                    |                     |                       |                |

*The calendar is set before the year starts. A cancelled review is rescheduled within the same week, or it's recorded as a failure mode.*

T 58 Special Situations Planner

**Use when:** installing under unusual pressure (Chapter 32) · **Owner:** the install lead · **Cadence:** once, before the first week

| Question                                 | Answer |
|------------------------------------------|--------|
| Which situation(s) are we in?            |        |
| The rung we're most tempted to skip      |        |
| The smallest honest version of that rung |        |
| What we'll shrink                        |        |
| What we'll never skip                    |        |
| Who will hold us to it                   |        |

*Shrink the rung; don't skip it.*

T 59 Failure Mode Pre-Commitment

**Use when:** before an install, and in every quarterly retrospective (Chapter 33) · **Owner:** the facilitator · **Cadence:** quarterly

| Failure mode<br>(code &<br>name) | Votes<br>(private) | Early warning<br>we'll watch | Where it's<br>checked | Owner | Threshold that<br>triggers action |
|----------------------------------|--------------------|------------------------------|-----------------------|-------|-----------------------------------|
|                                  |                    |                              |                       |       |                                   |
|                                  |                    |                              |                       |       |                                   |

*Collect the votes privately. The top five go on the early-warning panel for the next quarter.*

T60 Workshop Planner

**Use when:** planning any workshop in Part XI (Chapter 34) · **Owner:** the facilitator · **Cadence:** per session

| Item                                    | Plan |
|-----------------------------------------|------|
| Workshop and purpose                    |      |
| The artifact we leave with              |      |
| Decider (who decides if the room can't) |      |
| Attendees                               |      |
| Pre-read, sent 48 hours ahead           |      |
| Agenda blocks and timing                |      |
| Hardest moment expected, and the script |      |
| Parking-lot owner                       |      |
| Follow-up note: who sends it, today     |      |

*If you can't name the artifact, don't book the room.*

T61 Role Track 90-Day Card

**Use when:** running a role track alongside the install (Chapters 26–29) · **Owner:** each role leader · **Cadence:** reviewed at every sprint review

| Days  | What my seat owns | Artifact I deliver | Conversation I must hold | Temptation I'll resist | Done                     |
|-------|-------------------|--------------------|--------------------------|------------------------|--------------------------|
| 1–30  |                   |                    |                          |                        | <input type="checkbox"/> |
| 31–60 |                   |                    |                          |                        | <input type="checkbox"/> |
| 61–90 |                   |                    |                          |                        | <input type="checkbox"/> |

*Every seat delivers at least one artifact per gate, and names the temptation it's most exposed to.*

# Appendix B • Scorecards

All scorecards use the same evidence scale: 0 = not true · 1 = partly true, or true but not evidenced · 2 = true, and you can show the evidence. The Growth Ladder Diagnostic (T1) is printed in the Introduction.

T 4 3 Rung Readiness Scorecard

Use when: before advancing a rung, or when results move · Owner: the initiative owner · Cadence: at every decision-brief review

| Rung     | Criterion                                                                 | Score (0–2) | Notes |
|----------|---------------------------------------------------------------------------|-------------|-------|
| Signal   | The decision this evidence must change is named.                          |             |       |
|          | Cohort and definitions reconcile across operators.                        |             |       |
| Strategy | The intervention is bounded; exclusions are named.                        |             |       |
|          | One owner, one metric, one stop rule, written.                            |             |       |
| Sys-tems | Runbook written: trigger, steps, handoffs, failure handling, review date. |             |       |
|          | A second operator has run it end to end.                                  |             |       |
| Scale    | Output repeats without heroics, across operators and weeks.               |             |       |
|          | Unit economics stable at volume; volume-only costs and capacity named.    |             |       |

A rung is ready at 3–4 out of 4. Below that, don’t advance: write the broken dependency, its owner, and the re-score date in the Notes column.



T 4 7 Workflow Reliability Scorecard

Use when: auditing any workflow · Owner: the workflow owner · Cadence: quarterly

| Dimension        | What a 2 looks like                                           | Score (0–2) | Notes |
|------------------|---------------------------------------------------------------|-------------|-------|
| Definitions      | Contracted and versioned (T19)                                |             |       |
| Handoff criteria | Payload, acceptance test, receiver, and clock at every bridge |             |       |
| Routing backup   | A named escalation path on every route                        |             |       |
| Exceptions       | Owned, with one-day disposition                               |             |       |
| Event SLAs       | A stage-age dashboard, not activity counts                    |             |       |
| Rejections       | Coded from a closed list; spikes fixed upstream               |             |       |
| Operability      | Runs without the builder                                      |             |       |
| Automation order | The manual process worked first                               |             |       |
| Cadence          | Reviews happen on schedule                                    |             |       |
| Total            |                                                               | / 18        |       |

Score the system, not the people. Below 12, fix the lowest dimension before adding anything new.

T 32 Pipeline Quality Score

**Use when:** before forecasting or planning against a cohort · **Owner:** the revenue operations lead · **Cadence:** monthly, per cohort

| Dimension         | What a 2 looks like                                                                             | Score<br>(0-2) | Notes |
|-------------------|-------------------------------------------------------------------------------------------------|----------------|-------|
| Cohort definition | Entry event, exit events, and window written down and frozen; unchanged across compared cohorts |                |       |
| Win-rate maturity | Closed beyond one full average cycle; open opportunities excluded from the denominator          |                |       |
| Cycle measurement | Identical start and end events for every opportunity                                            |                |       |
| Deal-value basis  | Value recorded at entry; discounts and scope changes tracked separately                         |                |       |
| Cost visibility   | Full defined acquisition cost captured; cost per accepted opportunity by channel                |                |       |
| Capacity fit      | Workload within usable capacity; follow-up SLAs met; no overloaded handoff                      |                |       |
| Total             |                                                                                                 | / 12           |       |

*Forecast-grade requires 9 or more with no zeros. It's a readiness gate, not a grade.*

T 3.4 Scale Readiness Scorecard

**Use when:** any proposal to increase spend, headcount, or throughput · **Owner:** the revenue leader · **Cadence:** before every scale decision; re-scored quarterly

01 The scale proposal, in one sentence

| Gate                     | Pass criterion                                                      | Evidence required                                                                     | Score (0–2)                                                    | Notes |
|--------------------------|---------------------------------------------------------------------|---------------------------------------------------------------------------------------|----------------------------------------------------------------|-------|
| Repeat-ability & quality | Output repeats without heroics; win rate and ICP fit hold at volume | Win rate, fit, qualification rate, and closed-lost reasons over the last two quarters |                                                                |       |
| Econom-ics               | Unit economics work per cohort; volume-only costs named             | Cost per accepted opp, CAC payback, gross margin by co-hort, not channel averages     |                                                                |       |
| Capacity                 | Sales, delivery, and CS can absorb the increase, by name            | Utilization, backlog, ramped headcount, SLA attainment                                |                                                                |       |
| Durability               | Cohorts stay and expand at target                                   | Retention and expansion curves across two or more co-horts                            |                                                                |       |
| Prerequis-ites           | Process documented and validated (T23, T26); guardrails live (T33)  |                                                                                       | <div><input type="checkbox"/> / <input type="checkbox"/></div> |       |

01 The weakest gate, and the evidence that would change it

02 Path: expand / revise / stop / diagnose, plus the reversal condition

*Any gate scoring 0 is a veto. Fix it before scaling, not during. Missing evidence scores 0: build the measurement first.*

T 4.4 Operator Scorecard

Use when: reviewing an operator’s habits · Owner: their manager · Cadence: quarterly

| Habit                                                              | Evidence | Score (0–2) |
|--------------------------------------------------------------------|----------|-------------|
| Owns the constraint: decides with evidence, not adjectives         |          |             |
| Keeps handoffs clean: acceptance criteria met, audit trail kept    |          |             |
| Runs experiments with discipline: hypotheses, stop rules, readouts |          |             |
| Numbers trusted, cadence kept, bad news travels fast               |          |             |

Every score needs evidence; an unscored habit is a rumor. Coach, don’t surprise.

## Appendix C • Formula Reference

| Measure                              | Formula                                                                                              | Required inputs                                           | Don't substitute                             |
|--------------------------------------|------------------------------------------------------------------------------------------------------|-----------------------------------------------------------|----------------------------------------------|
| <b>Pipeline velocity</b>             | $(\text{Opportunities} \times \text{Avg. deal value} \times \text{Win rate}) \div \text{Cycle days}$ | One cohort; entry value; mature win rate; same-unit cycle | Open-cohort rates                            |
| <b>Win rate</b>                      | $\text{Won opportunities} \div \text{All opportunities in a mature cohort}$                          | Same mature cohort, losses included                       | $\text{Won} \div (\text{won} + \text{open})$ |
| <b>CAC</b>                           | $\text{Fully loaded acquisition cost} \div \text{New customers acquired}$                            | Media, labor, tools, overhead; same window                | Media spend alone                            |
| <b>Contribution pay-back</b>         | $\text{CAC} \div \text{Avg. monthly contribution margin per customer}$                               | Contribution margin                                       | Gross revenue; lifetime margins              |
| <b>Cost per accepted opportunity</b> | $\text{Total stage cost} \div \text{Opportunities accepted by the next stage}$                       | Full stage cost; accepted count                           | Cost per lead or MQL                         |
| <b>Relative lift</b>                 | $(\text{New} - \text{Baseline}) \div \text{Baseline}$                                                | Comparable windows and definitions                        | Points for percent                           |
| <b>Percentage-point lift</b>         | $\text{New rate} - \text{Baseline rate}$                                                             | Same denominators                                         | Percent for points                           |
| <b>Conversion economics</b>          | $(\text{Mature win rate} \times \text{Avg. deal value}) - \text{Cost per accepted opportunity}$      | Mature win rate; accepted value                           | Open-deal values                             |
| <b>Commitment-weighted coverage</b>  | $\text{Pipeline value} \times \text{Verified buyer commitment} \div \text{Target}$                   | A written definition of "verified commitment"             | Raw coverage                                 |
| <b>Sales capacity</b>                | $\text{Ramped reps} \times \text{Realistic attainment}$                                              | Ramp-adjusted headcount                                   | Hired headcount                              |

**Worked examples (all hypothetical).** Velocity:  $100 \times \$20,000 \times 0.25 \div 60 = \$8,333/\text{day}$ . Combined levers:  $120 \times \$20,000 \times 0.30 \div 50 = \$14,400/\text{day}$  (+72.8%). Payback:  $\$6,000 \div (\$1,000 \times 80\%) = 7.5$  months; at \$800/month,  $\$6,000 \div \$640 = 9.375$  months. Cost per accepted opportunity:  $\$3,200 \div 30 = \$107$ ;  $\$3,600 \div 45 = \$80$ . Lift:  $2.0\% \rightarrow 2.4\% = 0.4$  points, 20% relative.

## Appendix D • Assumptions and Pipeline Errors

A one-page checklist. Run it whenever a model surprises you, before you check the math. Chapter 13 explains each item.

### EVERY MODEL ASSUMES:

- ☐ Shared definitions across functions
- ☐ Cohorts measured over closed windows
- ☐ Pipeline is opportunity value, not revenue
- ☐ Entry criteria enforced at acceptance
- ☐ Costs fully loaded where stated
- ☐ Rates carry denominator, window, and exclusions
- ☐ Evidence observed, not modeled (unless labeled)

### SEVEN WAYS PIPELINE NUMBERS

#### LIE:

1. Open-cohort win rates
2. Pipeline quoted as revenue
3. Gross pipeline without acceptance
4. Averages that hide shape
5. Lift without a baseline
6. Relative lift reported as points
7. Stale or duplicate records

None of these require fraud. All of them require only habit.

# Appendix E • Diagnostics by Function

Questions to ask each function. Use them in the Week 2 interviews, or any time a team's view of the chain needs testing.

## FOUNDER / CEO

1. What is the business's useful output, and which stage limits it?
2. Which decisions last quarter ran on evidence, and which on confidence?
3. Where does ownership break between functions, and who resolves it?
4. Is the current plan limited by demand, capacity, or evidence?

## GROWTH / MARKETING

1. What produced the last accepted opportunity, and how do you prove it?
2. What's the rejection rate at acceptance, and the top three reasons?
3. What did you stop last quarter because the evidence said to?
4. Which live test has a written stop rule and a pre-set guardrail?

## MARKETING OPS / REVOPS

1. Can every stage, status, and reason code live in one taxonomy document?
2. When did the last reconciliation run, and what did it reveal?

3. What's cost per accepted opportunity by source, fully loaded?
4. Which handoff has the longest dwell time, and who owns shrinking it?

## SALES

1. Win rate on the last mature cohort vs. the open-cohort rate?
2. Which acceptance criteria should marketing enforce harder, and why?
3. Where does the cycle stall, and what would remove one week?
4. Which lost deals were never winnable, and what did they cost?

## CUSTOMER SUCCESS

1. The first 30 days of a won account: run-book or improvisation?
2. Which onboarding failure recurs, and what would kill it at the source?
3. How much payback has the customer realized before first renewal?
4. What sales signal would change how you staff the first 90 days?

## Appendix F • Glossary

One language across every function. If two teams define a term differently, they aren't having the same meeting. Adopt these working definitions or replace them with your own, but never leave them undefined.

**Acceptance.** The receiving stage's agreement that an item meets the entry criteria.

**Accepted opportunity.** An opportunity past acceptance under an agreed definition.

**Allocation Ladder.** Experimental → growth → core. The rungs by which a segment or channel earns more money and attention. Each step is bounded, recorded, and reversible.

**Attribution.** Credit assigned across preceding touches. A model, never a measurement.

**Baseline.** Measured performance before a change, against which lift is calculated. It must be re-pullable the same way twice.

**CAC (customer acquisition cost).** All-in cost to acquire one customer: media, people, tools, creative.

**Capacity.** The maximum useful throughput a stage sustains without quality loss.

**Cohort.** Items that entered together, measured over a fixed window.

**Commercial chain.** The ordered stages from first signal to collected cash: acquisition, message match, conversion, qualification, opportunity, revenue, retention, learning.

**Confidence.** A permission level. Low permits diagnostics and small reversible bets; medium permits bounded allocation; high permits scale.

**Constraint.** The stage or input most limiting useful output today.

**Contribution payback.** Months for a customer's contribution margin to cover acquisition cost.

**Cost per accepted opportunity.** Total stage cost divided by opportunities accepted downstream.

**Cycle length.** Start-to-close elapsed time for a cohort, usually the median, with the same start and end events for every opportunity.

**Deal value.** Committed value at acceptance, before the outcome is known.

**Decision brief.** One page: decision, constraint, hypothesis, options, metric, guardrails, stop rule, exclusions, owner, review date. The Strategy rung's artifact.

**Decision ledger.** The running log of decisions and scale steps, with evidence and reversal conditions. The organization's memory, and the Scale rung's artifact.

**Durability.** Whether customers stay and expand. The fourth scale gate.

**Evidence.** Observed fact bearing on a decision, with source and limits stated.

**Evidence Ladder.** Opinion with a chart → raw activity → correlation → clean comparison → repeated result → understood mechanism. Higher rungs support bigger bets.

**Exception queue.** A holding place for items that fit no routing rule. It is owned and reviewed on cadence.



**Gate test.** The test every rung must pass: an outsider can inspect the artifact and reproduce the decision.

**Growth Ladder.** The four SPIIX rungs (Signal, Strategy, Systems, Scale), climbed in order, with a return path.

**Guardrail.** A pre-set boundary that keeps a test or spend from damaging the system: a band, a breach action, and an owner.

**Handoff.** An ownership transfer between stages, with four parts: payload, acceptance criteria, owner, clock. It's where pipeline most often dies quietly.

**Hypothesis.** A proposed explanation stated so it can be tested and rejected.

**Incrementality.** The result an action adds beyond what would have happened without it.

**Local optimization.** Improving one stage while system output stays flat or falls.

**Mature cohort.** A cohort whose window has closed. The only basis for rate-based decisions.

**Metric contract.** Start event, end event, denominator, window, owner, exclusions, version.

**SPIIX.** The operating system this book teaches: read the system, name the constraint, build what holds, earn the scale. The Growth, Evidence, and Allocation Ladders derive from it.

**Noise.** Activity or data that produces no decision change and no useful output.

**Operating agreement.** A cross-functional commitment on definitions, handoffs, and SLAs, signed by named owners.

**Percentage-point lift.** Absolute rate difference, in points. 20% → 25% is five points.

**Pipeline.** Opportunity value past acceptance, with stage and window. Not revenue.

**Quality-adjusted pipeline.** Pipeline weighted by stage-conversion evidence, not raw value.

**Reconciliation.** A recurring match of two records of the same items, with gaps investigated.

**Rejection reason.** A coded cause, from a closed list, for declining an item at acceptance.

**Relative lift.** Percentage change versus baseline:  $(\text{new} - \text{baseline}) \div \text{baseline}$ .

**Routing.** The rules that send each accepted item to the right owner, queue, and motion.

**Runbook.** A documented procedure (trigger, steps, owners, handoffs, exceptions, recovery, measurement) that a second operator has run. The Systems rung's artifact.

**Second-operator test.** A second operator runs the workflow end to end while the author watches and says nothing.

**Signal.** Evidence that changes a decision. Everything else is noise.

**Signal register.** The living document of claims, evidence, decisions, definitions, owners, and next-read dates. The Signal rung's artifact.

**SLA.** A documented agreement between stages: entry criteria, response time, consequences.

**Stop rule.** The pre-agreed condition that ends an initiative regardless of optimism.

**Taxonomy.** The agreed naming for every stage, status, and reason code.

**Useful output.** The result the commercial chain exists to produce, *the number*: accepted opportunities that win, retained accounts, or margin-positive orders.

**Velocity.** Expected won value per day from a cohort, shaped by volume, win rate, deal value, and cycle length.

**Win rate (mature cohort).** Won opportunities divided by all opportunities in a mature cohort. Open cohorts always flatter.

#### SYSTEM CHECK

Ask two teams to define any term above without looking. Their differing answers are work that costs nothing to find.

# Appendix G • Northfield’s Artifacts, Filled In

The blank tools in Appendix A show the fields. This appendix shows what the fields look like filled in. Every entry comes from Northfield Analytics, the invented company carried through Parts VII and IX. **Every number is hypothetical and illustrative.** Use these as calibration: if your version is much vaguer than these, it isn’t finished. If it’s much longer, it probably isn’t a decision yet.

## G1 • Useful Output Definition (T3)

| Field                       | Northfield, week 1                                                                                                    |
|-----------------------------|-----------------------------------------------------------------------------------------------------------------------|
| Old headline metric         | Marketing-sourced pipeline (fails the ungameable test: marketing can raise it by widening the audience)               |
| Useful output, one sentence | Accepted opportunities that reach a held discovery call within five business days of acceptance                       |
| Why it’s the right unit     | It’s the first point where both marketing and sales have committed effort, and it can be counted the same way by both |
| Who can’t game it alone     | Marketing can’t (sales must accept and hold the call); sales can’t (marketing’s sources set the volume)               |
| Clock                       | Five business days, so it matures inside a six-week window                                                            |
| Owner                       | CRO, with the SDR manager as the operating owner                                                                      |
| Score on T3                 | 7 of 8 (the missing point: no written link yet to retained revenue)                                                   |

## G2 • Signal Register, three entries (T7)

| Claim                                           | Evidence                                                                                                                                           | Decision it may change                               | Clock              | Rung                      | Next read    |
|-------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------|--------------------|---------------------------|--------------|
| The SDR-to-AE handoff is the binding constraint | Median 9.5 business days to held discovery; 38% inside five days; five of six owner interviews; nine of twenty lost-deal notes cite slow follow-up | Where the next quarter’s one intervention goes (CRO) | Five business days | Clean comparison, pending | Week 4 brief |

| Claim                                                   | Evidence                                                        | Decision it may change              | Clock   | Rung                         | Next read               |
|---------------------------------------------------------|-----------------------------------------------------------------|-------------------------------------|---------|------------------------------|-------------------------|
| The dashboard's 31% win rate overstates the mature rate | Re-pull on the last mature quarter: 47 won of 188 accepted, 25% | Forecast assumptions (CRO, finance) | 80 days | Reconciled record-level data | Each quarter close      |
| Two paid sources accepted under 12%                     | Acceptance by source, last two quarters, mature                 | Paid allocation (CMO)               | 30 days | Reconciled data              | Next quarterly workshop |

### G3 • Decision Brief (T14)

| Field                  | Northfield, week 4                                                                                                                                                    |
|------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Constraint             | Accepted opportunities don't reach a held discovery call within five business days (38% do)                                                                           |
| Intervention, narrowed | For inbound demo requests from the two highest-acceptance sources only, SDRs book discovery directly onto AE calendars at acceptance, for six weeks                   |
| Hypothesis             | Direct booking will raise the five-day share from 38% to at least 60%, because the delay lives in the SDR-AE email back-and-forth                                     |
| Primary metric         | Share of accepted opportunities reaching a held discovery call within five business days                                                                              |
| Guardrails             | AE no-show rate under 20%; acceptance on the two sources falls no more than three points                                                                              |
| Stop rule              | AE no-shows above 25% for two consecutive weeks: revert                                                                                                               |
| Mind-changer           | The five-day share rises but discovery-to-opportunity falls below the 55% baseline                                                                                    |
| Comparison             | All other inbound sources, on the old process                                                                                                                         |
| Read window            | Interim week 3; final week 6                                                                                                                                          |
| Exclusions             | No CRM changes beyond the booking rule; no SDR hires; no scheduling-tool evaluation; no change to the acceptance definition; pricing page update moved after the read |
| Pre-mortem risk added  | AEs on PTO: backup-calendar rule                                                                                                                                      |
| Signed                 | CRO (decider); SDR manager and AE manager (initialed)                                                                                                                 |

## G4 • Metric Contract (T19)

| Field            | "Held discovery call," version 1.0                                             |
|------------------|--------------------------------------------------------------------------------|
| Start event      | Opportunity acceptance timestamp                                               |
| End event        | Discovery call marked held by the AE, with notes attached                      |
| Denominator      | Accepted opportunities from the two pilot sources                              |
| Window           | Business days, excluding company holidays                                      |
| Exclusions       | Prospect-initiated reschedules (own reason code)                               |
| System of record | CRM opportunity object; "held" is a required field with notes                  |
| Owner            | SDR manager                                                                    |
| Change rule      | Any change is a new version, dated, with a note to marketing ops and sales ops |

## G5 • Lead Acceptance Agreement, as the handoff agreement (T20)

| Field                                        | SDR → AE, one quarter                                                                                         |
|----------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| Entry criteria (written by the receiver)     | Confirmed problem statement; named decision-maker or a path to one; a timeframe                               |
| Payload (negotiated from nine fields to six) | Problem statement, decision-maker, timeframe, source, company size band, prior contact history                |
| Receiver and clock                           | The booked AE; discovery held within five business days, or a reason code                                     |
| Fallback                                     | Named backup AE calendar when the booked AE is on PTO                                                         |
| Rejection                                    | Closed list of five reasons; every rejection returns to the SDR manager with its code within one business day |
| Exceptions                                   | Personal-domain requests go to an enrichment queue: named owner, named backup, four-hour clock                |
| Review                                       | End of quarter, using the rejection log                                                                       |

## G6 • Scale Readiness Scorecard, week 12 (T34)

| Gate                      | Score (0–2) | Evidence                                                 |
|---------------------------|-------------|----------------------------------------------------------|
| Repeatability and quality | 2           | Held across six weeks and four SDRs; 71% vs. 36% control |

| Gate                      | Score (0–2) | Evidence                                                                                              |
|---------------------------|-------------|-------------------------------------------------------------------------------------------------------|
| Economics                 | 1           | No added cost; mature win rate not yet readable (around week 16)                                      |
| Capacity                  | 1           | AE manager estimate: about 30% more booked calls before calendar density breaks the no-show guardrail |
| Durability                | 0           | No retention evidence for the cohort yet                                                              |
| <b>Decision available</b> |             | Expand-everything is unavailable with a zero. Bounded step chosen.                                    |

## G7 • Scale Step Sizer (T51)

| Item                               | Value                                                                                |
|------------------------------------|--------------------------------------------------------------------------------------|
| Current allocation                 | Two inbound sources on direct booking                                                |
| Proposed step                      | Four sources, about 30% more booked calls, over six weeks                            |
| Lowest capacity threshold, by name | AE discovery team, per the AE manager's estimate                                     |
| Guardrail that pauses the step     | AE no-shows red two weeks running; discovery-to-opportunity on new sources below 50% |
| Cost to reverse                    | One routing rule turned off for two sources                                          |
| Read date                          | Week 16, when the original cohort's win rate matures                                 |

## G8 • Decision Ledger entry (T39)

| Field                   | Week 12 entry                                                                    |
|-------------------------|----------------------------------------------------------------------------------|
| Decision                | Expand direct booking from two inbound sources to four                           |
| Evidence and rung       | Clean comparison; medium confidence                                              |
| What we expect          | Five-day share holds above 60% on the new sources; no-shows stay amber or better |
| What would reverse it   | Either guardrail red for two consecutive weeks                                   |
| What the test ruled out | The delay was not caused by lead quality: quality held while speed rose          |
| Next constraint, named  | AE discovery capacity, at roughly 1.3 times current booked volume                |
| Review date             | Week 16                                                                          |

| Field  | Week 12 entry |
|--------|---------------|
| Signed | CRO           |

## Appendix H • Operator FAQ

The questions below come up in almost every install. The answers are short on purpose. Each one points to where the book goes deeper.

### About the system

**Is SPIIX a methodology I have to adopt wholesale?** No. It's an operating system: an order of work, a set of artifacts, and a cadence. Most teams start by installing it on one constraint. The rest of the business keeps running as it does today until the first install proves itself. (Chapter 15.)

**What if our lowest rung isn't Signal?** Start at the lowest rung that's broken. The order of the rungs doesn't change, but you don't redo rungs that already hold. Use the diagnostic and the lowest-rung rule. (Introduction; Chapter 5.)

**How is this different from OKRs, or from a sales methodology?** OKRs set goals and a sales methodology runs a stage. SPIIX decides which constraint the goals should serve and whether the chain can carry them. Many teams run all three. When they conflict, the constraint wins. (Chapter 4.)

**Do we need new software?** No. Every tool in the Field Kit works on paper or in a spreadsheet. Software comes after a process runs by hand, and only against a written operating requirement. (Chapter 9; Chapter 24.)

### About Signal

**Our data is a mess. Can we even start?** Yes. If the data is a mess, measurement is the constraint, and fixing definitions is the first intervention. Narrow the scope to one handoff and reconcile there. (Chapter 22, Play 2; failure mode S7.)

**How long should Signal take?** Two to three weeks for a first install. A first week can produce a usable read in five days. If it's running past four weeks, narrow it. (Chapters 14 and 22.)

**What counts as a mature cohort?** One old enough that nearly all of its outcomes are known: most of a typical cycle, plus a margin. Write the rule down and use it every time. (Chapter 12.)



**What do we do with the metrics we retire?** Archive the definition and the last value, note the date, and stop reporting it. If someone misses it within a quarter, that's evidence it changed a decision. Bring it back with an owner. (Chapter 6; T9.)

## About Strategy

**Why only one intervention at a time?** Because two interventions on the same constraint can't be told apart. You'll learn nothing from either, and both will be defended. Spare capacity goes to the register and the next brief. (Chapter 7; failure mode O4.)

**What if leadership has already decided what to do?** Write the brief for their decision. If it can't fill in the Context Card, the stop rule, and the exclusions, that's the conversation. A brief written for a decision that's already been made still produces the stop rule, which is the most useful part. (Chapter 23.)

**How small is too small for a pilot?** Too small is when the primary metric can't move enough to read inside the window. Use the narrowing question, then check the read window against the metric's clock. (Chapter 23, Play 3.)

**What if the result is ambiguous?** Use the four moves. An ambiguous result with no named flaw is usually a stop, or a revise with a redesign and a new date. "Run it longer" needs a reason. (Chapter 10; Case 12.)

## About Systems

**Who should write the runbook?** The person who runs the workflow, with a second operator testing it. Not the person who designed it, and not a consultant. (Chapter 9; Chapter 24.)

**How do we handle AI agents in the chain?** Like any other handoff: an acceptance test for the output, a named human owner, instrumented routes, and a rejection path back upstream. An agent on an undefined handoff fails fast, confidently, and at volume. (Failure mode Y9; Case 13.) [STEVE TO ADD: optional. Your own stance on AI agents in the commercial chain, in two or three sentences.]

**Our handoff agreement keeps getting ignored. Why?** Usually one of three reasons: the receiver didn't write the entry criteria, the clock has no consequence, or comp still rewards ignoring it. Check them in that order. (Chapter 8; Chapter 16.)

## About Scale

**When are we “allowed” to scale?** When the gates are scored, none is at zero, and the step fits under the lowest capacity threshold. “Allowed” is the wrong word, though. It’s a bounded step with a guardrail and a review date, not permission. (Chapter 10; Chapter 25.)

**What if the board won’t wait for durability evidence?** Release a tranche behind the measured constraint, gate the rest, and write the reversal condition into the approval. (Chapter 26; Chapter 32.)

**How much should we kill each quarter?** At least one thing per quarterly workshop. The amount matters less than the habit. An organization that has never stopped anything won’t start when it matters. (Chapter 18; failure mode L5.)

## About people

**What if a leader refuses to sign the constraint ranking?** Record their position and the evidence that would change it, then let the rung’s decider decide. If the decider is the one refusing, the install has no sponsor, and that’s the conversation to have first. (Chapter 16; Chapter 34.)

**Do we have to change comp plans?** Not on day one. By the end of the first quarter, every local target should carry a downstream guardrail. Comp is the loudest instruction in the building. If it contradicts the install, the install loses. (Chapter 16; failure mode O2.)

**Who should run the install?** One named install lead with protected time, usually from RevOps, operations, or growth, with an executive sponsor who owns the decider role. An install with no protected time stalls by day 45. (Chapter 30; Case 20.)

**Can an outside advisor run it?** An advisor can facilitate, read, and build alongside the team. The owners must still own the artifacts. The test: would the system keep running if the advisor left next week? (Chapter 34.)

## About this edition

**Do I need the standard edition too?** No. Chapters 1–21 and the original Field Kit are included here, unchanged. Parts VII–XI and tools T48–T61 are new.

**Is there an editable Field Kit?** [\[STEVE TO ADD: link to the downloadable, editable Field Kit, if you’ll offer one.\]](#)

# About the Author

[STEVE TO ADD: author photo]

**Steve Peele II** is Head of Marketing Operations & Global Integration at Launch by NTT DATA (formerly Nexient), where his work carries \$350M+ in annual pipeline exposure. Over 14+ years in SaaS and startups, he has led marketing operations, growth, and commercial strategy, managed budgets of \$8M+, and been part of two exits: Dotloop (acquired by Zillow) and Tixxy. He created **SPIIX**, the operating system this book documents, as an operator, practitioner, student, and scientist of every component in it, and works as a fractional CMO and product-focused growth advisor through SPIIX and **Pan Labs**. [STEVE TO ADD: one sentence describing Pan Labs.]

He's also a musician, and he treats music and growth as the same discipline: rhythm, rehearsal, and a band that holds without the bandleader. He lives and works in the Cincinnati / Northern Kentucky area.

[STEVE TO ADD: confirm the title, figures, and exit descriptions above exactly as you want them in print.]

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# Work With SPIIX

This book is designed to be installed without hiring anyone. If you want a second operator in the room, SPIIX works in three ways:

| Engagement                              | What it does                                                   | How it works                                             |
|-----------------------------------------|----------------------------------------------------------------|----------------------------------------------------------|
| <b>The Lens</b> · GTM Audit             | Names and ranks the constraint (Chapter 4, done with you).     | A fixed-scope diagnostic ending in a ranked action plan. |
| <b>The Engine</b> · Fractional Advisory | Keeps commercial decisions and execution aligned (Parts IV–V). | Decision reviews, sequencing, accountability.            |
| <b>The Catalyst</b> · Mentorship        | Builds the leader’s judgment.                                  | One-to-one decision work and pressure-testing.           |

Begin at [stevepeeleeii.com/spiix](https://stevepeeleeii.com/spiix).

[STEVE TO ADD: confirm the engagement names, descriptions, and URL; add a link to a downloadable, editable Field Kit (T1–T61) if you’ll offer one; confirm whether to print a phone number (v1 listed 513.505.0624).]

# Acknowledgments

[STEVE TO ADD: acknowledgments.]

**THE GOAL IS NOT TO DO MORE MARKETING.**  
**THE GOAL IS TO MAKE MARKETING MATTER.**

*Read the system. Name the constraint. Build what holds. Earn the scale.*